



21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
| AUD/EUR        | 0.6153  | 0.4%   | 3 year swap             | 4.63 | -0.07  |
| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
| AUD/HKD        | 5.6030  | 0.6%   | 6 year swap             | 4.70 | -0.08  |
| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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| AUS Interest Rate Swaps | Last | Change |
|-------------------------|------|--------|
| 30 day BBSY             | 4.35 | 0.00   |
| 90 day BBSY             | 4.50 | 0.00   |
| 180 day BBSY            | 4.83 | 0.00   |
| 1 year swap             | 4.67 | -0.03  |
| 2 year swap             | 4.67 | -0.04  |
| 3 year swap             | 4.63 | -0.07  |
| 4 year swap             | 4.64 | -0.07  |
| 5 year swap             | 4.66 | -0.07  |
| 6 year swap             | 4.70 | -0.08  |
| 7 year swap             | 4.74 | -0.08  |
| 8 year swap             | 4.79 | -0.08  |
| 9 year swap             | 4.84 | -0.08  |
| 10 year swap            | 4.88 | -0.08  |

| Government Bond Yields        | Close | Change |
|-------------------------------|-------|--------|
| <b>Australia</b>              |       |        |
| 3 year bond                   | 4.69  | 0.01   |
| 10 year bond                  | 5.07  | 0.01   |
| <b>United States</b>          |       |        |
| 3-month T Bill                | 3.56  | -0.01  |
| 2 year bond                   | 4.06  | -0.06  |
| 10 year bond                  | 4.59  | -0.08  |
| <b>Other (10 year yields)</b> |       |        |
| Germany                       | 3.10  | -0.10  |
| Japan                         | 2.78  | -0.01  |
| UK                            | 4.99  | -0.14  |

| Sydney Futures Exchange | Current | Change |
|-------------------------|---------|--------|
| 10 yr bond              | 5.04    | -0.06  |
| 3 yr bond               | 4.65    | -0.04  |
| 3 mth bill rate         | 4.52    | 0.00   |
| SPI 200                 | 8,633   | 1.2%   |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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11 May 2026

# CONSUMER PANEL Q1 2026

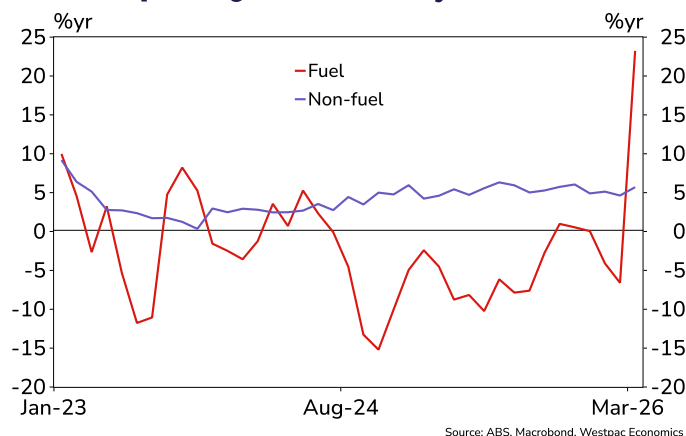
## FUEL SPIKE EARLY IMPACTS

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- The Westpac–DataX Consumer Panel showed that total spending slowed in Q1 even as spending on fuel surged. Average customer spend across the Panel rose 0.6%qtr and 6.5%yr. Excluding fuel, spending was up 0.5%qtr and a meaningful step down from Q4's 1.5%qtr.
- The Q1 data points to a reallocation rather than a retrenchment in spending. Softer growth in discretionary categories made up for the sharp increases in fuel and utilities. That said more exposed cohorts showed limited ability to adjust fuel consumption, with more of the shock absorbed through weaker non-fuel spending.
- Savings balances continued to rise in Q1, but at a slower pace, with growth stepping down to below recent averages and evidence pointing to weaker accumulation rather than broad-based drawdowns.
- Mortgage holders are entering this tightening phase with strong savings buffers, but these are beginning to erode and remain unevenly distributed, leaving a meaningful share of borrowers vulnerable to income shocks.

### Non-fuel spending remains steady



Source: ABS, Macrobond, Westpac Economics

### Westpac–DataX Consumer Panel

The Westpac–DataX Consumer Panel is a large dataset that gives a timely and detailed picture of Australian consumer finances and behaviour. Developed by DataX, Westpac's data analytics team, the dataset links transaction activity with balance sheet information to give a complete view of income, spending, saving and borrowing flows.

All data is de-identified and aggregated to ensure privacy. The resulting sample of over 1 million customers gives an accurate representation of trends across the wider Australian consumer and is perfectly suited to quickly tracing responses to events like interest rate moves and energy price shocks.

# Consumers absorbing fuel price and rate increases

Illiana Jain  
Economist  
Neha Sharma  
Economist

This quarter's panel data captures the early impacts of higher fuel prices due to the Middle East conflict. The quarter as a whole shows consumers being more cautious around their spending, choosing to spend more on essentials over discretionary items. The monthly data shows the March price shock did see consumers increase their spending on fuel while saving less. Delving into the disaggregated data across different spending categories, there is also early evidence of substitutions as consumers adapt to sharply higher fuel costs.

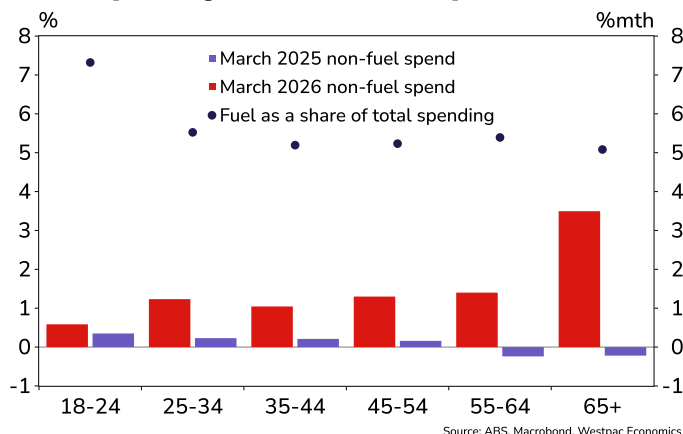
## Signs of caution emerging

Average consumer spending lifted 0.6%qtr to be up 6.5% over the year to Q1. This is a material step down from growth seen in Q4 (+1.6%) and Q3 (+1.8%).

The Q1 results show the impact of the Middle East conflict on oil prices as well as early impacts from the February and March interest rate hikes. It is worth noting that rate rises often factor into mortgage payments with a lag. This means the Q1 panel captures only the start of the increase in mortgage payments. Further iterations of the panel will contain more information on how consumers are faring.

The headline number was driven by fuel spending which rose 6.7%qtr as well as solid contributions by food & non-alcoholic beverages and recreation & culture. Clothing and footwear and transport excluding fuel both posted a drag on spending. Non-fuel spending was up just 0.5%, a significant step down from the 1%+ growth seen through Q2-Q4 in 2025. Note all analysis is on a per customer basis.

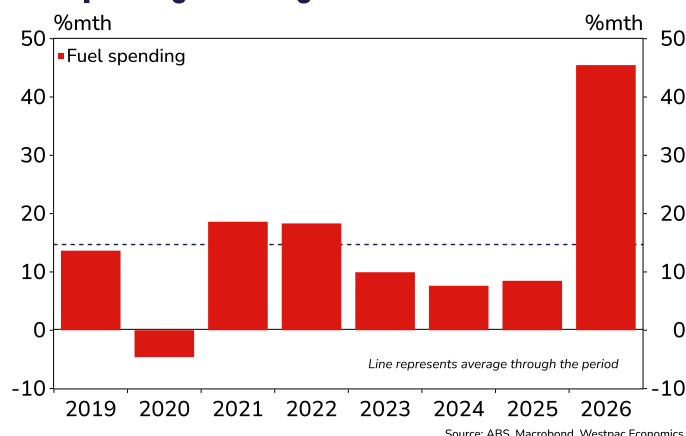
## Softer spending for those more exposed



## Who is hurting the most?

First, it is worth gauging just how big the shock is. On a monthly non-seasonally adjusted basis, fuel spending increased dramatically rising 45.5% in March 2026, this compares to an average of around 11% for March months over 2022-25 – March is clearly seasonally-strong. Adjusting for this, fuel spending rose 23%. This was the largest monthly increase in fuel spending recorded on the panel. As for non-fuel spending, it increased 9.9% in March, slightly above the 9.5% increase seen for March months over 2022-2025.

## Fuel spending is the highest recorded for March



By cohorts, young people aged 18-24 and young families with mortgages were among the most exposed to fuel price increases. Those aged 18-24 on average have fuel make up over 6% of total spending compared to between 4-5% among all other age cohorts. Their fuel expenditure rose the least at 3.7%qtr while older cohorts saw a larger increase in spend – up 8.3%qtr amongst those in the 65+ cohort. The biggest consumers of fuel in level terms are those aged 45-54, many of whom are mortgage holders. Their fuel spend increased 8%qtr. In part this likely reflects their relatively limited scope to adjust their spending on fuel. It was this age cohort that saw the smallest increase in non-fuel spending at 0.3%qtr.

By mortgage holder group, those with a mortgage increased their fuel spending by 8.3%qtr while those without a mortgage saw an increase of 5.0%qtr. There was some difference in non-fuel spending with mortgage holders increasing spending by 0.3%qtr, relative to a 1.7% average quarterly growth in spending through 2025. This compares to 0.5%qtr for non-mortgage holders vs 1.3%qtr through last year.

## Where are they substituting from?

There were some substitution effects being observed – non-fuel spend rose 0.5%qtr, a step down from 1.5%qtr in Q4 and Q3. This came despite a 6.9%qtr lift in utilities from a roll off of electricity subsidies. Indeed, households were effectively adjusting to two simultaneous price shocks – fuel and utilities – amplifying the pressure on discretionary spending. Some categories of discretionary spending posted meaningful declines including; alcohol & tobacco (–2.2%qtr), clothing & footwear (–1.5%qtr), household furnishings (–1.5%qtr), and restaurants & hotels (–0.5%qtr).

In monthly terms, a lot of the pull-back was actually seen in the first two months of the year with March supporting the quarterly print, largely driven by fuel and essential categories. This comes after a strong November and December period. Non-fuel spending fell 0.2%mt in January followed by a 0.3%mt gain in February and a 1.6%mt lift in March. Looking into the details, most of the weakness for March was in discretionary categories like alcohol & tobacco (–0.8%mt) and restaurants and hotels (+0.1%mt). This suggests that while consumers did continue to spend more, they focussed much of the spending on essentials rather than discretionary goods and services.

The heatmap below shows the contribution to growth of the different categories of spending. The more red the category, the stronger the spending has been compared to the history of that series. Blue represents a slowdown in spending. In the brightest red is fuel spending and food spending. Food has been strong due to both its high share in most people's spending as well as a shift to essential spending.

Looking at average spending per transaction, this increased across most categories for the month of March, fuel being the one showing the largest increase. Consumers spent \$58.52 per transaction in March compared to \$57.50 in February. The number of transactions per customer also posted a gain of 1%.

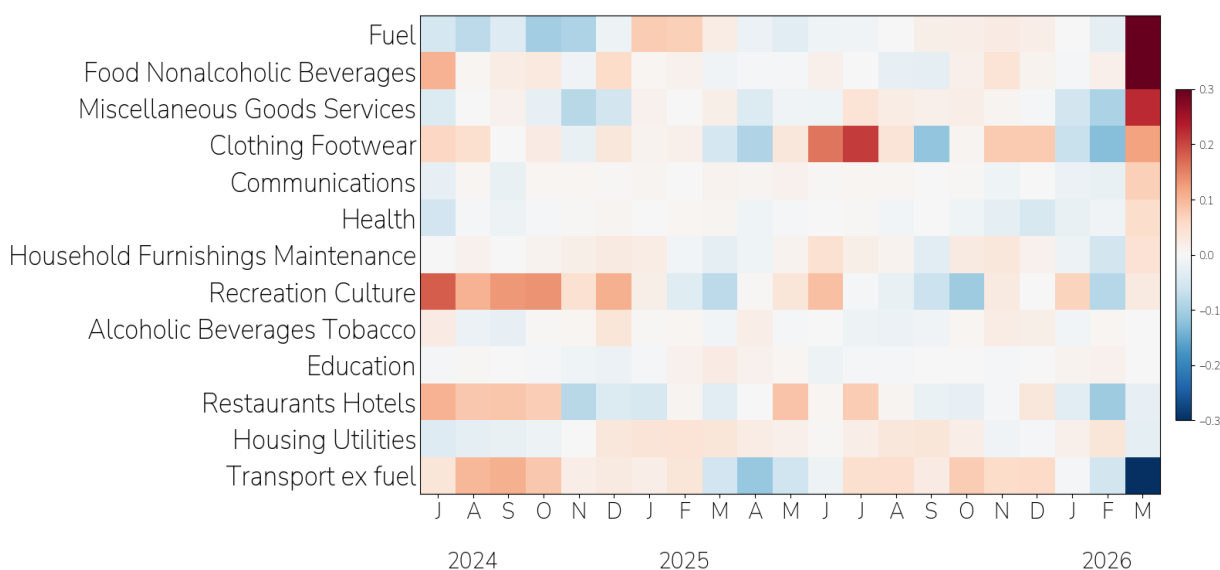
## Are consumers drawing from their savings?

Average customer savings balances rose 1.4%qtr (~\$600) in Q1 to \$43.4k. This is a slowdown from 3.2%qtr rise in Q4 and is the second slowest pace seen in one-and-a-half-years. Savings growth also amounted to just 3.4% of income in Q1, running below its three year average of 4.0%. Some of this slowdown may reflect stronger-than-usual spending in Q4 with customers left to take care of the bill in Q1 (e.g. credit card and buy-now-pay-later repayments).

Average customer balances rose across all age groups and income groups in the quarter. By age, the 35–44 cohort was a bit of an outlier with average balances up just 0.4%qtr and monthly data shows this was also the only group to drawdown on savings in March. Savings growth across the remaining age cohorts was more solid, at around 1–2%qtr. By income quintile, growth in balances ranged from 0.9–2.5%qtr, with the strongest increases recorded among lower-income households.

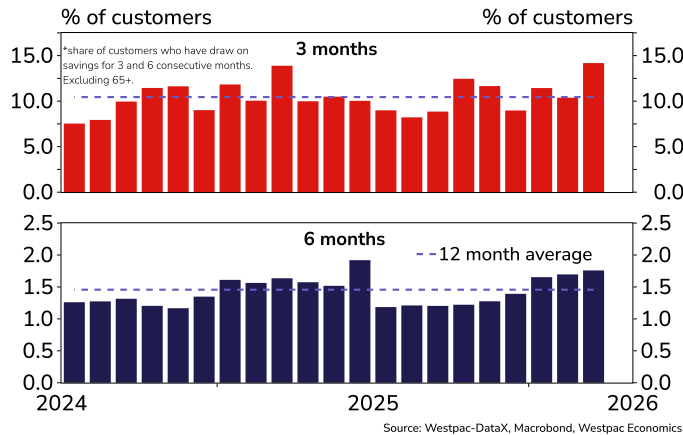
Looking at the monthly savings data, there is little evidence of a broad-based drawdown. As noted above, average balances rose across all cohorts in March, with the exception of the 35–44 age group. However, averages can mask pockets of vulnerability. Unit-record data show that just over half of customers ended March with lower savings, though this does not appear to be a material lift from recent history.

Where we are seeing a more meaningful shift is in the share of customers becoming more 'savings reliant'. The proportion of under-65s whose savings have declined for three (and six) consecutive months has risen to its highest (second highest) level in over two years. By age, the largest increase over the past six months has been among the 25–44 age groups. Meanwhile, across income levels, the largest step-up in drawdowns has occurred in the middle income quintile.



While the data are seasonally adjusted, there appears to be some residual seasonality. Even so, the trend hints at a growing cohort of customers coming under financial pressure and becoming increasingly reliant on savings and we will continue to monitor this closely in the coming months.

## Consecutive drawdowns in savings\*



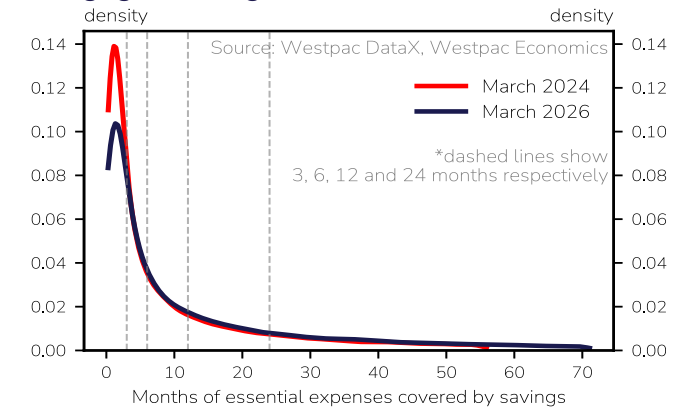
## How are mortgage holders placed to weather this?

Against the backdrop of the Middle East conflict and with three rate hikes now in play – and likely more to come – most mortgage holders appear well placed to absorb the pressures. Average savings among mortgage holders sit just under \$80k, up 2.3%qtr. In 2021/22 dollar terms, balances are around 10% higher than both the start of the previous tightening cycle and when rates last hit 4.35%, highlighting that mortgage holders are entering this phase on a stronger footing than in the past.

On average, mortgage holders now hold savings equivalent to 22.6 months of essential expenses (minimum mortgage repayment, food & utilities). This is a 0.3%qtr decline, the first drop since mid-2022 and appears to be largely a result of a 3.2%qtr increase in food costs – the highest since Q1 2024. Average minimum mortgage repayments have also started to increase since December 2025, weighing on buffers. Note that the increase in repayments likely reflects compositional shifts from new home buyers as well as existing holders possibly fixing their mortgage ahead of expected rate hikes. Buffers are still 11.6%yr higher and at the highest level in two-and-a-years.

While buffers remain high in average terms, the distribution highlights uneven financial resilience across mortgage holders. Around one-third of borrowers hold less than three months of buffers, and although the distribution has shifted modestly to the right since 2024, indicating some improvement, a meaningful share of customers remains exposed to extended income disruptions. Job losses therefore remain a key risk in the current economic environment. With the median job search duration around 11 weeks, a subset of borrowers may struggle to keep up with mortgage repayments unless shortfalls are absorbed through reductions in other essential spending.

## Mortgagor savings buffer distribution



## What does this mean for the RBA?

Our Q1 data shows a gradual but uneven slowdown in household demand. Non-fuel spending slowed materially in Q1, with clear weakness in discretionary categories, indicating spending is starting to slow already. At the same time, strong growth in essential spending, fuel, food and utilities, shows that aggregate consumption is being supported by necessity rather than underlying strength, masking a deterioration in real household purchasing power.

This dynamic aligns closely with recent RBA messaging that demand needs to slow to contain inflation, particularly given capacity constraints and ongoing price pressures from energy shocks. However, the Panel also suggests that part of the adjustment is being driven by supply-side price increases rather than monetary policy alone. The inflation aspect of this adjustment clearly complicates the policy trade-off.

Household balance sheets remain a key offset, with savings buffers still elevated. But the slowing pace of savings accumulation, rising share of households drawing down, and emerging stress in middle-income and 25–44 cohorts indicate that financial pressures are intensifying at the margin. Overall, the data support a cautious RBA stance. That said, the data is only just capturing the very early impacts of both fuel price and interest rate increases.

## About the Westpac-DataX Consumer Panel

Developed by DataX, Westpac's data analytics service for institutional and business banking customers, the dataset links transaction activity with balance sheet information to give a complete view of income, spending, saving and borrowing flows.

The resulting sample of over 1 million customers provides an accurate representation of trends across the wider Australian consumer.

Monthly observations are available back to January 2019 with timely updates provided a few weeks after the end of each month. As such, it is perfectly suited to quickly tracing the impact and responses to events like interest rate moves and energy price shocks.





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# Australia's Trade in Goods Account, March

#trade

#australia



By Ryan Wells

Economist, Westpac

15:15 May 07 2026

 Share

Australia's monthly goods trade balance fell into a deficit for the first time since 2017, driven by a combination of higher costs for fuel imports, continued volatility in gold trade, and most surprisingly, a truly remarkable surge in imports for data processing machines associated with AI. Trade balance:  $-\$1.8\text{bn}$ . Export values:  $-2.7\%\text{mth}$ . Import values:  $+14.1\%\text{mth}$ .

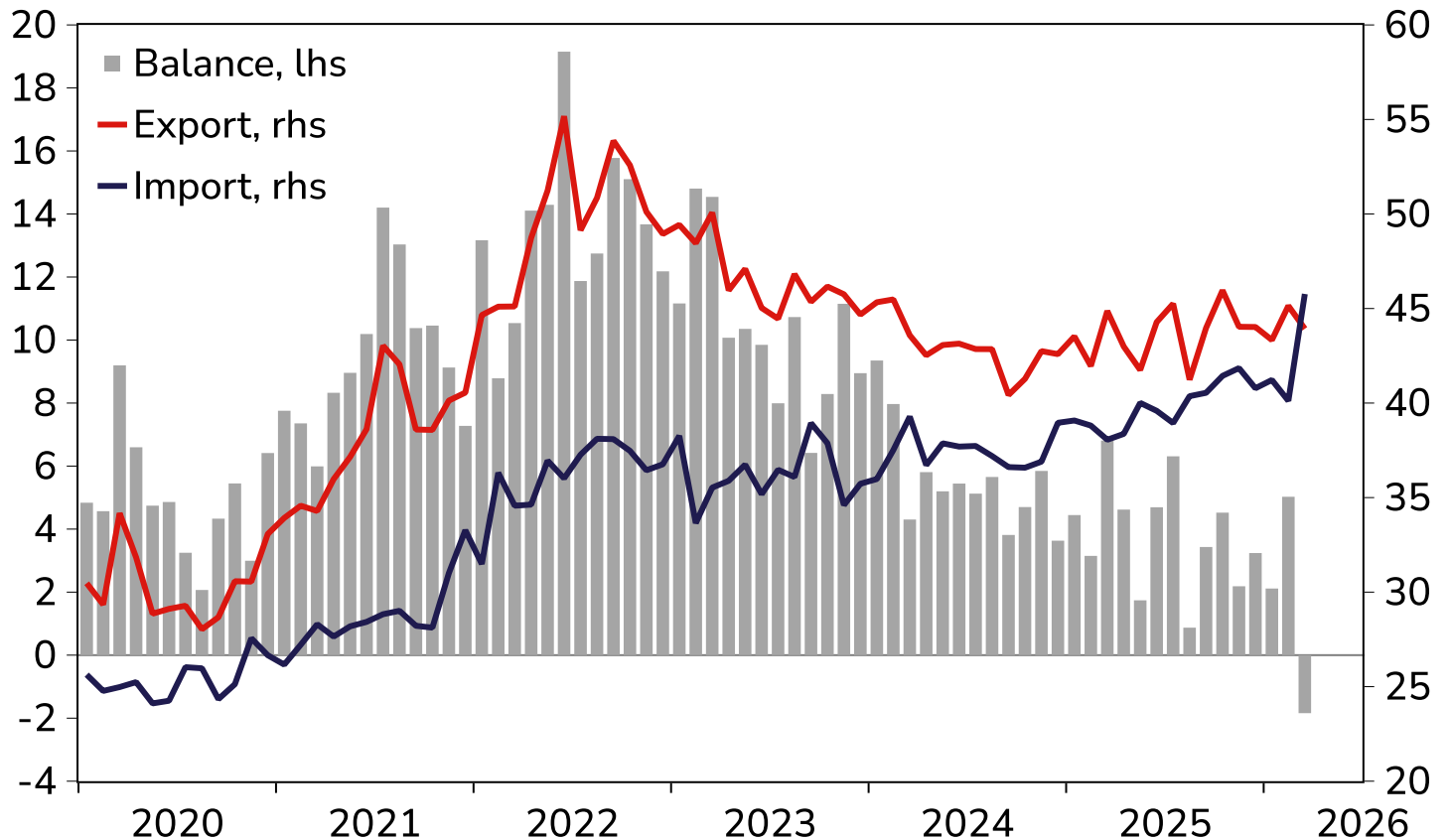




March's goods trade data surprised on many fronts. The headline balance collapsed from a surplus of \$5.0bn in February to a deficit of –\$1.8bn March, marking the first monthly goods trade deficit since December 2017. Higher fuel costs stemming from the Middle East conflict was an important driver, but it was not the only factor at play. Most surprisingly, there was a truly remarkable surge in imports for data processing machines, often associated with the AI. Continued volatility in gold on both sides of the ledger were also a factor, alongside lower export earnings.

## Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

## Exports

Export earnings disappointed in March, falling –2.7%. An important driver of this was a broad-based pull-back in rural goods exports (–11.6%) from a solid showing in February. This latest move looks to be largely volume-driven based on other sources of price data. Rural goods exports have been more volatile month-to-month, but it is operating around a solid trend that has broadly supported export earnings of late.

However, the fact that non-rural goods did not provide any material offset to this was surprising, barely eking out a gain in the month (0.3%). Across our 'Big 3' commodity exports: coal dropped –1.8%, metal ores and minerals (i.e. iron ore) fell –1.4%, while the lift in other mineral fuels (i.e. LNG) was underwhelming (+4.6%).

Additional data provided by the ABS on prices and volumes for these commodities revealed some



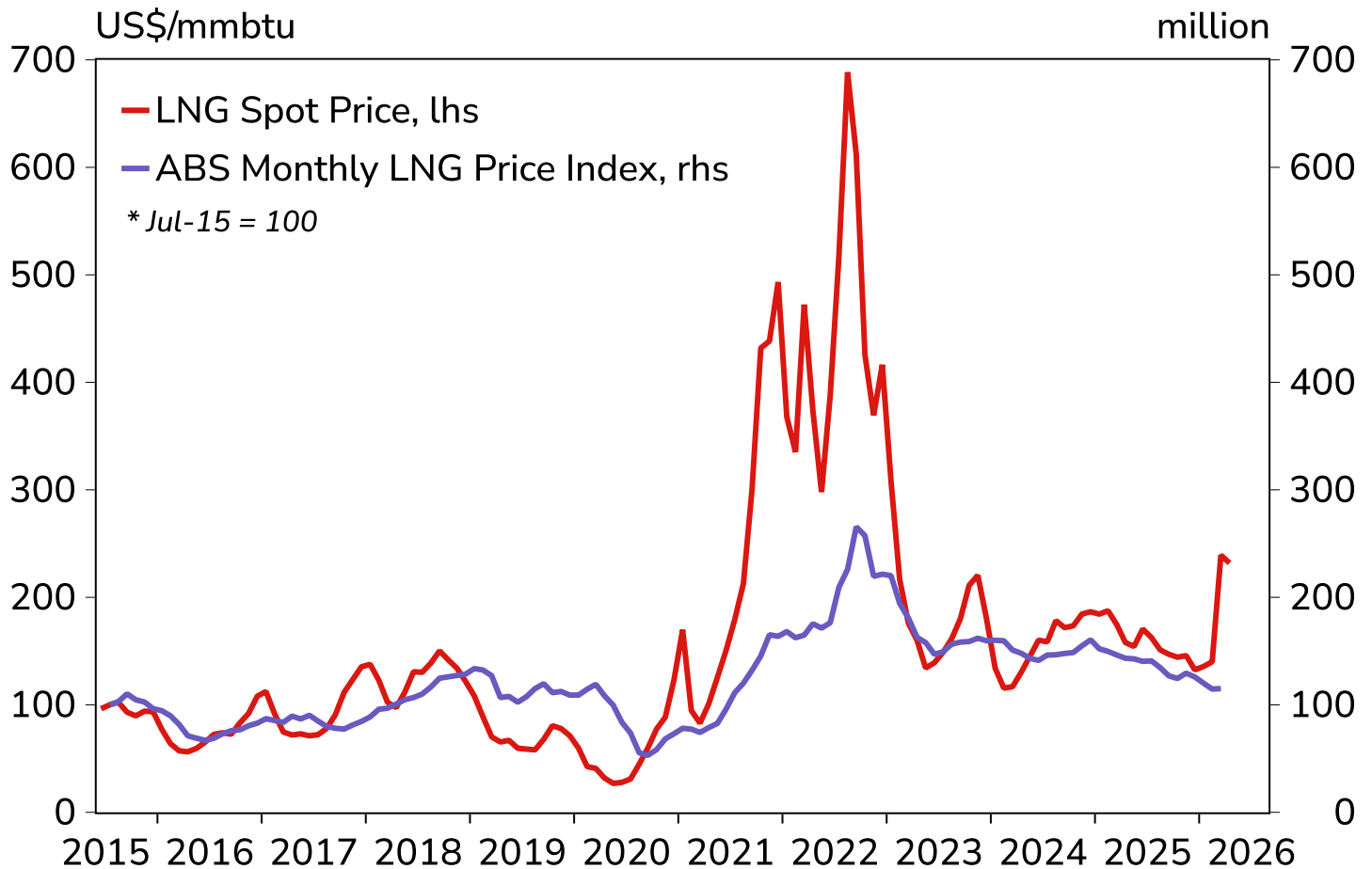
important nuances.

For LNG, export volumes lifted broadly in line with seasonal patterns in March, and interestingly, prices received was virtually flat in the month (+0.3%). Compared to this time last year, this export price index is –18.7% lower, given the broad decline in prices over 2025. This is a stark contrast to what we are observing in the LNG spot market, where prices have lifted notably since the onset of the Middle East shock.

That said, it is important to note that it typically takes a couple of months for changes in spot prices to feed through to the reported export prices in ABS trade data. The rate at which this can occur also depends on some extent to the scale of the move in prices. For example, while LNG spot prices lifted notably in March, it is nowhere near the extent of the 2022 Russia-Ukraine shock, which saw a relatively faster pass-through into export prices. Ultimately, while a significant lift to export earnings from LNG was not immediately apparent in the March data, it is reasonable to assume that we will see some increase over the coming months.

Meanwhile for iron ore, there was a seasonal lift in both export volumes and prices but it was fairly underwhelming compared to previous years. It was a similar story for coal export volumes too, although prices had a stronger showing in the month. Big swings in gold exports continue to add a layer of volatility – this time, contributing to the decline in export earnings with a –6.1% fall this month. This follow an extraordinary 42% surge over January and February, however.

# LNG Prices



Source: ABS, Macrobond, Westpac Economics

## Imports

The drop in export earnings was compounded by a surge in the import bill, climbing 14.1% in March, the largest monthly gain in over three years. Before discussing the story around fuel imports, though, it is important to mention that the bulk of this move came down to one line item: automatic data processing machines (ADP), which exploded a whopping \$2.9bn in March alone, a 300% increase. This likely captures many of the hardware components associated with AI, such as NVIDIA chips that can fetch US\$30-50k each. We had been consistently highlighting the strong uptrend in ADP imports over 2025 for this reason, but we are still puzzled at the sheer scale of the surge in March. This may well be a robust signal of the AI investment drive taking place on Australian shores, even if there is some noise in the mix.

Meanwhile, there was also 37.4% surge in petroleum product imports in March, reflecting higher global prices since the onset of the Middle East conflict. The ABS provided additional detail on the prices and volumes of refined petroleum imports in March:

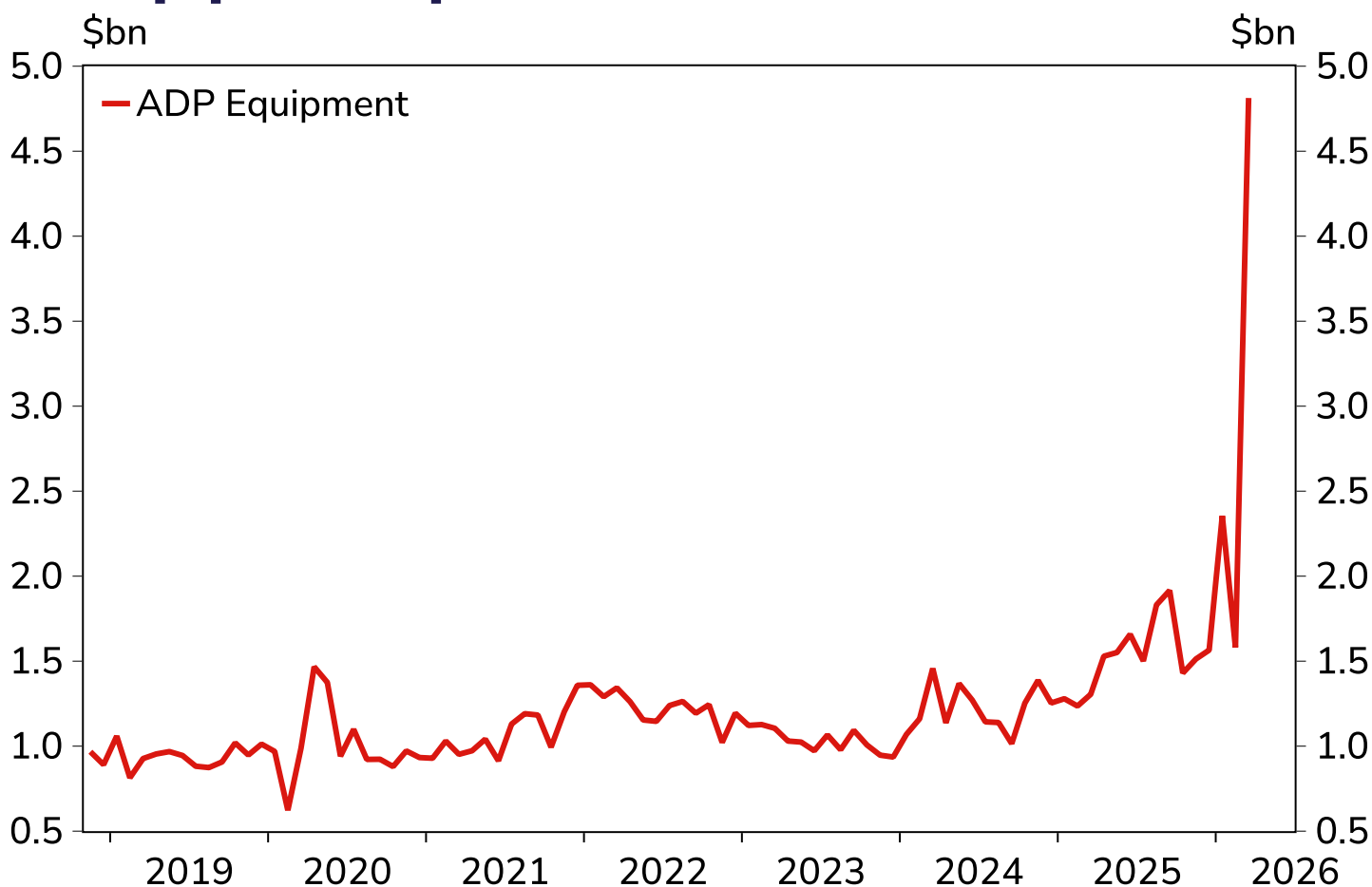
- Gasoline import prices rose 20.6%, and volumes imported rose 18.8%.
- Diesel import prices rose 42.2% and volumes imported fell -11.6%.

- Jet fuel import prices rose 42.7, and volumes imported fell –6.9%.

We are likely to continue seeing extreme volatility on this front over the coming months, as both prices fluctuate due to the conflict and volumes shift as authorities aimed to secure inventory. There is likely some lag in this data too.

Prices of and volumes for crude (unrefined) petroleum imports also bounced higher in the month but given its much smaller share in the energy import mix, it didn't have as much of an impact in aggregate, given we mostly import already refined fuel products. Extreme volatility in gold remains an important driver too, with import values for this commodity jumping 35% higher in March adding to the import bill. Consumption goods imports rose 1.2% in March, building on February's lift.

## ADP Equipment Imports



Source: ABS, Macrobond, Westpac Economics

Overall, monthly data suggests that the nominal goods trade balance has narrowed by around \$4.6bn, from \$9.9bn in Q4 to \$5.3bn in Q1, driven predominately by a surge in imports, but also a weaker showing in exports. This provides a gauge on what to expect for the official reading on Australia's current account balance as far as the goods side is concerned – the main uncertainty, though, is the services balance, for which there are fewer current indicators to draw from. Additionally, large monthly swings has also made it difficult to pin-point just how much of the nominal goods trade data is simply due to price effects rather than real volumes.

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By [Mantas Vanagas](#)



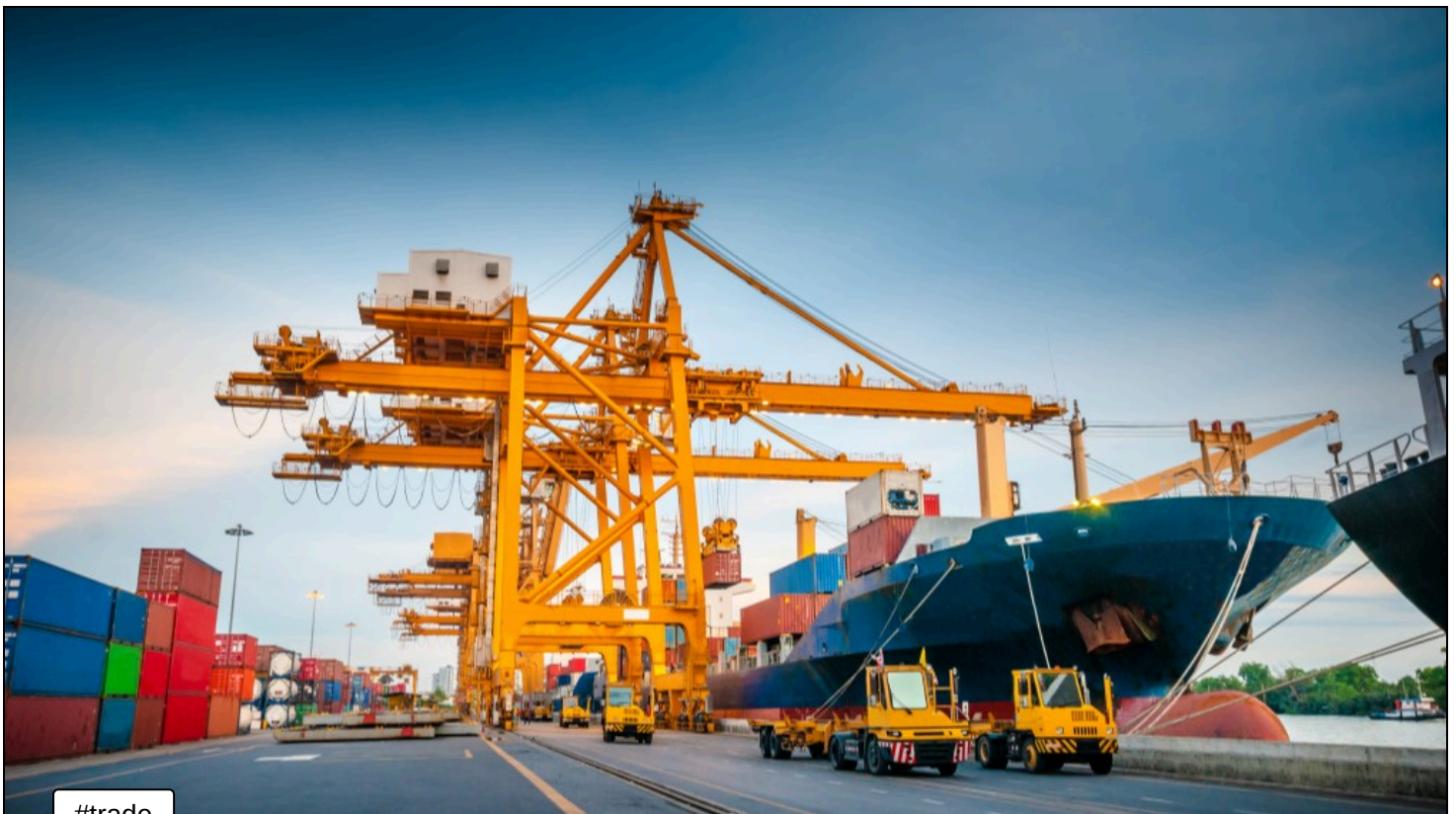


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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
| AUD/EUR        | 0.6153  | 0.4%   | 3 year swap             | 4.63 | -0.07  |
| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
| AUD/HKD        | 5.6030  | 0.6%   | 6 year swap             | 4.70 | -0.08  |
| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
| AUD/EUR        | 0.6153  | 0.4%   | 3 year swap             | 4.63 | -0.07  |
| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
| AUD/HKD        | 5.6030  | 0.6%   | 6 year swap             | 4.70 | -0.08  |
| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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# Cliff Notes: beyond the horizon

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By [Elliot Clarke](#), [Illiana Jain](#) & [Ryan Wells](#)

13:05 May 15 2026

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Key insights from the week that was.



The 2026/27 Federal Budget was the main event in Australia this week. Our [bulletin](#) provides a detailed view of the Government's fiscal position, policy measures and economic expectations over the forward estimates. Compared to the projections from MYEFO, the budget bottom line has improved owing to commodity price windfalls, with the deficit now expected to hold steady around 1.0% of GDP. Larger improvements in the Government's finances are anticipated in the outer years as the Government's

major saving measures deliver. Of particular note is the clamp-down on NDIS spending announced in April, which is expected to relieve budget pressure from payment cost inflation and help keep Federal net debt low versus other OECD countries.

The tax reform proposed in the Budget was also consequential and broad-based, impacting negative gearing, the capital gains tax discount and discretionary trusts. Our [conversation with Chief Economist Luci Ellis](#) explores these proposed changes and the other key measures for households. Budget night also saw a number of initiatives put forward for [business](#) and [SMEs](#), alongside a range of reforms that should help foster productivity growth in the long run. While meaningful, these measures are not expected to materially add or detract from the fiscal impulse over the next couple of years, thereby having little impact on the RBA's policy calculus.

Our [Q1 Westpac-DataX Consumer Panel](#) meanwhile showed that consumers are having to reduce savings and discretionary consumption to absorb the spike in fuel and electricity prices (the latter now due to the roll-off of government rebates). Mortgage holders are well placed in aggregate to weather the shock from the Middle East and interest rate rises; but the distribution of buffers is varied, leaving some more exposed. [Wages growth](#) remains robust and is only slowing gradually, offering support to consumer demand without posing an immediate threat to inflation. That said, the pass-through of non-labour input cost inflation was a key message in this week's [NAB business survey](#), giving the RBA cause to remain cautious of inflation's potential persistence.

Last Friday in the US, nonfarm payrolls beat expectations, rising 115k in April with only a small -16k revision to the previous two months. This left the three-month average at 48k, consistent with labour demand and supply being in balance. The unemployment rate remained steady at 4.3% as the participation rate edged down 0.1ppts. On a multi-month view, the labour market can be characterised as a 'low hire, low fire' environment, a sentiment echoed by FOMC member Schmid this week. This backdrop should result in moderate wage growth over the coming year.

The April CPI then came in as expected at 0.6%, 3.8%yr. The headline outcome reflected a further 5.4% gain for gasoline prices after March's 21.2% surge. An outsized 0.6% increase in the shelter component was also observed, reportedly biased up by a delayed sample reset following the government shutdown late last year. Abstracting from these two effects, underlying inflation was modest in the month. Energy was also a major contributor to import prices in April, up 1.9% (0.7% ex-petroleum) to be 4.2% higher over the year. Seeing as the US is an energy product exporter, export prices have also strengthened of late, up 3.3% in April to be up 8.8%yr. US consumers look to be weathering the surge in energy prices well so far, headline and control group retail sales up 0.5% in April, a solid gain. Tax refunds have supported spending of late, and established households continue to benefit from fixed interest rates and wealth gains.

China's price data was also stronger than expected in April because of energy prices. Consumer inflation lifted to 1.2%yr, while producer prices were up 2.8%yr. Producer price gains were concentrated in the most energy-intensive sectors such as metals, while sectors more vulnerable to excess capacity saw price declines. While recent data has been encouraging for China's deflationary cycle, it is worth noting that it's the supply-side driving the outcomes, not demand. Further fiscal support will be required to sustainably lift China out of deflation.



Of course, the main event in China this week was not a data release but instead the meeting between President Xi and President Trump. While limited in terms of the detail, the outcomes were productive. The US has reportedly agreed to reduce its controls over China's access to technology; and in return, China will buy more commodities from the US. A "Board of Trade" is also to be set up to allow trade disputes to be resolved through bilateral negotiation. President Trump also reportedly emphasised the need for China to help bring the conflict in the Middle East to an end and re-open the Strait of Hormuz. Whether progress is seen on that front is an open question. President Xi has been invited to Washington in September to continue in-person discussions.

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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
| AUD/EUR        | 0.6153  | 0.4%   | 3 year swap             | 4.63 | -0.07  |
| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
| AUD/HKD        | 5.6030  | 0.6%   | 6 year swap             | 4.70 | -0.08  |
| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs    | Current | Change | AUS Interest Rate Swaps        | Last           | Change        |
|-------------------|---------|--------|--------------------------------|----------------|---------------|
| TWI               | 66.3    | -0.2%  | 30 day BBSY                    | 4.35           | 0.00          |
| AUD/USD           | 0.7154  | 0.6%   | 90 day BBSY                    | 4.50           | 0.00          |
| AUD/JPY           | 113.65  | 0.5%   | 180 day BBSY                   | 4.83           | 0.00          |
| AUD/GBP           | 0.5323  | 0.3%   | 1 year swap                    | 4.67           | -0.03         |
| AUD/NZD           | 1.2184  | 0.0%   | 2 year swap                    | 4.67           | -0.04         |
| AUD/EUR           | 0.6153  | 0.4%   | 3 year swap                    | 4.63           | -0.07         |
| AUD/CNH           | 4.8649  | 0.4%   | 4 year swap                    | 4.64           | -0.07         |
| AUD/SGD           | 0.9140  | 0.3%   | 5 year swap                    | 4.66           | -0.07         |
| AUD/HKD           | 5.6030  | 0.6%   | 6 year swap                    | 4.70           | -0.08         |
| AUD/CAD           | 0.9830  | 0.6%   | 7 year swap                    | 4.74           | -0.08         |
| EUR/USD           | 1.1626  | 0.2%   | 8 year swap                    | 4.79           | -0.08         |
| USD/JPY           | 158.88  | -0.1%  | 9 year swap                    | 4.84           | -0.08         |
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| Oil (WTI futures) | 98.26   | -5.7%  | <b>Sydney Futures Exchange</b> | <b>Current</b> | <b>Change</b> |
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Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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# Cliff Notes: dynamic risks

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By [Elliot Clarke](#), [Illiana Jain](#) & [Ryan Wells](#)

08:05 May 08 2026

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Key insights from the week that was.



In an 8-1 vote, the RBA Monetary Policy Board (MPB) delivered its third consecutive rate hike, raising the cash rate by 25bps to its prior peak of 4.35%. The MPB stated that “the conflict in the Middle East has resulted in sharply higher fuel and related commodity prices” and that “this is likely to have second-round effects on prices for goods and services more broadly.” Inflation is now expected “to remain above target for some time”. The MPB are also attune to the risk of “price rises get[ting] built into longer

term inflation expectations” in the event of a longer, or more severe, conflict.

In a video update midweek, Chief Economist Luci Ellis noted that Governor Bullock’s press conference was a bit more dovish than we had anticipated, with the last three hikes framed as giving some space for the MPB to assess how the risks evolve. That said, the staff’s forecasts – which are predicated on an assumption of around one-and-a-half more rate hikes – have underlying inflation peaking at 3.8%yr in Q2 2026 and not returning to target until the end of its forecast horizon at June 2028. Inflation risks are firmly skewed towards a higher peak and potentially a slower return to target. We therefore continue to expect another two rate hikes from the RBA in coming months. But, given Governor Bullock’s somewhat more cautious tone, we admit the case for June is now more finely balanced.

Rate hikes already look to be having an effect on the housing market, with national dwelling price growth slowing from a monthly pace of 0.6% in January to 0.2% in April. Performance across the capital cities is mixed, with prices down in Sydney and Melbourne prices but still rising in Brisbane, Adelaide and Perth. While a firming uptrend for dwelling approvals bodes well for supply, cost pressures stemming from the Middle East conflict will likely cause delays and some second thoughts on projects planned but not commenced.

Trends across other parts of the economy are also starting to shift. The ABS’ nominal household spending indicator bounced 1.6% in March on account of higher fuel costs, mirroring our own consumer card activity data. Abstracting from price effects, we expect real consumption to gain 0.6% in Q1; however, outside of fuel and electricity (buoyed by the rebate roll-off), the spending pulse looks faint. This speaks to the more challenging economic outlook taking hold across the nation, particularly in non-mining states where revenue constraints and higher expenses provide less scope for fiscal support.

Before moving offshore, a final note on trade. Unlike the shocks of recent years which benefitted Australia’s net trade position, recent data revealed the nominal goods trade surplus buckled into deficit in March for the first time since 2017. Higher fuel import costs (+37.4%) and volatility in gold played important roles. But the chief culprit behind the surprise was a remarkable surge in data processing machine imports, up \$2.9bn or 300% in the month. While noisy and likely a wash for GDP – being offset by inventories or investment – this is clear evidence of the global AI investment drive reaching Australia’s shores.

Offshore, markets have been pre-occupied by developments in the Middle East. At the beginning of the week, President Trump announced Project Freedom, an initiative to provide safe passage through the Strait of Hormuz to ships stuck in the Persian Gulf. As soon as the operation commenced though, skirmishes were seen between the US and Iranian military. UAE energy infrastructure was also targeted.

The US did not retaliate, however, instead referencing an end to the offensive portion of this war. And, within two days, Project Freedom was suspended indefinitely to make way for further intermediated negotiations. Reports suggest progress has been made, albeit without detail. Iran is arguably coming under greater pressure to make a deal, with China’s Foreign Minister emphasising this week the need for a quick end to the conflict and re-opening of the Strait while meeting Iran’s Foreign Minister. The



timing of this development is not a surprise considering President Trump and President Xi are due to meet mid-month.

Data releases were uneventful this week. The ISM services index for April eased slightly to 53.6. The new orders index fell 7.1pts to 53.5, slightly below its 10-year pre-COVID average, and the employment indicator rose 4pts but remained weak versus history. The latest JOLTS job openings data and ADP private payrolls release were broadly consistent with balance between labour demand and supply. For the FOMC, this will keep the focus on inflation risks. Guidance given by FOMC members this week was consistent with this view.

A full update on our expectations for the global economy, Australia and New Zealand will be released later today on [Westpac IQ](#) in our May Westpac Market Outlook.

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# Three challenging trends and the opportunities they present for Australian women

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By Luci Ellis

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Three challenging trends – demographics, technology, and expectations of government – present opportunities for Australian women. How might the federal budget support them?



Thanks to the Women in Economics Network for the opportunity to speak to you today and share the stage with such accomplished professional colleagues. I am grateful for the important work WEN does. Economics is a science of human behaviour. Our endowments, our priorities and – in some circumstances – our physiology can all matter for our choices and our economic outcomes. If economics does not incorporate those diverse perspectives, it loses the ability to explain human behaviour. A profession that is more balanced across both sexes is critical to getting that diversity of perspectives.

With so much going on in the world, it is all too easy to fixate on immediate problems, ignoring the longer-term issues – and opportunities. Today I want step back and talk about those longer-term trends. I will:

- outline three big trends shaping current and future outcomes
- highlight the opportunities these trends present for Australian women – not just the downsides
- suggest some ways that the federal budget, and government more broadly, might promote those opportunities, rather than focus only on the downsides.

These three trends are:

- The ageing population
- The AI technology revolution – and it is a revolution
- Rising expectations of government – perceived or real

## **Ageing population, growing workforce**

Many in the room will be under the impression that population ageing means a shrinking workforce. I am here to tell you that this is not true. Work with my Westpac colleague Ryan Wells back in September shows that in most Western economies, the labour force participation rate is in fact rising. In Australia it is on a five-decade up-trend, reaching historical highs in recent years.

Yes, the share of older people in the population is increasing. Population ageing happens because we are living longer, healthier lives. People will make different choices when lifespans lengthen. They will work for longer and retire later. Part of this stems from policy changes, such as higher pension eligibility ages. But much of it is the choices people make, knowing that they would otherwise need to fund very long retirements, and knowing that they do not need to retire early due to ill-health in the same numbers as previous generations did. Thus participation rates within age groups rise, especially the 55–64 age group. This can be (and for Australia, so far is) enough to offset the rising share of older people.

The reason for this counter-intuitive result is an example of first-round thinking not being enough. We need to account for people's responses changing as circumstances change. Just as Toyota taught us to ask “why” five times to get to the root cause, we must ask, “and then what?” five times to understand how a longer-term trend will play out. Changes in age mix do not happen in isolation. The “and then what” is that participation rates within age groups rise and can more than offset an ageing population

mix.

I suspect that people also missed this trend because it is not happening in the United States. US life expectancy has not really increased in the past couple of decades; premature death is much higher than in peers such as Australia and Europe. And so participation of the 55–64 age group, and even the prime-age 25–54 group, in the US lags other advanced economies. The gap is now such that overall participation in Japan is noticeably higher than in the US, despite Japan's population being much older on average.

## **How this is an opportunity for Australian women**

Population ageing does present opportunities for women. First, some of the increase in overall participation stems from still-rising participation by women in the 25–54 age group, not just from older workers. There will always be some jobs – say, furniture removal – where male upper body strength will remain an advantage. As the workforce changes, though, job design will need to evolve to fit those changes, and the changes driven by an ageing workforce and a more female workforce are likely similar.

In addition, as lifespans and working lives lengthen, career breaks for family reasons become less of a setback in the accumulation of retirement savings. Since women are more likely to take such breaks than men, this eases a current disadvantage.

## **How the federal budget might support this**

If government wants to realise the opportunities created by an ageing population and an expanding workforce that is older and more female, it should do everything it can to smooth the path for women to enter the workforce, re-enter the workforce after a break, and stay in the workforce as long as they feel able.

Getting the NDIS on a sustainable footing and back to its core purposes of supporting the severely disabled and reducing family members' caring burden is a singular example of what is needed. The “sandwich generation” task of caring for children and elderly parents simultaneously is a disproportionately borne by women. Well-funded support in schools, with support and training for teachers and parents alike, may support some families with children currently on the NDIS better than a system that creates more life admin by funding appointments with service providers, which parents need to attend with their children.

More broadly, designing every program with the principle of reducing life admin for families should be a red thread through all federal and state initiatives.

Tax and retirement policy could be reshaped to ensure women who took career breaks are not held back by cliff effects and complexity from accumulating the needed retirement savings.

I note also that much of Australia's economic policy apparatus has been built on the false

assumption that ageing results in a shrinking workforce. Separately, therefore, budgets, the Intergenerational Review and other policies should be revisited so forecasts and program design can be based on actual trends, not first-round thinking.

## **AI and the new technology wave**

Turning to the AI revolution – I use that word intentionally. The scope and capability of this new general-purpose technology have expanded enormously, with a pace that defies belief. Anything you thought about this technology based on what you knew six months ago is obsolete. There is a lot we do not know about how this will play out. Still, we can think through some implications, again beyond the first round of responses.

How this is an opportunity for Australian women

I see three opportunities from the AI revolution that might specifically benefit women. Firstly, with everything being so new and moving so quickly that almost nobody knows anything, it is easier to step into a field, or back into the workforce after a pause. Seismic breaks in the landscape of work mean past career breaks in a CV should be less of a disadvantage.

Secondly, AI might weaken the hold of what Harvard economics professor Claudia Goldin termed “greedy jobs”, those where long, continual hours are expected and frenetic pace early on builds experience and skills that allow career progression later. If agents can instead carry the context and assist with some tasks, “always on” continuity becomes less of an imperative. The jobs may become greedier of cognitive skills and the ability to orchestrate all those agents. Relative to careers that demand sheer “presence” and long, frenetic hours early in your career, though, this should help level the playing field between the two sexes, provided institutional norms also change. (I recognise this is a critical assumption.)

Thirdly, granted there is still much uncertainty and debate about which jobs will remain in demand and which will be less prevalent as this technology percolates. There is, however, good reason to believe that those least prone to full automation include those in-person, so-called ‘caring’ occupations that have provided so many job opportunities for women.

I note also that Australia is well-placed more broadly to take advantage of this new technology. Contrary to the stereotype of Australia being mostly about resources and financial services, this country has a burgeoning software industry that is already taking advantage of the newest tools. Coming from almost nothing a decade ago, Australia now boasts a software licensing export industry that brought in \$9½ billion of export revenue in 2025. For perspective, this is bigger than aluminium or copper, and almost as big as last year’s wheat exports.

I would also note that concerns about unequal returns to the AI boom are less relevant in Australia. Even if all the profits accrue to a few tech firms – a debatable proposition – almost all Australians will have exposure to this upside through their superannuation funds.

## **How the federal budget might support this**



Of course, there was no government program or special initiative to create a software export industry. And this points to what the budget, and government, can and should do in this space – don't get in the way of the good bits or think that it is the government's role to lead and guide in every realm of endeavour.

There are of course privacy, child protection and national security angles to AI tools that warrant intervention and an appropriate regulatory framework. Just don't get in the way of allowing women to lean into this future.

I note reports of government concern that AI might fuel work intensification, which would be creating "greedy jobs" by other means. Before rushing to regulate in this sphere, though, we should check that intensification is a material issue. There is reason to think the opposite might end up being true. As agents become more reliable partners to hand off work to, human cognitive contribution becomes both more important and less time-bound. Just as the assumption that population ageing would shrink the workforce turned out to be wrong, so might the idea that AI necessarily intensifies work beyond an initial period of experimentation.

## **Growing perception that people expect more of government**

The third big trend I want to address today might or might not be real, but it is certainly a growing perception in policy circles: that people expect more of government nowadays, and that governments should therefore deliver on those expectations. We see a rising call for government support in more circumstances. The rapid growth in scope and cost of the NDIS is the canonical example in a traditional area for government involvement. Expanding industry policy shows how the scope of policy can broaden as well as deepen.

Regulation and governance now touch an increasing set of activities, and the nature of that regulation is expanding. Whether it is the number of agencies firms need to seek approval from to build something, or the number of pages in the Income Tax Assessment Act (just one of current 12 volumes has a similar page count to the 1997 version), I am reminded of that well-known feminist philosopher Avril Lavigne's lyric, "why'd you have to go and make things so complicated?" The answer is, of course, that there was always one more thing that someone with the best of intent thought should be added.

The consequences of this belief about public expectations are evident in the rising share of household income being paid in income tax, rising regulatory footprint, and, as with some of the public programs I have already mentioned, a rising life admin burden that falls disproportionately on women.

I also worry that decisions to intervene shape decisions in ways that harm future resilience. If every adverse event is met with a government intervention to cushion the blow, a kind of "learned helplessness" can emerge, for firms and industries as well as individuals.

## **How this is an opportunity for Australian women**

The consequences of this belief are not all bad, though. An area where the footprint of government has expanded to the benefit of women has been greater scope of crisis payments, especially for women and children escaping domestic and family violence. To the extent that this means more women can escape violence in the first place, it is surely a good outcome.

In addition, as I noted earlier, the expansion of the “care economy” and the regulatory footprint more broadly has been positive for women’s employment. Especially in a relatively sex-segregated occupational job market like Australia’s, health, education and social care roles are disproportionately female-coded. Using the industry of a person’s main job to categorise, women and girls make up 48% of total employment, but more than 70% of employment in health, social care and their sub-industries. Public administration and financial services also have above-average female employment shares.

## **How the federal budget might address this**

Still, it would be good if these benefits could be reaped without all the admin, the complexity and the cost of our current system. If there is one thing I would hope for from this and future budgets, it is to take Ms Lavigne’s words to heart and make things less complicated.

Every intervention deserves scrutiny on this front. Without advocating specific changes, I instead offer the principle that governments should hesitate and ideally refrain from policies and programs where the answer to any of the following questions is “yes”.

- Does the intervention take away choice?
- Does the intervention promote learned helplessness?
- Has the support been overcomplicated?
- Does the intervention involve re-litigation of a safety standard or an evidence base that has already been established elsewhere?

On the last of these, the axiom I have in mind is “if it is safe enough for Europeans, it should be safe enough for Australians”. There are some exceptions, such as the need to build differently in a bushfire-prone continent. But from car booster seats to bike helmet laws for adults, Australia has shown a consistent tendency to go further on perceived safety than its European counterparts. Similarly, if evidence reviews by the health authorities of enough peer European nations show that a particular medical intervention is ineffective, we do not need to redo the analysis on smaller Australian datasets to stop performing and funding that intervention here.

## **Conclusion**

To sum up, it is an uncertain world, though nobody ever says things are less uncertain than usual. All the more reason to keep sight of the big trends that will shape our futures even when current volatility is past. The good news is that these trends present opportunities for Australian women, but only if we ensure that other priorities – real or perceived – do not prevent us from making use of these opportunities. Thank you.

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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs    | Current | Change | AUS Interest Rate Swaps        | Last           | Change        |
|-------------------|---------|--------|--------------------------------|----------------|---------------|
| TWI               | 66.3    | -0.2%  | 30 day BBSY                    | 4.35           | 0.00          |
| AUD/USD           | 0.7154  | 0.6%   | 90 day BBSY                    | 4.50           | 0.00          |
| AUD/JPY           | 113.65  | 0.5%   | 180 day BBSY                   | 4.83           | 0.00          |
| AUD/GBP           | 0.5323  | 0.3%   | 1 year swap                    | 4.67           | -0.03         |
| AUD/NZD           | 1.2184  | 0.0%   | 2 year swap                    | 4.67           | -0.04         |
| AUD/EUR           | 0.6153  | 0.4%   | 3 year swap                    | 4.63           | -0.07         |
| AUD/CNH           | 4.8649  | 0.4%   | 4 year swap                    | 4.64           | -0.07         |
| AUD/SGD           | 0.9140  | 0.3%   | 5 year swap                    | 4.66           | -0.07         |
| AUD/HKD           | 5.6030  | 0.6%   | 6 year swap                    | 4.70           | -0.08         |
| AUD/CAD           | 0.9830  | 0.6%   | 7 year swap                    | 4.74           | -0.08         |
| EUR/USD           | 1.1626  | 0.2%   | 8 year swap                    | 4.79           | -0.08         |
| USD/JPY           | 158.88  | -0.1%  | 9 year swap                    | 4.84           | -0.08         |
| USD Index         | 99.12   | -0.2%  | 10 year swap                   | 4.88           | -0.08         |
| Equities          | Close   | Change | Government Bond Yields         | Close          | Change        |
| S&P/ASX 200       | 8,497   | -1.3%  | <b>Australia</b>               |                |               |
| S&P 500           | 7,433   | 1.1%   | 3 year bond                    | 4.69           | 0.01          |
| Japan Nikkei      | 59,804  | -1.2%  | 10 year bond                   | 5.07           | 0.01          |
| Hang Seng         | 25,651  | -0.6%  | <b>United States</b>           |                |               |
| Euro Stoxx 50     | 5,976   | 2.1%   | 3-month T Bill                 | 3.56           | -0.01         |
| UK FTSE100        | 10,432  | 1.0%   | 2 year bond                    | 4.06           | -0.06         |
| VIX Index         | 17.44   | -3.4%  | 10 year bond                   | 4.59           | -0.08         |
| Commodities       | Current | Change | <b>Other (10 year yields)</b>  |                |               |
| CRB Index         | 396.95  | -2.3%  | Germany                        | 3.10           | -0.10         |
| Gold              | 4544.19 | 1.4%   | Japan                          | 2.78           | -0.01         |
| Copper            | 13656   | 1.8%   | UK                             | 4.99           | -0.14         |
| Oil (WTI futures) | 98.26   | -5.7%  | <b>Sydney Futures Exchange</b> | <b>Current</b> | <b>Change</b> |
| Coal (coking)     | 236.75  | -0.5%  | 10 yr bond                     | 5.04           | -0.06         |
| Coal (thermal)    | 140.15  | -1.2%  | 3 yr bond                      | 4.65           | -0.04         |
| Iron Ore          | 106.35  | -0.5%  | 3 mth bill rate                | 4.52           | 0.00          |
| ACCU              | 36.13   | -4.3%  | SPI 200                        | 8,633          | 1.2%          |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
| AUD/EUR        | 0.6153  | 0.4%   | 3 year swap             | 4.63 | -0.07  |
| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
| AUD/HKD        | 5.6030  | 0.6%   | 6 year swap             | 4.70 | -0.08  |
| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
| AUD/EUR        | 0.6153  | 0.4%   | 3 year swap             | 4.63 | -0.07  |
| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
| AUD/HKD        | 5.6030  | 0.6%   | 6 year swap             | 4.70 | -0.08  |
| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
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| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
| AUD/HKD        | 5.6030  | 0.6%   | 6 year swap             | 4.70 | -0.08  |
| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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| AUD/CAD        | 0.9830  | 0.6%   | 7 year swap             | 4.74 | -0.08  |
| EUR/USD        | 1.1626  | 0.2%   | 8 year swap             | 4.79 | -0.08  |
| USD/JPY        | 158.88  | -0.1%  | 9 year swap             | 4.84 | -0.08  |
| USD Index      | 99.12   | -0.2%  | 10 year swap            | 4.88 | -0.08  |

| Equities      | Close  | Change | Government Bond Yields | Close | Change |
|---------------|--------|--------|------------------------|-------|--------|
| S&P/ASX 200   | 8,497  | -1.3%  | <b>Australia</b>       |       |        |
| S&P 500       | 7,433  | 1.1%   | 3 year bond            | 4.69  | 0.01   |
| Japan Nikkei  | 59,804 | -1.2%  | 10 year bond           | 5.07  | 0.01   |
| Hang Seng     | 25,651 | -0.6%  | <b>United States</b>   |       |        |
| Euro Stoxx 50 | 5,976  | 2.1%   | 3-month T Bill         | 3.56  | -0.01  |
| UK FTSE100    | 10,432 | 1.0%   | 2 year bond            | 4.06  | -0.06  |
| VIX Index     | 17.44  | -3.4%  | 10 year bond           | 4.59  | -0.08  |

| Commodities | Current | Change | Other (10 year yields) |      |       |
|-------------|---------|--------|------------------------|------|-------|
| CRB Index   | 396.95  | -2.3%  | Germany                | 3.10 | -0.10 |
| Gold        | 4544.19 | 1.4%   | Japan                  | 2.78 | -0.01 |
| Copper      | 13656   | 1.8%   | UK                     | 4.99 | -0.14 |

|                   |        |       | Sydney Futures Exchange | Current | Change |
|-------------------|--------|-------|-------------------------|---------|--------|
| Oil (WTI futures) | 98.26  | -5.7% | 10 yr bond              | 5.04    | -0.06  |
| Coal (coking)     | 236.75 | -0.5% | 3 yr bond               | 4.65    | -0.04  |
| Coal (thermal)    | 140.15 | -1.2% | 3 mth bill rate         | 4.52    | 0.00   |
| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sup>mth</sup> increase and lifting annual inflation from 2.6%<sup>yr</sup> to 3.0%<sup>yr</sup>. Core inflation was also unchanged from the initial reading at 2.2%<sup>yr</sup>, though this still marked a modest decline from 2.3%<sup>yr</sup> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sup>yr</sup> to 3.0%<sup>yr</sup>. The incoming CPI print surprised notably to the downside at 2.8%<sup>yr</sup>, with core inflation easing to 2.5%<sup>yr</sup>. Fuel prices surged by more than 14%<sup>mth</sup>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sup>mth</sup>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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21 May 2026

# MORNING REPORT

Today's economic developments and market movements.

## Key themes

President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran.

Oil prices declined and other major markets rallied, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak.

The minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish.

The US Treasury curve shifted around 6 – 8bp lower, Gilts outperformed, reacting to a significant CPI inflation miss in the UK.

## Data snapshot

| FX Last 24 hrs | Current | Change | AUS Interest Rate Swaps | Last | Change |
|----------------|---------|--------|-------------------------|------|--------|
| TWI            | 66.3    | -0.2%  | 30 day BBSY             | 4.35 | 0.00   |
| AUD/USD        | 0.7154  | 0.6%   | 90 day BBSY             | 4.50 | 0.00   |
| AUD/JPY        | 113.65  | 0.5%   | 180 day BBSY            | 4.83 | 0.00   |
| AUD/GBP        | 0.5323  | 0.3%   | 1 year swap             | 4.67 | -0.03  |
| AUD/NZD        | 1.2184  | 0.0%   | 2 year swap             | 4.67 | -0.04  |
| AUD/EUR        | 0.6153  | 0.4%   | 3 year swap             | 4.63 | -0.07  |
| AUD/CNH        | 4.8649  | 0.4%   | 4 year swap             | 4.64 | -0.07  |
| AUD/SGD        | 0.9140  | 0.3%   | 5 year swap             | 4.66 | -0.07  |
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| Iron Ore          | 106.35 | -0.5% | SPI 200                 | 8,633   | 1.2%   |
| ACCU              | 36.13  | -4.3% |                         |         |        |

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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## Financial Markets

Financial markets remained volatile as they tried to assess which direction the Middle East conflict was most likely to take – further escalation, with the US resuming its military campaign, or a diplomatic breakthrough towards a peace deal. In his usual style, President Trump sought to maintain maximum pressure on Iran, continuing to suggest that strikes were imminent if the US did not receive “100% good answers” from Tehran. In the end, oil prices declined and other major markets rallied, with the S&P 500 finishing the day in the green and most major government bonds posting notable gains, as investors took comfort from headlines citing Trump saying the US was in the “final stages” with Iran.

In terms of the economic news flow, the minutes from the latest FOMC meeting confirmed that the balance of views within the Committee is becoming more hawkish. Meanwhile, the weaker-than-expected CPI print in the UK suggested there is no urgency for the BoE to increase Bank Rate.

- Hopes of a peace deal in the Middle East and lower oil prices lifted equity valuations, with the S&P 500 gaining more than 1% and snapping a three-day losing streak. Tech stocks and consumer discretionary names posted the strongest gains, while energy stocks fell 2.6%. In Europe, the Euro Stoxx 50 rallied more than 2%, while the FTSE 100 in the UK gained 1.0%. Asian and Australian equities, which traded ahead of the latest news, were mostly in the red. The ASX finished the day down 1.3%.
- Bond markets rebounded, trimming the losses seen in recent days, as lower oil prices helped ease some concerns about spiralling inflation across major economies. The US Treasury curve shifted around 6 – 8bp lower, with the 10Y yield down 8bp to 4.59%, though still around 10bp higher than a week earlier. Gilts outperformed, reacting to a significant CPI inflation miss in the UK. The 10Y Gilt yield fell 14bp to move back below 5%. Bund yields were around 10bp lower at the short end, with somewhat smaller moves at the very long end. Aussie yields finished the day 1bp higher, but futures suggest a strong rally at the market open this morning, as valuations catch up with the global moves.
- In FX markets, the DXY index lost 0.2%. Major European currencies took the opportunity to recoup some of the previous day's losses – the EUR was 0.2% stronger, while the GBP gained 0.3%. Meanwhile, the yen strengthened by only 0.1%. The AUD outperformed, appreciating 0.6% to 0.7154 and paring the prior day's losses.
- Oil prices fell following Trump's comments on progress in negotiations with Iran. The July WTI contract declined by around \$6 to 98.3, while the equivalent Brent contract fell to \$105.3 from around \$111.0 the previous day. Gold rallied

## Today's key data and events

| Time  | Event                                | Exp      | Prev     |
|-------|--------------------------------------|----------|----------|
| 11:30 | AU Employment Apr                    | 15k      | 17.9k    |
| 11:30 | AU Unemployment Rate Apr             | 4.3%     | 4.3%     |
| 18:00 | EZ HCOB Manufacturing PMI May Prel.  | 51.8pts  | 52.2pts  |
| 18:00 | EZ HCOB Services PMI May Prel.       | 47.8pts  | 47.6pts  |
| 22:30 | US Initial Jobless Claims 16/05/2026 | 210k     | 211k     |
| 22:30 | US Philly Fed Business Outlook May   | 17.8pts  | 26.7pts  |
| 22:30 | US Housing Starts Apr                | -5.1%    | 10.8%    |
| 23:45 | US S&P Manufacturing PMI May Prel.   | 53.8pts  | 54.5pts  |
| 23:45 | US S&P Services PMI May Prel.        | 51.1pts  | 51pts    |
| 0:00  | EZ Consumer Confidence May Prel.     | -20.6pts | -20.6pts |

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

1.4%, while copper also posted gains, rising 1.8%.

## International Data

**The minutes of the April FOMC meeting** were primarily focused on the outlook and risks for inflation. There was a lengthy discussion of potential upside risks to inflation in coming months, with escalation in the Middle East, its direct and indirect effects on prices globally, US tariffs and the strength of AI infrastructure investment all seen as potential upside risks to US consumer inflation. “The vast majority of participants noted an increased risk that inflation would take longer to return to the Committee's 2 percent objective.”

In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply, and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend.

On the policy stance, “a majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent.”

**Euro area HICP final inflation print** for April was fully aligned with the flash estimate, confirming a 1.0%<sub>mt</sub> increase and lifting annual inflation from 2.6%<sub>yr</sub> to 3.0%<sub>yr</sub>. Core inflation was also unchanged from the initial reading at 2.2%<sub>yr</sub>, though this still marked a modest decline from 2.3%<sub>yr</sub> in March.

In the UK, strong base effects were always expected to push annual **CPI inflation** materially lower in April. However, rising energy prices tempered expectations for the decline, with both market consensus and the BoE forecasting a drop from 3.3%<sub>yr</sub> to 3.0%<sub>yr</sub>. The incoming CPI print surprised notably to the downside at 2.8%<sub>yr</sub>, with core inflation easing to 2.5%<sub>yr</sub>. Fuel prices surged by more than 14%<sub>mt</sub>, but the impact on the overall energy category was offset by regulated household energy prices, which fell 7.0%<sub>mt</sub>. The softer inflation outcome, alongside the latest jobs data pointing to further easing in the UK labour market, are likely to alleviate concerns at the BoE over the need to raise rates immediately.



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# Expansionary impulse persists as states grapple with the shock

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By Pat Bustamante

Senior Economist, Westpac

11:30 May 07 2026

 Share

State budgets to deteriorate, with limited scope for further stimulus given an already expansionary national fiscal impulse. Any redistribution of the positive income shock is best delivered within the existing fiscal envelope.

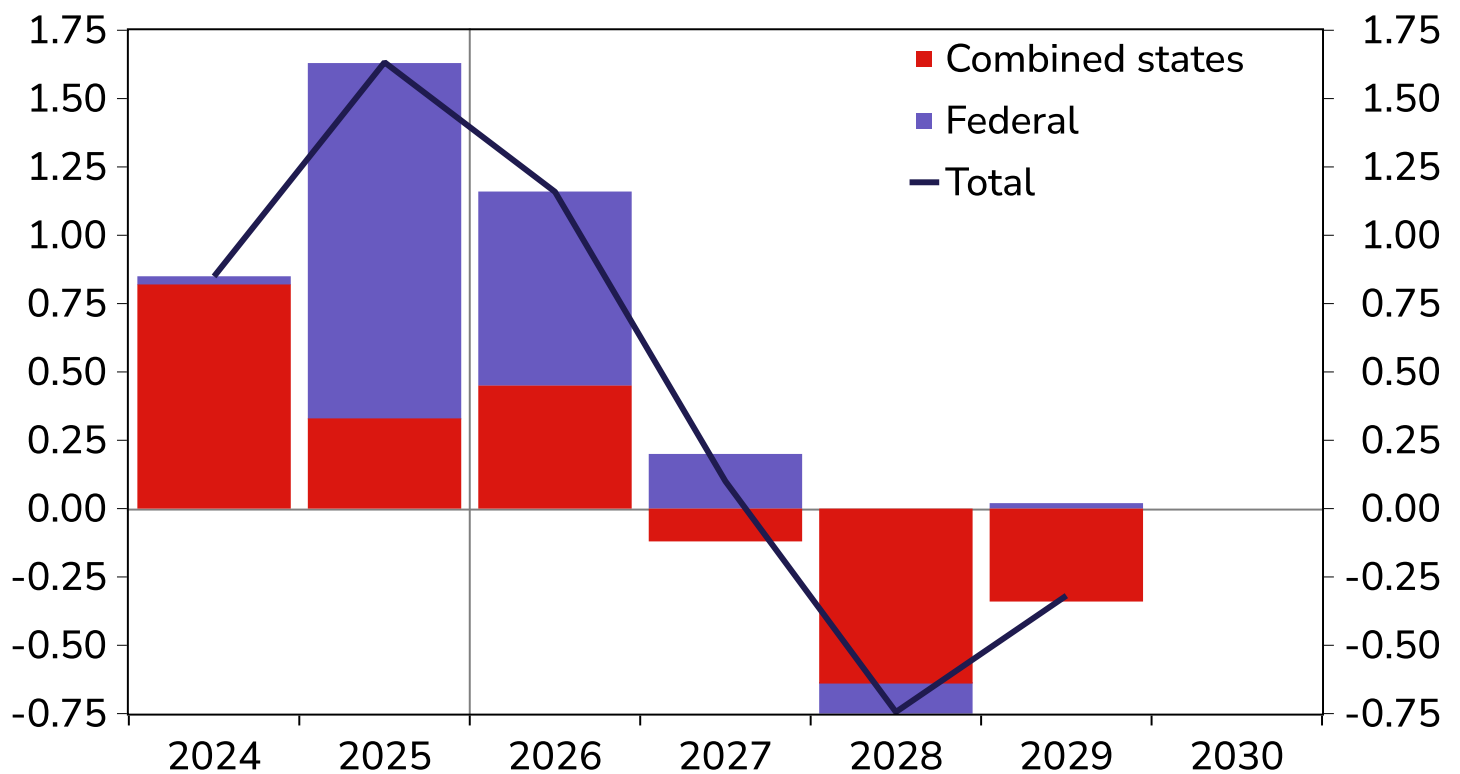


- The combined state budget position will deteriorate as the Middle East shock weighs on revenue while lifting expenses, delaying the expected fiscal recovery by two years.

- State capital spending is easing as major infrastructure projects unwind, but net interest costs are rising sharply. By FY2029, States are increasingly borrowing to service their interest bills, an outcome that is likely to sharpen the focus on the need for fiscal consolidation.
- The national fiscal impulse is slightly expansionary in FY2027, even before factoring in additional policy support expected in upcoming state and federal budgets. This follows a substantial fiscal expansion of around 3.5ppt of GDP over the three years to FY2026, comparable in scale to the GFC. However, unlike past cycles, states drove a disproportionate share of this expansion, especially early on.
- With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

## Fiscal impulse

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

\*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Prior to the escalation of the conflict in the Middle East, state and territory governments (the 'states') were projecting a steadily improving fiscal outlook. This was underpinned by an expected recovery in private sector activity, continued strength in employment growth, and inflation easing back towards the RBA's 2.5% target.

## The world has changed

**For governments preparing upcoming budgets, the Middle East conflict could not have come at a worse time.** Instead of a recovery in private sector activity, we now expect a sharp economic slowdown as the recent re-tightening in monetary conditions collides with a large global supply shock centred on energy.

We expect the RBA to deliver two additional 25bp rate hikes beyond the 25bp increase in May, aimed at preventing a sustained rise in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, the unemployment rate is expected to lift toward 5%, and trimmed mean inflation is forecast to rise to around 4% by year-end.

Our updated state-based forecasts ([see here](#)) have economic activity, employment, and dwelling price growth slowing abruptly in the consumer-led states of NSW and Victoria, while conditions hold up relatively better in the mining-based economies of Queensland and WA. In NSW and Victoria, year-average growth in GSP is now expected to fall below 1% in FY2027, less than half the rate we were forecasting in December 2025 ([see here](#)), with smaller downgrades elsewhere.

As a result, employment growth is expected to slow below population growth in NSW, Victoria, and Tasmania, while remaining broadly in line with population growth in the mining states and SA. Dwelling prices in NSW and Victoria are now forecast to effectively stagnate through 2026, down from around 5% growth expected late last year. This adjustment is already underway, with prices falling over the quarter to April 2026 in both these states.

**This shift in the outlook has significant implications for the states' largest tax bases, particularly payroll tax, stamp duty, and gambling taxes.** While GST revenue is likely to receive a near-term boost from stronger nominal spending, this will only partially offset the broader revenue drag.

If this wasn't enough to deal with, the negative supply shock will increase the costs of delivering health, education, and infrastructure services. Based on actual and expected input price increases, we estimate infrastructure development costs of around 5% higher in FY2027 than expected prior to the conflict. While smaller than the roughly 8-10% increase in costs we estimate for dwelling construction, the impact remains material. We currently expect this to be a one-off level shift in prices, with construction cost growth expected to normalise by FY2028. However, the longer the conflict persists, the greater the risk that elevated cost growth extends beyond FY2027.

Higher inflation will also lift non-labour costs across health and education. This will feed into labour costs through cost-of-living adjustments embedded in enterprise agreements. In addition, there's a risk of further spillover as workers try to protect real wages.

**The result is a clear deterioration in state fiscal positions: weaker revenue growth alongside rising expenses, even before governments consider new policy measures to support households and businesses through this adverse supply shock.**

Importantly, state governments are unlikely to benefit materially from commodity price windfalls, in

contrast to the Commonwealth. Even in the mining states, stronger royalty revenues are expected to fall short of offsetting rising cost pressures. While higher energy prices will unambiguously lift national income, the distribution of these gains will be highly uneven.

## State fiscal drift looks set to continue

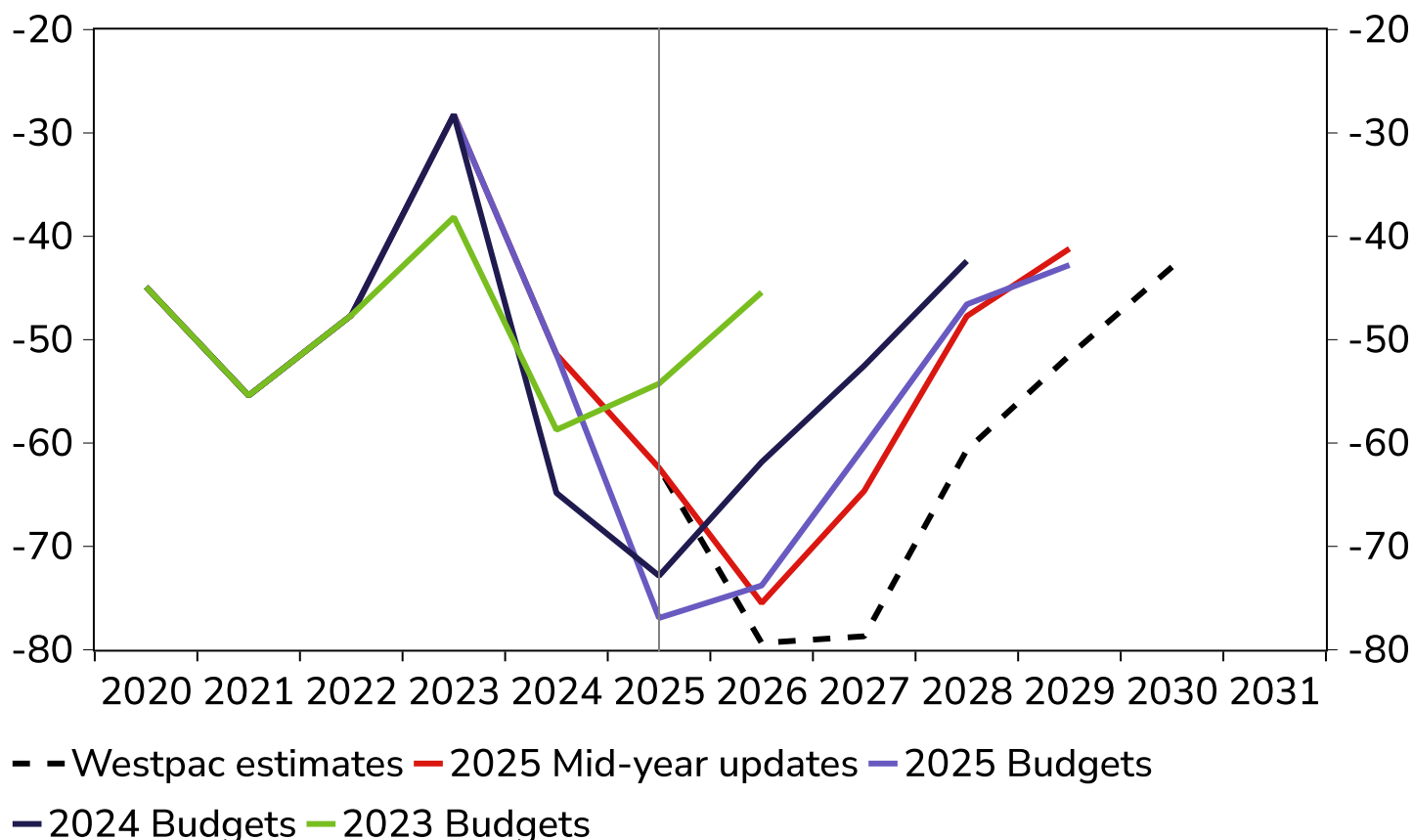
Based on Westpac Economics' outlook, and our mapping of macro parameters to fiscal outcomes, we estimate the combined state cash deficit will deteriorate by around \$50bn over the five years to FY2030.

The starting point for fiscal repair has also shifted. The turnaround in the combined cash balance is now expected from FY2028, two years later than the FY2026 timing embedded in last year's budget updates.

This excludes both recently announced and prospective policy support for households and businesses. Additional measures will place further pressure on fiscal positions. Victoria alone has announced around \$18bn in new policies, while the Federal Government has also provided support, including via the fuel excise cut.

## Budget outlook across the states

Non-financial public sector, cash balance, \$billions



Source: State budget papers, Macrobond, Westpac Economics

**Despite the expected deterioration, risks remain skewed to the downside.**

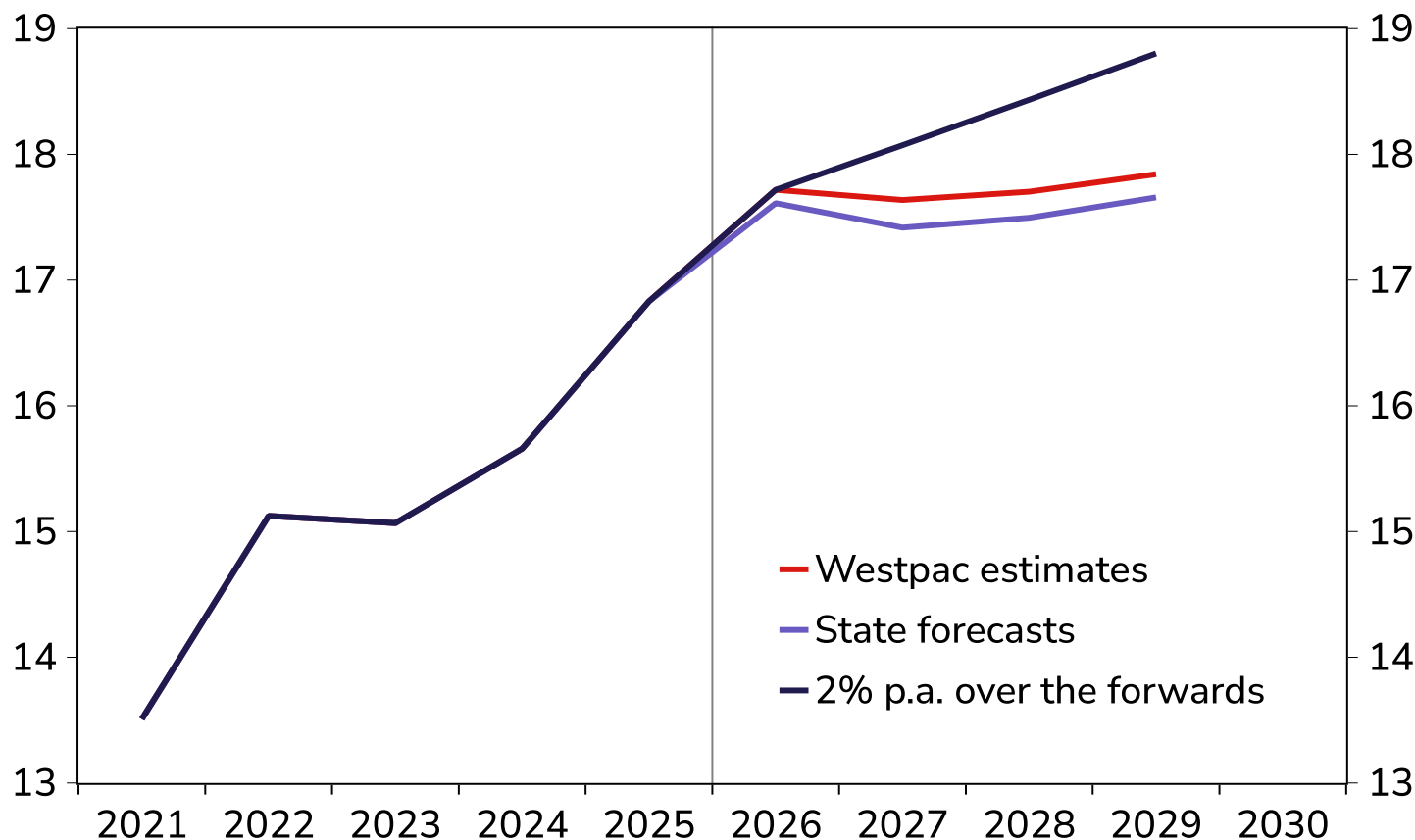
There is a degree of optimism embedded in these estimates. In part because we assume no change in

policy, recurrent spending per capita is assumed to stabilise over the forecast period, following a sharp 30% increase over the five years to FY2026. On current settings, this implies a decline in real services per capita, an outcome that appears unlikely given recent budgets have been focused on expanding public service delivery, particularly across housing, health and education.

If instead spending growth moderates only partially, to around 2.0% per annum from the 5% pace seen over the past five years, recurrent expenditure would be around \$35bn higher by FY2029. This would see the combined cash deficit widen materially, from around \$50bn to closer to \$85bn by FY2029.

## Recurrent payments per capita across the states

Non-financial public sector, \$000s



Source: State budget papers, Macrobond, Westpac Economics

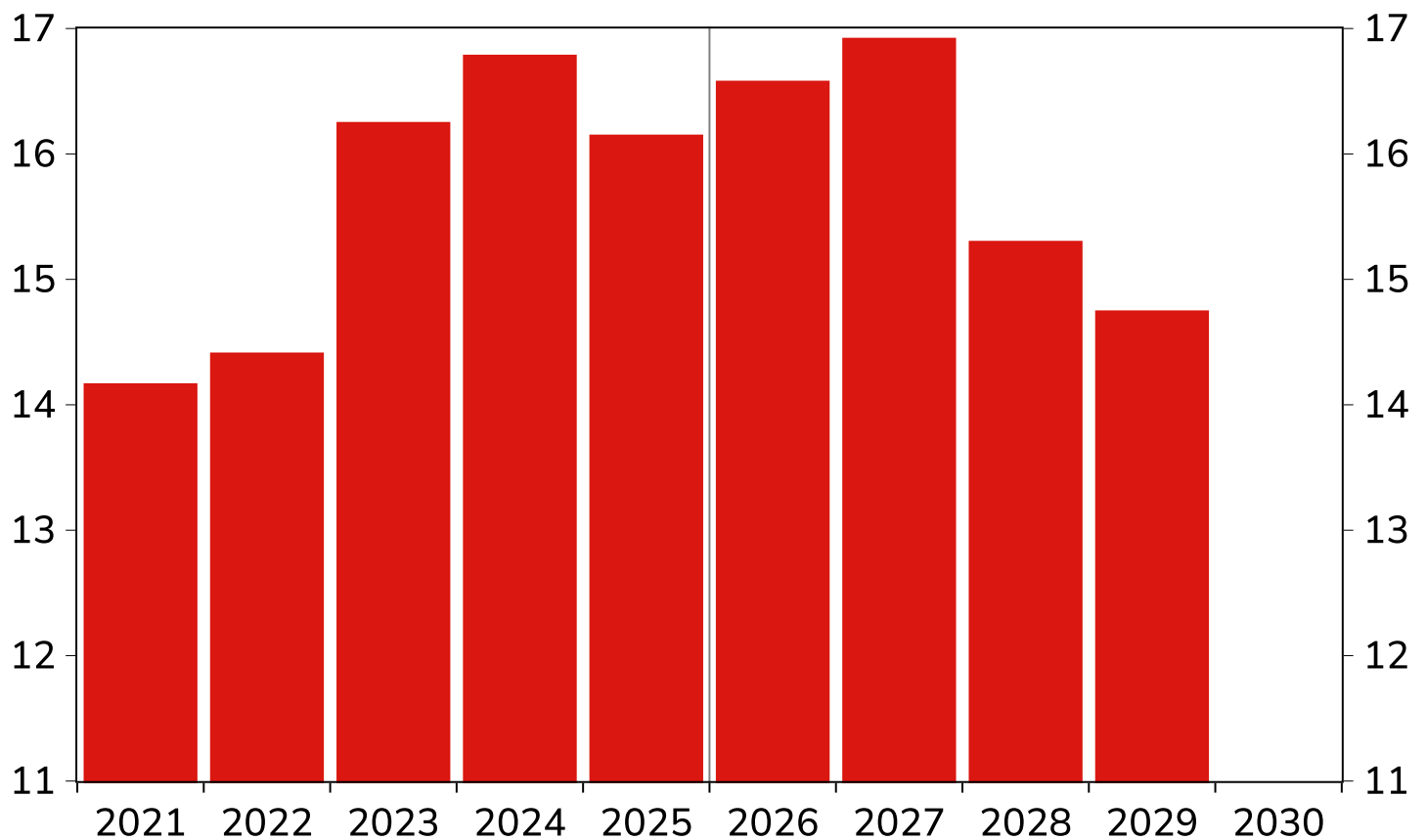
### The combined fiscal outlook is also shifting.

Capital spending has surged in recent years, rising from around 12% of total outflows (recurrent plus capital outlays) in FY2022 to a peak of almost 17% in FY2027. However, this share is expected to ease back to around 14.5% by FY2029 as the current pipeline of major projects rolls off.



# Infrastructure investment

% share of total outlays



Source: State budget papers, Macrobond, Westpac Economics

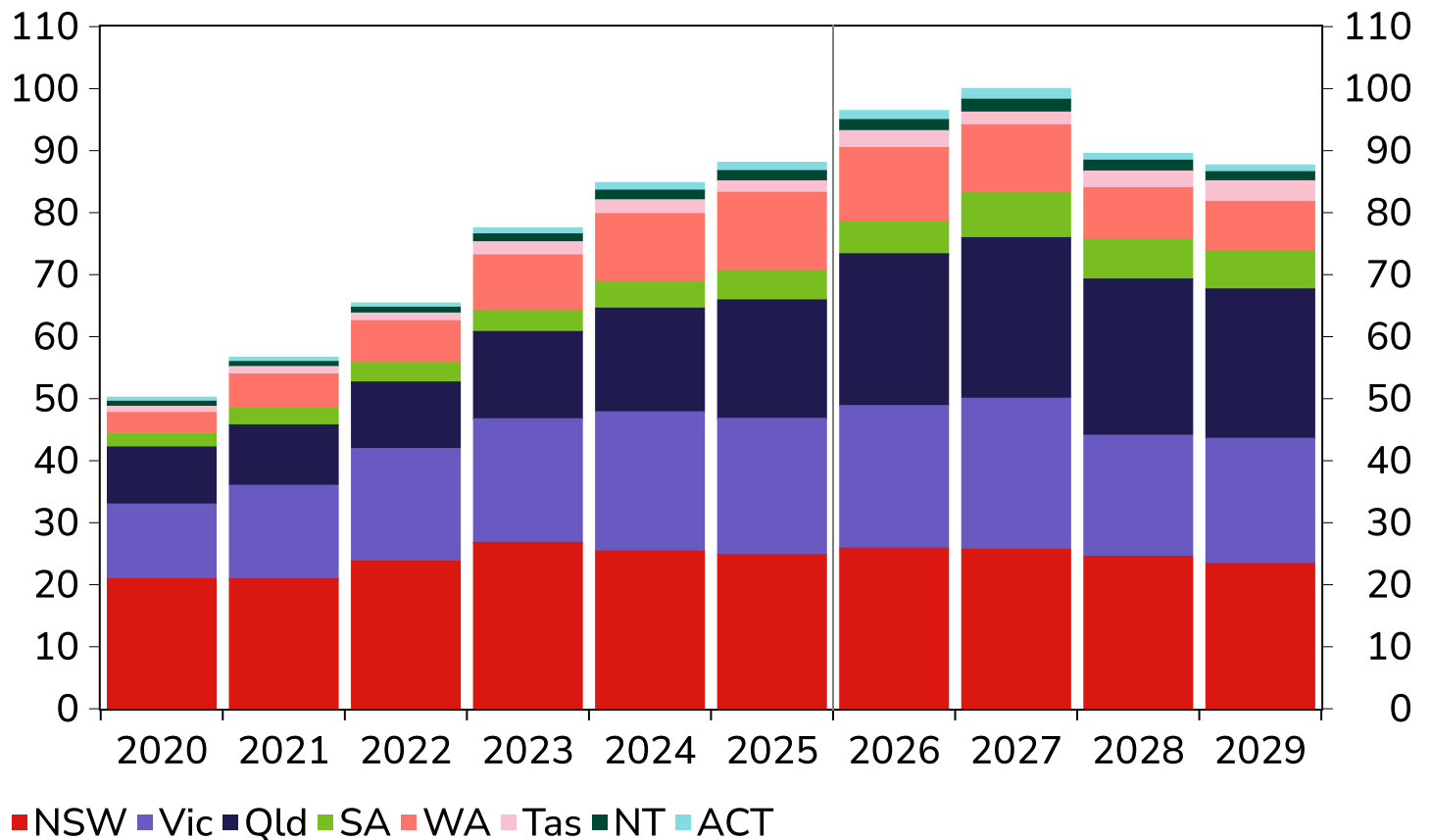
We are now at (or near) peak levels of public capital expenditure. A significant wave of transport 'mega-projects' is moving through completion. In Sydney, this includes WestConnex (largely complete), the Metro (with the Southwest line due to open in 2026 and the Western extension by 2032), and Western Sydney Airport (scheduled for completion in 2026).

In Melbourne, key projects include the Metro Tunnel (completed in late 2025) and the Airport Rail Link (targeted for 2029), alongside much longer-dated and more uncertain timelines for the Suburban Rail Loop and Geelong Fast Rail.

In contrast, Brisbane and south-east Queensland retain a more extended pipeline. Major projects, including Cross River Rail (2025–26) and Gold Coast Light Rail (2026), are complemented by a broader wave of infrastructure investment supporting activity through to the 2032 Brisbane Olympics.

# Infrastructure pipeline

Non-financial public sector, \$billions



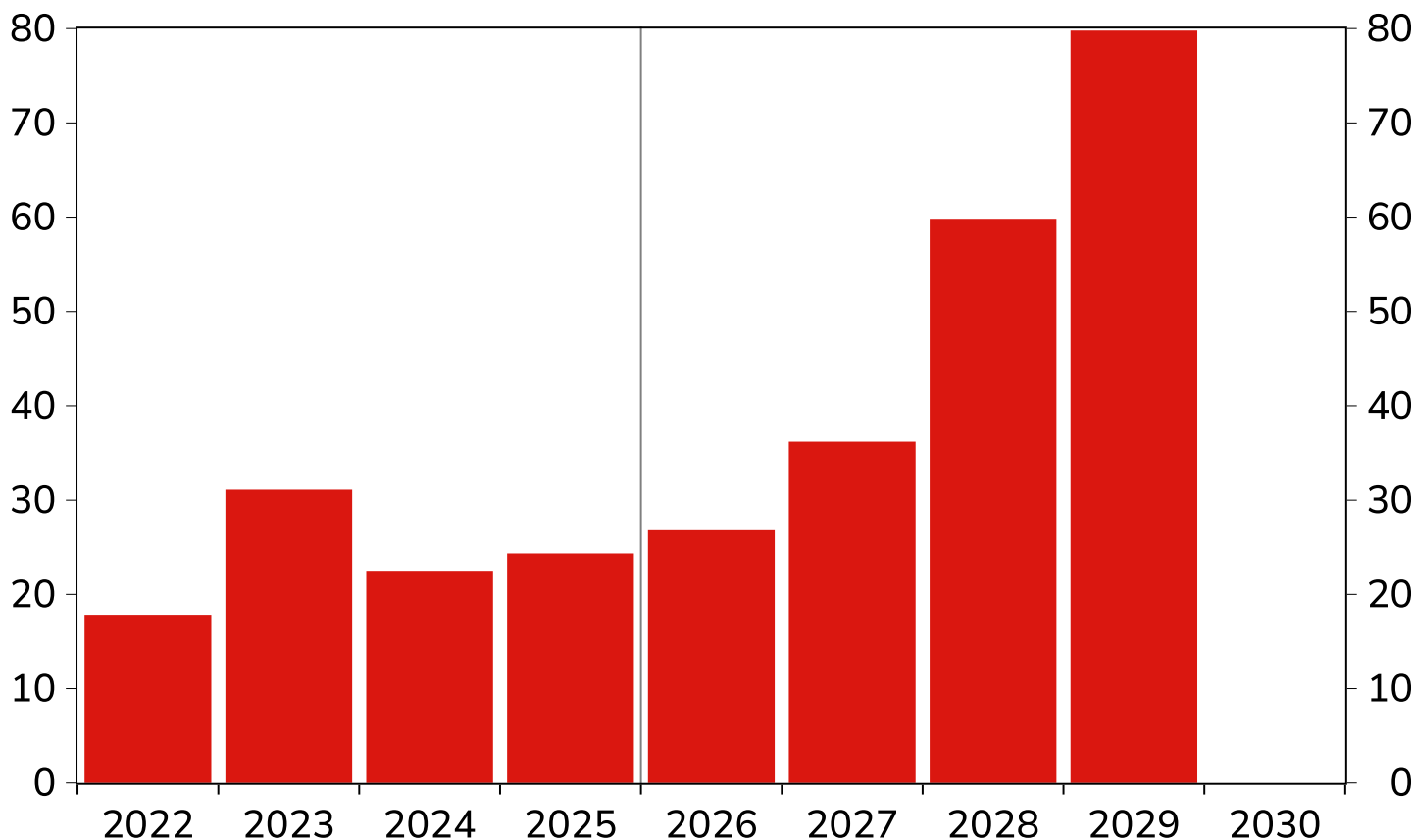
Source: State budget papers, Macrobond, Westpac Economics

At the same time, net interest costs are rising rapidly. By FY2029, we estimate that around 80% of state borrowing will be used to service interest payments, reflecting both a higher global cost of capital and a materially larger stock of debt. This is likely to sharpen the focus on the need for fiscal consolidation.

This dynamic is becoming increasingly important. A larger debt stock, combined with elevated borrowing costs, will constrain fiscal flexibility, particularly in an environment where global interest rates remain higher for longer.

# Interest payments

% share of cash deficits



Source: State budget papers, Macrobond, Westpac Economics

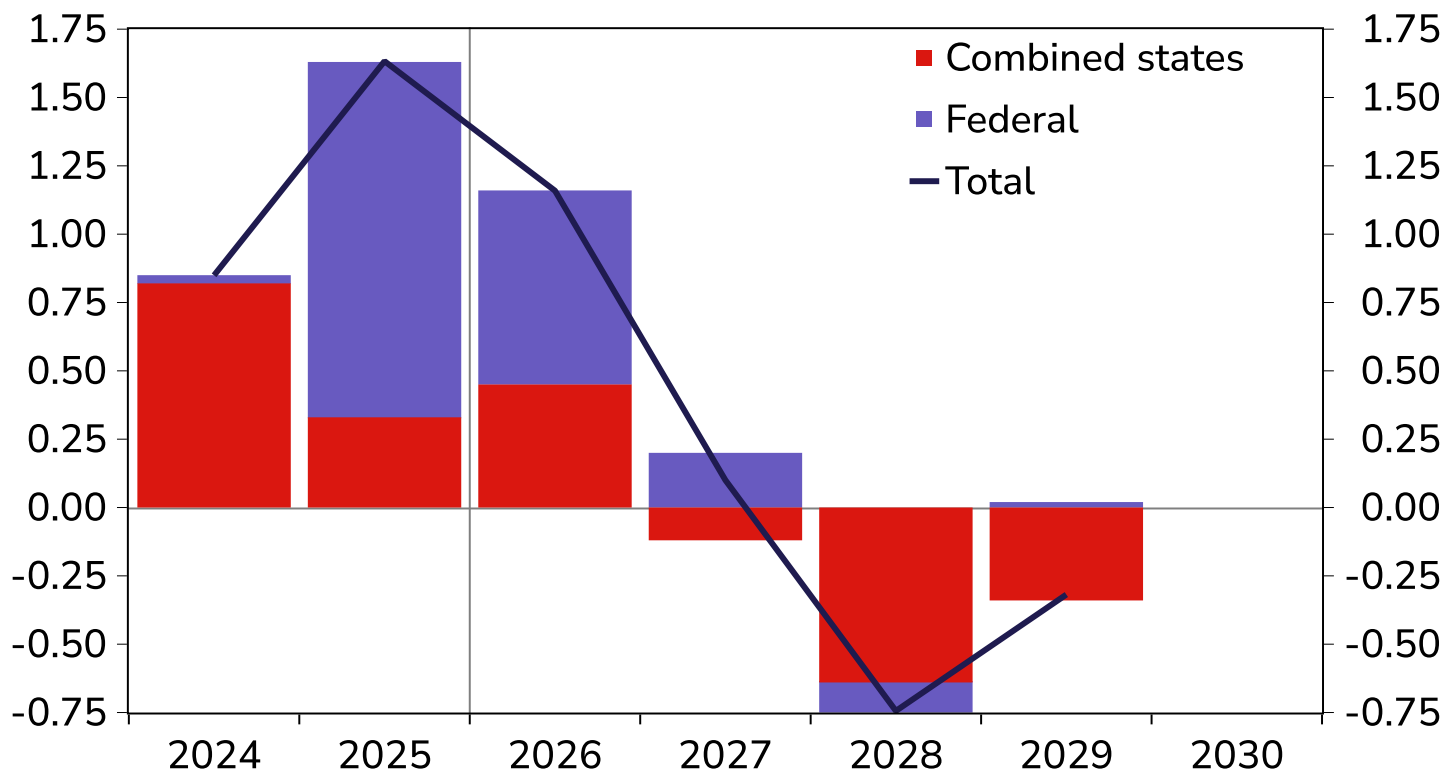
## What about the national fiscal impulse? Limited room for further stimulus

The fiscal impulse measures the net contribution of government to aggregate demand. When governments are balancing their books and net outflows (consumption and investment) equals inflows (mainly tax revenue) the impulse will be flat or neutral. The change in the impulse is important when looking at the change in demand, activity, and inflationary pressures.

On our estimates, the combined fiscal impulse is slightly expansionary in FY2027. This follows an expansionary policy stance over the past three years where the national fiscal impulse was around 3.5ppts of nominal GDP, an increase comparable to the post-GFC stimulus in 2009–10.

# Fiscal impulse

% of nominal GDP, Financial years.



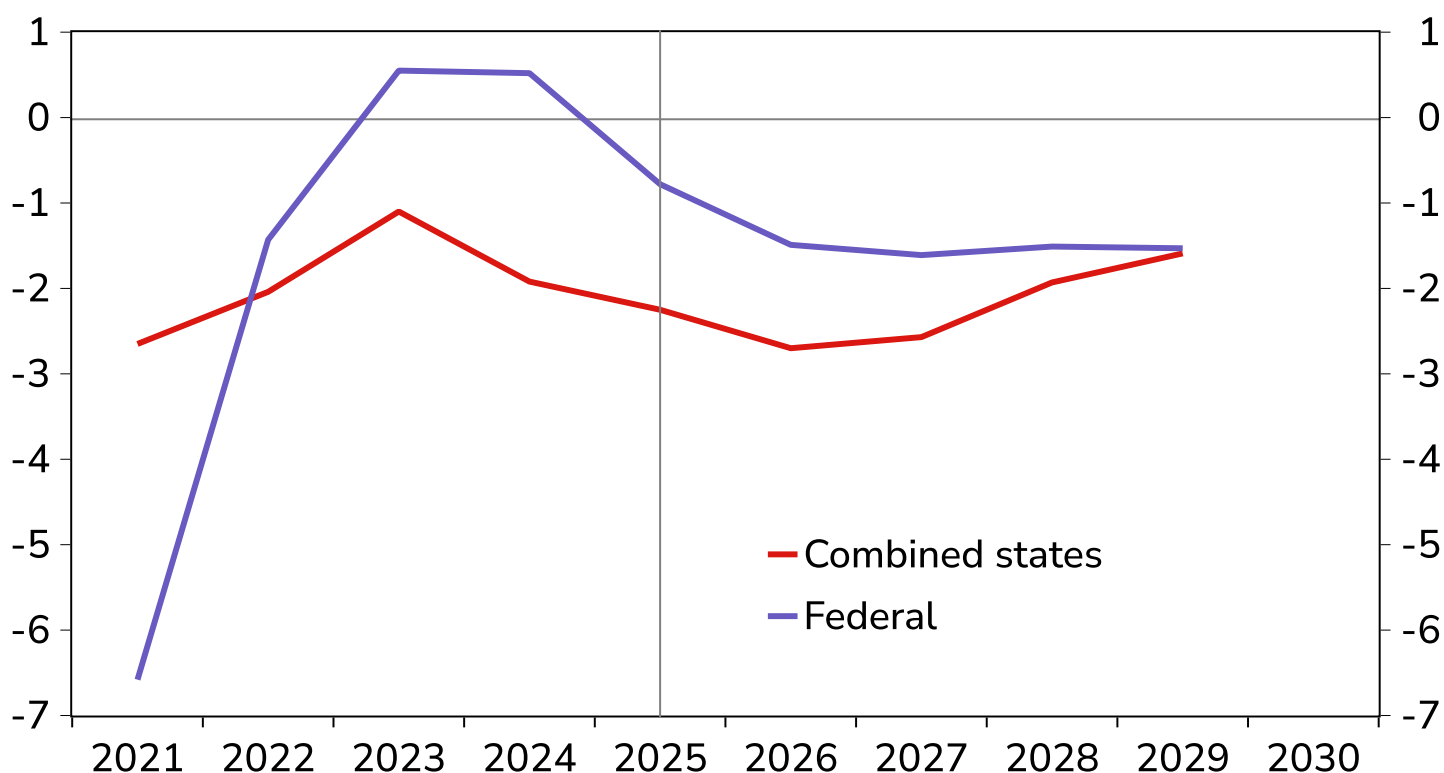
Source: Macrobond, Westpac Economics

\*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

However, unlike the GFC, this recent expansion has been driven by the states with the combined cash deficits larger than the Federal headline cash deficit. This is unusual: historically, large fiscal expansions have typically been led by the Commonwealth, but in the current cycle it is state spending, particularly infrastructure, that has dominated the impulse.

# Cash budget balances\*

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

\*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Looking ahead, the slightly expansionary impulse suggests limited incremental support to demand from fiscal policy. In principle, this should help ease pressure on capacity and inflation. However, given the ongoing pipeline of policy measures and the political imperative to support households during this oil price shock, there is a clear risk that fiscal settings remain more expansionary than currently assumed.

## Bottom line

The shift in the outlook leaves state budgets in a materially weaker position. A combination of softer revenue growth, rising cost pressures and an increasing interest burden is set to delay fiscal repair. With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

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# First Impressions: NZ retail trade, March quarter 2026

#retail

#newzealand



By Darren Gibbs

Senior Economist NZ

09:30 May 22 2026

 Share

NZ retail spending grew solidly in the March quarter, continuing the retail recovery that began in late 2024.



## March quarter retail sales

**Retail sales (volume of goods sold):** +0.9% (Prev: +0.9%)

Westpac f/c: +0.2%, Market: +0.5%

**Core retail sales (volume of goods sold):** +1.0% (Prev: +1.4%)

**Nominal retail sales:** +2.2% (Prev: +1.4%)

## **Year to March**

Volume of goods sold: +4.5%

Nominal sales: +6.1%

## **Consumer spending recovery remained intact pre-war**

Today's official retail sales report pointed to a solid lift in consumer spending in the March quarter, maintaining the pace seen in the December quarter and continuing the retail sector recovery that began in late 2024.

Nominal spending rose by 2.2% over the quarter and is up 6.1% on the same time a year ago. Some of that growth is due to higher prices (notably the sharp lift in fuel prices during the March quarter). Stats NZ estimates that the volume of spending increased 0.9% over the quarter and was 4.5% higher than a year earlier.

Turning to the detail, the strong growth in tourist arrivals contributed to today's result, with the volume of spending on accommodation rising 6.1% over the quarter following a similar increase in the prior quarter. In addition, spending on food and beverage services increased 1.3% during the quarter. The largest contribution to growth came from a lift in supermarket and grocery stores, but this followed declines in each of the previous two quarters. Spending on footwear and apparel fell, as did spending on recreational goods. This may reflect early reaction to the Middle East conflict, although these falls do come after solid growth in the previous quarter.

Looking regionally, nominal data continues to point to stronger growth in the South Island – unsurprising given its greater exposure to the well-performing tourist and rural sectors. Spending in the South Island was 8.1% higher than a year earlier, led by a 12.3% increase in spending in the Otago region. By contrast, spending in the North Island increased 5.2%.

## **Outlook**

Over the past two months the conflict in the Middle East has led to a sharp decline in consumer confidence and a squeeze on household discretionary incomes. Electronic transactions data released earlier this week pointed to a sharp pullback in spending in April, with spending at core store types declining for a second consecutive month. This is consistent with our view that the current quarter is likely to be a much tougher one for retailers – especially those selling discretionary items. And it is consistent with our view that the economy overall is likely to contract modestly during the quarter.

What happens over the second half of the year and beyond will depend on how the Middle East conflict evolves and how the RBNZ responds to the near-term spike in inflation. A prolonging of the conflict beyond the middle of this year – which we think would inevitably lead to new highs in energy prices – or an aggressive RBNZ response to perceived medium-term inflation risks, would weigh further on the retail sector. On the other hand, consumer confidence could rebound quickly if the conflict ends, even if energy prices remain high for a period, especially if greater certainty leads to a resumption in hiring.



## Implications for GDP growth

We're forecasting GDP growth of 0.8% in the March quarter. Today's result was ahead of our expectations, although not enough to cause us to change our GDP forecast. We'll take a closer look at how GDP growth is shaping up over the next couple of weeks as additional data on March quarter activity is released.

**Darren Gibbs**, Senior Economist

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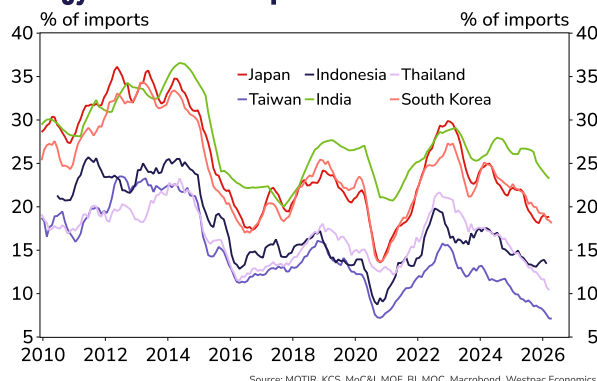
# Mapping out Asia ...



**Illiana Jain**  
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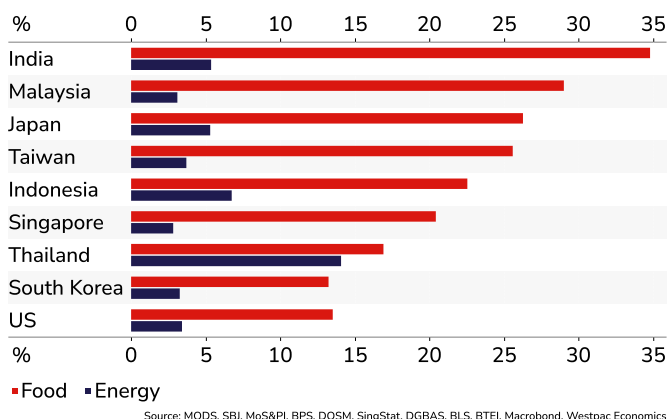
- The recent conflict in the Middle East represents a sizeable supply shock, particularly for energy and agriculture. Asia is disproportionately exposed given its reliance on Middle Eastern oil and LNG imports, alongside the importance of agriculture in the economy.
- Exposure varies across the region — India is the most reliant, with energy accounting for around a quarter of total imports, while economies like Taiwan are less affected.
- While energy's share of imports declined from its 2022 peak, this largely reflects the rising share of tech-related imports and not a meaningful reduction in foreign energy dependence.
- India's exposure has remained comparatively stable, consistent with its lower integration into the East Asian tech supply chain.

## Energy as a share of imports



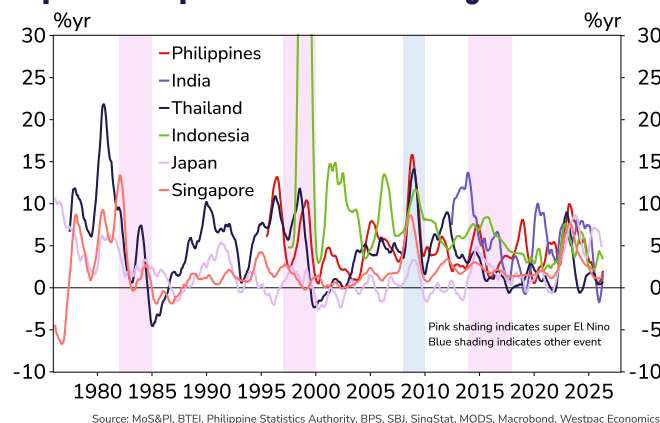
- Food and energy account for a materially larger share of the CPI across Asia relative to most developed economies.
- India is particularly exposed, with around 40% of the CPI basket comprised of food and energy, and an even higher share in rural areas.
- This raises the sensitivity of inflation to supply shocks and complicates the policy outlook.
- Rising food and energy prices will act as a real income shock, weighing on domestic demand.
- At the same time, central banks will find it difficult to ease policy — with some already tightening (Indonesia, Singapore) and others signalling hikes are likely (Thailand).
- As a result, financial conditions are expected to remain tight even as growth slows.

## Asia's CPI basket carries a high share of food



- Asia's agricultural sector faces a dual shock from higher input costs and adverse weather conditions.
- Rising oil prices are already feeding into higher fertiliser and diesel costs, lifting food production costs.
- The expected El Niño event will also likely bring drier conditions across Southeast Asia, reducing crop yields.
- Historically, similar events have led to sharp increases in food prices across both producing and importing economies.
- This creates a risk of sustained food inflation, reinforcing the broader real income squeeze.
- It also impacts a sector of the economy that employs a large share of the labour force and occupies a large share of spending.

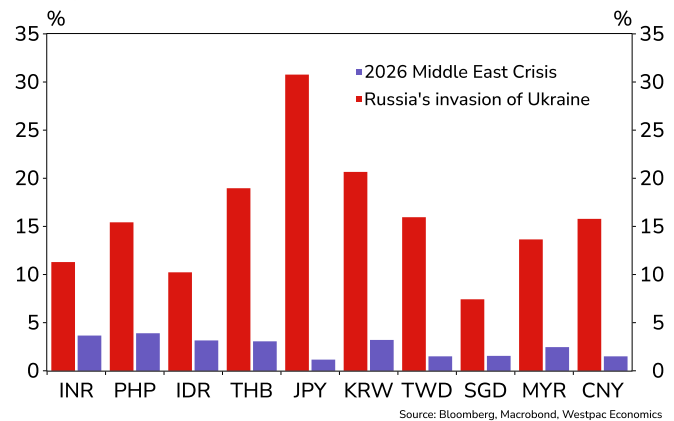
## Super El Nino poses another risk to agri



## ... in charts

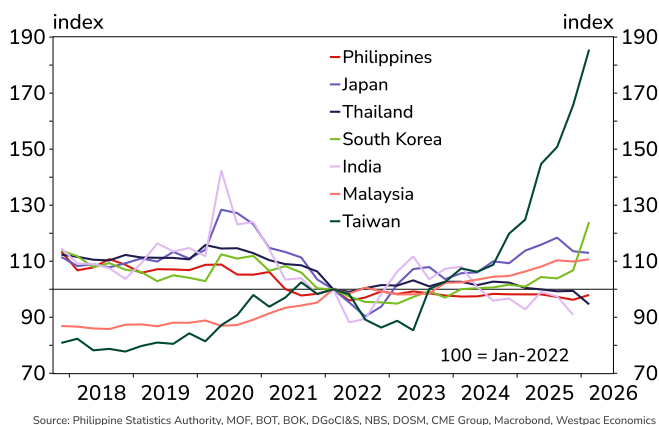
- Despite these uncertainties, Asian currencies have held up better than during Russia's invasion of Ukraine.
- This partly reflects the US dollar's retreat.
- Within the region, it reflects stability in the renminbi, supported by China's strong trade surplus and ongoing demand linked to green investment.
- Reports suggest Chinese authorities have actively managed the USD/CNY fixing to limit depreciation.
- By anchoring the renminbi, China has helped stabilise FX performance across the region and supported broader market confidence.

### Trough to peak depreciation of Asian currencies



- Economic performance is already diverging across Asia.
- Economies with favourable terms of trade — particularly energy exporters such as Malaysia or those leveraged to the tech cycle like Taiwan — are holding up relatively well.
- In contrast, energy-importing, services-oriented economies like India and the Philippines are more vulnerable to the shock.
- Strength in the tech cycle has helped offset the drag from higher energy costs in several economies, which is already evident in relative currency performance.
- Over time, this divergence is likely to become more apparent in growth outcomes and fiscal capacity.

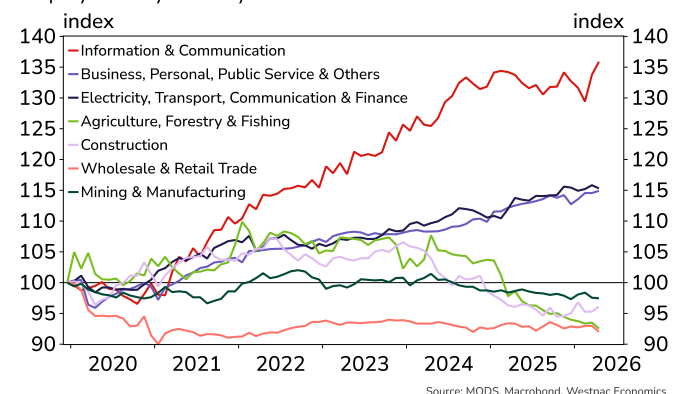
### Terms of Trade Divide



- South Korea provides a clear example of how tech strength has masked broader weakness.
- Even prior to the current shock, growth was heavily concentrated in the tech sector.
- Labour market outcomes highlight this imbalance — employment growth has been concentrated in tech, while other sectors have seen limited gains or outright declines.
- This K-shaped dynamic, both in South Korea and across the region, increases concentration risk.
- Industry-specific shocks (e.g. disruptions to major tech firms) can increasingly translate into economy-wide impacts.
- Recent developments are therefore amplifying an existing structural vulnerability.

### South Korea's two-speed labour market

Employment by Industry indexed to Dec-2019







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13 May 2026

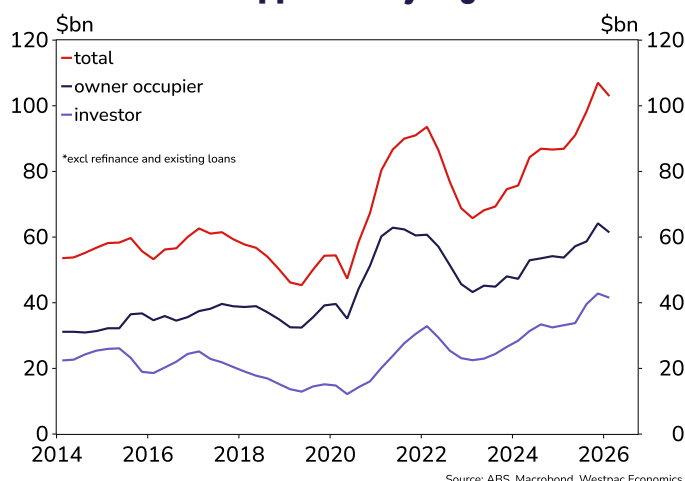
# AUSTRALIAN DWELLING FINANCE BULLETIN

## A sharp quarterly pullback

### Key points

- New dwelling finance approvals fell  $-3.8\% \text{qtr}$ , the largest drop in three years. Annual growth eased to  $18.5\% \text{yr}$ .
- The fall was volume-led. Loan numbers were down  $-6.2\% \text{qtr}$  ( $+8.6\% \text{yr}$ ), while the average loan size lifted  $9.1\% \text{yr}$ , broadly tracking home price growth.
- Owner-occupiers drove the decline, with values down  $-4.3\% \text{qtr}$ . First home buyers were the main drag amid some payback after the Q4 scheme boost.
- Investor approvals fell sharply with values down  $-3.0\% \text{qtr}$  and numbers  $-5.3\% \text{qtr}$ . New-build purchase loans slumped  $-16.1\% \text{qtr}$  while construction loans rose for a 12th straight quarter ( $+2.9\% \text{qtr}$ ).
- Given the changes announced in the Budget, there may be a period of adjustment ahead for lending, coinciding with the ongoing drag from higher interest rates and added uncertainty and cost pressures in construction linked to the Middle East conflict.

New finance approvals by segment: value



**Q1 new dwelling finance:**  
 **$-3.8\% \text{qtr}$ ,**  
 **$+18.5\% \text{yr}$**

# Broad-based declines in home lending



**Neha Sharma**  
Economist

The value of new dwelling finance approvals, excluding refinancing, fell –3.8%qtr. This marked the largest drop in three years and saw the annual rate moderate to 18.5%yr. The result was weaker than both Westpac's (7.0%qtr) and the market's (0.0%qtr) expectations. The weakness in values was owing to a –6.2%qtr fall in the number of loans, with annual growth easing to 8.6%yr. Average loan size rose 9.1%yr, broadly inline with the 9.3%yr growth in home prices to March.

Declines were centred on owner-occupiers where the number of loans fell –6.9%qtr leading to a –4.3%qtr drop in values. First home buyers (FHBs) in this segment drove the decline where loan values fell –6.7%qtr (numbers, –4.3%qtr) and were the only sub-segment where values fell by more than numbers, suggesting some of the weakness here is due to base effects from the expansion of the FHB guarantee scheme in Q4.

Investor lending recorded its steepest drop since late-2022, with loan values and numbers down –3.0%qtr and –5.3%qtr respectively. The result was in contrast to ongoing strength seen in investor credit growth in Q1 (see [here](#)). The weakness stemmed from a –16.1%qtr drop in loans for the purchase of newly built dwellings, which as a share of total investor loans dropped to 3.6% – the weakest in the quarterly series' history. Loans for the purchases of established dwellings also fell –9.5%qtr while construction loans marked their 12th straight gain, up 2.9%qtr. The Middle East conflict is, however, adding upside pressures to construction costs, which could temper construction loan demand going forward. Overall investor loans accounted for 39.5% of lending over the past four quarters – the highest since December 2015.

Personal finance approvals rose 3.2%qtr. The rise was driven by a 8.8%qtr rise in 'other purpose' loans (e.g. for travel, household and personal goods etc), while vehicle loans rose 0.3%qtr. Loans to SMEs fell –1.3%qtr after recording steady growth through 2025.

Looking ahead, home lending is likely to enter a period of adjustment. Budget measures announced yesterday (see [here](#)) rebalance tax incentives away from leveraged property investment, while new build investments will receive a more concessional tax treatment than established homes. This is expected to see investor lending volumes moderate over time and progressively shift toward loans for construction and new dwelling purchases, which currently comprises around 17% of total investor lending. This adjustment is likely to unfold alongside ongoing pressure from the higher interest rate environment, which has already weighed on home buying sentiment, particularly for owner-occupiers (see [here](#)).

## Dwelling finance: Q1 2026

|                                           | %chg qtr     |            |             | % chg yr    |            |
|-------------------------------------------|--------------|------------|-------------|-------------|------------|
|                                           | latest       | Dec        | Mar         | Dec         | Mar        |
| Number ('000s)                            |              |            |             |             |            |
| Owner-occupiers                           | 82.5         | 4.9        | –6.9        | 7.3         | 2.5        |
| Investors                                 | 57.3         | 5.9        | –5.3        | 23.7        | 18.8       |
| <b>Total dwelling finance<sup>Δ</sup></b> | <b>139.8</b> | <b>5.3</b> | <b>–6.2</b> | <b>13.5</b> | <b>8.6</b> |

|                                      |              |            |             |             |             |
|--------------------------------------|--------------|------------|-------------|-------------|-------------|
| Value (\$bn)                         |              |            |             |             |             |
| Owner-occupiers                      | 61.4         | 9.4        | –4.3        | 18.5        | 14.3        |
| Investors                            | 41.5         | 8.2        | –3.0        | 31.8        | 25.3        |
| <b>Total dwelling finance</b>        | <b>103.0</b> | <b>8.9</b> | <b>–3.8</b> | <b>23.5</b> | <b>18.5</b> |
| Land and renovations                 | 7.1          | 14.0       | –2.2        | 34.9        | 28.7        |
| Refinance                            | 61.1         | 2.3        | 0.0         | 15.3        | 10.2        |
| <b>Total housing incl. refinance</b> | <b>171.1</b> | <b>6.7</b> | <b>–2.4</b> | <b>20.9</b> | <b>15.7</b> |

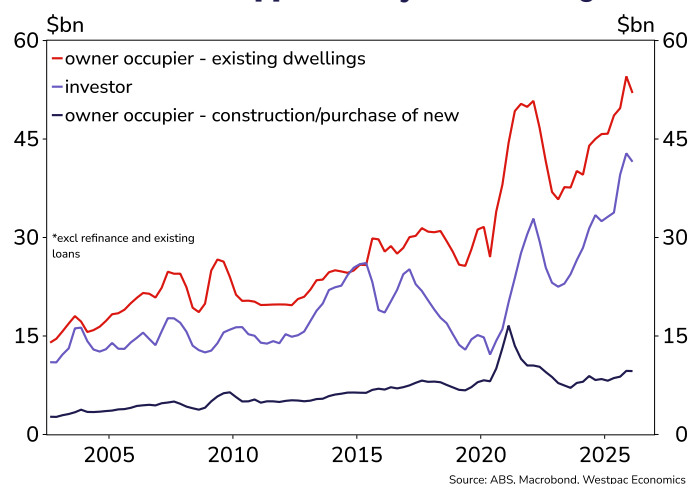
### Other indicators:

|                                       | avg <sup>Δ</sup> | Jan  | Feb  | Mar  | Apr <sup>Δ</sup> |
|---------------------------------------|------------------|------|------|------|------------------|
| Auction clearance rate <sup>Δ</sup> % | 64.2             | 63.2 | 60.7 | 56.3 | 42.4             |
| Dwelling prices, ann%chg              | 5.4              | 9.4  | 9.6  | 9.3  | 9.2              |

\* unless specified, all figures exclude land, additions and alterations, and refinance. Where specified, refinance is 'external' only, i.e. with a new lender. <sup>Δ</sup>seasonally adjusted by Westpac.

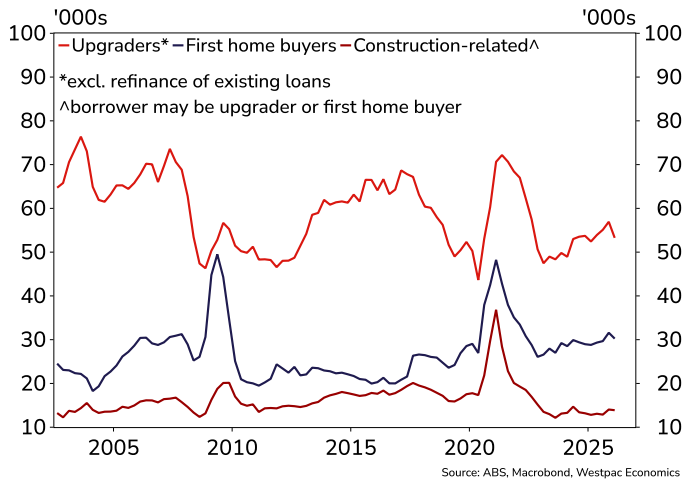
Sources: ABS, Cotality, APM, Westpac Economics

## New finance approvals by detailed segment

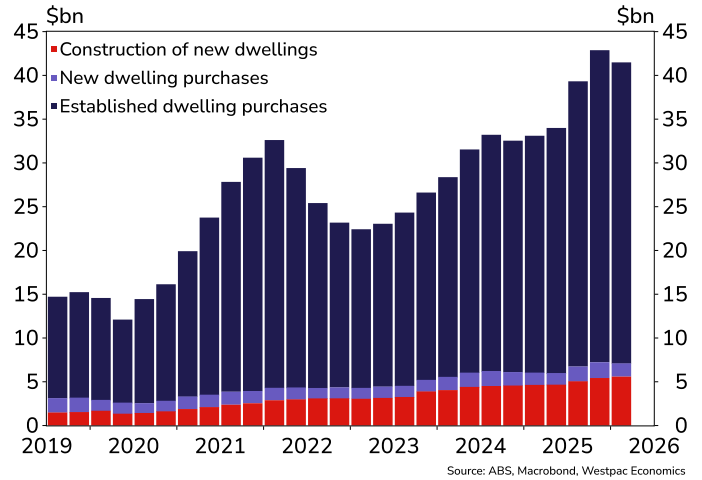




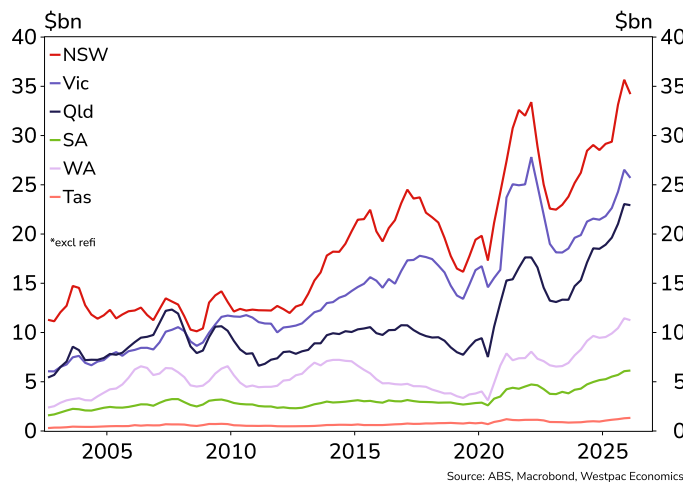
## Owner occupier finance approvals (number)



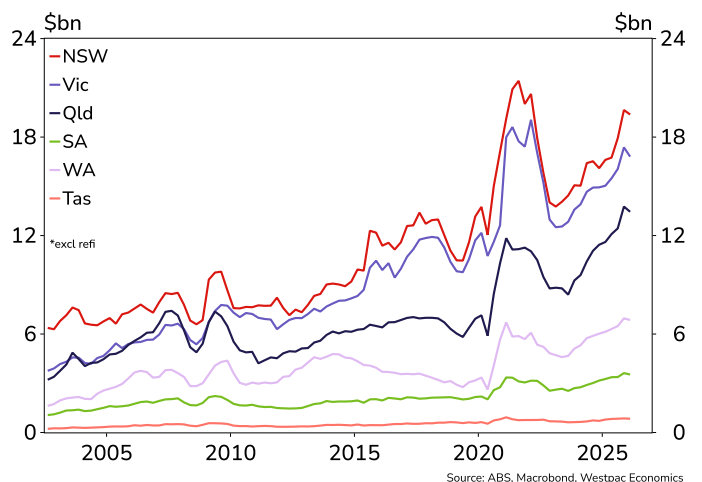
## Investor loan by purpose



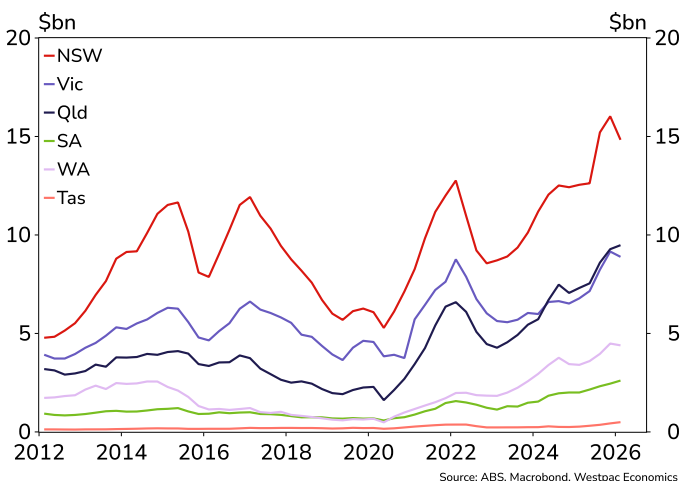
## Dwelling finance by state: total value



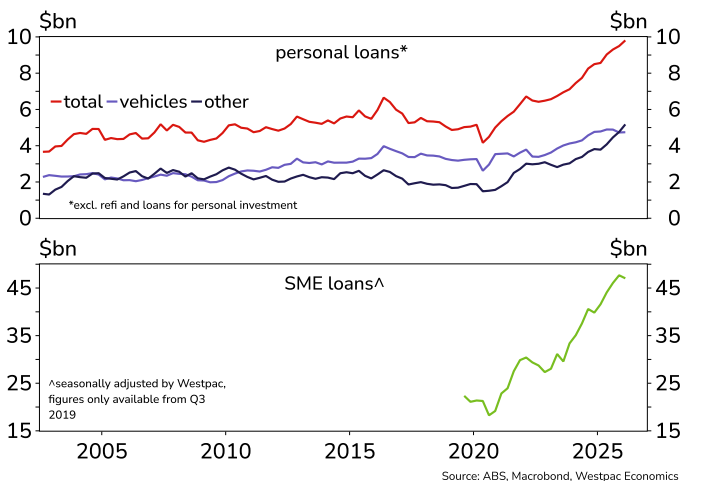
## Dwelling finance by state: owner occupier



## Dwelling finance by state: investor



## Other lending: personal finance and SME loans





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# Australian Business Conditions and Confidence, April

#businessconditions

#confidence



By [Luka Belobrajdic](#)  
Economist, Westpac

14:20 May 12 2026

Share

Business conditions weakened in April, reflecting earlier pessimism, while confidence remains deeply negative. Conditions -3pts to 3 / Confidence +5pts to -24.

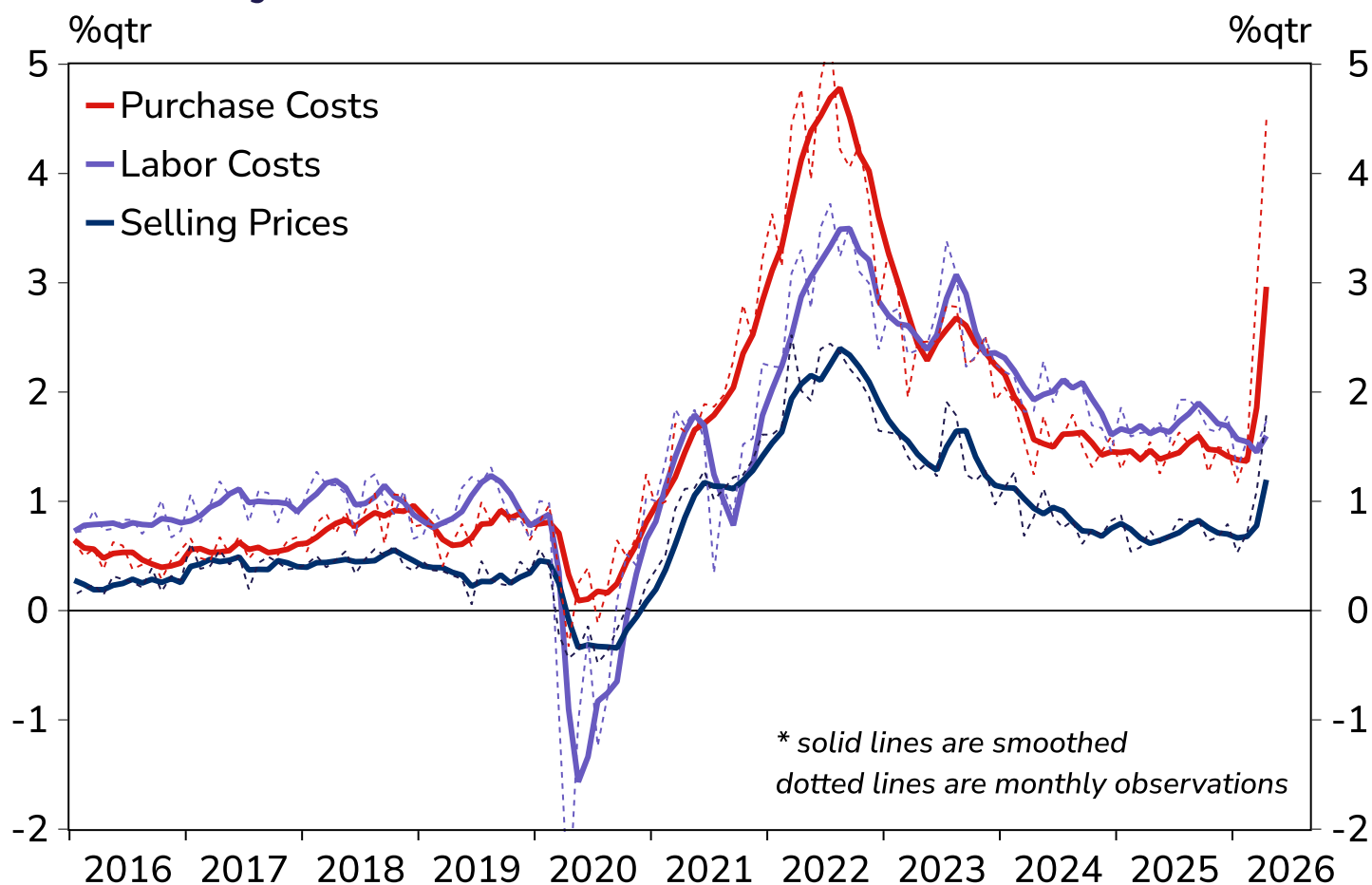


The April NAB Business Survey was in the field from 23 to 30 April, providing an early read on business conditions and confidence heading into the final quarter of FY26. Of note, businesses reported a further intensification in cost pressures. Purchase cost growth matched the record increase seen last



month, rising a further 1.5ppt. The back-to-back gains saw the quarterly pace lift to 4.5%qtr, the strongest since July 2022, placing it 3.3ppt above its long-run average. Final product price growth also accelerated, rising 0.7ppt to 1.8%qtr – its sharpest increase since July 2022 – suggesting firms are beginning to pass through a broader share of higher input costs to final prices. This points to a material upside risk to near-term inflation as we have flagged recently. Labour cost growth rose modestly by 0.2ppt to 1.7%qtr.

## NAB Survey: Costs and Prices



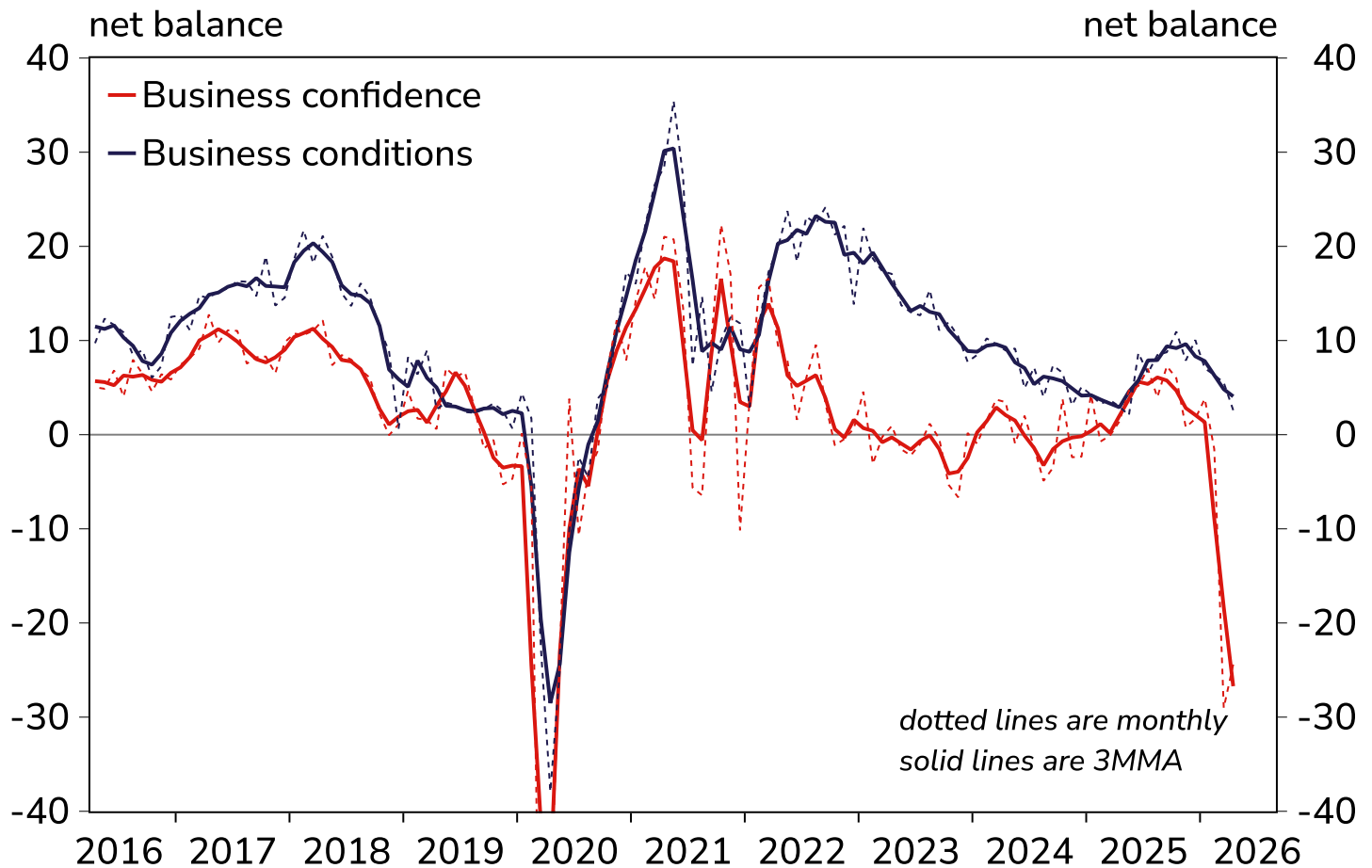
Source: NAB, ABS, Macrobond, Westpac Economics

The headline business conditions index declined in April, falling –3pts to 3, marking a clear step down from the stability observed in recent months. Conditions are now 4pts below their long-run average and well down from the high of 11 recorded in October last year. On a three-month average basis, conditions have continued to trend lower through 2026, reinforcing the view that momentum has been easing.

Across the major sub-components, trading conditions recorded a notable decline, falling –4pts to 7, and is now 5pts below their long-run average. This likely reflects a further softening in consumer demand, consistent with Westpac Card Tracker data which suggests that outside of fuel and electricity, momentum in consumer spending is stalling. Combined with elevated cost pressures, firms appear to be responding by adjusting their cost base. The employment sub-index fell sharply, down –5pts to 1, moving below its long-run average and pointing to a preliminary softening in hiring intentions. Profitability remained subdued, holding at 0, as rising costs and weaker trading conditions continue to compress margins.

Capacity utilisation declined to 82.5% in April, reinforcing signs of softer conditions. Against the backdrop of margin squeeze and monetary tightening, capital expenditure fell sharply (–8pts to 4) to sit 3pts below its long-run average, suggesting Australian businesses are not investing with the same degree of confidence as last year.

## Business conditions and confidence

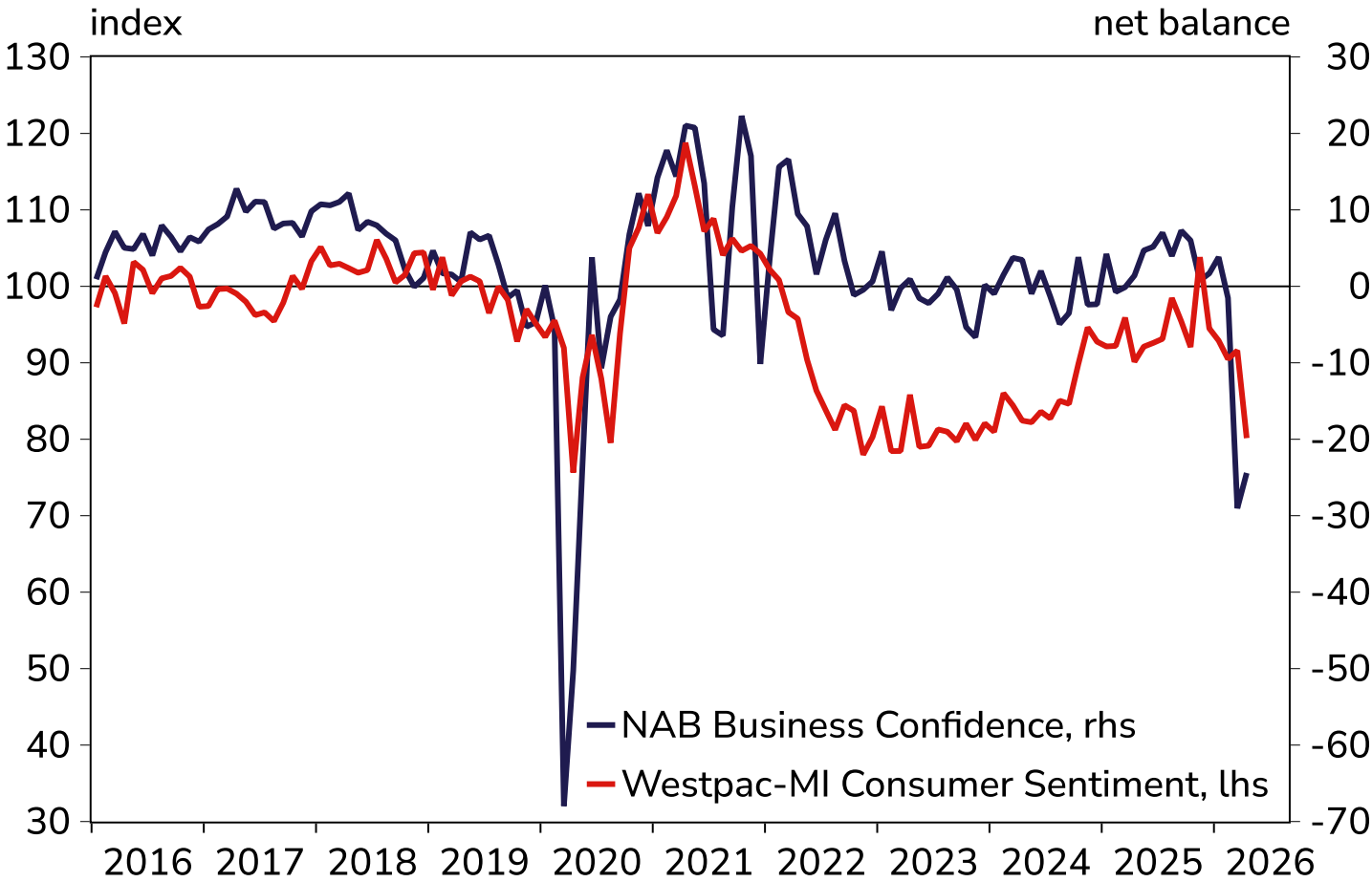


Source: NAB, Macrobond, Westpac Economics

Indeed, the headline business confidence measure remained deeply pessimistic in April, the 5pt lift to –24 doing little to offset the staggering collapse in March, leaving it still 29pts below its long-run average. Meanwhile, the Westpac-MI Consumer Sentiment survey deteriorated further in May, highlighting the shared anxiety over the near-term economic outlook. Monthly reads will likely remain a bit volatile going forward – touch-and-go developments out of the Middle East, another interest rate rise in May, and an upcoming Federal Budget will all feed into business' views about the outlook.

Among other indicators, forward orders weakened further, falling –4pts to –5, consistent with softer demand. Inventories declined by -3pts to 4, likely reflecting weaker forward orders and reduced restocking needs amid slowing activity.

# Consumer vs Business Confidence



Source: NAB, Westpac-MI, Macrobond

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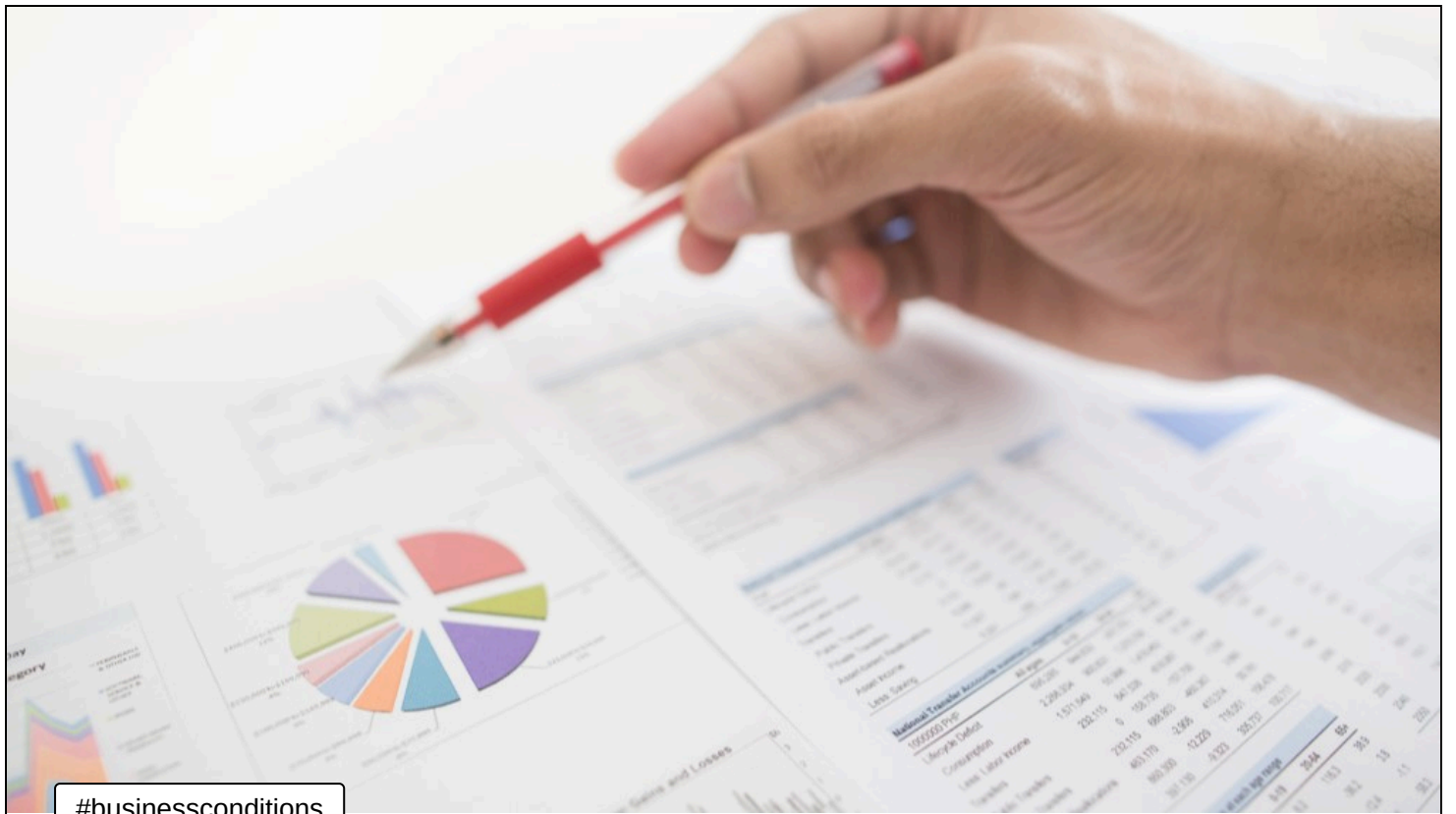


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# China plays to its comparative advantage

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By [Elliot Clarke](#)

Head of International Economics, Westpac

13:00 May 11 2026

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In trade, investment and, with time, via financial flows, China has a considerable long-term advantage that is set to grow their real economy and national wealth.



This week, President Xi and President Trump are due to meet and discuss China/US relations, developments in the global economy and, barring a resolution before, likely the conflict in the Middle East. This meeting will not materially change the status quo, being one of a number of in-person

meetings planned for this year. But it will guide on the opportunities and risks ahead. Available data points to a stark difference in perspective and each nation's outlook.

As the US continues to focus on controlling trade across its borders in pursuit of greater domestic investment and production, China has instead enticed investment at home by encouraging foreign trade. To date in 2026, China's trade surplus has averaged US\$88bn per month after holding around US\$99bn in 2025, both outcomes roughly three times the 2018-19 average of US\$32bn.

The US trade position has, in contrast, deteriorated from an average deficit of US\$47bn per month in 2018-19 to US\$73bn in 2025-26. This US data admittedly pre-dates the surge in energy exports seen through April and May, but China has also temporarily pulled back on their supply of energy goods to other nations, reducing export revenue.

With future export opportunities remaining the focus, Chinese fixed asset investment continues to grow after rapidly scaling through 2020-2025. Of particular note, transport and storage-related infrastructure spending surged in early-2026, and utilities investment has continued to compound around 9%ytd.

Within the manufacturing sector, stronger demand for green technology goods and refined energy products is likely to elicit a sustained upturn in capital expenditure through 2026, with the key investment sub-categories of electrical machinery, automobiles (EVs) and chemicals all showing evidence of stabilisation in Q1, and global demand receiving strong support from elevated energy prices and open-ended uncertainty over Middle East supply.

In contrast, in the US, investment remains highly concentrated in AI-related infrastructure and conversely is weak in areas related to trade and the domestic real economy. Lingering uncertainty related to tariffs and elevated long-term yields are also at play, in addition to businesses' focus on technology – US for-profit entities need greater surety over expected returns than China's state-owned and state-linked entities.

An additional element to consider is the benefit China may receive from the US' souring relationship with other nations, particularly Europe. This month, President Trump has continued to spar with European leaders, threatening to pull US troops from Germany and other major nations in the region. He then threatened a 10 percentage point increase in the US tariff rate for European cars and trucks, purportedly because the EU had failed to live up to their side of the agreed trade deal.

The EU labelled the US as an "unreliable" trading partner and vowed to respond. Ahead of this development, Chinese authorities were acting to strengthen ties with European leaders, publicly via a number of high-profile visits from European leaders, and behind the scenes by encouraging Chinese firms to invest in Europe and vice versa. There is strong evidence of an integrated, mutually-beneficial trade relationship taking shape between China and Europe.

As we have highlighted frequently, Chinese investment is not concentrated in one jurisdiction, however. It has also spread widely across Asia, Latin America and Africa, targeting not only the production of finished goods, but also the production of supply inputs – from raw materials to high-tech components.

While not their initial intent, over time this project will justify a material increase in the use of the Renminbi in trade, and will also strengthen demand for real and financial investment within China.

These trends will see greater depth and liquidity for China's onshore financial markets, as well as scope to offer global investments to Chinese investors through the issuance of Renminbi denominated debt and equity instruments. The larger these flows become, the greater the opportunity for Chinese banks and financial entities to facilitate flows, provide capital and manage risk, both on and, more importantly, offshore.

Overall then, in trade, investment and, with time, via financial flows, China has a considerable long-term competitive advantage that is set to benefit their real economy and national wealth.

This analysis initially appeared in [Westpac Economics' May Market Outlook](#).

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# ECONOMIC BULLETIN

Preview of New Zealand Budget 2026,  
28 May 2:00pm.



14 May 2026 | **Darren Gibbs**, Senior Economist | +64 9 367 3368 | +64 21 794 292 | [darren.gibbs@westpac.co.nz](mailto:darren.gibbs@westpac.co.nz)

## Fiscal strategy unchanged, but more debt near term.

- Prior to the Iran war, Budget 2026 was set to reveal a rare improvement in the fiscal outlook. That is no longer the case.
- The Government has cut the operating allowance for Budget 2026, but the conflict will lift spending on items that sit outside the allowance. It will also lead to slightly lower revenue.
- The magnitude of the impact will depend on the Treasury's assumption about the duration and implications of the conflict, which is uncertain.
- We assume the Treasury's economic forecast will be pitched near the less severe end of the range of scenarios that the Minister of Finance presented last month.
- As a result, we expect the cumulative OBEGALx deficit over the forecast period to rise by around \$8bn, with the largest deterioration occurring in 2026/27.
- The Prime Minister has reaffirmed that the Government's fiscal strategy remains to achieve an OBEGALx surplus in 2028/29. We expect the Treasury will forecast a return to surplus (just) in 2029/30.
- The net capital allowance for Budget 2026 has been raised to \$5.7bn from \$3.5bn previously. This will add to the forecast borrowing requirement.
- Depending on the spending assumption from Budget 2027 onwards, we expect the cumulative four-year financing requirement will be around \$7-9bn larger than forecast in the HYEPU, with the programme for 2026/27 lifted by \$2-3bn.
- Net core Crown debt will likely be projected to peak at around 48% of GDP in 2028/29, before declining gradually thereafter.
- We think that the outlook above would come as no surprise to the credit rating agencies, and on its own would be unlikely to cause a ratings downgrade.
- Given the impending General Election, the Treasury will need to publish a fiscal update (the PREFU) by early October. Depending on the path of the conflict, this could lead to marked changes to the Budget forecasts.

The Minister of Finance, Nicola Willis, will present her third Budget at 2pm on Thursday 28 May. At the beginning of this year, we had thought that the Budget 2026 would unveil a rare improvement in the fiscal outlook, with the potential to return the OBEGALx measure of fiscal balance back to surplus in 2028/29. This would have been a year earlier than forecast in last year's Half-Year Economic and Fiscal Update (HYEPU), but consistent with the revised strategy that the Government expressed in the last Budget Policy Statement (BPS). Comments made by the Minister and Prime Minister last month suggest that this would indeed have been the case.

Unfortunately, Budget 2026 will be set against the background of the ongoing Middle East conflict. As we set out in our own recent **Economic Overview**, this conflict seems set to dampen – but not derail – the economic recovery that began to take hold during the second half of last year. Comments made by the Minister of Finance

suggest that this will also be the Treasury's assessment. As a result, a favourable revision to the fiscal outlook no longer seems likely. Importantly, the Prime Minister has confirmed this week that the Government's fiscal strategy remains unchanged – that is, to work towards achieving an OBEGALx surplus in 2028/29 and therefore to set the fiscal stance on a course that would eventually reduce net core Crown debt to below 40% of GDP.

The rest of this note sets out our expectations for Budget 2026. We caution that there is significant uncertainty about the key economic assumptions that the Treasury will use in compiling the fiscal forecasts – most notably about the path of the conflict from here and the implications for energy prices, global growth and the impact on New Zealand's economic outlook. And actual outcomes could prove markedly different to the Budget forecasts if developments in the Middle East invalidate whatever assumptions the Treasury has made.

### **A favourable starting point.**

One source of good news is that actual fiscal outturns have been tracking favourably compared with the HYEFU forecast, at least through to March. For the first nine months of the fiscal year the OBEGALx deficit stands at \$7.8bn, which is \$2.1bn smaller than the Treasury had expected based on the HYEFU full-year forecast deficit of \$13.9bn. While core Crown tax revenue is running a modest \$0.4bn below forecast, core Crown expenses are running \$1.3bn below forecast due to lower-than-expected spending across a range of functions. In addition, the combined operating balance of the various SOEs and other Crown entities is running \$1.3bn above forecast.

Importantly, the core Crown residual cash deficit – which is more closely tied to the Government's actual bond financing needs – is also tracking favourably. The deficit of \$5.0bn in the nine months to March was \$2.7bn smaller than the Treasury had expected. According to the Treasury, this reflects a combination of higher-than-expected tax receipts, lower-than-expected operating outlays and lower-than-expected net capital outflows. As a result, net core Crown debt of \$187.8bn was \$3.4bn lower than forecast in the HYEFU at 42.2% of GDP.

While some of this favourable variation is likely to be a matter of timing, and some will likely be eroded over the final quarter of the 2025/26 fiscal year due to the weaker economic conditions that now prevail, it seems likely that the fiscal outturn for 2025/26 will be no worse than the HYEFU forecast.

### **Maintaining tight control of the controllable.**

This week the Prime Minister announced that the operating allowance for Budget 2026 has been revised down to \$2.1bn from the \$2.4bn signalled in the HYEFU.

Across the four years of the forecast, this will save the Government \$1.2bn. This represents a very tight operating allowance by historical standards, especially in inflation-adjusted terms. Given existing precommitments, this will leave well under \$1bn per year, on average, to fund new initiatives. Any additional initiatives will need to be funded by ongoing savings and reprioritisations within existing departmental baselines.

At this stage we have been given no guidance as to whether the Budget 2026 operating allowance of \$2.1bn will be assumed to apply to future budgets too (rather than the \$2.4bn per year allowance that was assumed in the HYEFU). It is possible that the Government could assume a similarly tight operating allowance at each of the following three budgets, in part to appease the increased concern that rating agencies have expressed about the lack of fiscal consolidation (more on this below). If so, the total fiscal saving across the four-year forecast period will amount to \$3bn, and baseline spending in 2029/30 would be \$1.2bn lower than would otherwise be the case. This would lower the Government's borrowing requirement commensurately.

### **Iran war fiscal transmission channels.**

Unfortunately, the conflict in the Middle East will negatively affect the Government's finances through a variety of channels that sit outside of its immediate control (although in principle these impacts could be offset by discretionary policy actions).

While the Government can control departmental spending through its setting of the operating allowance, this only covers a portion of total spending. Notably, social security and welfare payments and debt servicing costs – which comprise around 40% of core government spending – sit outside the operating allowance.

- A weaker outlook for the economy over the coming year will translate to an increased number of work-related benefit recipients. More significantly, the lift in inflation this year will increase the cost of all benefits, with next year's inflation adjustment on 1 April likely to be around twice as large as the Treasury had expected in the HYEFU.
- Interest rates are tracking well above the Treasury's HYEFU forecast. For example, the HYEFU had assumed an average 10-year bond rate of 4.0% in the current quarter compared with the current yield of around 4.75%. If the Treasury lifts its forecasts of interest rates for at least the next year or two, as seems likely, this will raise estimated financing costs over time as new debt is issued and existing debt is refinanced. Refinancing costs will also be raised to the extent that other transmission channels lead to larger fiscal deficits.

The Iran war will also impact forecasts of tax revenue.

- In the near term, a weaker outlook for employment will generate weaker growth in personal income tax receipts, which account for around half of all tax revenue raised. However, if higher near-term inflation allows some employees to obtain compensation for that inflation, the resulting rise in wage growth will provide at least a partial offset over time (and potentially more than fully offset the employment impact, with fiscal drag contributing to tax revenues as more people move into higher marginal tax brackets).
- Pressures on disposable incomes and precautionary saving will likely lead to lower volumes of consumer spending, thus tending to reduce GST revenue (which accounts for around a quarter of all tax). However, given that GST is levied on nominal spending, rather than real, higher inflation will work in the opposite direction. If there is little precautionary saving and nominal spending is unchanged, then there could be little impact on GST revenues.
- The implications for corporate tax seem more straightforward. To the extent that cost increases cannot be passed through to the consumer, a reduction in corporate profitability will lead to a period of lower corporate tax payments.
- Finally, there are also likely to be impacts on some smaller sources of revenue. For example, withholding taxes on interest income will be lifted by higher interest rates, providing a partial offset to the lift in the Government's financing costs.

### So what does this mean for the operating balance?

Given all the moving parts, forecasting the fiscal aggregates is a difficult task at the best of times, with small differences in assumptions about growth in spending and revenue quickly compounding into large changes in the forecast borrowing programme.

Forecasting what the Treasury will publish as its forecast is fraught with even greater difficulty, as there is significant uncertainty about what the Treasury will have assumed about the path of the Middle East conflict, let alone the Treasury's assessment of how the economy might be impacted by a given conflict scenario.

That said, we think that some guidance can be taken from the scenarios that the Minister of Finance presented at a press conference on 24 April. These scenarios, developed by the Treasury in late March, illustrated different paths for the economy dependent on three possible paths for oil prices (see Table 1). Her presentation also confirmed that the Treasury's pre-war "base" economic forecast was more positive than that in the HYEPU.

The oil price was sitting just under \$110/bbl in late April when the Treasury reopened and then finalised the economic forecasts that will underpin Budget 2026. Therefore, our best guess is that the Treasury will have positioned its final economic forecast close to Scenario 1 (which had assumed a \$110/bbl oil price) but with a probable nod towards Scenario 2. The Treasury's Scenario 1, while weaker than the pre-war forecast, was in fact similar to the HYEPU forecast. However, as the economic forecast leans further towards Scenario 2, the outlook for activity in 2026/27 becomes notably weaker. That said, this weakness is largely reversed in 2027/28 when conditions in the oil market are assumed to normalise. If replicated in Budget 2026, such a forecast profile would significantly mitigate the damage to the medium-term fiscal projections.

Given the above, if the Government retains a \$2.4bn operating allowance assumption for future budgets, our best guess is that Budget 2026 will show the following:

- A cumulative deterioration in the OBEGALx balance of just over \$8bn over the next four years, with the largest impact (around \$3bn) in the 2026/27 year and the difference compared with the HYEPU decaying over time.

Table 1: Treasury pre-Budget forecast scenarios

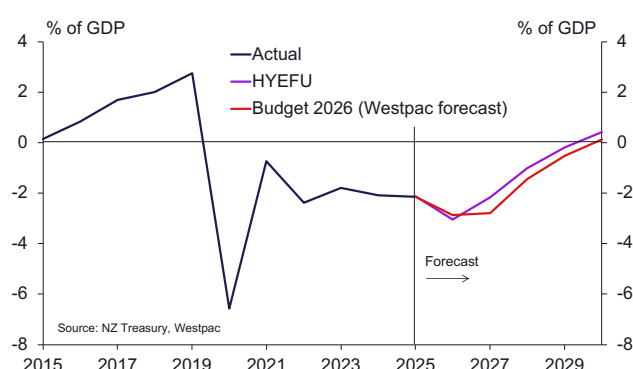
|                   |       | HYEFU 2025 | Base  | Scenario 1 | Scenario 2 | Scenario 3 |
|-------------------|-------|------------|-------|------------|------------|------------|
| GDP               | 25/26 | 2.0        | 2.3 ↑ | 2.0 →      | 1.5 ↓      | 0.8 ↓      |
|                   | 26/27 | 3.5        | 3.3 ↓ | 3.4 ↓      | 2.6 ↓      | 1.7 ↓      |
|                   | 27/28 | 2.6        | 2.7 ↑ | 3.0 ↑      | 3.7 ↑      | 4.4 ↑      |
| Inflation         | 25/26 | 2.4        | 2.7 ↑ | 3.9 ↑      | 5.2 ↑      | 7.4 ↑      |
|                   | 26/27 | 2.2        | 2.3 ↑ | 1.5 ↓      | 1.8 ↓      | 2.1 ↓      |
|                   | 27/28 | 2.1        | 2.2 ↑ | 2.1 →      | 1.4 ↓      | 1.2 ↓      |
| Unemployment rate | 25/26 | 5.3        | 5.3 → | 5.3 →      | 5.4 ↑      | 5.7 ↑      |
|                   | 26/27 | 4.8        | 4.7 ↓ | 4.7 ↓      | 5.5 ↑      | 6.6 ↑      |
|                   | 27/28 | 4.6        | 4.4 ↓ | 4.3 ↓      | 4.7 ↑      | 5.4 ↑      |

Base = Pre-War forecast; Crude oil = \$110/bbl in Scenario 1, \$135/bbl in Scenario 2, \$180/bbl in Scenario 3  
Arrows indicate direction of change since HYEPU forecast

Source: NZ Treasury

- Cumulative core Crown spending around \$4bn higher than forecast in the HYEFU, roughly equally divided between higher social welfare spending and higher debt financing costs.
- Cumulative core Crown tax revenue a little over \$4bn lower than in the HYEFU, assuming cumulative nominal GDP is around \$15bn lower than the HYEFU forecast.
- A small OBEGALx surplus of just under \$1bn achieved in 2029/30, compared with the \$2.3bn surplus forecast in the HYEFU.
- Net core Crown debt will likely be projected to peak at around 48% of GDP in 2028/29, before declining gradually thereafter.

**Operating balance (OBEGALx), % of GDP**



## What about capex?

In a speech this week, the Prime Minister also announced that the net capital spending allowance would be \$5.7bn. This is \$2.2bn larger than had been signalled previously. The Prime Minister's comments indicates that some of the additional investment will be used to improve New Zealand's national energy security and to provide some of the funding needed to progress the Government's Defence Capability Plan (which envisages a significant uplift in defence spending, much of which will be new capital spending). We assume that Budget 2026 will continue to forecast \$3.5bn of new capital spending in future budgets. We think actual spending will be eventually prove higher, but this may not be reflected in Budget forecasts until decisions are made regarding some of the more costly defence investments (such as the proposed frigate replacement programme).

## The bottom line for bonds: \$7-9bn additional issuance.

Putting this all together, we have:

- A roughly \$8bn increase in the cumulative OBEGALx balance; and
- A roughly \$2bn increase in the capital budget; but
- A probable slight overfunding of the cash requirement in 2025/26.

As a result, we think that additional issuance forecast by the Treasury over the coming four years is most likely to be around \$9bn above the HYEFU forecast. However, it could be around \$2bn less if the operating allowances from Budget 2027 onwards are lowered to match the Budget 2026 operating allowance. Assuming some smoothing between years, Table 2 sets out a plausible forecast for the bond programme. This would see a \$3bn increase in the forecast programme for the coming 2026/27 year (lifting the programme to \$37bn) and a \$2bn increase in the forecast programme over each of the subsequent three years. If the overall additional funding requirement proves to be closer to \$7bn, then the coming year's programme would likely be raised by \$2bn to \$36bn.

## What will the credit rating agencies think?

Reflecting the weaker fiscal outlook, last month Moody's joined Fitch in attaching a negative outlook to New Zealand's sovereign credit rating. Both Moody's and Fitch currently assign New Zealand a higher rating than forecast by their respective models, with both agencies granting a discretionary uplift based on an assessment that the weakening of New Zealand's fiscal metrics will improve over time (a view based on New Zealand's past success in correcting fiscal imbalances). The recent assignment of a negative outlook clearly indicates that these agencies are considering removing that uplift due to the ongoing delay in returning the fiscal books back to surplus.

If Budget 2026 is broadly in line with our expectations, we expect that it will also be broadly in line with the revised expectations of the ratings agencies too. So, barring a further major deterioration in the outlook, we would not expect to see further actions taken by either Moody's

**Table 2: NZ Government financing requirement (\$bn)**

|                                       | 24/25 | 25/26f | 26/27f | 27/28f | 28/29f | 29/30f |
|---------------------------------------|-------|--------|--------|--------|--------|--------|
| <b>Bonds</b>                          |       |        |        |        |        |        |
| <b>HYEFU</b>                          | 42.6  | 35.0   | 34.0   | 34.0   | 32.0   | 30.0   |
| <b>Budget 2025 (Westpac forecast)</b> | 42.6  | 35.0   | 37.0   | 36.0   | 34.0   | 32.0   |
| <b>Difference</b>                     | 0.0   | 0.0    | +3.0   | +2.0   | +2.0   | +2.0   |

Source: NZ Treasury



or Fitch this year (it is possible that Standard and Poor's could revise its outlook, although we note that its current AA+ rating is not founded on a discretionary uplift). It seems more likely that the ratings agencies will reassess the outlook in 2027, potentially after the winner of this year's General Election delivers Budget 2027.

### **Next update likely in October.**

Ahead of the General Election on 7 November, the Treasury will need to publish a Pre-Election Economic and Fiscal Update (PREFU). The PREFU needs to be published between 20-30 working days before election day. Based on history, this is most likely to occur in early October. So, depending on developments in the Middle East, a substantial rework of the fiscal outlook (and bond programme) could emerge just four months after the release of Budget 2026.

Finally, should a PREFU be released on or after 1 October, it is worth noting that there will be no legislative requirement to publish a further fiscal update until the release of Budget 2027 in May next year, i.e. there will likely be no HYEPU released at the end of this year.

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# Q1 Wage Price Index: public wages moderate

#wages

#inflation

#labour



By Ryan Wells

Economist, Westpac

13:30 May 13 2026

 Share

The Wage Price Index (WPI) rose 0.8% in Q1 2026, in line with Westpac's forecast and the market consensus. Growth in private sector wages has continued to moderate gradually, while growth in public sector wages has eased back following some larger gains over last year.

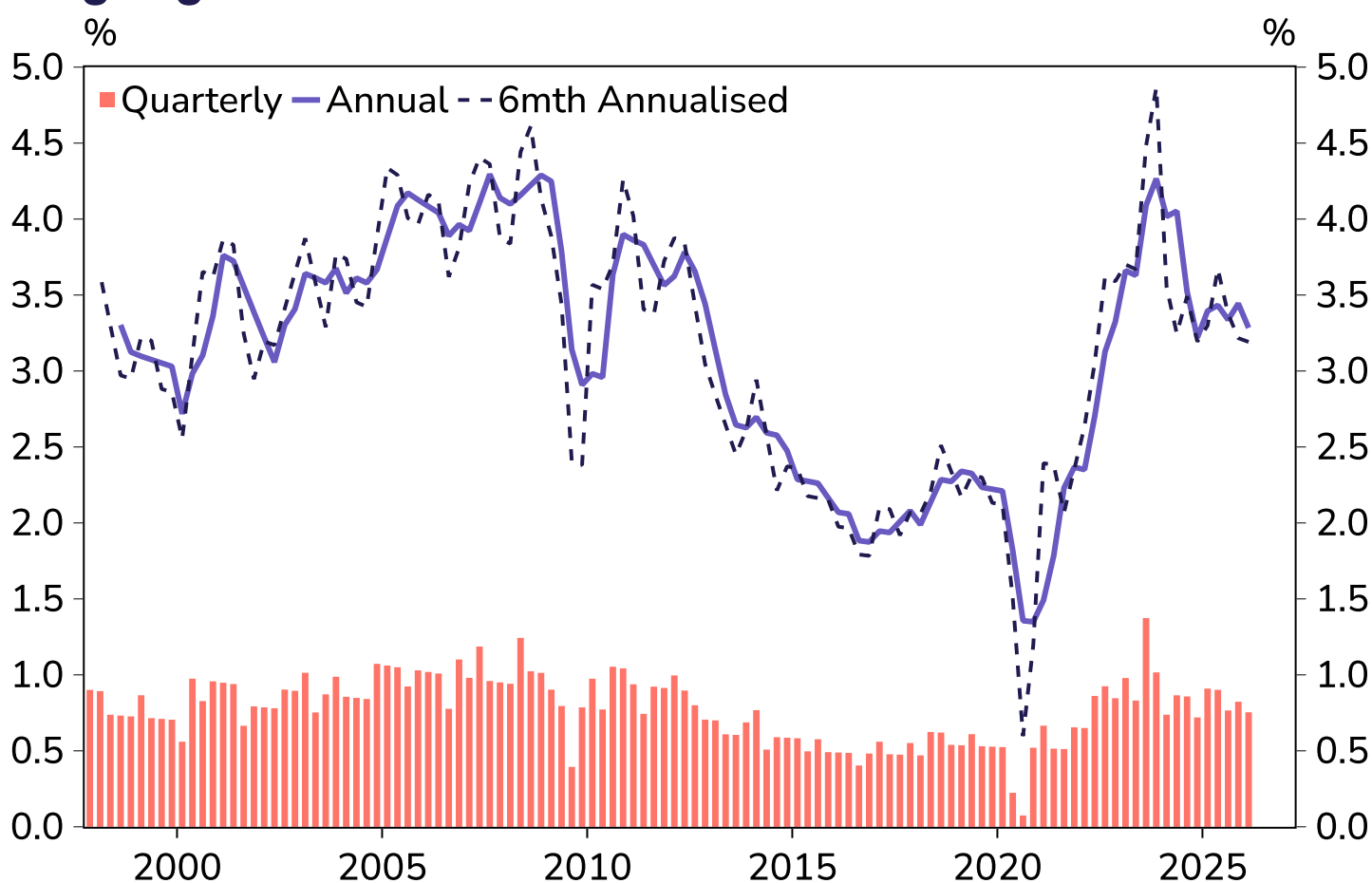


The Wage Price Index (WPI) rose 0.8% in Q1 2026, in line with Westpac's forecast and the market consensus. This was a 'thin' 0.8%, in the sense that the result was 0.75% at two decimal places, close to the rounding barrier. Revisions to seasonal factors were insignificant, so the annual pace eased back from 3.4%yr to 3.3%yr just as expected.

While the annual pace has broadly bumped around this level for the past year or so, inspecting the momentum more closely reveals that the current annual pace is actually the softest since Q4 2024 – before the bump higher in public sector wages that took place over 2025 (as discussed in more detail below).

In terms of the distribution, this slowing in wages growth is coming from a smaller share of jobs recording 'faster' wage gains. The ABS noted that only 22% of jobs recorded an annualised wage gain of more than 4% in Q1 2026, which is the lowest proportion since Q2 2022.

## Wages growth not a concern for inflation



Source: ABS, Macrobond, Westpac Economics

### Wages by Sector

By sector, private wages (excl. bonuses) have continued to track a gradual downtrend. In Q1, private wages grew by 0.8%, matching the increase over the previous three quarters. However, this is still a smaller gain than a year ago, meaning the annual pace eased back from 3.4%yr to 3.2%yr, which is the slowest pace so far in the current cycle. The drop was even larger for the measure that includes bonuses (3.3%yr to 2.9%yr) – while noisier, a faster pull-back in this measure may signal that an

easing momentum remains in place.

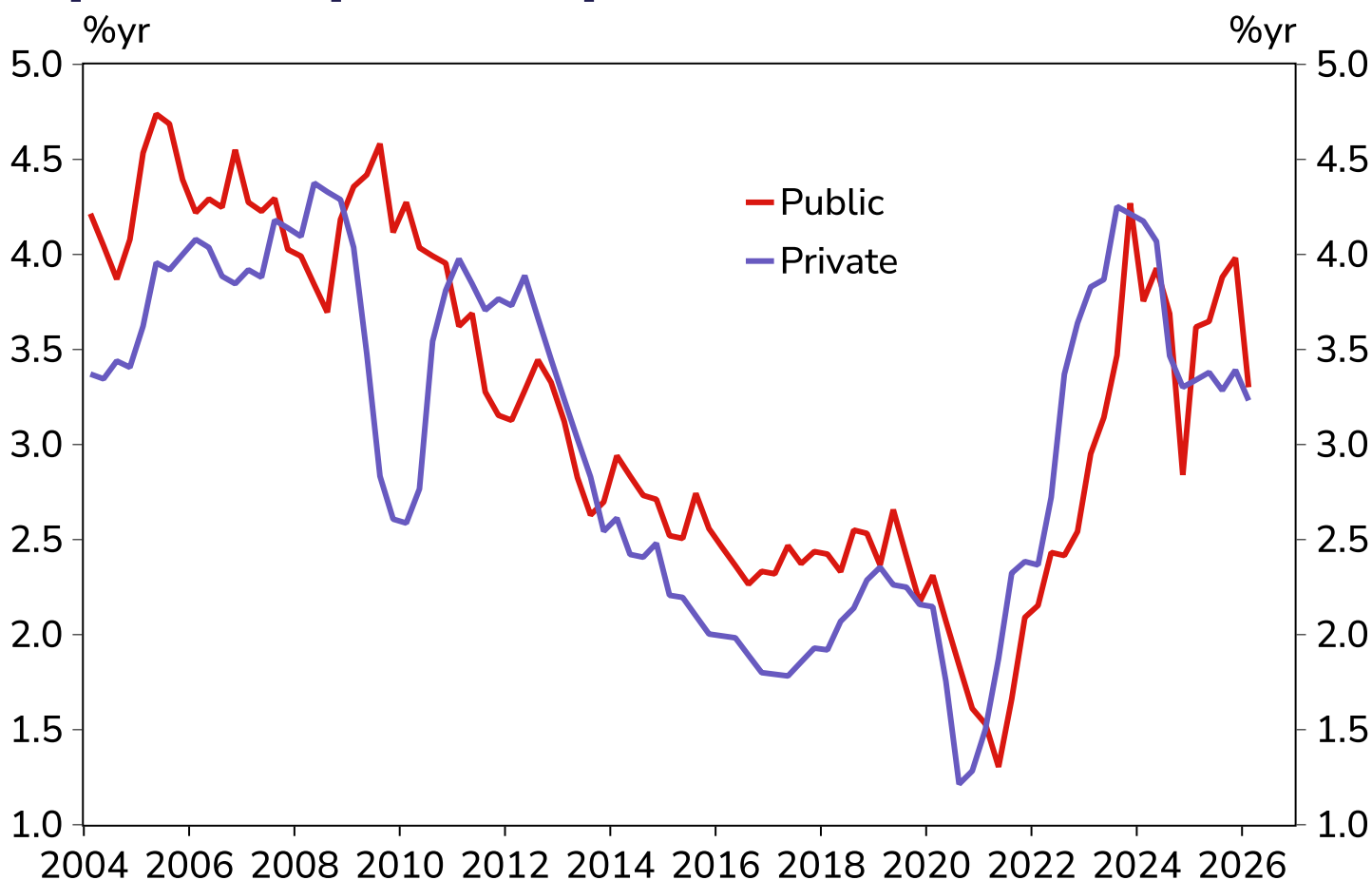
Compared to the same quarter a year ago, the private sector saw a smaller share of jobs record a wage increase (13% vs. 15%), and of those jobs, they recorded a smaller average hourly wage change (4.0% vs. 4.3%).

Meanwhile in the public sector, wages growth only gained 0.5% in Q1 2026, the smallest quarterly increase in two years. As a result, the annual growth pace dropped sharply, from 4.0%yr to 3.3%yr. This effectively closes the gap between private and public sector wages growth, after the latter bumped higher over 2025 due to state-based enterprise agreements and increases in aged care wages – with those larger gains now cycling out of the base of comparison, the annual pace of public sector wages is pulling back.

Indeed, compared to the same quarter a year ago, there was a much smaller proportion of jobs that recorded a wage increase (21% vs. 39%), and of those jobs, the average hourly wage change was also noticeably smaller (3.0% vs. 3.3%).

The earlier impact of state-based enterprise agreements can also be seen in the fact that the contribution of state governments to the latest quarterly wage increase less than half than that of a year ago (+1.1ppt vs. +0.4ppt).

## Gap between public and private closes



Source: ABS, Macrobond, Westpac Economics

## ***Industry***

Unsurprisingly, Australia's largest employer – health care and social services – was responsible for most of the increase in quarterly wages. Recall that this is split across both the private and public sector, as many services are publicly funded but delivered by a private provider. The ABS noted that a “major Commonwealth funded initiative in the Early Childhood Education and Care workforce saw wage rises paid in the private sector for this industry, while Queensland hospital health care workers were the main driver of public growth”, similar to last quarter.

Annual wages growth is running fastest in the utilities sector (4.3%yr), although it is a fairly small employer, followed by mining, public administration and safety, and other services (3.7%yr), then health care and social assistance (3.6%yr).

## ***Bargaining Stream***

Westpac has long believed focusing on wage inflation by wage bargaining stream can help to understand how wages respond to the economic cycle. Long term readers would know that the Australian labour market is split into three categories of pay setting methods:

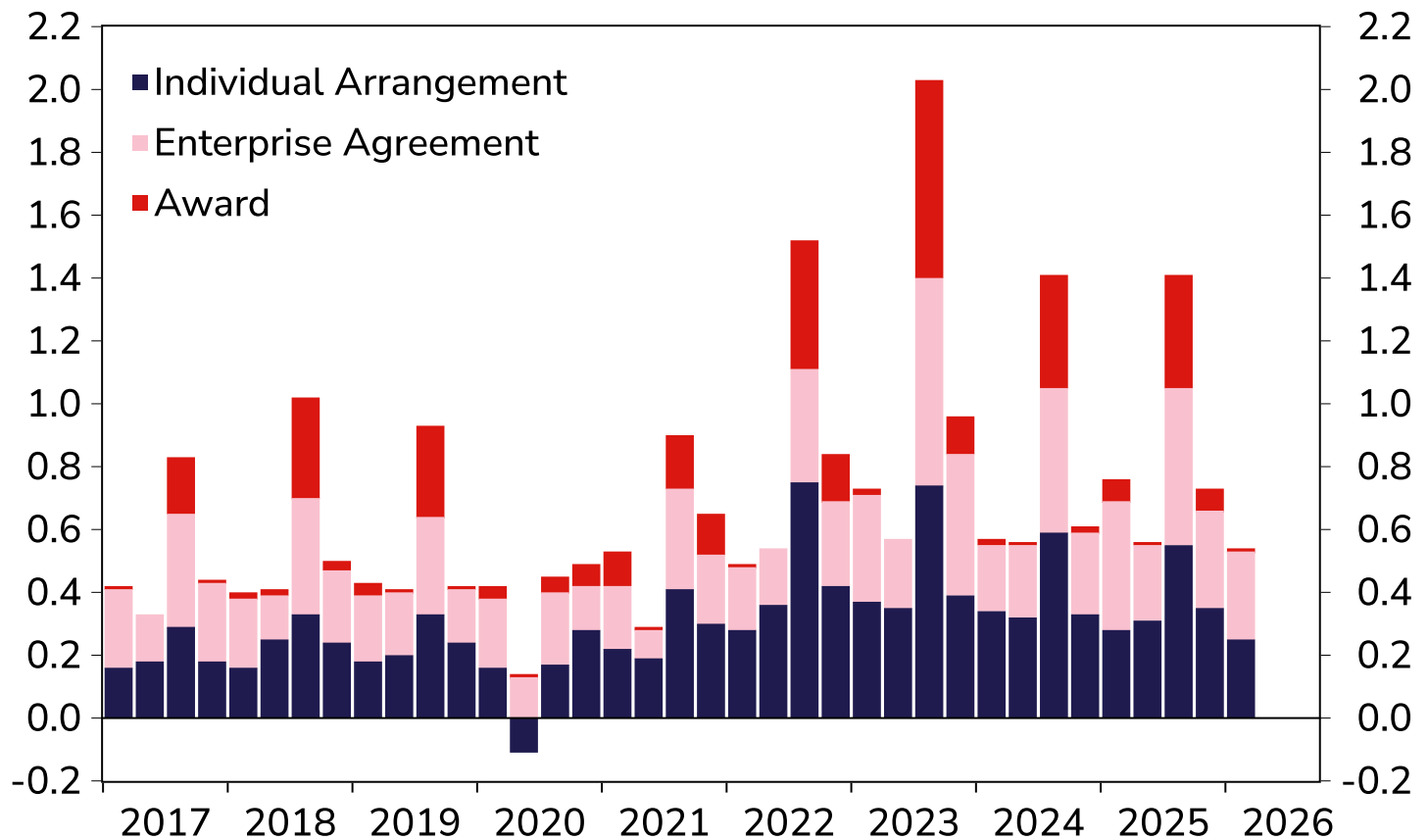
- Awards,
- Enterprise agreements, or
- Individual arrangements.

In original terms, the WPI lifted 0.6% in Q1. The largest share of Australian wage adjustments tends to occur in the September quarter, with July being the start of the new financial year. The following data is reported in original (not seasonally adjusted) terms.

Of the 0.6% increase in the WPI, jobs covered by enterprise arrangements made the largest contribution at 0.28ppt, compared to 0.25ppt for individual arrangements and 0.01ppt for awards. With most individually arranged pay setting occurring in the private sector, this stream has an outsized influence on private sector wages.

# Contributions to Quarterly WPI Growth

By pay setting arrangement in ppt in original terms



Source: ABS, Macrobond, Westpac Economics

Overall, the update came in broadly in line with our expectations. Growth in private sector wages has continued to moderate gradually, while growth in public sector wages has eased back following some larger gains over last year. While the RBA pointed to the labour market as a key source of inflationary risk in recent quarters, the debate has now shifted with the onset of the Middle East conflict.

Higher inflation and interest rates will weigh on economic growth and bring more slack into the labour market. This should put some downward pressure on wages growth over the period ahead, but the extent to which that will materialise will partly depend on the outcome of the upcoming Fair Work Commission's (FWC) Annual Wage Review. It will impact wages growth in Q3 as adjustments are put through the start of the new financial year from 1 July. In 2025, the FWC provided a 3.5% increase, lower than the 3.75% decision in 2024 and the 5.75% decision in 2023. We are currently assuming a 4.25% increase announcement for 2026, which is embedded in our forecast for a 0.8% gain in the WPI for Q3.

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# For the US, economic opportunity is narrow and increasingly brittle

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By [Elliot Clarke](#)

Head of International Economics, Westpac

13:26 May 11 2026

 Share

US tech investment has scale and is delivering, but growth elsewhere in the economy is challenged.



The US has exhibited both strength and frailty over the past month. Backed by earnings beats and despite a new cycle high for Brent oil, its equity markets have rebounded strongly to record levels. At the same time though, growth in consumer demand has fallen below trend and housing investment is contracting. In many respects, the outlook is highly uncertain.

Beginning with the positives. The confidence financial markets have shown amid open-ended uncertainty for energy supply, the pass-through to consumer inflation and elevated yields is jarring. Participants' responses to recent earnings results and news of the build out of AI infrastructure helps to make sense of these outcomes, however.

Simply, there is a dominant belief that the US' real economy can be protected from the worst of the supply disruptions by its domestic energy production and refining capacity. And, both now and in the long run, is at the forefront of productivity and profitability enhancement through technology. The surge in energy exports as well as intangibles and equipment investment supports both notions. The strength of these investment sub-types arguably also warrants expectations of sustainable income gains and an ability to, in time, contain inflationary pressures, providing scope for persistent, robust returns.

We do not doubt the strength of tech-related investment or the capacity it is creating. But we see a need to caution on the sustainability of its contribution to GDP growth because momentum tends to moderate as an industry matures, and owing to the concern being shown by investors over the financing terms and lifecycle of assets within the sector. We also believe it is important to recognise that, outside of AI infrastructure and related equipment investment, business investment is soft. Indeed, at circa 6%yr, annual growth in total business investment is broadly in line with the historic depreciation rate for the US capital stock, implying no net increase in functional capacity. Also, in the public sector, while activity rebounded in Q1 2026 following Q4's shutdown, the level of spending is unchanged over the year.

At the same time, the pulse of consumer demand has continued to soften, from an above-trend annualised pace of 3.2% through 2023 and 2024 to a sub-par 2.1% annualised in 2025, and now 1.6% in Q1 2026. This is despite the unemployment rate remaining consistent with full employment, the drag on real discretionary income fading and as real wealth accrues. Also affected by elevated term interest rates, housing construction continues to contract to now be down more than 18% since early 2021, even with solid population growth.

It is extremely difficult, if not impossible, for an economy to grow at or above trend when sectors representing 72% of total activity are experiencing a sub-par performance, or contracting outright. The import component of the above activity is an additional headwind for GDP growth which is unlikely to subside, even if President Trump finds a way to permanently impose tariffs and entice new investment.

Our take on the above positives and negatives is that the US economy finds itself with the capacity to grow at or near trend through 2026-2028, but momentum is likely to be concentrated amongst a sub-set of tech-centric businesses and higher-income households, with volatile outcomes around a broadly flat trend anticipated elsewhere. Meanwhile, limits on capacity outside of technology is, all else equal, likely to hold inflation consistently above target. As we have emphasised repeatedly, the adoption of AI and related technology offers the opportunity for greater productivity from labour. But limits on migration



are likely to create offsetting wage pressures and frictions in production.

For US monetary policy, known risks are therefore set to remain skewed towards misses on inflation versus a material increase in labour market slack. The market is likely to price in at least a chance of a rate hike over the forecast period, and term interest rates a lasting hawkish tilt. For the long end of the yield curve, the effect of higher inflation expectations will be magnified by the implications for Government servicing costs – a higher share of expenditure going to interest payments, increasing the stock of debt and reducing the Government’s capacity to invest for growth. In our view, this uptrend for interest rates is unlikely to boost the US dollar, being paired with modest US economic growth and opportunities in other parts of the world, for businesses and investors alike.

This analysis initially appeared in [Westpac Economics’ May Market Outlook](#).

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Week beginning 18 May 2026

# AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

## In this week's edition:

**Economic Insight:** Budget delivers downpayment on reform agenda.

**The Week That Was:** Beyond the horizon.

**Focus on New Zealand:** Under the pump.

## For the week ahead:

**Australia:** Westpac-MI Consumer Sentiment, RBA minutes, labour force survey.

**New Zealand:** Q1 real retail sales, Q1 PPI, trade balance, retail card spending.

**Japan:** Q1 GDP, CPI.

**China:** retail sales, industrial production, fixed asset investment.

**Euro area:** CPI, consumer confidence.

**United Kingdom:** CPI, unemployment rate, retail sales, consumer sentiment.

**United States:** FOMC minutes, regional manufacturing surveys, housing starts, UoM consumer sentiment.

**Global:** S&P Global PMIs.

Information contained in this report current as at 15 May 2026.

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# Budget delivers downpayment on reform agenda



**Luci Ellis**  
Chief Economist, Westpac Group

**The seeds for this Budget were planted in late last year, when the government convened a series of economic reform roundtables. Since then, it has consistently framed reform as central to lifting productivity and increasing the economy's speed limit. It has also focused on intergenerational equity and ensuring more Australians can enter the housing market.**

The Middle East conflict has, if anything, accelerated that agenda. It has broadened from a productivity focus to encompass energy and fuel security, reinforcing economic resilience as a core policy objective.

## Swathe of reforms adds up to material total

Measures to boost housing supply and level the playing field are meaningful, particularly on tax settings. Concessional capital gains tax (CGT) has long been recognised as encouraging leveraged investment in rental properties, particularly in the way it interacts with negative gearing. Reforming this part of the tax system had previously been considered too controversial. Despite that, this year's budget tackles both CGT and negative gearing, as well as taxation of trusts, and does so in a way that still encourages new construction.

The Budget papers anticipate that these reforms will enable an additional 75,000 Australians to buy their own home over the next decade and support the construction of up to 30,000 new homes over the same period; this is modest relative to the roughly 11 million dwellings in Australia, with more than 160,000 added each year. The grandfathering of existing holdings means that the implications for the housing market will be drawn out. In the short term, the interest rate environment will be a more consequential influence.

The government has also progressed its productivity reform agenda. Announced measures address the myriad of little things that hold the economy back, rather than a few headline-grabbers. Importantly, and appropriately, the government did not claim the tax reforms as productivity measures. The net impact of the productivity measures adds up to potentially significant change. Red-tape reductions and harmonisation of regulation across states and territories feature prominently, including national licencing of key occupations; this follows previous efforts to create an automatic mutual recognition regime, which Queensland did not sign up to. The Budget also announces funding to support previously announced reforms, for example streamlining environmental assessments.

A range of other small measures complement the productivity agenda by encouraging new businesses. These include reforms to R&D tax incentives, loss carry-back for small businesses and refunds of tax losses for early-stage start-up firms. While it received less coverage on budget night, the savings mooted in the NDIS also add up to a significant reform, if they can be realised.

Most of the tax and productivity measures will have a slow-burn impact on the economy. Fuel security is a shorter-term priority, which the government has address with a range of initiatives to secure fuel supply and increase local inventory holdings. Here, too, though, there are longer-term measures working in the same direction. These include making the tax breaks for EVs permanent and regulatory measures and funding for charging infrastructure to encourage electrification of other parts of the transport system.

## Do the measures take pressure off demand?

This year's budget occurs in the context of an economy that was already contending with high inflation. Boosting demand further would have made the RBA's inflation-control task even harder. The budget does have a positive fiscal impact – the headline deficit increases across years in FY2026 and FY2027 – but it is moderate. Expressed as a per cent to GDP, the underlying cash deficit is flat at 1.0% between FY2026 and FY2029, before narrowing to 0.7% in FY2030. Estimates of the structural deficit show gradual improvement both in the forward estimates and through the medium-term forecasts.

This bottom-line result stems from the fact that the policy decisions are adding to the underlying cash deficit by considerably less than the economic environment is reducing it. In the short run, the cycle is helping the budget bottom line. Revenues have increased relative to the expectations at MYEFO as higher energy and other commodity prices have boosted corporate tax revenue. FY2026 and FY2027 also see positive parameter variations, dominated by higher receipts.

Further out in the forward estimates, policy decisions are expected to reduce spending relative to the MYEFO projections. The principal save comes from recently announced reforms to the NDIS. By contrast, spending continues to rise across health, education and childcare, with limited evidence of system-wide review into whether outcomes are improving in line with resources or whether NDIS-style savings can be achieved.



# Cliff Notes: beyond the horizon

Elliot Clarke, Head of International Economics

Illiana Jain, Economist

Ryan Wells, Economist

The 2026/27 Federal Budget was the main event in Australia this week. Our [bulletin](#) provides a detailed view of the Government's fiscal position, policy measures and economic expectations over the forward estimates. Compared to the projections from MYEFO, the budget bottom line has improved owing to commodity price windfalls, with the deficit now expected to hold steady around 1.0% of GDP. Larger improvements in the Government's finances are anticipated in the outer years as the Government's major saving measures deliver. Of particular note is the clamp-down on NDIS spending announced in April, which is expected to relieve budget pressure from payment cost inflation and help keep Federal net debt low versus other OECD countries.

The tax reform proposed in the Budget was also consequential and broad-based, impacting negative gearing, the capital gains tax discount and discretionary trusts. [Our conversation with Chief Economist Luci Ellis](#) explores these proposed changes and the other key measures for households. Budget night also saw a number of initiatives put forward for [business](#) and [SMEs](#), alongside a range of reforms that should help foster productivity growth in the long run. While meaningful, these measures are not expected to materially add or detract from the fiscal impulse over the next couple of years, thereby having little impact on the RBA's policy calculus.

Our [Q1 Westpac-DataX Consumer Panel](#) meanwhile showed that consumers are having to reduce savings and discretionary consumption to absorb the spike in fuel and electricity prices (the latter now due to the roll-off of government rebates). Mortgage holders are well placed in aggregate to weather the shock from the Middle East and interest rate rises; but the distribution of buffers is varied, leaving some more exposed. Wages growth remains robust and is only slowing gradually, offering support to consumer demand without posing an immediate threat to inflation. That said, the pass-through of non-labour input cost inflation was a key message in this week's [NAB business survey](#), giving the RBA cause to remain cautious of inflation's potential persistence.

Last Friday in the US, nonfarm payrolls beat expectations, rising 115k in April with only a small -16k revision to the previous two months. This left the three-month average at 48k, consistent with labour demand and supply being in balance. The unemployment rate remained steady at 4.3% as the participation rate edged down 0.1ppts. On a multi-month view, the labour market can be characterised as a 'low hire, low fire' environment, a sentiment echoed by FOMC member Schmid this week. This backdrop should result in moderate wage growth over the coming year.

The April CPI then came in as expected at 0.6%, 3.8%yr. The headline outcome reflected a further 5.4% gain for gasoline prices after March's 21.2% surge. An outsized 0.6% increase in the shelter component was also observed, reportedly biased up by a delayed sample reset following the government shutdown late last year. Abstracting from these two effects, underlying inflation was modest in the month. Energy was also a major contributor to import prices in April, up 1.9% (0.7% ex-petroleum) to be 4.2% higher over the year. Seeing as the US is an energy product exporter, export prices have also strengthened of late, up 3.3% in April to be up 8.8%yr. US consumers look to be weathering the surge in energy prices well so far, headline and control group retail sales up 0.5% in April, a solid gain.

**“Tax refunds have supported spending of late, and established households continue to benefit from fixed interest rates and wealth gains”**

China's price data was also stronger than expected in April because of energy prices. Consumer inflation lifted to 1.2%yr, while producer prices were up 2.8%yr. Producer price gains were concentrated in the most energy-intensive sectors such as metals, while sectors more vulnerable to excess capacity saw price declines. While recent data has been encouraging for China's deflationary cycle, it is worth noting that it's the supply-side driving the outcomes, not demand. Further fiscal support will be required to sustainably lift China out of deflation.

Of course, the main event in China this week was not a data release but instead the meeting between President Xi and President Trump. While limited in terms of the detail, the outcomes were productive. The US has reportedly agreed to reduce its controls over China's access to technology; and in return, China will buy more commodities from the US. A "Board of Trade" is also to be set up to allow trade disputes to be resolved through bilateral negotiation. President Trump also reportedly emphasised the need for China to help bring the conflict in the Middle East to an end and re-open the Strait of Hormuz. Whether progress is seen on that front is an open question. President Xi has been invited to Washington in September to continue in-person discussions.

# Under the pump

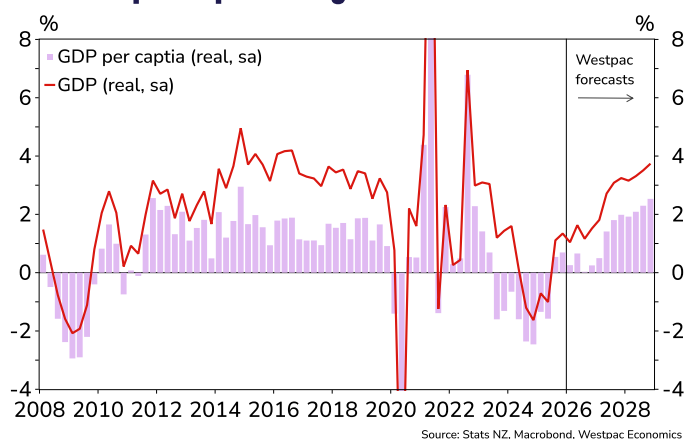


**Kelly Eckhold**  
Chief Economist NZ

The New Zealand economy has entered a far more challenging phase than expected earlier in the year. Momentum that had been building through late-2025 and early-2026 has been disrupted by the Iran conflict, which has delivered a sharp energy price shock, lifted inflation pressures and renewed uncertainty for households, businesses and policymakers alike. While a recession is not our central expectation, the outlook now points to another year of subdued growth, elevated inflation and a delicate balancing act for monetary and fiscal policy.

At the heart of the shift in outlook is the surge in global oil and refined fuel prices following the prolonged disruption in the Middle East. Real petrol and diesel prices in New Zealand are at multi-decade highs. Even if the conflict were to ease suddenly, damage to infrastructure and strained refinery capacity mean fuel costs are likely to remain elevated for some time. The result is a broad-based cost shock that is filtering through transport, production and distribution channels, weighing on spending power and lifting inflation well above comfortable levels. That said, this week's selected prices data for April showed weaker inflation pressures than we had pencilled in. Hence there is some modest downside risks to our June quarter CPI pick of 4.4% y/y. Food and fuel prices didn't rise by quite as much as anticipated.

## Total and per capita GDP growth



Economic growth has slowed as these pressures intensify. We now expect GDP growth of around 1.5% over 2026, a disappointing outcome given the more optimistic view we held in early 2026. Higher living costs are eroding real household incomes, while uncertainty is encouraging both households

and firms to delay discretionary spending and investment decisions. The services sector, retail trade and hospitality are bearing the brunt of this adjustment, reflecting their sensitivity to household budgets. Tourism, which had been recovering strongly, is also expected to pause as higher airfares and global uncertainty dampen long-haul travel demand.

This week's manufacturing PMI survey showed a modest pull back of the aggregate index to around 50.5 and a sharper decline in the new orders component to 48.2. On balance, these results look broadly consistent with our view that we will see a small decline in GDP in the June quarter. Early days on that assessment though.

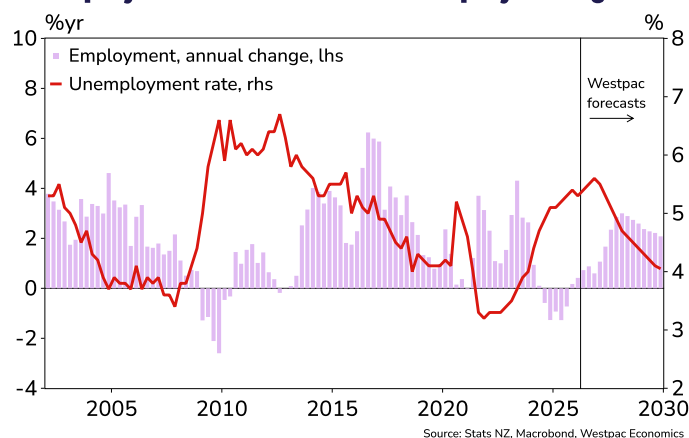
Households are facing a renewed squeeze on finances. Fuel prices have risen by more than 30% since the conflict began, compounding earlier increases in essentials such as food, electricity and insurance. At the same time, the labour market remains soft. Unemployment, while dipping marginally in early-2026, is expected to rise again to around 5.6% as firms respond cautiously to weaker demand and higher costs. Wage growth will hopefully remain muted relative to inflation but will limit households' ability to absorb the shock.

Interest rate dynamics add another layer of strain. Over the past two years many borrowers benefited from falling mortgage rates, but that easing phase is ending. Mortgage rates have begun to edge higher again, meaning households refinancing loans will see smaller reductions in repayments, and eventually gradual increases. Together, higher living costs, a soft jobs market and less interest-rate relief point to a sharp slowdown in household spending through the remainder of this year, before conditions gradually improve as cost pressures ease.

The labour market story is one of fragility rather than collapse. Prior to the Iran conflict, signs were emerging that employment growth was stabilising. However, hiring intentions have since weakened as firms grapple with higher input costs and uncertain demand. We now expect to see little employment growth in 2026, with unemployment peaking later this year. While there may be isolated pockets of skill shortages, overall labour market slack will restrain wage bargaining power, preventing a rapid acceleration in wage inflation despite rising living costs. Right now, we see few signs of a discontinuous labour market reaction to the war. Weekly filled jobs trends are tracking typical seasonal patterns while job advertisements for April fell just 1.7%.

Housing, which had shown tentative signs of recovery early in the year, has been knocked off course. Low interest rates,

## Unemployment rate and annual employment growth



improving confidence and a stabilising labour market had supported modest house price gains in the first quarter. These supports have largely evaporated. We now expect flat to slightly declining house prices over 2026 as confidence weakens and the prospect of higher interest rates re-emerges. Strong net migration will provide some underlying demand, but it is unlikely to offset the broader drag from weaker incomes and sentiment. Data this week confirmed that view with a 0.4% fall in house prices in April – albeit with a small fall in the average time to sell a home.

In the construction sector, recent momentum is unlikely to be sustained. Residential building activity is set to lift modestly in the near term as earlier consent approvals translate into work on the ground. However, rising fuel and materials costs, higher financing costs and elevated uncertainty are expected to curb new project initiation as we move into 2027. Commercial construction remains subdued, with office and industrial projects holding steady but little evidence of renewed expansion, particularly in retail and hospitality-related developments.

Business investment decisions are being deferred rather than abandoned. Surveys suggest firms have become more cautious, scaling back near-term capital expenditure plans while uncertainty around the conflict persists. Encouragingly, capital imports were strong in early-2026, indicating that momentum had been building prior to the shock. Over time, postponed investment — particularly in areas such as IT and software linked to the AI investment cycle — is likely to resume once conditions stabilise and confidence returns.

As we set out in more detail in [our preview of Budget 2026](#) this week, the fiscal outlook has also been impacted by the Middle East conflict. Higher inflation and interest rates are set to place upward pressure on government spending, particularly on social assistance and debt servicing, while weaker economic activity is weighing on revenue growth. As a result, the Treasury is likely to forecast a further lift the Government's borrowing requirement in Budget 2026 (perhaps \$7-9bn across the four-year forecast horizon). While an operating surplus in the final year of the forecast period remains possible, achieving it will require sustained

fiscal discipline. Even greater discipline will be required if the Government is to achieve its goal of a surplus a year earlier in 2028/29. And credible progress towards fiscal consolidation will be required if Moody's and Fitch are to remove the negative outlook that they have placed on New Zealand's sovereign credit rating.

The primary sector remains a relative bright spot. Export commodity prices are expected to stay elevated, supported by strong global protein demand and a supportive exchange rate. Higher energy, fertiliser and feed costs will squeeze margins in the near term, but prolonged price pressures offshore increase the likelihood of these costs being passed through to export prices. Dairy incomes are expected to remain resilient, helping to support rural regions and partially offset weakness elsewhere in the economy.

New Zealand's balance of payments looks set to deteriorate temporarily as higher fuel prices lift the import bill. At the same time, services exports — especially tourism — are set to slow. We expect the current account deficit to widen in the near term before narrowing again in 2027 as energy prices ease and tourism activity recovers.

Inflation is the central challenge. Headline inflation is expected to rise into the mid-4% range and remain above 3% until mid-2027. The energy price shock has spilled into a much broader range of costs, and ongoing increases in administered prices are reinforcing underlying inflation pressures. While economic slack should limit the extent of second-round effects, the risk remains that businesses begin to embed higher inflation expectations into pricing behaviour.

For monetary policy, this environment presents an uncomfortable trade-off. The 2.25% OCR was set assuming a much more benign inflation outlook. The OCR now looks too low given the scale of the coming cost and inflation shock. We expect the Reserve Bank to begin lifting the OCR to 3% and more neutral levels, most likely from September, but with the potential for a start as early as this month given it seems clear the key question is when not if the OCR needs to rise. How far and how fast the OCR ultimately rises will depend critically on the duration of the conflict and the persistence of inflation pressures.

Overall, the economy is navigating rocky waters. Growth is subdued, inflation is uncomfortably high, and confidence has taken a hit. However, there are grounds for cautious optimism once energy prices ease and uncertainty recede.

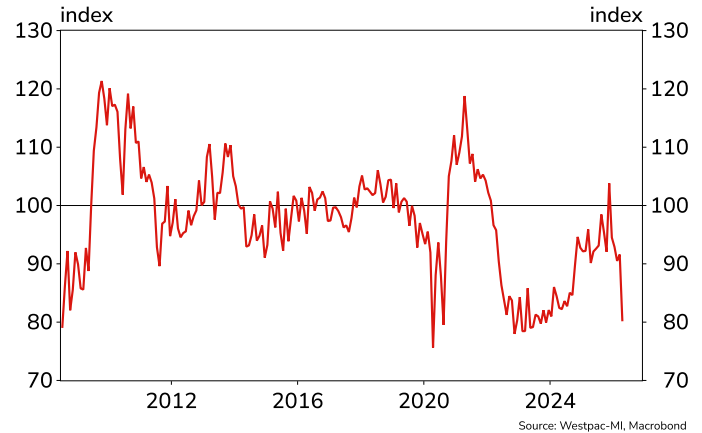
## AUS: May Westpac-MI Consumer Sentiment (index)

May 19, Last: 80.1

Consumer sentiment fell heavily in April, declining 12.5% to 80.1 from 91.6 in March. Consumers are being hit by another 'cost of living' shock as a spike in fuel prices combines with rising interest rates. The April sentiment drop was the biggest monthly decline since COVID. At 80, the Index is back near historical lows, albeit above the extremes seen during the pandemic and the recessions of the early 1990s and 1980s.

The May survey is in the field over the week ending May 16. It will capture reactions to the Federal budget and the RBA's latest 25bp rate increase. Local fuel prices have declined materially (~30 ¢ /litre since the April survey) due to the temporary halving of fuel excise tax and waiving of GST. This is despite no meaningful progress towards restoring supply out of the Middle East. Housing-related sentiment will be of particular interest given the major tax changes in the budget.

## Consumer Sentiment Index



## AUS: Apr Labour Force – Employment Change (000s)

May 21, Last: 14.9, Westpac f/c: 10.0  
Market f/c: 17.5, Range: 10.0 to 28.0

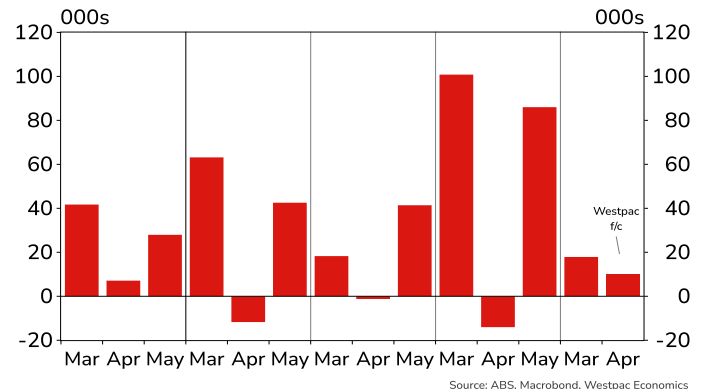
The March Labour Force Survey (LFS) showed that the overall labour market was in decent shape. Employment grew by +17.9k in March, lifting the annual growth pace up to 1.5%yr on a three-month average basis.

While it is still too early to detect any material shifts in the labour market stemming from the Middle East conflict or recent interest rate rises, we have pencilled in only a modest lift in employment for April, up 10k.

This captures some downside risk associated with the timing of the survey and Easter holidays. Our [preview](#) walks through this in more depth, but in short, this month's survey completely overlaps both Good Friday and Easter Monday – a 'seasonal abnormality' that could over-emphasise seasonal weakness.

## Employment Change in 'Full Overlap' Years

Years April LFS Covers Good Friday & Easter Monday



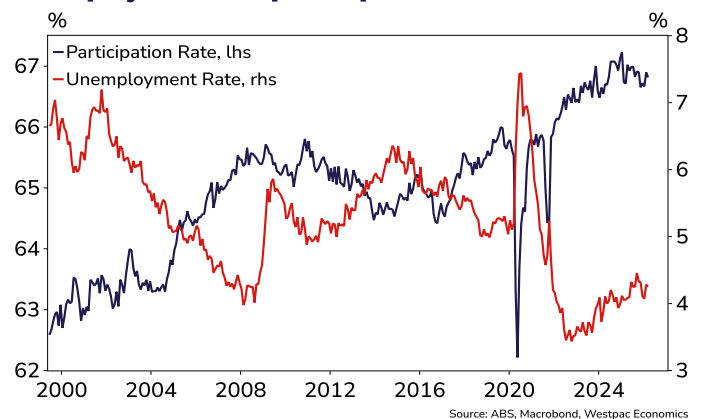
## AUS: Apr Labour Force – Unemployment Rate (%)

May 21, Last: 4.3, Westpac f/c: 4.3  
Market f/c: 4.3, Range: 4.2 to 4.4

Last month's labour market data challenged the RBA's earlier assessment that "the labour market has tightened a little recently". The fall in the unemployment rate to 4.1% around the turn of the year proved temporary, as it lifted back to 4.3% in February and held at that level in March.

For April, we think the participation rate and unemployment rate will hold steady at 66.8% and 4.3% respectively. As far as the RBA is concerned, the most immediate and pressing concern is inflation, so this round of labour market data (given there is no major surprise) is unlikely to shift the policy calculus materially.

## Unemployment and participation rates



## AUS: Q1 Westpac Now (%qtr)

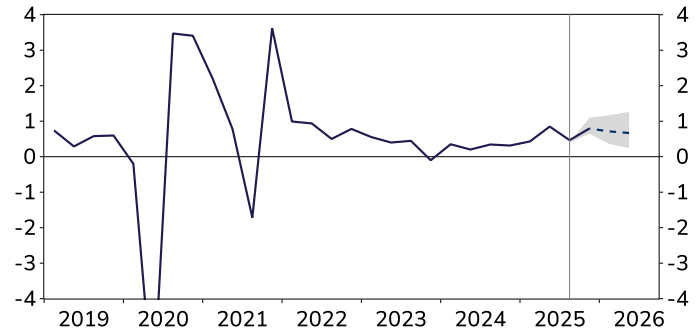
May 22, Last: 0.6

Westpac-Now points to moderating GDP growth of around 0.6%qtr in Q1 2026 (range: 0.55–0.75%qtr). The second estimate showed that monthly activity levels edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending an upswing that began in May 2025, even before the recent tightening in monetary policy could take effect.

We expect our final estimate for Q1 2026 to continue to suggest that activity eased into the first half of 2026. The sharp falls in consumer and business confidence that were largely looked through in our second estimate are likely to weigh on the growth impulse going forward.

## Quarterly GDP Growth\*

Quarterly % growth. Axis truncated for covid.



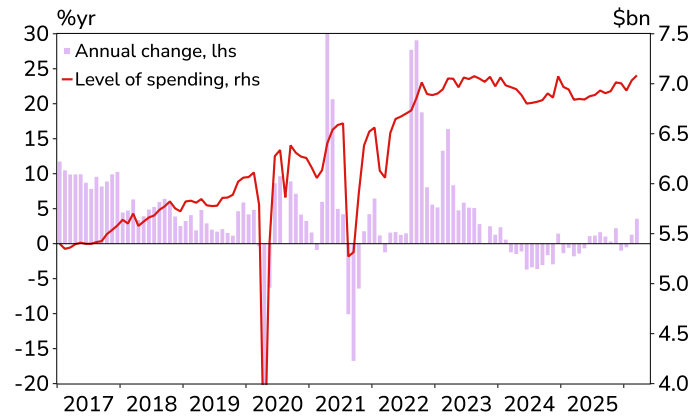
Source: ABS, Macrobond, Westpac Economics  
\*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q4 2025) relies on actual Westpac-MAI to January 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

## NZ: Apr Retail Card Spending (%mth)

May 19, Last: 0.7, Westpac f/c: 1.2

We expect the April spending update will show that nominal retail spending was up 1.2% over the past month. That's mainly due to the 15% rise in fuel costs over the past month, along with increased spending on groceries. However, spending in discretionary areas like apparel and hospitality is expected to be more muted. The fuel price spike is squeezing households' purchasing power, and households are winding back their discretionary spending. Of note, travel related spending (like airfares) has fallen sharply. However, much of that spending is not included in 'retail' spending categories. It is, however, captured in the 'total' spending category, which we expect will be down around 2% this month.

## NZ retail card spending



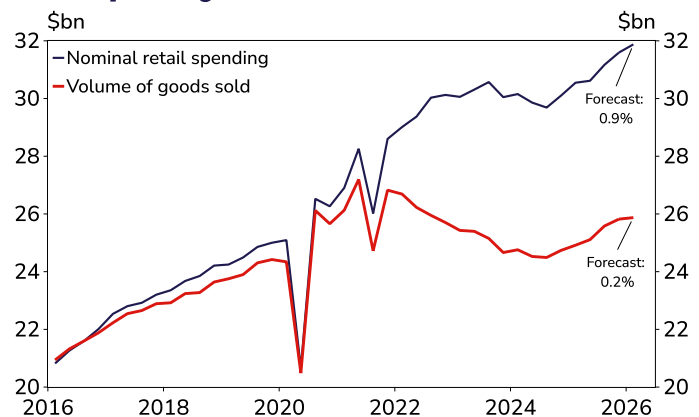
Source: Stats NZ, Macrobond, Westpac Economics

## NZ: Q1 Retail Trade Survey (%qtr)

May 22, Volumes, Last: 0.9, Westpac f/c: 0.2

The March quarter is expected to see a muted 0.2% rise in real retail sales. The latter part of March saw fuel prices rising sharply, and that has been a drag on spending. But we've also seen price rises in other areas like food. As a result, we expect a firmer 0.9% rise in nominal spending. One key area of uncertainty is vehicle spending, which can be lumpy on a quarter-to-quarter basis. Distributors reported a lift in sales of EVs late in the month, though we expect that will be balanced out by lower sales for combustion engine vehicles.

## Retail spending



Source: Stats NZ, Macrobond, Westpac Economics



# What to watch

|               | For | Data/Event                      | Unit    | Last  | Market f/c | Westpac f/c | Risk/Comment                                                       |
|---------------|-----|---------------------------------|---------|-------|------------|-------------|--------------------------------------------------------------------|
| <b>Mon 18</b> |     |                                 |         |       |            |             |                                                                    |
| NZ            | Apr | BusinessNZ PSI                  | index   | 46    | –          | –           | Has been soft, even prior to the Iran conflict.                    |
| Chn           | Apr | Retail Sales                    | ytd %yr | 2.4   | –          | –           | Tentative signs of a stabilisation in consumer demand but ...      |
|               | Apr | Industrial Production           | ytd %yr | 6.1   | –          | –           | ... trade's contribution to growth has further to run as ...       |
|               | Apr | Fixed Asset Investment          | ytd %yr | 1.7   | 1.7        | –           | ... green technology demand accelerates in light of US–Iran.       |
| <b>Tue 19</b> |     |                                 |         |       |            |             |                                                                    |
| Aus           |     | RBA Assist' Governor (Economic) | –       | –     | –          | –           | Hunter speaking at Bloomberg Forum, 9:30am AEST.                   |
|               | May | RBA Minutes                     | –       | –     | –          | –           | To provide more colour on the Board's deliberations.               |
|               | May | Westpac–MI Consumer Sentiment   | index   | 80.1  | –          | –           | Will provide a read post Federal budget and 25bp rate hike.        |
| NZ            | Apr | Retail Card Spending            | %mth    | 0.7   | –          | 1.2         | Increased spending on essentials.                                  |
| Jpn           | Q1  | GDP                             | %qtr    | 0.3   | 0.4        | –           | Heading into the global energy shock with GDP near–stagnant.       |
| UK            | Mar | ILO Unemployment Rate           | %       | 4.9   | 4.9        | –           | Dip in unemployment rate may prove short–lived.                    |
| US            | Apr | Pending Home Sales              | %mth    | 1.5   | 1.6        | –           | Early guide to established home sales, which is low and stable.    |
| <b>Wed 20</b> |     |                                 |         |       |            |             |                                                                    |
| Eur           | Apr | CPI                             | %ann    | 3.0   | 3.0        | –           | Final estimate to provide full component detail.                   |
| UK            | Apr | CPI                             | %ann    | 3.3   | 3.0        | –           | Inflation centred on fuel; core inflation broadly stable, for now. |
| US            | Apr | FOMC Meeting Minutes            | –       | –     | –          | –           | More colour on the balanced baseline and risk outlook.             |
|               |     | Fedspeak                        | –       | –     | –          | –           | Paulson.                                                           |
| <b>Thu 21</b> |     |                                 |         |       |            |             |                                                                    |
| Aus           | Apr | Employment Change               | 000s    | 17.9  | 17.5       | 10          | Still too early to see weakness from Middle East or recent ...     |
|               | Apr | Unemployment Rate               | %       | 4.3   | 4.3        | 4.3         | ... rate rises, but April 'abnormal seasonality' could surprise.   |
| NZ            | Apr | Trade Balance                   | \$mn    | 698   | –          | 845         | A seasonal surplus, weighed down by higher fuel imports.           |
| Jpn           | May | S&P Global Manufacturing PMI    | index   | 55.1  | –          | –           | Pull–forward of output and new orders before conflict impacts ...  |
|               | May | S&P Global Services PMI         | index   | 51.0  | –          | –           | ... services activity is delicately positioned.                    |
| Eur           | May | S&P Global Manufacturing PMI    | index   | 52.2  | 51.5       | –           | European manufacturing resilient for similar reasons ...           |
|               | May | S&P Global Services PMI         | index   | 47.6  | 48.0       | –           | ... but the gap lower in services is a concerning signal.          |
|               | May | Consumer Confidence             | index   | –20.6 | –20.0      | –           | Starting to probe pandemic–era lows as inflation lifts.            |
| UK            | May | S&P Global Manufacturing PMI    | index   | 53.7  | 53.1       | –           | Orders brought forward to get ahead of price lifts ...             |
|               | May | S&P Global Services PMI         | index   | 52.7  | 51.8       | –           | ... but firmer services activity certainly a welcome sign.         |
| US            |     | Initial Jobless Claims          | 000s    | 211   | –          | –           | Still at a very low level versus history.                          |
|               | May | Phily Fed Manufacturing         | index   | 26.7  | 15.0       | –           | Phily's momentum is enviable, but is at clear risk of easing ...   |
|               | May | Kansas City Fed Manufacturing   | index   | 10    | –          | –           | ... as headwinds start to materialise across the nation.           |
|               | Apr | Housing Starts                  | %mth    | 10.8  | –5.5       | –           | Sense of caution underlies the monthly volatile data as ...        |
|               | Apr | Building Permits                | %mth    | –11.4 | 2.7        | –           | ... permit issuance slows amid high new home inventory.            |
|               | May | S&P Global Manufacturing PMI    | index   | 54.5  | 53.6       | –           | Industry remains on a solid footing, like the ISM, but ...         |
|               | May | S&P Global Services PMI         | index   | 51.0  | 51.3       | –           | ... momentum in services at risk if consumer weakens.              |
| <b>Fri 22</b> |     |                                 |         |       |            |             |                                                                    |
| Aus           | Q1  | Westpac–Now                     | %qtr    | 0.6   | –          | 0.6         | Final estimate will provide a near complete read on Q1 activity.   |
| NZ            | Q1  | Real Retail Sales               | %qtr    | 0.9   | 0.5        | 0.2         | Price rises weighing on volumes growth.                            |
| Jpn           | Apr | CPI                             | %ann    | 1.5   | 1.6        | –           | Focus is on trend excl. food and energy for now.                   |
| Ger           | May | IFO Business Climate Survey     | index   | 84.4  | 84.6       | –           | Will souring expectations bleed into current situation view?       |
| UK            | May | GfK Consumer Sentiment          | index   | –25   | –27        | –           | Falling, but not 'collapsing' like in some other countries ...     |
|               | Apr | Retail Sales                    | %mth    | 0.7   | –          | –           | ... aiding growth in retail sales, even after excluding petrol.    |
| US            | May | Uni. Of Michigan Sentiment      | index   | 48.2  | 48.2       | –           | Final estimate will provide full reaction to recent updates.       |

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# Economic & financial forecasts

## Interest rate forecasts

| Australia                  | Latest (15 May) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|----------------------------|-----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Cash                       | 4.35            | 4.35   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.60   | 4.35   |
| 90 Day BBSW                | 4.44            | 4.55   | 4.90   | 4.90   | 4.95   | 4.95   | 4.95   | 4.80   | 4.55   | 4.30   |
| 3 Year Swap                | 4.64            | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 3 Year Bond                | 4.63            | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 10 Year Bond               | 4.96            | 5.00   | 5.05   | 5.05   | 5.05   | 5.05   | 5.00   | 4.95   | 4.90   | 4.90   |
| 10 Year Spread to US (bps) | 57              | 65     | 65     | 60     | 55     | 50     | 40     | 30     | 20     | 15     |
| <b>United States</b>       |                 |        |        |        |        |        |        |        |        |        |
| Fed Funds                  | 3.625           | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  |
| US 10 Year Bond            | 4.39            | 4.35   | 4.40   | 4.45   | 4.50   | 4.55   | 4.60   | 4.65   | 4.70   | 4.75   |
| <b>New Zealand</b>         |                 |        |        |        |        |        |        |        |        |        |
| Cash                       | 2.25            | 2.25   | 2.50   | 3.00   | 3.50   | 3.75   | 4.00   | 4.25   | 4.25   | 4.25   |
| 90 Day Bill                | 2.66            | 2.50   | 2.95   | 3.40   | 3.75   | 4.00   | 4.25   | 4.45   | 4.45   | 4.45   |
| 2 Year Swap                | 3.61            | 3.75   | 4.05   | 4.30   | 4.40   | 4.40   | 4.40   | 4.35   | 4.30   | 4.25   |
| 10 Year Bond               | 4.72            | 4.85   | 4.95   | 5.00   | 5.05   | 5.10   | 5.10   | 5.10   | 5.10   | 5.10   |
| 10 Year Spread to US (bps) | 23              | 50     | 55     | 55     | 55     | 55     | 50     | 45     | 40     | 35     |

## Exchange rate forecasts

|         | Latest (15 May) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|---------|-----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| AUD/USD | 0.7171          | 0.72   | 0.72   | 0.73   | 0.73   | 0.74   | 0.74   | 0.74   | 0.73   | 0.73   |
| NZD/USD | 0.5905          | 0.59   | 0.59   | 0.62   | 0.64   | 0.66   | 0.67   | 0.67   | 0.67   | 0.67   |
| USD/JPY | 158.55          | 157    | 156    | 154    | 152    | 150    | 148    | 146    | 144    | 142    |
| EUR/USD | 1.1646          | 1.18   | 1.18   | 1.19   | 1.20   | 1.21   | 1.22   | 1.22   | 1.22   | 1.22   |
| GBP/USD | 1.3354          | 1.35   | 1.36   | 1.37   | 1.38   | 1.39   | 1.40   | 1.41   | 1.41   | 1.41   |
| USD/CNY | 6.7999          | 6.80   | 6.75   | 6.70   | 6.60   | 6.50   | 6.45   | 6.40   | 6.35   | 6.35   |
| AUD/NZD | 1.2217          | 1.22   | 1.22   | 1.18   | 1.14   | 1.12   | 1.11   | 1.10   | 1.10   | 1.10   |

## Australian economic forecasts

|                       | 2025 |     | 2026 |     | 2027 |     |     |     | Calendar years |       |       |       |
|-----------------------|------|-----|------|-----|------|-----|-----|-----|----------------|-------|-------|-------|
| % change              | Q3   | Q4  | Q1f  | Q2f | Q3f  | Q4f | Q1f | Q2f | 2025           | 2026f | 2027f | 2028f |
| GDP %qtr              | 0.5  | 0.8 | 0.5  | 0.2 | 0.1  | 0.2 | 0.3 | 0.4 | –              | –     | –     | –     |
| %yr end               | 2.1  | 2.6 | 2.6  | 1.9 | 1.6  | 1.0 | 0.9 | 1.1 | 2.6            | 1.0   | 1.6   | 2.8   |
| Unemployment rate % * | 4.3  | 4.3 | 4.2  | 4.4 | 4.6  | 4.9 | 5.0 | 4.9 | 4.3            | 4.9   | 4.9   | 4.5   |
| Wages (WPI) (sa) %qtr | 0.8  | 0.8 | 0.8  | 0.8 | 0.8  | 0.8 | 0.7 | 0.8 | –              | –     | –     | –     |
| %yr end               | 3.3  | 3.4 | 3.3  | 3.2 | 3.2  | 3.2 | 3.2 | 3.2 | 3.4            | 3.2   | 3.0   | 3.4   |
| Headline CPI %qtr     | 1.3  | 0.6 | 1.4  | 1.5 | 1.4  | 0.5 | 0.6 | 0.6 | –              | –     | –     | –     |
| %yr end               | 3.2  | 3.6 | 4.1  | 4.9 | 5.0  | 4.9 | 4.1 | 3.2 | 3.6            | 4.9   | 2.5   | 2.2   |
| Trimmed Mean CPI %qtr | 1.0  | 0.9 | 0.8  | 1.1 | 1.1  | 1.0 | 0.8 | 0.7 | –              | –     | –     | –     |
| %yr end               | 3.0  | 3.4 | 3.5  | 3.9 | 4.0  | 4.0 | 4.0 | 3.6 | 3.4            | 4.0   | 3.0   | 2.4   |

\* Quarter-average.

## New Zealand economic forecasts

|                     | 2025 |     | 2026 |      | 2027 |     |     |     | Calendar years |       |       |       |
|---------------------|------|-----|------|------|------|-----|-----|-----|----------------|-------|-------|-------|
| % Change            | Q3   | Q4  | Q1f  | Q2f  | Q3f  | Q4f | Q1f | Q2f | 2025           | 2026f | 2027f | 2028f |
| GDP %qtr            | 0.9  | 0.2 | 0.8  | –0.3 | 0.4  | 0.6 | 1.1 | 0.6 | –              | –     | –     | –     |
| Annual avg change   | –0.6 | 0.2 | 0.6  | 1.2  | 1.3  | 1.3 | 1.6 | 1.8 | 0.2            | 1.3   | 2.7   | 3.4   |
| Unemployment rate % | 5.3  | 5.4 | 5.3  | 5.4  | 5.5  | 5.6 | 5.5 | 5.3 | 5.4            | 5.6   | 4.9   | 4.4   |
| CPI %qtr            | 1.0  | 0.6 | 0.9  | 1.8  | 1.2  | 0.4 | 0.5 | 0.0 | –              | –     | –     | –     |
| Annual change       | 3.0  | 3.1 | 3.1  | 4.4  | 4.5  | 4.4 | 4.0 | 2.1 | 3.1            | 4.4   | 1.6   | 2.1   |

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Week beginning 11 May 2026

# AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

## In this week's edition:

**Economic Insight:** Rate call tweak: August & September not June & August; Three challenging trends and the opportunities they present for Australian women.

**The Week That Was:** Dynamic risks.

**Focus on New Zealand:** All right so far.

## For the week ahead:

**Australia:** 2026/27 Federal Budget, Q1 housing finance approvals, Q1 WPI, NAB business survey.

**New Zealand:** RBNZ inflation expectations, house prices & sales, selected price indices.

**Japan:** Household spending, current account balance.

**China:** CPI, PPI.

**Euro area:** ZEW survey of expectations, Q1 GDP (second estimate), industrial production.

**United Kingdom:** Q1 GDP.

**United States:** CPI, retail sales, NFIB small business optimism, PPI, industrial production, import prices.

Information contained in this report current as at 8 May 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

# Rate call tweak: August & September not June & August



**Luci Ellis**  
Chief Economist, Westpac Group

We still expect two more RBA rate hikes after the one this week. However, as we flagged as a consideration on Tuesday, we now think that the Monetary Policy Board (MPB) will want to pause in June. In the post-meeting media conference, Governor Bullock characterised the three rate hikes so far as dealing with the high inflation issue that already existed before the conflict in the Middle East started, and that this “gives space” for the MPB to see how the conflict plays out. Together with the dissenting vote, we read this as saying that another back-to-back hike in June is no longer a better-than-50% chance. It is not a zero chance, either, but it should not be the base case.

We do not think the MPB will have much time to catch breath, though. Today we publish fresh forecasts in our May Market Outlook, based on a revised timeline for the reopening of the Strait of Hormuz. This includes a revised inflation forecast that, while only a little higher than our previous profile, involves noticeably higher trimmed mean inflation in the second half of 2026 than the RBA's forecasts.

The RBA acknowledges indications that “higher fuel prices are likely to have second-round effects on prices for goods and services more broadly”. Our assessment is that there will be more of this than the RBA forecasts imply, especially in areas such as home-building costs. It should also be noted that our inflation forecasts are based on our own forecasts for oil and fuel prices, which track somewhat higher than the futures curve that the RBA uses as a technical assumption in its forecasts.

**“We adjust the timing of our rates view given the RBA’s language and forecasts.”**

Our rates view is, as always, based on our assessment of what the RBA will do if things turn out as we expect, in line with our own forecasts. We therefore retain our view that two further hikes are more likely than one. It will take some time before the need for the additional hikes becomes apparent in the data and spurs a MPB decision, though. Key events between now and the June meeting, including the Federal budget and National Wage Case decision, are unlikely to turn the dial on the RBA forecasts. The RBA's reaction to the second-round inflation will thus be a bit later than we previously assumed.

We therefore push the timing of these two hikes out to August and September. We think the Q2 and Q3 inflation data will be something of a ‘wake-up call’ on the willingness of firms to pass on increases in non-labour costs into their own prices (though this is something we would be [glad to be wrong](#) about). Subsequent quarters may also show a lack of unwinding of recent downstream price increases as fuel costs ease. The Governor may come to regret stating that passing on costs arising from fuel price increases was “reasonable”, if this is interpreted to mean full pass-through with no reversal later.

This change in our rates view is a tactical change reflecting our assessment of the RBA's appetite to continue the current pace of tightening in the current uncertainty, coupled with its evidently less stark view about pass-through to other prices. It is not a fundamental shift in our view of the outlook. We will continue to monitor developments in the Middle East and domestic cost pass-through, and adjust our view as appropriate.

## Forecast changes

- A full update to our forecasts will be published in our Market Outlook publication on May 8.

# Three challenging trends and the opportunities they present for Australian women

- **Three big trends – the ageing population, the rise of AI, and the growing perception that people expect more of government – pose challenges for Australia and government policy.**
- **However, they also present opportunities for Australian women that might not be fully appreciated.**
- **How might the federal budget – and government policy more generally – help ensure that these opportunities are taken?**

Thanks to the Women in Economics Network for the opportunity to speak to you today and share the stage with such accomplished professional colleagues. I am grateful for the important work WEN does. Economics is a science of human behaviour. Our endowments, our priorities and – in some circumstances – our physiology can all matter for our choices and our economic outcomes. If economics does not incorporate those diverse perspectives, it loses the ability to explain human behaviour. A profession that is more balanced across both sexes is critical to getting that diversity of perspectives.

With so much going on in the world, it is all too easy to fixate on immediate problems, ignoring the longer-term issues – and opportunities. Today I want step back and talk about those longer-term trends. I will:

- outline three big trends shaping current and future outcomes
- highlight the opportunities these trends present for Australian women – not just the downsides
- suggest some ways that the federal budget, and government more broadly, might promote those opportunities, rather than focus only on the downsides.

These three trends are:

- The ageing population
- The AI technology revolution – and it is a revolution
- Rising expectations of government – perceived or real

## Ageing population, growing workforce

Many in the room will be under the impression that population ageing means a shrinking workforce. I am here to tell you that this is not true. [Work with my Westpac colleague Ryan Wells](#) back in September shows that in most Western economies, the labour force participation rate is in fact rising. In Australia it is on a five-decade up-trend, reaching historical highs in recent years.

Yes, the share of older people in the population is increasing. Population ageing happens because we are living longer, healthier lives. People will make different choices when lifespans lengthen. They will work for longer and retire later.

Part of this stems from policy changes, such as higher pension eligibility ages. But much of it is the choices people make, knowing that they would otherwise need to fund very long retirements, and knowing that they do not need to retire early due to ill-health in the same numbers as previous generations did. Thus participation rates within age groups rise, especially the 55–64 age group. This can be (and for Australia, so far is) enough to offset the rising share of older people.

The reason for this counter-intuitive result is an example of first-round thinking not being enough. We need to account for people's responses changing as circumstances change. Just as Toyota taught us to ask "why" five times to get to the root cause, we must ask, "and then what?" five times to understand how a longer-term trend will play out. Changes in age mix do not happen in isolation. The "and then what" is that participation rates within age groups rise and can more than offset an ageing population mix.

I suspect that people also missed this trend because it is not happening in the United States. US life expectancy has not really increased in the past couple of decades; premature death is much higher than in peers such as Australia and Europe. And so participation of the 55–64 age group, and even the prime-age 25–54 group, in the US lags other advanced economies. The gap is now such that overall participation in Japan is noticeably higher than in the US, despite Japan's population being much older on average.

## How this is an opportunity for Australian women

Population ageing does present opportunities for women. First, some of the increase in overall participation stems from still-rising participation by women in the 25–54 age group, not just from older workers. There will always be some jobs – say, furniture removal – where male upper body strength will remain an advantage. As the workforce changes, though, job design will need to evolve to fit those changes, and the changes driven by an ageing workforce and a more female workforce are likely similar.

In addition, as lifespans and working lives lengthen, career breaks for family reasons become less of a setback in the accumulation of retirement savings. Since women are more likely to take such breaks than men, this eases a current disadvantage.

## How the federal budget might support this

If government wants to realise the opportunities created by an ageing population and an expanding workforce that is older and more female, it should do everything it can to smooth the path for women to enter the workforce, re-enter the workforce after a break, and stay in the workforce as long as they feel able.

Getting the NDIS on a sustainable footing and back to its core purposes of supporting the severely disabled and reducing family members' caring burden is a singular example of what is needed. The "sandwich generation" task of caring for children and elderly parents simultaneously is a disproportionately borne by women. Well-funded support in schools, with support and training for teachers and parents alike, may support some families with children currently on the NDIS better than a system that creates more life admin by funding appointments with service providers, which parents need to attend with their children.

More broadly, designing every program with the principle of reducing life admin for families should be a red thread through all federal and state initiatives.

Tax and retirement policy could be reshaped to ensure women who took career breaks are not held back by cliff effects and complexity from accumulating the needed retirement savings.

I note also that much of Australia's economic policy apparatus has been built on the false assumption that ageing results in a shrinking workforce. Separately, therefore, budgets, the Intergenerational Review and other policies should be revisited so forecasts and program design can be based on actual trends, not first-round thinking.

## AI and the new technology wave

Turning to the AI revolution – I use that word intentionally. The scope and capability of this new general-purpose technology have expanded enormously, with a pace that defies belief. Anything you thought about this technology based on what you knew six months ago is obsolete. There is a lot we do not know about how this will play out. Still, we can think through some implications, again beyond the first round of responses.

### How this is an opportunity for Australian women

I see three opportunities from the AI revolution that might specifically benefit women. Firstly, with everything being so new and moving so quickly that almost nobody knows anything, it is easier to step into a field, or back into the workforce after a pause. Seismic breaks in the landscape of work mean past career breaks in a CV should be less of a disadvantage.

Secondly, AI might weaken the hold of what Harvard economics professor Claudia Goldin termed "greedy jobs", those where long, continual hours are expected and frenetic pace early on builds experience and skills that allow career progression later. If agents can instead carry the context and assist with some tasks, "always on" continuity becomes less of an imperative. The jobs may become greedier of cognitive skills and the ability to orchestrate all those agents. Relative to careers that demand sheer "presence" and long, frenetic hours early in your career, though, this should help level the playing field between the two sexes, *provided institutional norms also change*. (I recognise this is a critical assumption.)

Thirdly, granted there is still much uncertainty and debate

about which jobs will remain in demand and which will be less prevalent as this technology percolates. There is, however, good reason to believe that those least prone to full automation include those in-person, so-called 'caring' occupations that have provided so many job opportunities for women.

I note also that Australia is well-placed more broadly to take advantage of this new technology. Contrary to the stereotype of Australia being mostly about resources and financial services, this country has a burgeoning software industry that is already taking advantage of the newest tools. Coming from almost nothing a decade ago, Australia now boasts a software licensing export industry that brought in \$9½ billion of export revenue in 2025. For perspective, this is bigger than aluminium or copper, and almost as big as last year's wheat exports.

I would also note that concerns about unequal returns to the AI boom are less relevant in Australia. Even if all the profits accrue to a few tech firms – a debatable proposition – almost all Australians will have exposure to this upside through their superannuation funds.

### How the federal budget might support this

Of course, there was no government program or special initiative to create a software export industry. And this points to what the budget, and government, can and should do in this space – don't get in the way of the good bits or think that it is the government's role to lead and guide in every realm of endeavour.

There are of course privacy, child protection and national security angles to AI tools that warrant intervention and an appropriate regulatory framework. Just don't get in the way of allowing women to lean into this future.

I note reports of government concern that AI might fuel work intensification, which would be creating "greedy jobs" by other means. Before rushing to regulate in this sphere, though, we should check that intensification is a material issue. There is reason to think the opposite might end up being true. As agents become more reliable partners to hand off work to, human cognitive contribution becomes both more important and less time-bound. Just as the assumption that population ageing would shrink the workforce turned out to be wrong, so might the idea that AI necessarily intensifies work beyond an initial period of experimentation.

## Growing perception that people expect more of government

The third big trend I want to address today might or might not be real, but it is certainly a growing perception in policy circles: that people expect more of government nowadays, and that governments should therefore deliver on those expectations. We see a rising call for government support in more circumstances. The rapid growth in scope and cost of the NDIS is the canonical example in a traditional area for government involvement. Expanding industry policy shows how the scope of policy can broaden as well as deepen.

Regulation and governance now touch an increasing set of activities, and the nature of that regulation is expanding. Whether it is the number of agencies firms need to seek approval from to build something, or the number of pages in the Income Tax Assessment Act (just one of current 12 volumes has a similar page count to the 1997 version), I am reminded of that well-known feminist philosopher Avril Lavigne's lyric, "why'd you have to go and make things so complicated?" The answer is, of course, that there was always one more thing that someone with the best of intent thought should be added.

The consequences of this belief about public expectations are evident in the rising share of household income being paid in income tax, rising regulatory footprint, and, as with some of the public programs I have already mentioned, a rising life admin burden that falls disproportionately on women.

I also worry that decisions to intervene shape decisions in ways that harm future resilience. If every adverse event is met with a government intervention to cushion the blow, a kind of "learned helplessness" can emerge, for firms and industries as well as individuals.

### ***How this is an opportunity for Australian women***

The consequences of this belief are not all bad, though. An area where the footprint of government has expanded to the benefit of women has been greater scope of crisis payments, especially for women and children escaping domestic and family violence. To the extent that this means more women can escape violence in the first place, it is surely a good outcome.

In addition, as I noted earlier, the expansion of the "care economy" and the regulatory footprint more broadly has been positive for women's employment. Especially in a relatively sex-segregated occupational job market like Australia's, health, education and social care roles are disproportionately female-coded. Using the industry of a person's main job to categorise, women and girls make up 48% of total employment, but more than 70% of employment in health, social care and their sub-industries. Public administration and financial services also have above-average female employment shares.

### ***How the federal budget might address this***

Still, it would be good if these benefits could be reaped without all the admin, the complexity and the cost of our current system. If there is one thing I would hope for from this and future budgets, it is to take Ms Lavigne's words to heart and make things less complicated.

Every intervention deserves scrutiny on this front. Without advocating specific changes, I instead offer the principle that governments should hesitate and ideally refrain from policies and programs where the answer to any of the following questions is "yes".

- Does the intervention take away choice?
- Does the intervention promote learned helplessness?
- Has the support been overcomplicated?
- Does the intervention involve re-litigation of a safety standard or an evidence base that has already been established elsewhere?

On the last of these, the axiom I have in mind is "if it is safe enough for Europeans, it should be safe enough for Australians". There are some exceptions, such as the need to build differently in a bushfire-prone continent. But from car booster seats to bike helmet laws for adults, Australia has shown a consistent tendency to go further on perceived safety than its European counterparts. Similarly, if evidence reviews by the health authorities of enough peer European nations show that a particular medical intervention is ineffective, we do not need to redo the analysis on smaller Australian datasets to stop performing and funding that intervention here.

## **Conclusion**

To sum up, it is an uncertain world, though nobody ever says things are less uncertain than usual. All the more reason to keep sight of the big trends that will shape our futures even when current volatility is past. The good news is that these trends present opportunities for Australian women, but only if we ensure that other priorities – real or perceived – do not prevent us from making use of these opportunities. Thank you.



# Cliff Notes: dynamic risks

Elliot Clarke, Head of International Economics

Illiana Jain, Economist

Ryan Wells, Economist

In an 8-1 vote, the RBA Monetary Policy Board (MPB) delivered its [third consecutive rate hike](#), raising the cash rate by 25bps to its prior peak of 4.35%. The MPB stated that “the conflict in the Middle East has resulted in sharply higher fuel and related commodity prices” and that “this is likely to have second-round effects on prices for goods and services more broadly.” Inflation is now expected “to remain above target for some time”. The MPB are also attune to the risk of “price rises get[ting] built into longer term inflation expectations” in the event of a longer, or more severe, conflict.

In a video update midweek, [Chief Economist Luci Ellis](#) noted that Governor Bullock’s press conference was a bit more dovish than we had anticipated, with the last three hikes framed as giving some space for the MPB to assess how the risks evolve. That said, the staff’s forecasts – which are predicated on an assumption of around one-and-a-half more rate hikes – have underlying inflation peaking at 3.8%yr in Q2 2026 and not returning to target until the end of its forecast horizon at June 2028. Inflation risks are firmly skewed towards a higher peak and potentially a slower return to target. We therefore continue to expect another two rate hikes from the RBA in coming months. But, given Governor Bullock’s somewhat more cautious tone, we admit the case for June is now more finely balanced.

Rate hikes already look to be having an effect on the housing market, with national [dwelling price growth](#) slowing from a monthly pace of 0.6% in January to 0.2% in April. Performance across the capital cities is mixed, with prices down in Sydney and Melbourne prices but still rising in Brisbane, Adelaide and Perth. While a firming uptrend for [dwelling approvals](#) bodes well for supply, cost pressures stemming from the Middle East conflict will likely cause delays and some second thoughts on projects planned but not commenced.

Trends across other parts of the economy are also starting to shift. The ABS’ nominal [household spending indicator](#) bounced 1.6% in March on account of higher fuel costs, mirroring our own consumer [card activity](#) data. Abstracting from price effects, we expect real consumption to gain 0.6% in Q1; however, outside of fuel and electricity (buoyed by the rebate roll-off), the spending pulse looks faint. This speaks to the more challenging economic outlook taking hold across the nation, particularly in [non-mining states](#) where revenue constraints and higher expenses provide less scope for fiscal support.

Before moving offshore, a final note on trade. Unlike the shocks of recent years which benefitted Australia’s net trade position, recent data revealed the nominal [goods trade surplus](#)

[buckled into deficit](#) in March for the first time since 2017. Higher fuel import costs (+37.4%) and volatility in gold played important roles. But the chief culprit behind the surprise was a remarkable surge in data processing machine imports, up \$2.9bn or 300% in the month. While noisy and likely a wash for GDP – being offset by inventories or investment – this is clear evidence of the global AI investment drive reaching Australia’s shores.

Offshore, markets have been pre-occupied by developments in the Middle East. At the beginning of the week, President Trump announced Project Freedom, an initiative to provide safe passage through the Strait of Hormuz to ships stuck in the Persian Gulf. As soon as the operation commenced though, skirmishes were seen between the US and Iranian military. UAE energy infrastructure was also targeted.

The US did not retaliate, however, instead referencing an end to the offensive portion of this war. And, within two days, Project Freedom was suspended indefinitely to make way for further intermediated negotiations. Reports suggest progress has been made, albeit without detail. Iran is arguably coming under greater pressure to make a deal, with China’s Foreign Minister emphasising this week the need for a quick end to the conflict and re-opening of the Strait while meeting Iran’s Foreign Minister. The timing of this development is not a surprise considering President Trump and President Xi are due to meet mid-month.

Data releases were uneventful this week. The ISM services index for April eased slightly to 53.6. The new orders index fell 7.1pts to 53.5, slightly below its 10-year pre-COVID average, and the employment indicator rose 4pts but remained weak versus history. The latest JOLTS job openings data and ADP private payrolls release were broadly consistent with balance between labour demand and supply. For the FOMC, this will keep the focus on inflation risks. Guidance given by FOMC members this week was consistent with this view.

A full update on our expectations for the global economy, Australia and New Zealand is available on [Westpac IQ](#) in our [May Westpac Market Outlook](#).

# All right so far



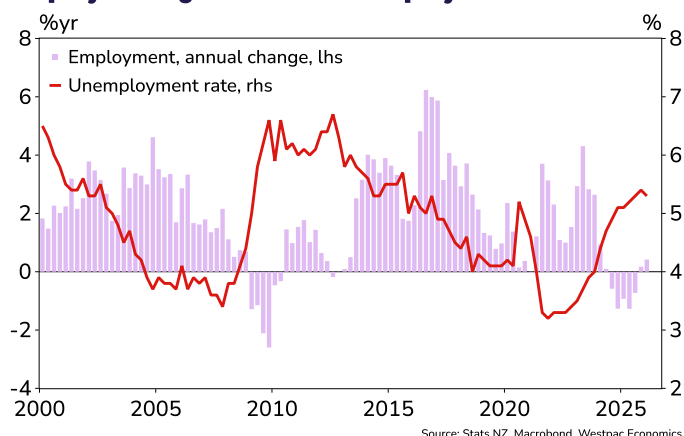
**Michael Gordon**  
Senior Economist

The March quarter labour market surveys continued a refrain that we're probably going to be hearing for a few more months: the New Zealand economy was starting to find its footing again prior to the Iran conflict. Whether subsequent events prove to be a delay to the recovery process, or something more serious, remains to be seen. But it's important to note that New Zealand was coming into this shock with different inflation dynamics to our Australian cousins, with activity only just starting to gain momentum and a significant degree of slack in the labour market.

The Household Labour Force Survey (HLFS) showed the unemployment rate ticking down from 5.4% to 5.3% in the March quarter, its first decline after four straight years of increases. This was better than the flat result that we and the market were expecting, but it was in line with the RBNZ's (now somewhat dated) February *Monetary Policy Statement* forecasts.

The number of people employed rose by 0.2% over the March quarter, following a 0.5% rise in the previous quarter. This was broadly in line with the Monthly Employment Indicator (MEI), a more comprehensive measure that is based on income tax data but does have some definitional differences. The level of employment is now up 0.4% on a year ago – though that's still behind the rate of growth in the working-age population, which was up 1.1% despite the subdued migration trends over the last year.

## Employment growth and unemployment rate



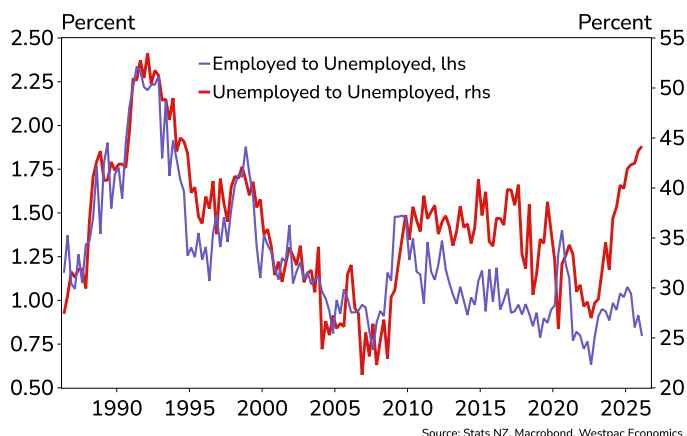
The evidence of a lift in activity was consistent across a range of measures. The HLFS found a 0.8% rise in total hours worked, on top of the 1.2% rise in the December quarter. 'Usual' hours

rose by a more modest 0.4%, indicating that employers are continuing to try to get more out of their existing workers before resorting to hiring again. Meanwhile the business-focused Quarterly Employment Survey (QES) reported a 0.7% rise in full-time equivalent workers and 0.6% gains in filled jobs and paid hours. All of these are supportive of our forecast of a 0.8% rise in March quarter GDP (which we expect will also be boosted by seasonal distortions).

Beneath these generally positive results, there are some clear indications of the unevenness of economic conditions to date. One is that the unemployment rate has broadly levelled out in the South Island over the last two years, while steadily rising in the North Island. The strong returns to the agricultural sector are likely to have been a factor in this divergence, although not the only one.

Another is the quarterly flows between labour force status, which starkly demonstrate the "no-fire, no-hire" jobs market. The rate of job losses, which never rose particularly high during the downturn, has now fallen back to levels that in the past would've been consistent with a tight labour market. But for those who do find themselves out of work, it's harder to get back in than it has been for decades.

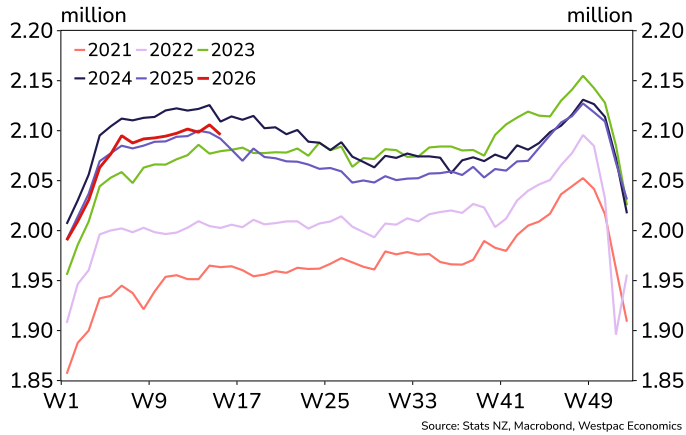
## Labour force transition rates



Given the rapid escalation of the conflict in the Middle East, any economic data relating to the March quarter is inevitably going to come across as dated. (The March month is too soon to expect to see a labour market response, as it tends to be one of the more lagging aspects of the economic cycle.) We'll be keeping an eye on higher-frequency data for any signs of emerging stress, such as the weekly filled jobs snapshots

provided by Stats NZ. The timeliest of these measures, which goes up to the week ended 12 April, suggests that things are holding in so far, with the number of jobs continuing to track slightly above year-ago levels.

## Number of filled jobs (20-day lag)



Wage pressures – which are even more of a lagging indicator – remained subdued in the March quarter. The Labour Cost Index (LCI) rose by 0.5% for the quarter, leaving annual growth unchanged at 2.0%. The distribution of pay increases continues to converge on the 2-3% range, compared to the larger increases that had become more common in previous years.

This is unsurprising given the degree of spare capacity in the labour market that has accumulated over the last few years: an unemployment rate of 5.3% is some way above the 'neutral' or non-inflationary rate, which we would put in the range of 4-4.5%. This is a crucial difference between now and the post-Covid inflationary surge, where an extremely tight labour market created the conditions for a feedback loop between wage and price inflation.

Given the slightly better than expected starting point for the March quarter, we will be reviewing our near term labour market forecasts in our latest *Economic Overview* next Wednesday.

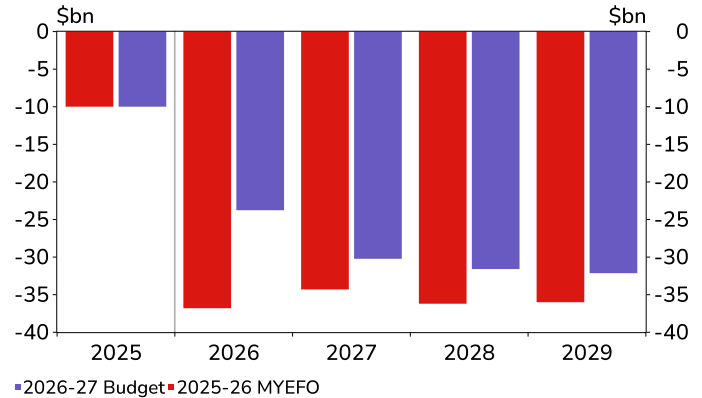
## AUS: 2026/27 Federal Budget

May 12

The energy supply shock arising from the Middle East conflict is the dominant influence on next week's Budget. Recent messaging highlights a dual focus on near-term cost-of-living and business support, alongside medium term reforms aimed at strengthening economic resilience and productivity.

Parameter variations, largely driven by higher commodity prices, are expected to deliver a net boost of around \$27bn over the four years to FY2029. Policy decisions are modest, and front loaded, subtracting around \$2bn over the same period. Underlying measures, however, are significant, including increased defence investment, health funding and energy security initiatives. Execution will be critical to avoid a deterioration in the fiscal position, particularly amid ongoing inflation pressures. For more detail, see our full [preview](#).

## Underlying cash balance estimates\*



Source: ABS, 2025-26 MYEFO, Macrobond, Westpac Economics  
\*2026-27 Budget are Westpac estimates.

## AUS: March Wage Price Index (%qtr)

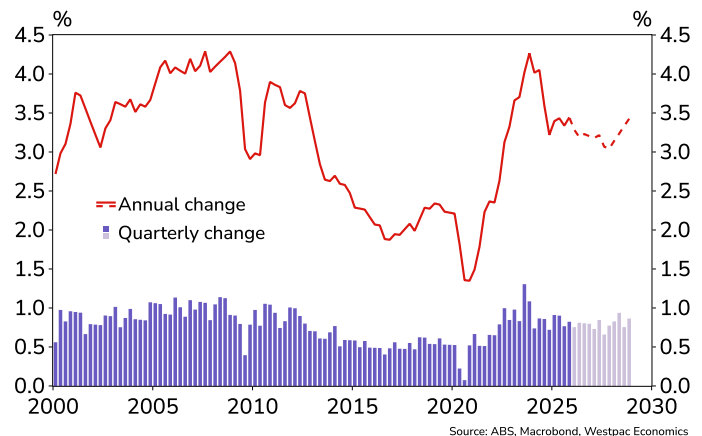
May 13 Last: 0.8, Westpac f/c: 0.8  
Mkt f/c: 0.8, Range: 0.8 to 0.9

The Wage Price Index (WPI) rose 0.8% in December, on par with Westpac and the market estimate. The annual pace lifted from 3.3%yr to 3.4%yr but this was largely due to regular revisions of seasonal factors which revised down September's print. More importantly, we have two quarters of 0.8%, a step down from the 0.9%qtr prints in the first half of 2025.

We continue to see a step down in Individual Arrangements wages offsetting a pick-up in Awards and Enterprise Bargaining wages holding our March quarter increase to 0.8% which will see the annual pace ease back to 3.3%yr.

All eyes will be on the upcoming Minimum Wage/Award rates of pay decision. Our current forecast for a 0.8% increase in the September quarter incorporates a 4.25% decision.

## Wage Price Index



Source: ABS, Macrobond, Westpac Economics

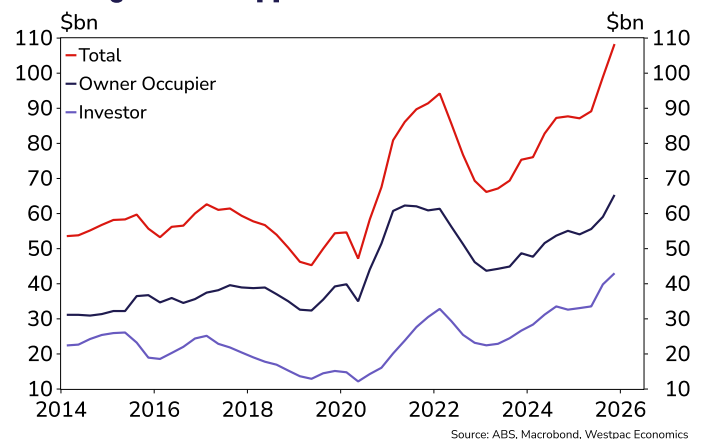
## AUS: Q1 Housing Finance Approvals (%qtr)

May 13 Last: 9.5, Westpac f/c: 7.0  
Mkt f/c: 0.1, Range: -3.0 to 7.0

The total value of housing finance approvals rose 9.5% in Q4, lifting annual growth to 23.5%yr after upward revisions. Owner-occupiers drove the surge, with first home buyers particularly active following the expanded 5% deposit guarantee scheme. Investor lending was also strong, up 7.9%qtr and 31.8%yr.

The Q1 update is expected to show another robust gain. Credit growth accelerated in early 2026 with another notable step up in investor housing credit growth to 9.6%yr. The expanded First Homebuyer Guarantee scheme is also likely to have had a continued boost. Against this, turnover and price growth in the established softened a touch in Q1. All up, we expect the total value of finance approvals to post a 7% gain.

## Dwelling Finance Approvals



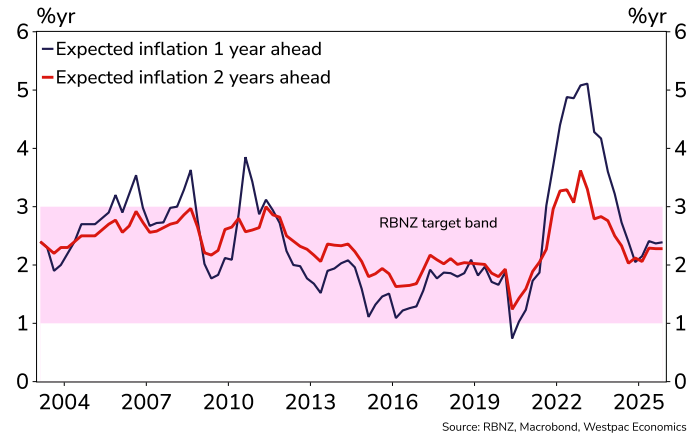
Source: ABS, Macrobond, Westpac Economics

## NZ: Q2 RBNZ Survey of Inflation Expectations (%yr)

May 13, Two years ahead last: 2.37

This is one of several surveys the RBNZ will be watching to see if the current uplift in inflation is contributing to a more enduring uplift in pricing pressures. The survey's measures of inflation expectations, including the closely watched two-year ahead measure, had already picked up even before the recent uplift in oil prices. With signs of increasingly widespread cost pressures emerging in recent weeks, the risks are tilted towards another step higher in the latest survey. Other recent surveys of expected inflation and pricing intentions have already taken a step higher.

## Inflation expectations within the target range

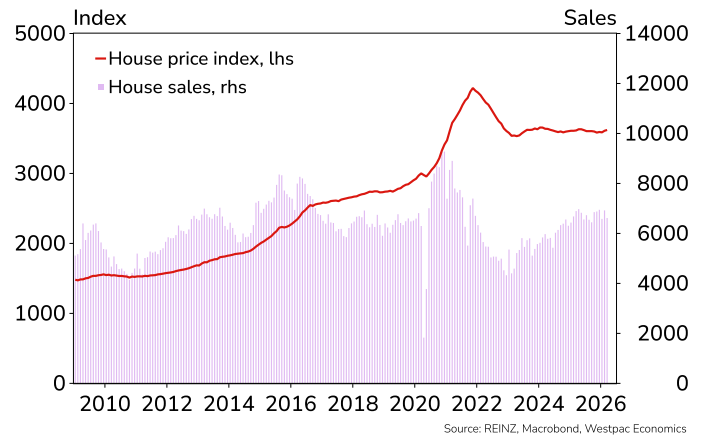


## NZ: Apr REINZ House Sales and Prices (%yr)

May 14, Sales last: -0.1, Prices last: 0.2

March proved to be a slightly perkier month for the housing market, with house prices picking up for a second straight month. However, the trend in sales has remained largely sideways, and there are indications of a softening in activity in April (even after accounting for the public holidays during the month). Aside from the uncertainty engendered by the Iran conflict, mortgage rates have been lifting off their lows for several months now. We're forecasting a 1% fall in prices over 2026.

## REINZ house sales and prices

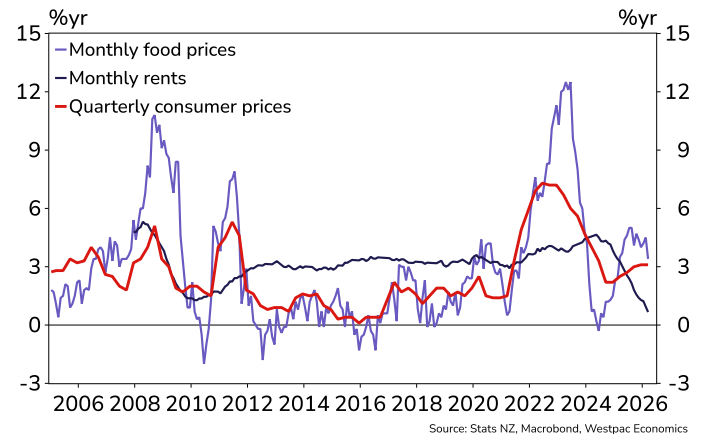


## NZ: Apr Monthly Selected Prices (%mth)

May 15

Petrol prices are expected to be up 16%. However, the bigger focus will be on any downstream impacts that are emerging. At this stage, such impacts will most likely be seen in transport related costs, such as airfares. Other related cost increases are likely to become more evident over the next few months. We also expect another firm 2% rise in electricity prices. While such cost increases will be the focus, there could be some softness in areas like holiday accommodation. Housing rents (the single biggest component of the CPI) are also likely to remain soft – we're expecting another flat result (in contrast to the usual seasonal lift). Food prices are expected to be up 0.5%, with the rise in the minimum wage likely to boost hospitality prices modestly.

## NZ selected consumer prices





## US: Apr CPI (%mth)

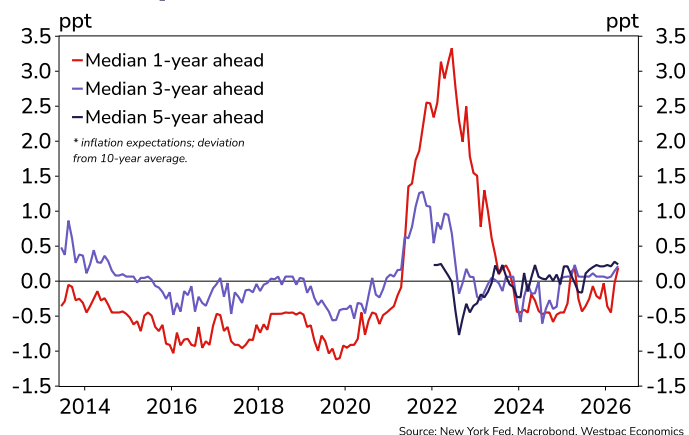
**May 12 Last: 0.9, Westpac f/c: 0.8**  
**Mkt f/c: 0.6, Range: 0.4 to 0.7**

In March, the first consequences for US consumer inflation from the Middle East conflict became clear as headline prices rose 0.9% in the month. Notably though, there was no evidence of secondary effects, with food prices flat and core inflation benign at 0.2%.

A similar breakdown is likely in April. We forecast a 0.8% gain in headline prices, but only a 0.3% lift excluding food and energy. Secondary passthrough is likely to take time to show itself, particularly given the deceleration in consumer demand growth to a below-trend pace evident over the past year.

Still, along with tight capacity, the margin compression being experienced is an additional reason to believe US inflation will remain above target for the foreseeable future.

## Inflation expectations contained



# What to watch

|               | For | Data/Event                     | Unit  | Last   | Market f/c | Westpac f/c | Risk/Comment                                                    |
|---------------|-----|--------------------------------|-------|--------|------------|-------------|-----------------------------------------------------------------|
| <b>Mon 11</b> |     |                                |       |        |            |             |                                                                 |
| Chn           | Apr | CPI                            | %ann  | 1.0    | 0.9        | –           | Energy costs providing a boost to inflation ...                 |
|               | Apr | PPI                            | %ann  | 0.5    | 1.8        | –           | ... but spare upstream capacity remains.                        |
| US            | Apr | Existing Home Sales            | %mth  | –3.6   | 2.4        | –           | Low turnover in established market reflects rate pressures.     |
| <b>Tue 12</b> |     |                                |       |        |            |             |                                                                 |
| Aus           | Apr | NAB Business Conditions        | index | 6      | –          | –           | Conditions stable despite a collapse in confidence.             |
|               |     | 2026/27 Federal Budget         | –     | –      | –          | –           | Commodity price windfalls will support the bottom-line.         |
| Jpn           | Mar | Household Spending             | %ann  | –1.8   | –1.3       | –           | Households on fragile footing, even before Middle East.         |
| Eur           | May | ZEW Survey Of Expectations     | index | –20.4  | –          | –           | Views on economic growth have deteriorated materially.          |
| US            | Apr | NFIB Small Business Optimism   | index | 95.8   | 96.0       | –           | Small businesses showing concern, but not outright stress yet.  |
|               | Apr | CPI                            | %mth  | 0.9    | 0.6        | 0.8         | Energy buoys headline, capacity constraints keep core elevated. |
|               |     | Fedspeak                       | –     | –      | –          | –           | Goolsbee.                                                       |
| <b>Wed 13</b> |     |                                |       |        |            |             |                                                                 |
| Aus           | Q1  | Wage Price Index               | %qtr  | 0.8    | 0.8        | 0.8         | Individual bargained wages have been moderating.                |
|               | Q1  | Housing Finance Approvals      | %qtr  | 9.5    | 0.1        | 7.0         | Investors and FHB schemes to boost lending activity.            |
| NZ            | Q2  | RBNZ Inflation Expectations    | %ann  | 2.4    | –          | –           | RBNZ will be watching for signs of lift at longer horizons.     |
| Jpn           | Mar | Current Account Balance        | ¥bn   | 3932.7 | 3884.9     | –           | Yen appreciation and financial market volatility at play.       |
| Eur           | Q1  | GDP                            | %qtr  | 0.1    | 0.1        | –           | Second estimate will provide more detail around drivers.        |
|               | Mar | Industrial Production          | %mth  | 0.4    | –          | –           | Slipping back into contraction as cost pressures lift.          |
| US            | Apr | PPI                            | %mth  | 0.5    | 0.5        | –           | Clear evidence of upstream price pressures coming through.      |
|               |     | Fedspeak                       | –     | –      | –          | –           | Kashkari.                                                       |
| <b>Thu 14</b> |     |                                |       |        |            |             |                                                                 |
| Aus           | May | MI Inflation Expectations      | %ann  | 5.9    | –          | –           | Will the fuel excise cut re-anchor near-term expectations?      |
| NZ            | Apr | REINZ House Prices             | %yr   | 0.2    | –          | –           | Sale prices have ticked up in recent months...                  |
|               |     | REINZ House Sales              | %yr   | –0.1   | –          | –           | ...but rising mortgage rates likely to weigh on turnover.       |
|               | Mar | Net Migration                  | no.   | 3970   | –          | –           | Balance turning more positive as departures slow.               |
| UK            | Q1  | GDP                            | %ann  | 0.1    | –          | –           | Growth jump may prove fleeting as war impacts emerge.           |
| US            | Apr | Import Price Index             | %mth  | 0.8    | 1.0        | –           | Surge centred squarely on petroleum imports.                    |
|               |     | Initial Jobless Claims         | 000s  | 200    | –          | –           | Still at a very low level versus history.                       |
|               | Apr | Retail Sales                   | %mth  | 1.7    | 0.5        | –           | Another step-down in consumer momentum likely in Q2.            |
|               | Mar | Business Inventories           | %mth  | 0.4    | 0.3        | –           | Inventory-to-sales falling as inventory rebuild persists.       |
|               |     | Fedspeak                       | –     | –      | –          | –           | Hammack.                                                        |
| <b>Fri 15</b> |     |                                |       |        |            |             |                                                                 |
| NZ            | Apr | Manufacturing PMI              | index | 53.2   | –          | –           | Solid in March but Iran conflict may weigh more heavily now.    |
|               | Apr | Selected Price Indices - Food  | %mth  | –0.6   | –          | 0.5         | Modest boost from minimum wages in the hospitality sector.      |
|               | Apr | Selected Price Indices - Rents | %mth  | 0.0    | –          | 0.0         | Rental growth weak in the face of ample supply.                 |
| US            | Apr | Industrial Production          | %mth  | –0.5   | 0.2        | –           | Regional surveys point to a solid month of factory output ...   |
|               | May | Fed Empire State Manufacturing | index | 11     | 8          | –           | ... but uncertainty over the outlook is starting to weigh.      |

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# Economic & financial forecasts

## Interest rate forecasts

| Australia                  | Latest (8 May) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|----------------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Cash                       | 4.35           | 4.35   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.60   | 4.35   |
| 90 Day BBSW                | 4.44           | 4.55   | 4.90   | 4.90   | 4.95   | 4.95   | 4.95   | 4.80   | 4.55   | 4.30   |
| 3 Year Swap                | 4.64           | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 3 Year Bond                | 4.63           | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 10 Year Bond               | 4.96           | 5.00   | 5.05   | 5.05   | 5.05   | 5.05   | 5.00   | 4.95   | 4.90   | 4.90   |
| 10 Year Spread to US (bps) | 57             | 65     | 65     | 60     | 55     | 50     | 40     | 30     | 20     | 15     |
| <b>United States</b>       |                |        |        |        |        |        |        |        |        |        |
| Fed Funds                  | 3.625          | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  |
| US 10 Year Bond            | 4.39           | 4.35   | 4.40   | 4.45   | 4.50   | 4.55   | 4.60   | 4.65   | 4.70   | 4.75   |
| <b>New Zealand</b>         |                |        |        |        |        |        |        |        |        |        |
| Cash                       | 2.25           | 2.25   | 2.50   | 3.00   | 3.50   | 3.75   | 4.00   | 4.25   | 4.25   | 4.25   |
| 90 Day Bill                | 2.63           | 2.50   | 2.95   | 3.40   | 3.75   | 4.00   | 4.25   | 4.45   | 4.45   | 4.45   |
| 2 Year Swap                | 3.55           | 3.75   | 4.05   | 4.30   | 4.40   | 4.40   | 4.40   | 4.35   | 4.30   | 4.25   |
| 10 Year Bond               | 4.67           | 4.85   | 4.95   | 5.00   | 5.05   | 5.10   | 5.10   | 5.10   | 5.10   | 5.10   |
| 10 Year Spread to US (bps) | 28             | 50     | 55     | 55     | 55     | 55     | 50     | 45     | 40     | 35     |

## Exchange rate forecasts

|         | Latest (8 May) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|---------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| AUD/USD | 0.7203         | 0.72   | 0.72   | 0.73   | 0.73   | 0.74   | 0.74   | 0.74   | 0.73   | 0.73   |
| NZD/USD | 0.5934         | 0.59   | 0.59   | 0.62   | 0.64   | 0.66   | 0.67   | 0.67   | 0.67   | 0.67   |
| USD/JPY | 156.89         | 157    | 156    | 154    | 152    | 150    | 148    | 146    | 144    | 142    |
| EUR/USD | 1.1730         | 1.18   | 1.18   | 1.19   | 1.20   | 1.21   | 1.22   | 1.22   | 1.22   | 1.22   |
| GBP/USD | 1.3552         | 1.35   | 1.36   | 1.37   | 1.38   | 1.39   | 1.40   | 1.41   | 1.41   | 1.41   |
| USD/CNY | 6.8023         | 6.80   | 6.75   | 6.70   | 6.60   | 6.50   | 6.45   | 6.40   | 6.35   | 6.35   |
| AUD/NZD | 1.2139         | 1.22   | 1.22   | 1.18   | 1.14   | 1.12   | 1.11   | 1.10   | 1.10   | 1.10   |

## Australian economic forecasts

|                       | 2025 |     | 2026 |     | 2027 |     |     |     | Calendar years |       |       |       |
|-----------------------|------|-----|------|-----|------|-----|-----|-----|----------------|-------|-------|-------|
| % change              | Q3   | Q4  | Q1f  | Q2f | Q3f  | Q4f | Q1f | Q2f | 2025           | 2026f | 2027f | 2028f |
| GDP %qtr              | 0.5  | 0.8 | 0.5  | 0.2 | 0.1  | 0.2 | 0.3 | 0.4 | –              | –     | –     | –     |
| %yr end               | 2.1  | 2.6 | 2.6  | 1.9 | 1.6  | 1.0 | 0.9 | 1.1 | 2.6            | 1.0   | 1.6   | 2.8   |
| Unemployment rate % * | 4.3  | 4.3 | 4.2  | 4.4 | 4.6  | 4.9 | 5.0 | 4.9 | 4.3            | 4.9   | 4.9   | 4.5   |
| Wages (WPI) (sa) %qtr | 0.8  | 0.8 | 0.8  | 0.8 | 0.8  | 0.8 | 0.7 | 0.8 | –              | –     | –     | –     |
| %yr end               | 3.3  | 3.4 | 3.3  | 3.2 | 3.2  | 3.2 | 3.2 | 3.2 | 3.4            | 3.2   | 3.0   | 3.4   |
| Headline CPI %qtr     | 1.3  | 0.6 | 1.4  | 1.5 | 1.4  | 0.5 | 0.6 | 0.6 | –              | –     | –     | –     |
| %yr end               | 3.2  | 3.6 | 4.1  | 4.9 | 5.0  | 4.9 | 4.1 | 3.2 | 3.6            | 4.9   | 2.5   | 2.2   |
| Trimmed Mean CPI %qtr | 1.0  | 0.9 | 0.8  | 1.1 | 1.1  | 1.0 | 0.8 | 0.7 | –              | –     | –     | –     |
| %yr end               | 3.0  | 3.4 | 3.5  | 3.9 | 4.0  | 4.0 | 4.0 | 3.6 | 3.4            | 4.0   | 3.0   | 2.4   |

\* Quarter-average.

## New Zealand economic forecasts

|                     | 2025 |     | 2026 |      | 2027 |     |     |     | Calendar years |      |       |       |
|---------------------|------|-----|------|------|------|-----|-----|-----|----------------|------|-------|-------|
| % Change            | Q3   | Q4  | Q1f  | Q2f  | Q3f  | Q4f | Q1f | Q2f | 2024           | 2025 | 2026f | 2027f |
| GDP %qtr            | 0.9  | 0.2 | 0.8  | –0.4 | 0.5  | 1.9 | 2.5 | 3.7 | –              | –    | –     | –     |
| Annual avg change   | –0.6 | 0.2 | 0.6  | 1.2  | 1.3  | 1.5 | 1.9 | 2.4 | 0.2            | 1.5  | 3.5   | 3.3   |
| Unemployment rate % | 5.3  | 5.4 | 5.3  | 5.6  | 5.6  | 5.4 | 5.1 | 4.9 | 5.4            | 5.4  | 4.6   | 4.2   |
| CPI %qtr            | 1.0  | 0.6 | 0.9  | 1.9  | 0.9  | 0.3 | 0.3 | 0.1 | –              | –    | –     | –     |
| Annual change       | 3.0  | 3.1 | 3.1  | 4.5  | 4.4  | 4.1 | 3.4 | 1.5 | 3.1            | 4.1  | 1.7   | 2.6   |

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**May 2026**

# **WESTPAC MARKET OUTLOOK**

Your monthly report on Australia and the global economy.

# WESTPAC MARKET OUTLOOK

## May 2026

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Global markets navigate ongoing conflict

#### Australian economy:

Energy shock slows growth, lifts inflation

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# No man's land



Developments coming out of the Middle East have largely been touch-and-go over recent weeks, with brief stints of optimism over progress towards a resolution punctuated by breakdowns and occasional skirmishes. That continues to produce sharp swings and contrasts across core asset markets: US and Asian equities pushing above pre-conflict levels despite Brent oil hitting a new cycle high and while yields remaining elevated but range bound. We have again refreshed our baseline scenario to incorporate recent developments but this time with minimal changes to our key economic forecasts.

With less scope to 'look through' the shock, policymaker assessments have started to shift. Both monetary and fiscal arms are moving to incorporate higher inflation, lower growth, and weaker labour markets into their 'baseline' forecasts, while flagging that more adverse scenarios could make it even tougher for policies to balance inflation and growth risks.

But with so much uncertainty hanging over the course of the conflict, policy is effectively in 'no man's land'. Central banks are left having to navigate with extreme caution – the Fed, ECB, BoE, BoJ and BoC all opting to keep policy on hold for now and the RBA raising rates but looking for some breathing room to pause as well. Different starting points and exposures to the shock will likely necessitate distinct paths over time. For the record, we still expect another two rate hikes from the RBA this year, but with a slightly later timing – August and September. In contrast, the US is in a better position to weather inflation risks and unlikely to see the Fed alter its policy stance for some time.

The upcoming 2026/27 Federal Budget faces a similar balancing act. As our preview sets out, the government will have some windfall gains to work with but support measures will need to be carefully calibrated given the backdrop of inflation risks. Wilfred Owen – the quintessential wartime poet – once described no man's land as "like the face of the moon, chaotic, crater-ridden, uninhabitable, awful, the abode of madness." Ideally policymakers will navigate this threatening terrain in a coordinated rather than haphazard way.

**Australia:** The RBA hiked the cash rate this month, and while it seeks some breathing space, we expect further hikes later, in August and September. The more hawkish policy environment here is evident in both bond and FX market developments. The real economy is heading for an abrupt slowdown, with higher unemployment but also higher inflation in the near term.

**Middle East:** The normalisation of shipping traffic through the Strait of Hormuz will be more drawn out than we previously assumed. Our revised baseline assumptions point to a more persistent energy price shock, with tighter demand and supply balances extending into 2027 and beyond, and Brent crude oil prices remaining elevated for longer.

**Commodities:** April was a mixed month with our broadest commodities index down 1% since our last update. We have revised up our forecasts for crude (US\$110/bbl for Q2 2026, US\$87/bbl for Q4 2026) and lifted the profile by around 20% to 30% through 2027, finishing at a quarter-average of US\$67/bbl.

**Global FX Markets:** When we released the April edition of Market Outlook, the DXY index sat at 98.2. Today it is also at 98.2 and, in the intervening period, the index traded a 1 point range – the definition of marking time.

**New Zealand:** Surveys point to a large fall in optimism as firms and households grapple with the impact of higher fuel prices on profitability and disposable income. Over coming months, higher fuel prices will lead to a sharp lift in CPI inflation and the RBNZ will need to be vigilant for signs of second-round price increases that cause inflation to persist over the medium term. We continue to expect the OCR to rise in September.

**United States:** Earnings beats have seen equities rebound to record levels. At the same time, though, consumption growth has fallen below trend and housing investment is contracting. In many respects, the economic outlook is highly uncertain.

**China:** Presidents Xi and Trump are due to meet to discuss China/US relations in May. Data point to a stark difference in perspectives which will shape risks and opportunities.

**Japan:** Japan's domestic fundamentals make a compelling case for the BoJ to continue normalising policy, even as the Middle East conflict and a weakening yen threaten to turn demand-pull inflation into cost-push.

**Europe & UK:** Major central banks in Europe maintained a balanced stance this month. But with a definitive end to the Middle East conflict out of sight, the ECB and Bank of England looking increasingly likely to hike sooner than later.

# Global markets navigate ongoing conflict ...

Luci Ellis

Chief Economist, Westpac Group

Until this week, the US–Iran ceasefire had held remarkably well. In particular, there had been no further destruction of oil and gas infrastructure in other Gulf nations. The effects of the latest attacks are unclear, but it remains the case that the main issue for the global economy is how long the Strait of Hormuz remains effectively shut. While some ships are able to exit the Gulf, few are entering. Our previous assumption of eight weeks of full closure and a recovery in May to around 20% of normal traffic has had to be revised, and the ultimate recovery is slower. There is nonetheless a potential upside scenario to our baseline as well as a downside.

Markets have continued to look through the downside risk to global growth and have instead tended to price in rate hikes for a number of central banks, and price out the earlier expected cuts by the Federal Reserve. We had already factored in this less dovish path for the Fed funds rate, given the underlying capacity pressures in the US economy.

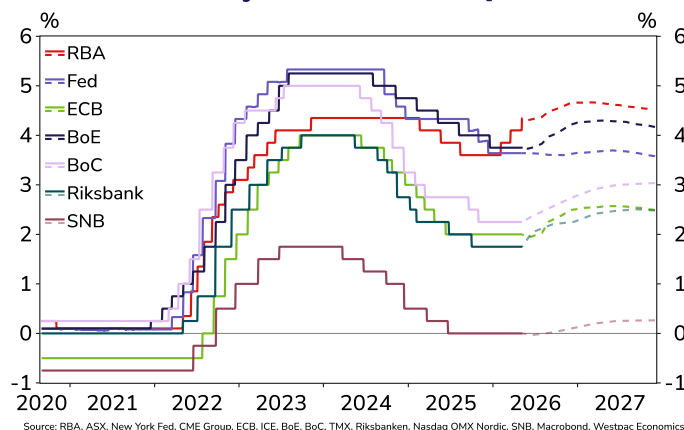
Senior central bank officials from the Bank of England, ECB and Bank of Canada have tended to push back on the more hawkish pricing, preferring a more wait-and-see approach. Accordingly, these central banks all kept policy rates on hold in recent weeks, though they have contemplated possible responses to a more protracted conflict.

Meanwhile, bond markets have mostly been in a holding pattern in recent weeks. At both ends of the curve, sovereign yields are little changed since late March. There has been a bit more amplitude in yield movements for US Treasuries and UK gilts than other comparable markets. Since the last Market Outlook was published, 3-year yields in these two markets have lifted around 15bps from what turned out to be a brief trough, and 10-year yields have lifted a little less than this.

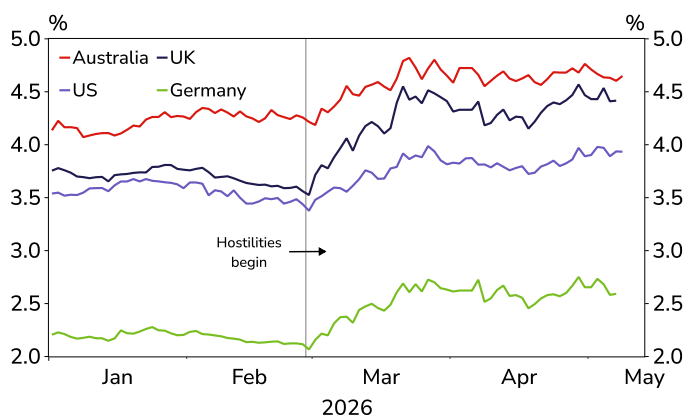
Exchange rates have also been in something of a holding pattern since the last Market Outlook, in contrast to the large moves in the first few weeks of the conflict. DXY has been little changed, with the USD also largely unchanged against the euro and RMB over this period, though it has depreciated against several currencies in the Asia–Pacific region, including AUD, NZD and yen. The AUD now looks richly priced on a real effective basis, reflecting the higher rates outlook. Less certain is whether there has been any additional role for the earlier sell-off in the USD. On a real effective basis, though, the USD is only about 1½% lower since the end of last year.

As expected, the RBA Monetary Policy Board (MPB) raised the cash rate 25bps to 4.35% following its May 2026 meeting. The vote was again split, this time 8–1, after the 5–4 vote in March. In explaining the decision, the MPB cited the higher inflation stemming from the Middle East conflict, including second-round effects, with risks tilted to the upside. These

## Central Bank Policy Rates (Market Expectations)

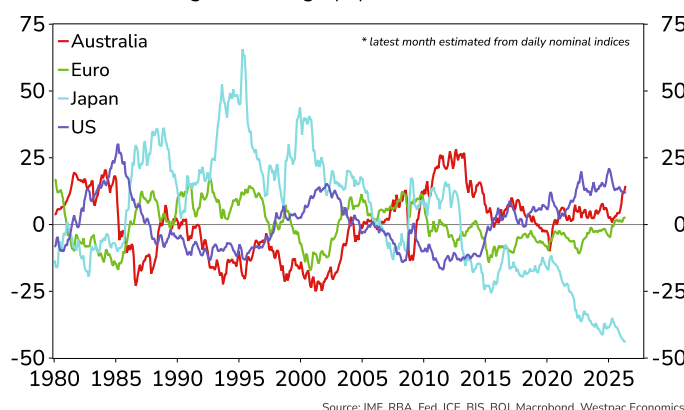


## Global 3-Year Bond Yields



## Real Effective Exchange Rates

Deviation from long-run average (%)





# ... while RBA tries to make space in inflation fight

added to the inflationary pressures already arising from what it sees as capacity pressures. It also noted indications that “higher fuel prices are likely to have second-round effects on prices for goods and services more broadly”.

We still expect two more RBA rate hikes after the one this week. However, we now think that the MPB will want to pause in June. In the post-meeting media conference, Governor Bullock characterised the three rate hikes so far as dealing with the high inflation issue that already existed before the conflict in the Middle East started, and that this “gives space” for the MPB to see how the conflict plays out. Together with the dissenting vote, we read this as saying that another back-to-back hike in June is no longer a better-than-50% chance. It is not a zero chance, either, but it should not be the base case.

The MPB will not have much time to catch breath, though. Our assessment is that second-round pass-through will be stronger, and oil prices higher, than the RBA’s forecasts imply. Our forecasts for trimmed mean inflation are therefore higher than the RBA’s in the near term. Once it peaks, though, we expect a faster unwind. Extending our forecast to end-2028 shows a material risk that trimmed mean inflation will undershoot the 2½% midpoint of the RBA’s 2–3% target range.

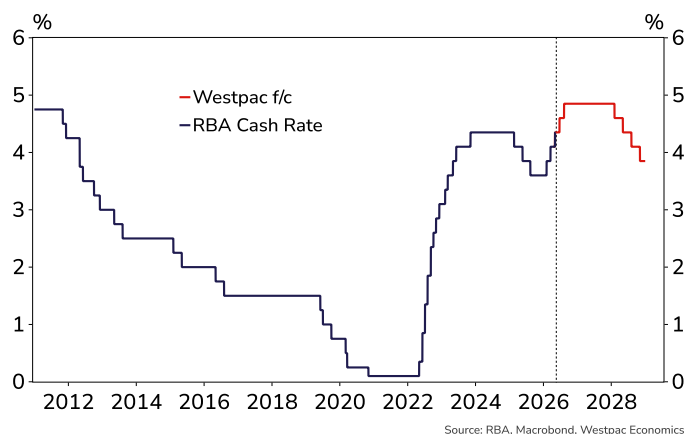
Our rates view is, as always, based on our assessment of what the RBA will do if things turn out as we expect, in line with our own forecasts. We therefore retain our view that two further hikes are more likely than one. It will take some time before the need for the additional hikes becomes apparent in the data and spurs a MPB decision, though.

We therefore push the timing of these two hikes out to August and September. We think the Q2 and Q3 inflation data will be something of a ‘wake-up call’ on the willingness of firms to pass on increases in non-labour costs into their own prices.

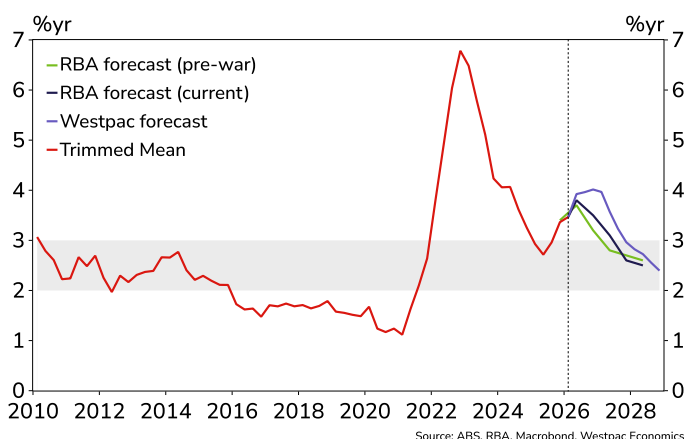
Five rate hikes in less than nine months will bring monetary policy to an explicitly restrictive stance. One perspective on the RBA’s approach can be inferred from real bond yields, which widened significantly relative to US equivalents late last year, and briefly again when the Middle East conflict began. While a spread of this size was also seen in the depths of the pandemic and was normal in the early 2010s in the wake of financial crisis, the divergence in direction has been striking recently.

Once it becomes clear that inflation is on a better trajectory, the MPB will be in a position to withdraw some of that restrictiveness. We expect it will do so cautiously, however, given the experience of 2025, where inflation rebounded almost immediately after it started cutting the cash rate. While the lag was too short and the upside surprise to activity was too focused on business investment to be attributable to monetary policy, the experience is likely to make the MPB a little gun-shy.

## RBA Cash Rate

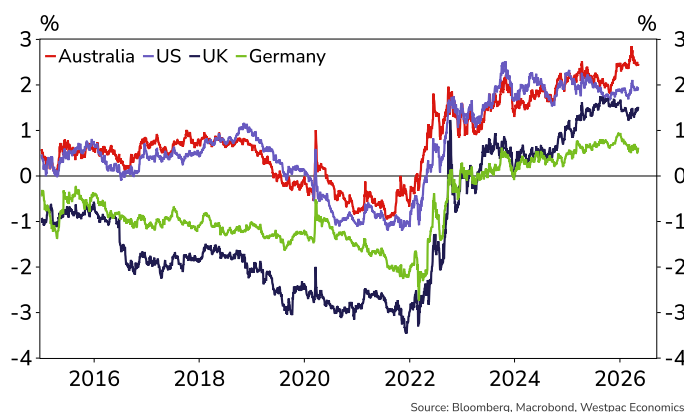


## Trimmed Mean Inflation



## Global Real Interest Rates

### 10-Year Inflation-Linked Bonds



# Energy shock slows growth, lifts inflation ...

**Pat Bustamante**  
Senior Economist

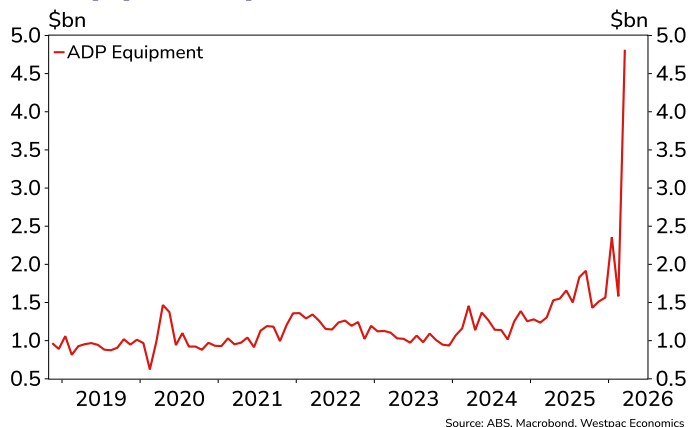
After a relatively strong finish to 2025, the Australian economy is heading for an abrupt slowdown in 2026 and into 2027. Much of this is already in train – the re-tightening in monetary conditions in the first few months is now combining with a large global supply shock centred on energy that is set to see some combination of higher inflation and weaker growth. Key assumptions on the conflict remain broadly unchanged: we continue to assume a very gradual normalisation process for global energy supply. That points to a more persistent and problematic rise in inflation locally with the RBA expected to respond with two more 25bp rate hikes, aimed at preventing a sustained rise in inflation expectations. The bottom line is a very difficult year for the economy: trimmed mean inflation lifting to 4% by year-end, GDP growth stalling to just 1%yr and the unemployment rate rising towards 5%.

Since our update last month, the flow of data and events has largely evolved largely as expected. Domestically, partial economic indicators have been mixed. The Q1 figures suggest there was some ongoing residual strength in the economy from the cyclical upturn that formed in the second half of 2025. The ABS household spending indicator recorded a clear boost from fuel in the March month, the 0.7%qtr gain in total real spend in Q1 coming in stronger than expected, down only slightly from the 1%qtr gain in Q4. However, there may be some technical issues around how fuel price rises have been incorporated.

Additionally, year-ended growth in private credit rose a solid 8.1%yr in March 2026, exceeding 8.0%yr for the first time since late 2022. Imports of capital also surprised on the upside with imports of automated data processing machines (i.e. computers and associated products, including NVIDIA's high-end AI chips) recording a remarkable four-fold increase in the month of March, suggesting the data centre investment boom has accelerated materially. And finally, monthly financial accounts shows that the Federal government budget is running around \$17bn ahead of profile because growth in income-based tax revenues (coming from wages and profits) has been stronger than expected back in the December 2025 MYEFO.

However, the tail-end of Q1 and early Q2 figures are looking materially softer. The income squeeze from higher fuel prices and interest rates looks to be impacting the consumer more heavily. Our Westpac-DataX Card Tracker suggests growth in non-fuel spending is stalling with outright weakness starting to emerge in discretionary services categories. Meanwhile our Westpac Consumer Panel shows a similar story for the month of March, with a clear moderation in the pace of savings accumulation and a more pronounced shift across customers with high energy spend relatively to total consumption.

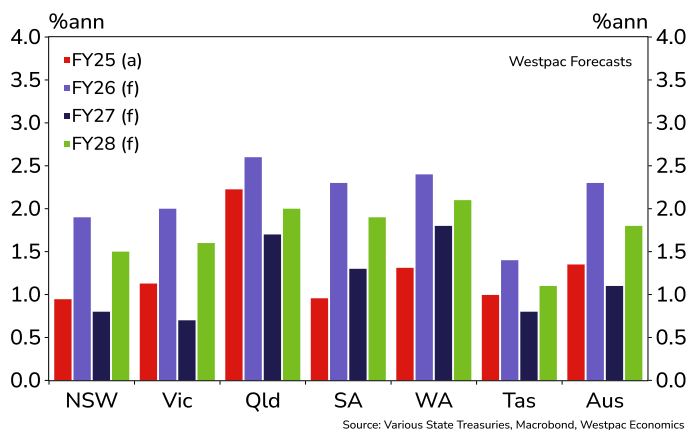
## ADP equipment imports



There have also been some notable shifts in the housing market. Price growth nationally remained positive in April but the pace is slowing with preliminary estimates pointing to a decline in turnover as well. The turn is more pronounced in the Sydney and Melbourne markets which are now in a correction phase, prices down 0.9%qtr and 1.5%qtr in April, respectively.

Note that we have published updated state-based economic and employment forecasts that are consistent with our national forecasts. These point to a renewed divergence in state performances as national growth slows. The consumer-led states of NSW and Victoria are set to experience the sharpest weakening, while the mining-based economies of Queensland and WA are set to outperform, supported by elevated energy prices and associated income windfalls. South Australia also appears relatively well positioned, underpinned by strength across both public and private sector activity (see [here](#)).

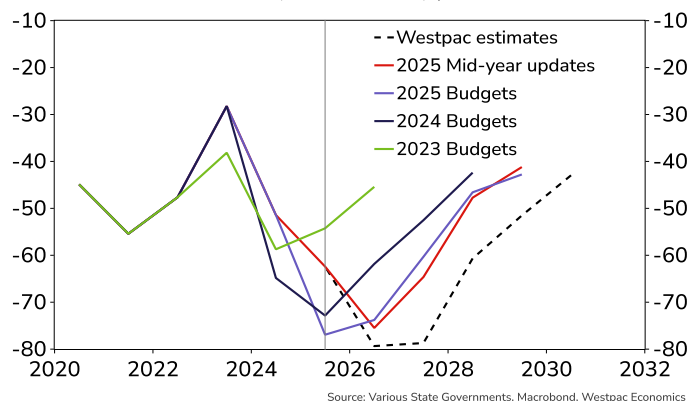
## Gross State Product



## ... and narrows fiscal path

### Budget outlook across the states

Non-Financial Public Sector, Cash Balance, \$bn



With another budget season underway, government finances are back in the spotlight.

For state governments, the Middle East conflict has come at a particularly bad time. Rather than a recovery in private sector activity, we now expect a sharp slowdown as monetary conditions re-tighten. This shift has material implications for the states' key tax bases, including payroll tax, stamp duty and gambling taxes. Based on Westpac Economics' outlook, and our mapping from macro parameters to fiscal outcomes, we estimate the combined state cash deficit will deteriorate by around \$50bn over the five years to FY2030 (see [here](#)).

The backdrop differs materially at the Federal level. As a net energy exporter, Australia is benefiting from a surge in commodity prices, particularly LNG and coal, lifting national income. As we outlined back in March (see [here](#)), stronger commodity prices and elevated inflation are expected to generate a sizeable revenue windfall for the Commonwealth, with around \$20bn attributable to the Middle East conflict in the near term. This should see the underlying cash balance

improve by around \$13bn in 2025-26 relative to MYEFO, as outlined in our final Budget preview ([here](#)).

These upfront windfalls complicate the policy environment heading into the May/June budget cycle. As we showed in our April preview (see [here](#)), discretionary fiscal policy in Australia has tended to be somewhat pro-cyclical, becoming more activist as labour market risks rise but with peak support landing well after it is most needed. From a cyclical perspective, there is limited case for a large net fiscal expansion. The fiscal impulse is already expansionary, with a cumulative lift of around 3.5ppts of GDP over the three years to FY2026, comparable to that seen during the GFC. Notably, states have driven a disproportionate share of this expansion, particularly early on in the cycle.

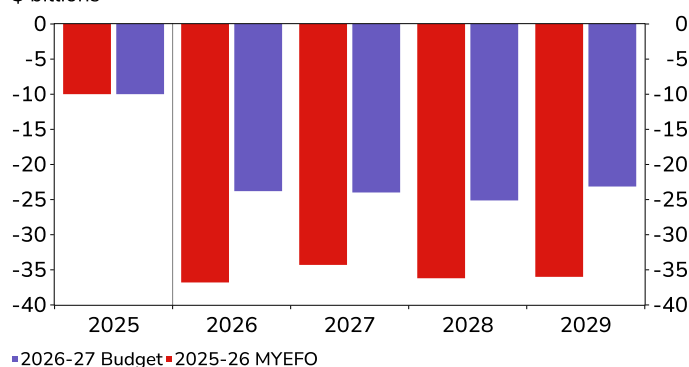
While the impulse is moderating, it remains slightly expansionary into FY2027 even before incorporating additional measures expected in upcoming budgets. Against this backdrop, there is limited scope, or need, for a further material increase. A more appropriate approach is targeted redistribution within the existing fiscal envelope, supporting households and businesses without amplifying the cycle.

In the near term, however, the risk is policy becomes too expansionary. Recent budget announcements, particularly from WA and Victoria, point to sizeable discretionary measures at the state level, on top of some already announced Federal cost-of-living support. While supportive for activity, they risk leaving aggregate demand stronger than is consistent with the RBA's inflation target.

The broader lesson from past cycles is that fiscal policy tends to be pro-cyclical and slow to unwind, with peak effects often arriving after the economy has already turned. That risk is heightened in the current environment, where a negative real shock is coinciding with a positive nominal shock.

### Underlying cash balance estimates\*

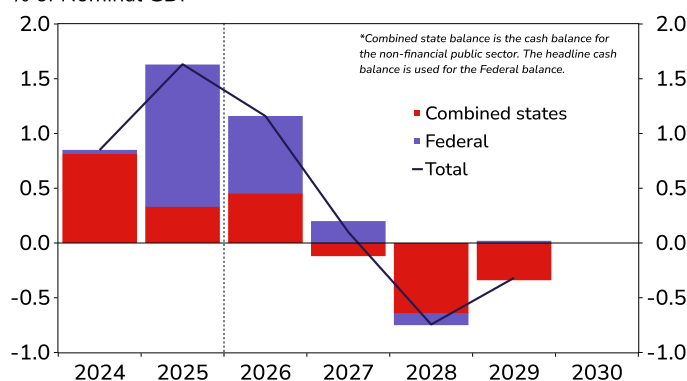
\$ billions



\*2026-27 Budget are Westpac estimates based on Westpac's commodity price assumptions.

### Fiscal impulse

% of Nominal GDP



# A slower normalisation in shipping flows ...

Sian Fenner

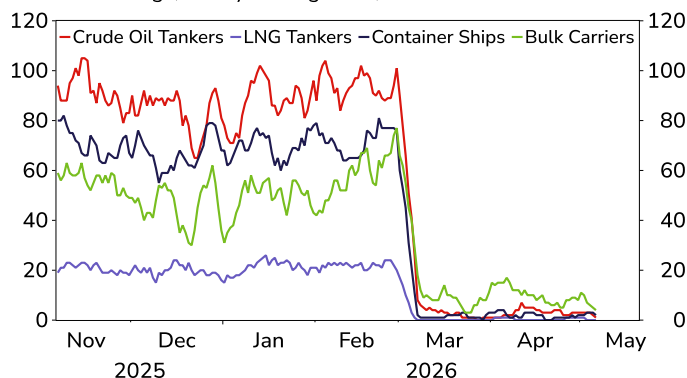
Head of Business & Industry Economics

It has become increasingly clear that the normalisation of shipping traffic through the Strait of Hormuz will be more drawn out than we previously assumed. We now expect flows to take until mid-2027 to fully normalise. Given the sustained disruption to both energy production in the Middle East and shipping through the Strait of Hormuz, we have raised our Q4 2026 Brent crude oil forecast to US\$95/bbl from US\$75 previously. Prices are also expected to remain higher in 2027, averaging US\$68/bbl in Q4.

The ceasefire between the US and Iran announced on 8 April has held, with no significant additional damage to energy or port infrastructure since then. However, as expected it has not led to a meaningful reopening of the Strait of Hormuz. The US is maintaining pressure on Iran through a blockade on shipping to and from Iranian ports, while Iran continues to use control of the Strait as leverage. As such, flows through the Strait remain minimal.

## Strait of Hormuz, Outbound Vessels

Vessel Crossings, 7-Day Rolling Total, West to East



Source: Bloomberg, Macrobond, Westpac Economics

In recent days the US has tabled a one page memorandum of understanding aimed at breaking the shipping impasse. Reportedly it includes Iran easing its grip on the Strait and the US gradually lifting the naval blockade over a defined period. However, even if agreed to this is not a permanent resolution and the risk of ongoing episodes of tactical escalations leading to short disruptions over the coming months remains high.

Moreover, as we have previously highlighted, even if the Strait was to fully reopen tomorrow, a return to normal traffic flow will take time, reflecting vessel repositioning, contract realignment and elevated insurance costs. Against this backdrop, we have revised our assumptions for the timing of normalisation of flows through the Strait.

We now assume a more modest lift in traffic from current lows, reaching around 10–15% of pre-conflict levels through June, with a return to normal flows not expected until mid-2027. This compares with our previous assumption (published 30 March) of flows of around 20% in May and June with a gradual recovery to normal by end-2026. We continue to assume no additional damage to regional energy infrastructure. We also assume that Saudi Arabia and the UAE continue to divert around 7mb/d of crude and refined products through pipelines to Yanbu on Saudi Arabia's Red Sea coast and to Fujairah in the UAE.

## Global energy buffers falling sharply

Our assumption of a more sustained period of disruption to shipping through the Strait means it will take longer for smaller Gulf producers, including Kuwait, that have faced some production 'shut ins' due to storage capacity constraints, to return to normal. Given the depletion in global energy buffers, we also expect a more modest offset from other sources over the rest of 2026 than in recent months.

Indeed, while global oil stocks were ample at around 8.2bn barrels heading into the conflict, the release of IEA strategic reserves, estimated at around 400 million barrels, alongside stronger Russian and US exports, has already led to a sharp deterioration in global inventories, with these flows drawing on floating storage as well as commercial and strategic reserves. The IEA estimates that observed oil stocks fell by 85mb in March with private estimates pointing to a much larger decline in April. Indeed, the US Strategic Petroleum Reserves is on track to fall to the lowest level since 1992.

The drawdown in global oil inventories has helped cushion the global supply shock in Q2, leaving a net supply shortfall of around 6mb/d. But this is still around 8mbd lower than our pre-conflict estimates.

There is, however, a critical level which provides a floor to how much inventories can continue to be drawn down. As a result, global supply is expected to fall by around 2.5% this year, with the scope to offset the underlying shortfall through inventories now limited despite a partial resumption in flows. In 2027, we expect a more significant recovery in supply as Middle East oil production and flows return to normal with the UAE expected to boost production above pre-conflict projections given it is no longer constrained by OPEC quotas.

On the demand side, meanwhile, we continue to estimate some demand destruction due to the surge in prices. However, the conflict has also highlighted the vulnerability of a number of countries, particularly across Asia, given their greater dependency on Middle East oil imports and more limited

# ... will keep energy prices higher for longer

strategic reserves. This reinforces the case for building resilience against future oil supply shocks.

While the timing of any response remains uncertain and is unlikely to be even, we include a more decisive, policy driven push to rebuild reserves from mid-2027, lifting demand across most advanced and Asian economies by around 0.5%. This is materially above the historical average pace of reserve builds and provides some price support in the medium term.

Overall, the revised assumptions point to a more persistent energy price shock than previously assumed with tighter demand and supply balances extending into 2027 and beyond.

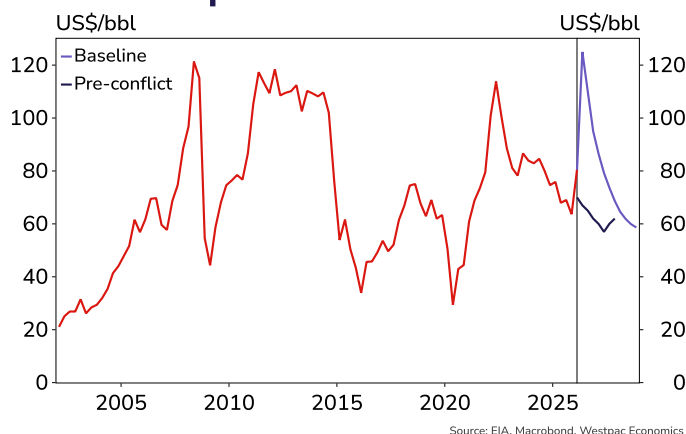
## Energy prices elevated for longer ...

Consequently, we now expect Brent crude oil prices to remain elevated for longer. Under our revised baseline scenario, we calibrate our baseline to dated Brent. Dated Brent has been trading at a premium to spot Brent prices for much of the conflict. This premium reflects the cost of securing physical barrels and is expected to unwind only gradually as flows normalise and inventories stabilise.

Consistent with this, we now expect dated Brent to average around US\$125/bbl in Q2, compared with spot Brent at around US\$110/bbl, implying an average premium of around \$15/bbl, before narrowing over the coming quarters.

Under our revised base case, prices are expected to decline more slowly than previously. By end-2026, Brent is forecast at \$95/bbl, \$20 above our previous baseline. A wedge persists into 2027, with Brent averaging around US\$68/bbl in Q4 2027.

## Brent Crude Oil price



We have also made allowance for refinery margins to remain higher for longer. Australian diesel and petrol prices continue to ease over 2027 but not only remain above pre conflict levels but are slightly higher at \$2.10/L and \$1.82/L by the end of the year than previously expected.

We have made only modest revisions to our Japanese LNG price projections despite global gas supply being highly exposed to an extended disruption. This largely reflects a recalibration to recent gas price outcomes, which have not risen as much as we had expected to date. However, with no viable route that bypasses the Strait, and damage to Qatar's Ras Laffan LNG plant potentially taking up to five years to fully repair, prices are still expected to remain above pre-conflict levels through to the end of 2027, with prices averaging US\$13/mmbtu, around US\$2 above pre-conflict levels in Q4 2027.

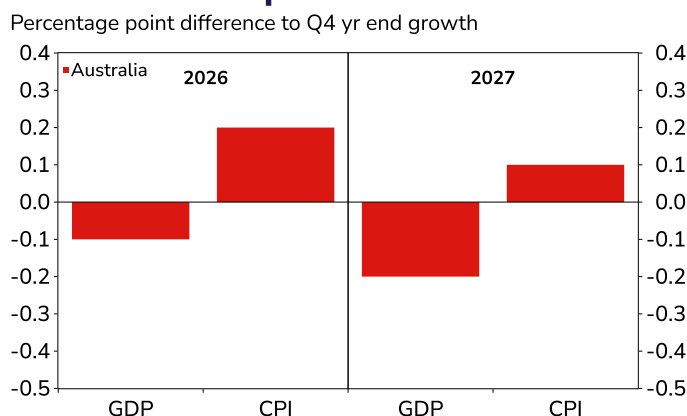
## ... with upstream impacts on other prices

Given the prolonged closure, we also expect some further supply chain pressures, particularly for fertilisers, chemicals, polymers and metals. However, higher fuel costs are expected to push freight rates up modestly in the near term. The impact is still expected to be limited relative to previous shipping disruptions and is unlikely to constrain supply, leaving freight as a secondary contributor to supply-side cost pressures, with energy costs remaining the dominant channel.

## Modest impact on economic outlook

Based on our modelling the impact of a more persistent constraint on energy supplies points to some modest downward pressure on economic growth in Australia and New Zealand, alongside higher inflation. However, these estimates reflect the modelled impact of higher energy and commodity prices in isolation. Final forecasts incorporate a broader set of interacting forces, which may offset these effects.

## Middle East Cease updated baseline





# Oil prices remain bounded by headlines ...

**Justin Smirk**  
Senior Economist  
**Luka Belobrajdic**  
Economist

April was a mixed month with our broadest commodities index down 1% since our last update. Of course, with the Strait of Hormuz still effectively closed, crude oil grabbed the headlines rallying close to 14%. Iron ore also firmed lifting a bit more than 3%, while lithium gained on renewed electrification momentum. Copper and aluminium softened and gold is down more than 3%. With the conflict in the Middle East continuing, we have revised up our forecasts for crude (US\$110/bbl for the June quarter, US\$87/bbl for Dec 2026) and lifted the profile by around 20% to 30% through 2027 to post a December quarter average of US\$67/bbl. With iron ore continuing to be supported, our December 2026 forecast is now US\$97/t, 15% higher than our April estimate.

Note all prices in the following text are quarter averages.

## Oil prices steady but risks skewed to upside

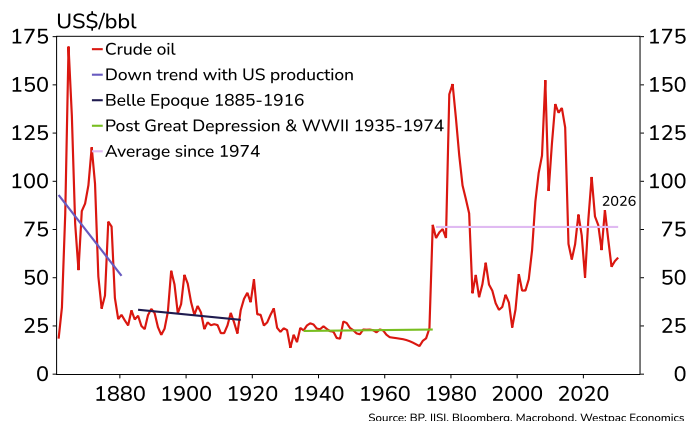
A fragile ceasefire in the Middle East continues, with a combination of restricted shipping flows and limited kinetic escalation capping both oil supply and further price gains. As a result, Brent futures have held steady in the US\$100-120/bbl range, with dated Brent continuing to trade at a meaningful premium. Note our analysis places greater weight on these physical crude prices, reflecting the ongoing tightness in underlying market conditions. Supply remains constrained by production shut ins, infrastructure damage and persistent shipping dislocation, with many vessels continuing to avoid the Strait of Hormuz. This has resulted in sustained logistical bottlenecks, with an estimated ~20mb/d of crude flows through the Strait disrupted. While global inventories provide some buffer, they represent a finite source of supply, implying that competition for available barrels is likely to remain elevated, placing upward pressure on prices.

Our baseline assumes traffic through the Strait of Hormuz returns to around 10-15% of pre-conflict levels through June, with a full normalisation of flows not expected until mid-2027, reflecting ongoing security and insurance constraints. Accordingly, we now expect Brent prices to average US\$110/bbl in Q2 2026, around 5% above our April forecast, before easing as geopolitical risks unwind and higher prices induce demand destruction. Brent is forecast to moderate to an average around US\$87/bbl by Q4 2026, with further easing through 2028 as supply and shipping conditions normalise.

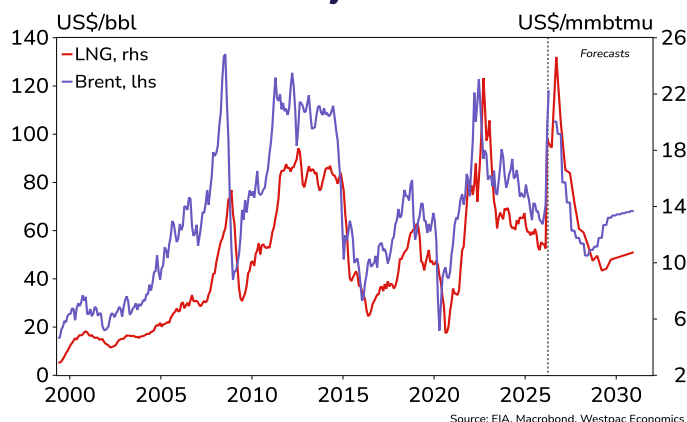
## New US and African supply temper Asian prices

LNG markets remain acutely exposed to the conflict, with an estimated 300mcm/day – around one fifth of global supply – disrupted from Qatar and the UAE. Ras Laffan in Qatar, the

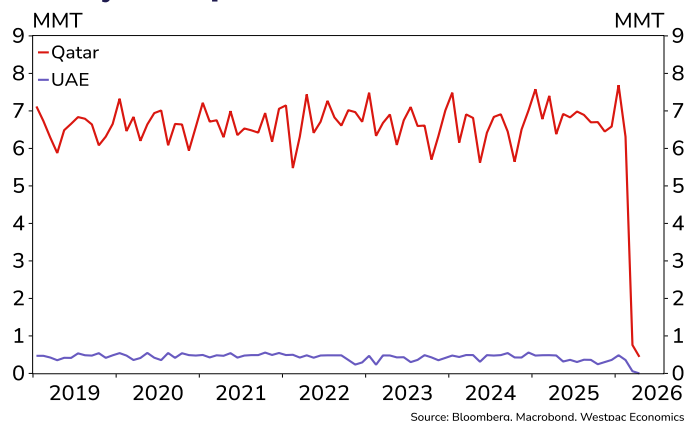
## Crude oil in 2026 US dollars



## Both crude and LNG hit by Strait closure



## Monthly LNG Exports



## ... with electrification driving lithium demand

world's largest LNG export complex, has remained offline since early March, while global storage levels were already depleted exiting the Northern Hemisphere heating season. Asia remains particularly exposed, with an estimated 80–90% of LNG volumes transiting the Strait of Hormuz destined for Asian markets, driving a sharp rise in Japanese LNG prices. However, gains have been tempered by a combination of ceasefire optimism, demand side adjustments including fuel switching across asia, and crucially, new supply from North America and Africa.

Reflecting these offsetting forces, we have revised lower our expected peak in Japanese LNG prices to an average of US\$22.5/mmbtu in the September quarter, with prices expected to average above US\$20/mmbtu through year end. Given the scale of infrastructure disruption and the absence of viable alternative export routes, LNG markets are expected to remain tight, with prices unlikely to return to pre conflict levels until 2028

This does not mean we have seen the same impact on local Australian gas prices. This year the market has remained reasonably well supplied with prices remaining under the Government's proposed \$12 gigajoule cap. Additionally, the government is also proposing the 20% of the uncontracted export gas should be reserved for the local market. With the ongoing political pressure to tax gas exports we would expect to see the Australian gas market not repeat the pattern of the Russian gas crisis with local prices held down due to ample supply.

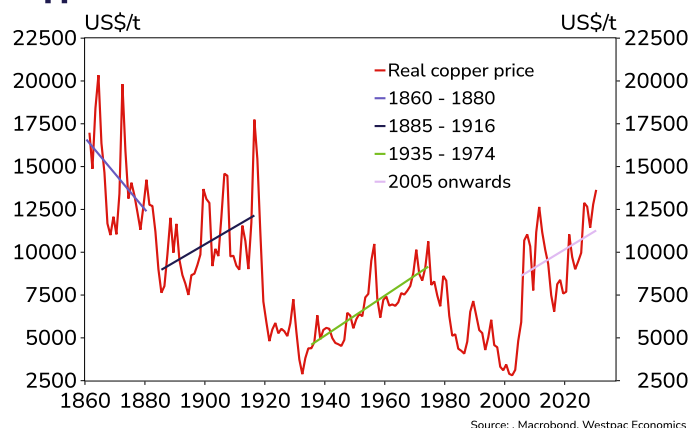
### A softer global outlook caps copper gains

Copper prices have eased modestly into May but remain elevated, finding a footing above US\$13,000/t with concerns around demand destruction, driven by higher energy costs and a softer global growth outlook, capping further gains. Despite this, underlying fundamentals remain supportive. Inventory drawdowns through late March and into April, reflected in Shanghai Futures Exchange data, point to a recent stabilisation in demand, supported by renewed focus on electrification amid rising energy costs. At the same time, shortages of sulphuric acid, critical to copper production, is emerging as a constraint, with around one third of global sulphur supply sourced from the Gulf. Against this backdrop, we expect copper prices to test higher levels, with a local peak expected in the March quarter of 2027 at an average of \$13,350/t, before consolidating. Further growth is expected later in the forecast period as net zero targets approach, accelerating EV and renewable deployment, and data centre build outs intensifies.

### EV uptake to support lithium

The lithium market has transitioned toward a more balanced position. Spodumene (6% FOB Australia) prices have stabilised around the US\$2,00–2,500/t range, with recent gains reflecting a drawdown in inventories. In the near term,

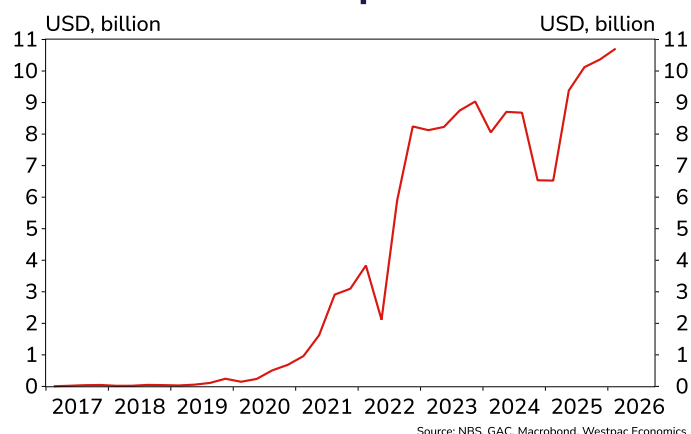
### Copper in 2026 dollars



this trend is expected to persist as downstream users maintain lean inventory positions amid price volatility. Additional support will come from accelerating EV adoption, particularly as higher fuel prices and supply insecurity, improve relative economics. Unlike previously, the EV market is now sufficiently mature for fuel dynamics to meaningfully influence purchasing decisions as lower cost Chinese EVs gain market share.

Over the medium to long term, lithium demand will continue to be underpinned by structural electrification trends. EVs remain the primary demand driver, while growth in battery energy storage systems is expected to accelerate alongside expanding renewable generation. The growing role of data centres is also likely to support demand for storage solutions, as systems are deployed to relieve transmission constraints and enable peak shaving. On the supply side, expanding production, particularly from Australia, is expected to place a cap on price upside.

### Chinese Electric Vehicle Exports



# FX markets waiting for clear ...

Elliot Clarke

Head of International Economics

When we released the last edition of Market Outlook in mid-April, the US dollar DXY index sat at 98.2. Today it is also at 98.2 and, in the intervening period, the index traded a 1 point range – the definition of marking time. Participants have not been short of headlines, rumours and data to assess. Instead, the sum of available information has been heightened uncertainty over the immediate and medium-term outlook, leading participants to refrain from trading.

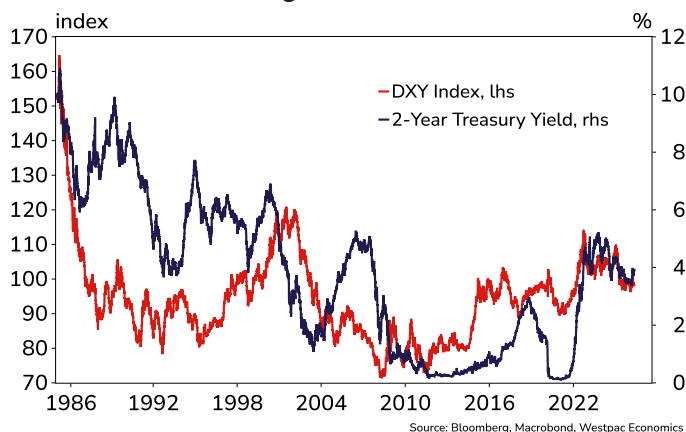
Assessing the market moves that have occurred and the information which inspired them, there is evidence to suggest most participants are waiting for the current crisis to end so they can pursue opportunities outside the US dollar. Supporting this view, risk-off moments have resulted in very limited upside for the US dollar – Project Freedom's announcement and the ensuing skirmishes between Iran and the US in the Strait of Hormuz are a good example of this. Meanwhile, signs of stability and reports of dialogue have buoyed equities globally and seen pro-risk currencies test the upper end of recent ranges against the US dollar – the Australian dollar is a prime example, having traded up through USD0.72 in recent days.

Of the DXY constituents, Japan's yen has led the way. Authorities' concern over the cross breaking above JPY160 was followed by multiple rounds of intervention from late-April, a decision not taken since 2024; along with global developments, these actions have resulted in a sustained recovery from an intra-day high of JPY160.7 to near JPY157 (a near 2.5% appreciation for the yen).

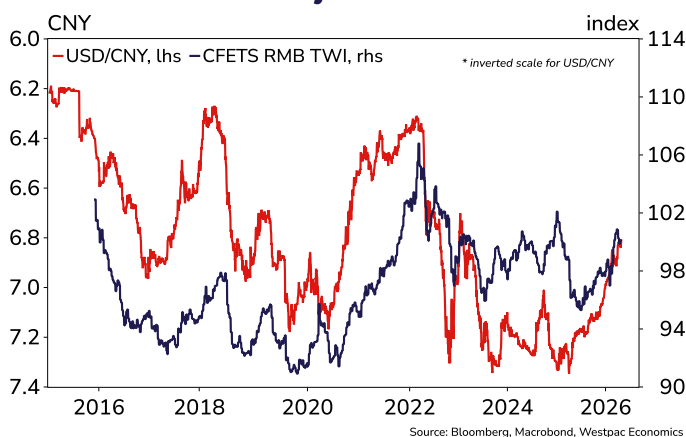
An immense degree of pressure remains on the yen – it is currently more than 40% below the average of 2018 and 2019, prior to the pandemic. That said, with the Bank of Japan expected to raise rates in June while the FOMC holds still, and if concerns over conflict in the Middle East and related energy supply begin to subside, a sustained appreciation for the yen against the US dollar and, to a lesser degree, other major trading partners is probable.

Based on our expectation for a protracted recovery in energy markets, we look for the yen to slowly appreciate through 2026-2028, USD/JPY declining from JPY157 today to JPY150 at mid-2027 and JPY142 come mid-2028. A stronger appreciation is possible if Japanese growth outperforms and/or the Bank of Japan takes a more hawkish stance. However, the reality is that Japan is more exposed to imported energy inflation, affecting real incomes and spending, and arguably lags major neighbours with respect to technological progress and efficiency – China, Taiwan and South Korea are all in a stronger position.

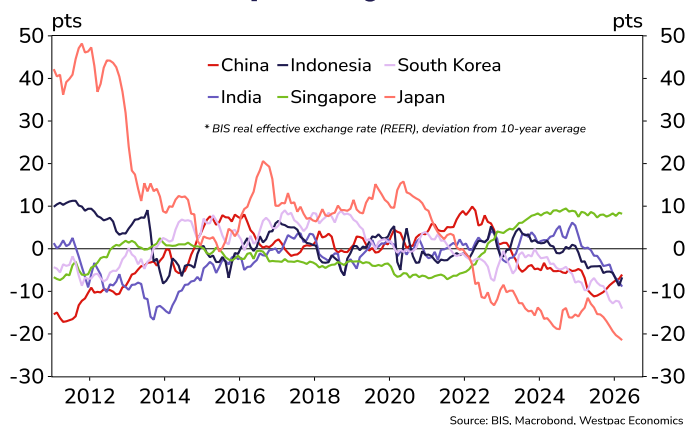
## USD demand wavering



## Renminbi to sustain rally



## Asia's outlook still promising



## ... air to position for growth

Moreover, investors are increasingly recognising the growth potential of south-east Asia, in part due to foreign investment by the aforementioned north-Asian nations. Investment flows should follow the activity undertaken more than the country of residence of the main investor, and so support for Asia FX against the US dollar is likely to spread out across the region.

Of the countries mentioned, we look for China's Renminbi and Taiwan's dollar to show the most persistent strength. USD/CNY is expected to continue trading down from CNY6.80 to CNY6.50 in mid-2027, then CNY6.35 by mid-2028. USD/TWD meanwhile is forecast to fall from TWD31.4 to TWD29.2 in a year's time, then TWD28.2 come mid-2028. Opportunity is also apparent for South Korea's won and Singapore's dollar, although at SGD1.27 the latter cross is already at the lower end of the historic range versus the US dollar.

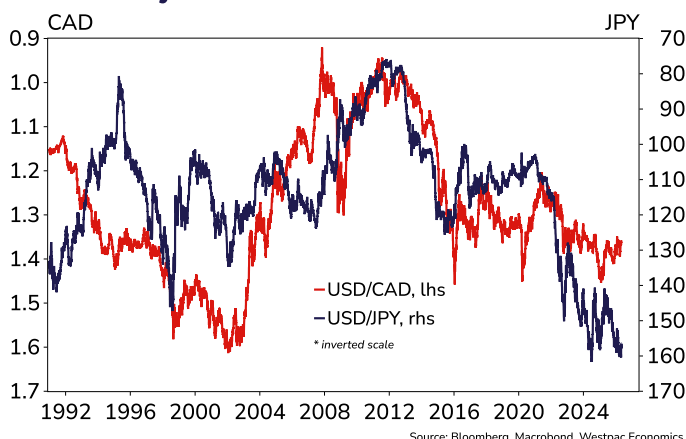
For the rest of Asia, economic and industrial development is expected to win out in time; however, the shadow cast over energy security by recent developments in the Middle East and the impact of higher prices on household and businesses' finances will likely see investors remain focused on risks to the outlook for the foreseeable future. Countries such as the Philippines and Indonesia are most exposed, while Vietnam is arguably best positioned to receive aid from China given its importance to China's manufacturing and logistics networks, and as Chinese firms are already working at scale on infrastructure projects across Vietnam, with more to come.

Coming back to Europe and the UK, the state of play against the US dollar is little changed over the past month. Our views on the region's outlook are also largely unrevised. As discussed on page 22, recent communications from the ECB and Bank of England point to a modest policy tightening in coming months to guard against inflation risks. However, both central banks are also keeping a close eye on downside risks for activity – a greater risk for the UK given labour market slack was already building ahead of the current conflict.

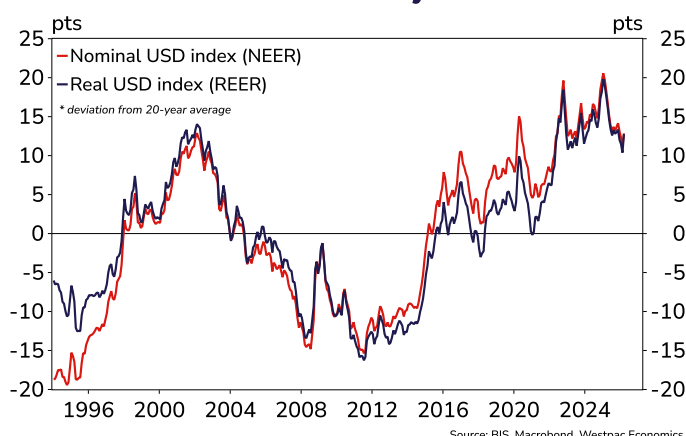
Participants are likely to take confidence from policy makers direction and will also expect that, as the drag on discretionary incomes lifts, activity growth in each jurisdiction should strengthen. Hence, we look for EUR/USD to appreciate from USD1.17 today to USD1.21 in mid-2027 and USD1.22 come mid-2028. Sterling is seen appreciating from USD1.36 to USD1.39 then USD1.41 over the two-year forecast horizon.

In closing, it is worth noting that, at least initially, euro, sterling and yen are most likely to benefit if downside risks for the US crystallise. In time though, investors are likely to see greater opportunity in Asia, and capital will be repositioned to take advantage.

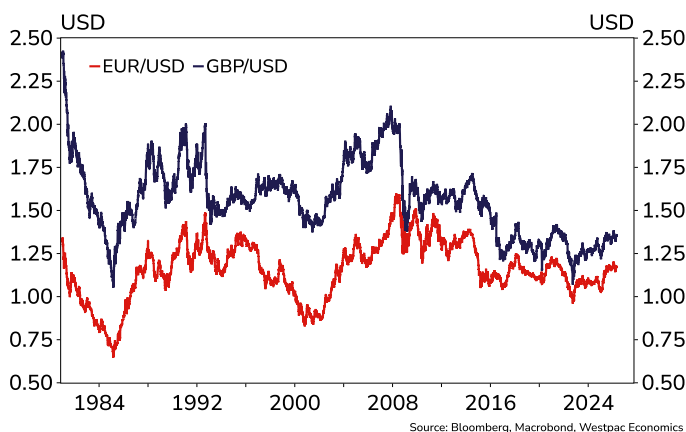
### JPY aided by authorities



### USD still elevated versus history



### Euro and UK risks to recede



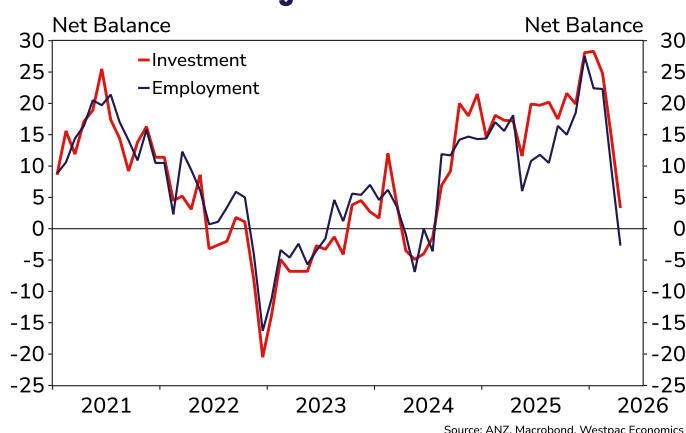
# Early impacts of Iran war as expected ...

**Darren Gibbs**  
Senior Economist

The domestic focus since our last Market Outlook has remained on gathering up-to-date information on how the New Zealand economy is being impacted by the Middle East conflict and assessing the RBNZ's likely response. To date the main impact continues to be felt through higher prices for refined oil products. The supply of fuel has continued uninterrupted, and the Government has taken steps to modestly boost resilience by funding a roughly one-third increase in in-country diesel storage. This resilience will be tested if the Middle East conflict continues.

Unsurprisingly, both business and consumer confidence have taken a significant hit with surveys for April confirming the decline in optimism that had been evident in late responses back in March. For example, the ANZ's headline business confidence index slumped to -10.6 in April from 32.5 in March – the first negative reading since 2023. Encouragingly, firms remain more optimistic about their own situation. Even so, the net proportion of firms expecting their own trading activity to rise over the next year halved to 19.6% in April. Uncertainty is curbing firms' willingness to expand, with net hiring intentions turning modestly negative in April and net investment intentions sliding to barely positive levels. This is consistent with the picture we expected to see when we downgraded our near-term outlook for growth in late March. However, we are reviewing our forecasts considering prospects for a slower resolution of the Middle East conflict than previously assumed.

## Investment and hiring intentions



Meanwhile, the first-round impact of high energy prices is beginning to pass through the economy. A small portion of the direct impact of the Middle East conflict came through in the March quarter CPI, with a 3.5% lift in petrol prices helping to leave annual headline inflation stable at a higher-than-

expected 3.1%yr. Measures of core inflation generally nudged lower, with the RBNZ's sectoral factor model estimate edging down to 2.7%yr, the 30% trimmed mean falling to 2.3%yr and the weighted median edging down to 1.6%yr. But the full brunt of the energy shock will begin to be felt in the current quarter. Sharply higher fuel prices are leaving many firms operating in the transport industry with little choice but to raise prices, mainly through surcharges, to help defray their increased costs. We currently expect annual headline inflation will rise to around 4.5%. How long it remains at such elevated levels – or indeed whether this is even the peak – will depend mostly on the path that the Middle East conflict takes.

Appropriately, the RBNZ remains vigilant for any signs that a higher near-term trajectory for inflation will raise the outlook for inflation over the medium term. Recently, Governor Breman participated in a regional engagement event in which she largely reiterated the key messages conveyed at the RBNZ's 8 April OCR Review. But she also commented on the recent release of the Q1 CPI report. While noting that headline inflation was slightly higher than expected, she added that "...measures of core inflation, which look through this volatility, have remained stable within the target band."

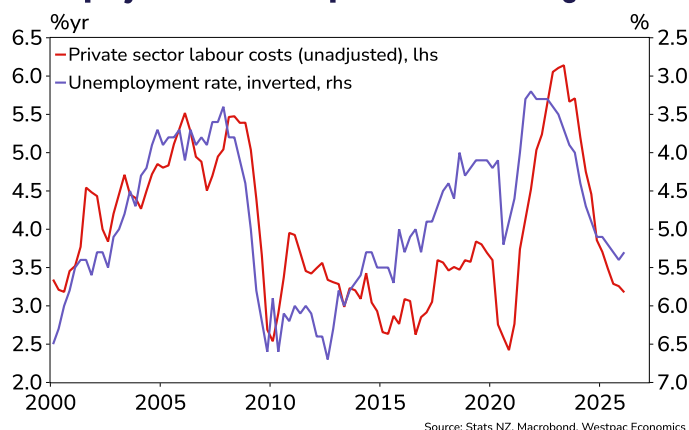
Looking ahead, Breman said "...the Reserve Bank remains focused on balancing inflation control with supporting economic recovery." But she also reiterated that "...monetary policy can and should ensure that a temporary increase in inflation does not turn into enduring inflationary pressures." In particular, she emphasised that the Bank was focused on the prospect of second-round inflation effects, specifically transmitted through the labour market, rather than the first-round impact of higher fuel prices. She also emphasised that the Bank will pay close attention to measures of medium-term inflation expectations. Next week the RBNZ will release the first of three different measures of inflation expectations, which mostly covers the views of professional economists and a small number of people from the business sector.

At present, the market is pricing just under a 30% chance of a 25bp rate hike at the RBNZ's 27 May meeting. Westpac continues to forecast a first lift in the OCR at the 2 September Monetary Policy Statement meeting, but we do not rule out the possibility that the RBNZ acts sooner. In this environment, we expect the NZ dollar to remain stable in the near-term. Thereafter, as the RBNZ tightening cycle begins and the US dollar continues its weakening trend, the NZ dollar is expected to gradually appreciate (including regaining some of the ground lost this year against the Australian dollar).



## ... with confidence down and prices up

### Unemployment rate and private sector wages



While it is too early for the Middle East conflict to have impacted the labour market, data released this week provided an important update on conditions as New Zealand faced into this shock. According to the household survey, employment rose 0.2% during the quarter to be 0.4% higher than a year earlier. Measures of hours worked from both the household and employer surveys grew slightly more quickly, consistent with our view that the economy grew solidly in during the quarter (we currently estimate GDP growth of 0.8%qtr). Somewhat unusually, the labour force participation rate nudged lower despite the rise in employment. As a result, the unemployment rate edged down to 5.3% despite slightly firmer growth in the working age population. Labour cost growth was subdued as expected, with annual growth in private sector wages slowing to 3.2% (2.0% once

productivity-related increases are excluded, as published in the headline index). These results were much as the RBNZ had forecast in the February Monetary Policy Statement (employment growth was just slightly weaker) and so are unlikely to have much impact on the RBNZ's deliberations.

Finally, the Middle East conflict is also set to impact the Government's financial accounts. Prior to the war, the Government was on course to announce an upgrade to the fiscal outlook at Budget 2026 (released on 28 May). But higher than previously forecast inflation and interest rates are set to raise the cost of welfare spending and debt financing, and weaker economic growth will undermine previous forecasts of tax revenue. Therefore, it now seems likely that Budget 2026 will reveal a modest lift in the Government's borrowing requirement, even though higher inflation will help lift some types of tax revenue given the lack of indexation of the tax system. We will publish our Budget preview following next week's release of government spending and tax data for March.

Reflecting the weaker fiscal outlook, last month Moody's joined Fitch in attaching a negative outlook to New Zealand's sovereign credit rating. Moody's model assigns a rating one notch lower than the current final Aaa rating, with the final rating reflecting a discretionary uplift based on an assessment that the recent weakening of fiscal metrics would improve over time (an uplift based on New Zealand's past success in correcting fiscal imbalances). The move to a negative outlook clearly indicates that Moody's are considering removing that uplift due to the ongoing delay in returning to books back to surplus. Avoiding a downgrade sometime next year will require the Government to demonstrate its commitment to fiscal consolidation.

|                                              | 2025  |       |       |       |       |       |       | 2026  |       |       |      |      |
|----------------------------------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|------|------|
| Monthly data                                 | May   | Jun   | Jul   | Aug   | Sep   | Oct   | Nov   | Dec   | Jan   | Feb   | Mar  | Apr  |
| REINZ house sales %mth                       | -2.1  | -3.9  | 2.6   | -2.7  | -1.5  | 6.3   | 0.4   | 1.0   | -5.2  | 5.2   | -4.4 | -    |
| Residential building consents %mth           | 10.8  | -5.2  | 6.3   | 5.2   | 7.5   | -0.7  | 2.7   | -4.4  | 1.8   | 2.7   | -1.2 | -    |
| Electronic card transactions %mth            | -0.1  | 0.5   | 0.2   | 0.6   | -0.4  | 0.3   | 1.3   | -0.1  | -1.0  | 1.4   | 0.7  | -    |
| Private sector credit %yr                    | 3.0   | 3.2   | 3.5   | 3.8   | 4.2   | 4.6   | 4.4   | 4.6   | 4.6   | 4.7   | 4.9  | -    |
| Commodity prices %mth                        | 1.9   | -2.4  | -1.8  | 0.7   | -1.1  | -0.3  | -1.6  | -2.1  | 2.0   | 4.2   | 4.2  | -0.8 |
| Trade balance \$mn                           | -256  | -527  | -371  | -110  | 269   | -248  | -352  | -183  | -299  | -863  | -200 | -    |
| Quarterly data                               | Q4:23 | Q1:24 | Q2:24 | Q3:24 | Q4:24 | Q1:25 | Q2:25 | Q3:25 | Q4:25 | Q1:26 |      |      |
| Westpac McDermott Miller Consumer Confidence | 88.9  | 93.2  | 82.2  | 90.8  | 97.5  | 89.2  | 91.2  | 90.9  | 96.5  | 94.7  |      |      |
| Quarterly Survey of Business Opinion         | 9     | -27   | -25   | -29   | -27   | -22   | -21   | -15   | -3    | 0     |      |      |
| Unemployment rate %                          | 4.0   | 4.4   | 4.7   | 4.9   | 5.1   | 5.1   | 5.2   | 5.3   | 5.4   | 5.3   |      |      |
| CPI %yr                                      | 4.7   | 4.0   | 3.3   | 2.2   | 2.2   | 2.5   | 2.7   | 3.0   | 3.1   | 3.1   |      |      |
| Real GDP %yr                                 | 2.2   | 1.8   | 1.1   | 0.5   | -0.3  | -0.9  | -1.1  | -0.6  | 0.2   | -     |      |      |
| Current account balance % of GDP             | -6.3  | -5.7  | -5.5  | -5.2  | -4.7  | -4.2  | -3.7  | -3.5  | -3.7  | -     |      |      |

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. \*4qma

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

# Playing comparative ...

**Elliot Clarke**

Head of International Economics

This month, President Xi and President Trump are due to meet to discuss China/US relations, developments in the global economy and, barring a resolution before, likely the conflict in the Middle East. This meeting will not materially change the status quo, being one of a number of in-person meetings planned for this year, but it will guide on the opportunities and risks ahead. Available data points to a stark difference in perspective and outlooks.

As the US continues to focus on controlling trade across its borders in pursuit of greater domestic investment and production, China has instead enticed investment at home by encouraging foreign trade. To date in 2026, China's trade surplus has averaged US\$88bn per month after holding around US\$99bn in 2025, both outcomes roughly three times the 2018-19 average of US\$32bn.

The US trade position has, in contrast, deteriorated from an average deficit of US\$47bn per month in 2018-19 to US\$73bn in 2025-26. Admittedly, this US data pre-dates the surge in energy exports seen through April and May, but China has also temporarily pulled back on their supply of energy goods to other nations, reducing export revenue.

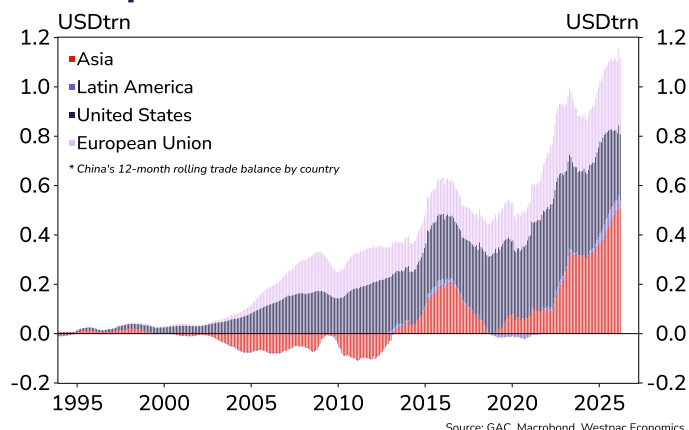
With future export opportunities remaining the focus, Chinese fixed asset investment continues to grow after rapidly scaling through 2020-2025. Of particular note, transport and storage-related infrastructure spending surged in early-2026, and utilities investment has continued to compound around 9%ytd.

Within the manufacturing sector, stronger demand for green technology goods and refined energy products is likely to elicit a sustained upturn in capital expenditure through 2026, with the key investment sub-categories of electrical machinery, automobiles (EVs) and chemicals all showing evidence of stabilisation in Q1 and global demand receiving strong support from elevated energy prices and open-ended uncertainty over Middle East supply.

In contrast, in the US, investment remains highly concentrated in AI-related infrastructure and conversely is weak in areas related to trade and the domestic real economy. Linger uncertainty related to tariffs and elevated long-term yields are also at play, in addition to businesses' focus on technology – US for-profit entities need greater surety over expected returns than China's state-owned and state-linked entities.

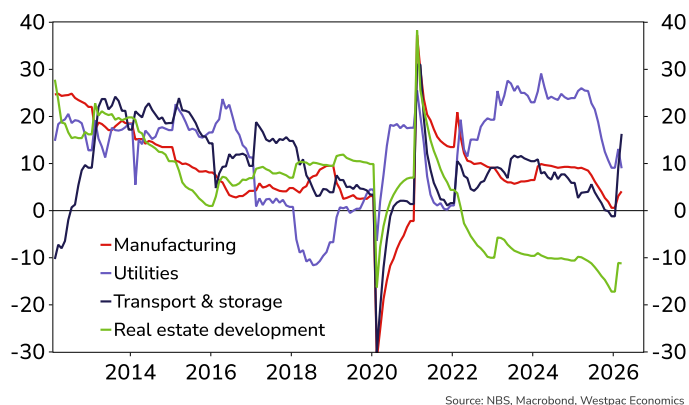
An additional element to consider is the benefit China may receive from the US' souring relationship with the world, particularly Europe. This month, President Trump has continued to spar with European leaders, threatening to pull US troops from Germany and other major nations in the region.

## Trade surplus a boon for ...



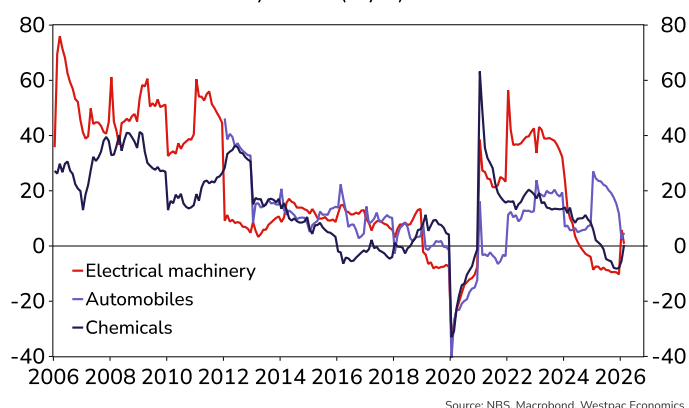
## ... for investment ...

Fixed Asset Investment by Industry (%ytd)



## ... particularly in high-tech sectors

Fixed Asset Investment by Sector (%ytd)



## ... advantage

He then announced a 10 percentage point increase in the US tariff rate for European cars and trucks, purportedly because the EU had failed to live up to their side of the agreed trade deal – without providing specific evidence.

The EU labelled the US as an “unreliable” trading partner and vowed to respond. Ahead of this development, Chinese authorities were acting to strengthen ties with European leaders, publically via a number of high-profile visits from European leaders, and behind the scenes by encouraging Chinese firms to invest in Europe and vice versa. There is strong evidence of a high-integrated, mutually-beneficial trade relationship taking shape between China and Europe.

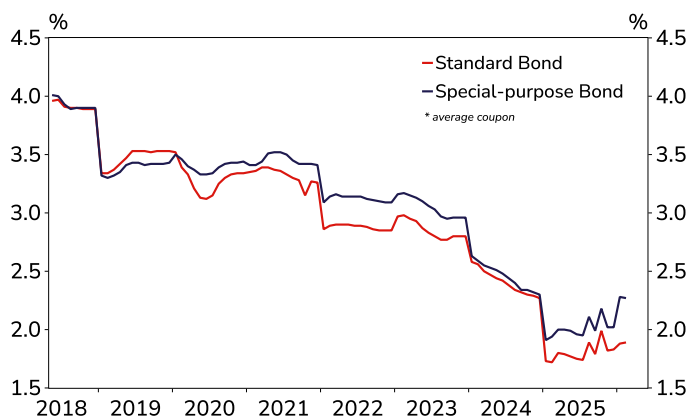
As we have highlighted frequently, Chinese investment is not concentrated in one jurisdiction, however. Instead, it has spread widely across Asia, Latin America and Africa (in addition to Europe), targeting not only the production of finished goods, but also the production of supply inputs – from raw materials to high-tech components.

While not their initial intent, over time this project will justify a material increase in the use of the Renminbi in trade, and will also strengthen demand for real and financial investment within China.

This will see greater depth and liquidity for China’s onshore financial markets, as well as scope to offer global investments to Chinese investors through the issuance of Renminbi denominated debt and equity instruments. The larger these flows become, the greater the opportunity for Chinese banks and financial entities to facilitate flows, provide capital and manage risk, both on and, more importantly, offshore.

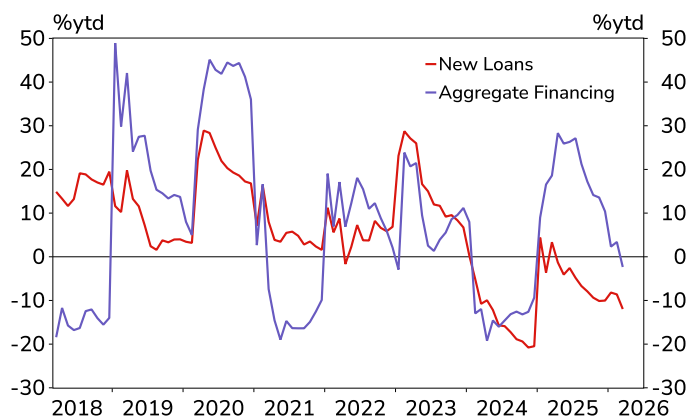
Overall then, in trade, investment and, with time, financial flows, China has a considerable long-term competitive advantage that is set to benefit their real economy and national wealth.

## Cost of funds attractive ...



Source: MOF, Macrobond, Westpac Economics

## ... for a turn in credit



Source: Bloomberg, Macrobond, Westpac Economics

|                                | 2025   |       |        |       |        |      |        | 2026  |        |      |        |      |
|--------------------------------|--------|-------|--------|-------|--------|------|--------|-------|--------|------|--------|------|
| Monthly data %yr               | May    | Jun   | Jul    | Aug   | Sep    | Oct  | Nov    | Dec   | Jan    | Feb  | Mar    | Apr  |
| Headline CPI %yr               | -0.1   | 0.1   | 0.0    | -0.4  | -0.3   | 0.2  | 0.7    | 0.8   | 0.2    | 1.3  | 1.0    | -    |
| M2 money supply %yr            | 7.9    | 8.3   | 8.8    | 8.8   | 8.4    | 8.2  | 8.0    | 8.5   | 9.0    | 9.0  | 8.5    | -    |
| Manufacturing PMI (official)   | 49.5   | 49.7  | 49.3   | 49.4  | 49.8   | 49.0 | 49.2   | 50.1  | 49.3   | 49.0 | 50.4   | 50.3 |
| Fixed asset investment ytd %yr | 3.7    | 2.8   | 1.6    | 0.5   | -0.5   | -1.7 | -2.6   | -3.8  | -3.8   | 1.8  | 1.7    | -    |
| Industrial production %yr      | 5.8    | 6.8   | 5.7    | 5.2   | 6.5    | 4.9  | 4.8    | 5.2   | 5.2    | 6.3  | 5.7    | -    |
| Exports %yr                    | 4.6    | 5.7   | 7.0    | 4.2   | 8.2    | -1.3 | 5.8    | 6.5   | 10.0   | 39.6 | 2.5    | -    |
| Imports %yr                    | -3.3   | 1.3   | 4.2    | 1.6   | 7.8    | 1.4  | 2.0    | 5.7   | 25.7   | 13.9 | 27.8   | -    |
| Trade balance USDbn            | 102.7  | 113.9 | 97.4   | 101.2 | 89.2   | 88.9 | 111.1  | 113.7 | 122.4  | 90.8 | 51.1   | -    |
| Quarterly data                 | Dec-24 |       | Mar-25 |       | Jun-25 |      | Sep-25 |       | Dec-25 |      | Mar-26 |      |
| Real GDP %yr                   | 5.4    |       | 5.4    |       | 5.2    |      | 4.8    |       | 4.5    |      | 5.0    |      |
| Nominal GDP %yr                | 4.6    |       | 4.6    |       | 3.9    |      | 3.7    |       | 3.9    |      | 4.9    |      |

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. \*4qma

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

# Economic opportunity ...

**Elliot Clarke**

Head of International Economics

The US has exhibited both strength and frailty over the past month. Backed by earnings beats and despite a new cycle high for Brent oil, its equity markets have rebounded strongly to record levels. At the same time though, growth in consumer demand has fallen below trend and housing investment is contracting. In many respects, the outlook is highly uncertain.

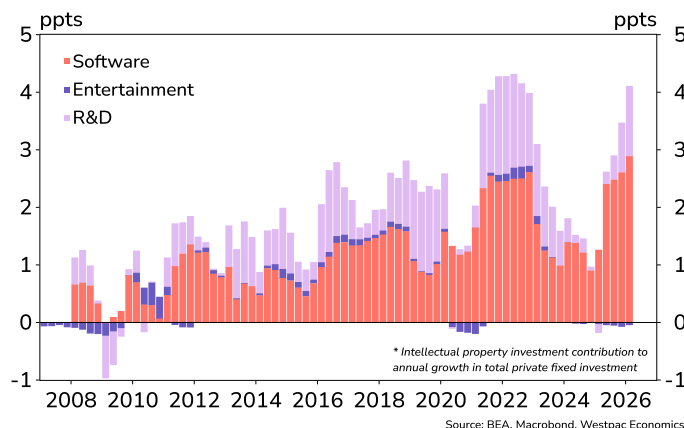
Beginning with the positives. The confidence financial markets have shown amid open-ended uncertainty for energy supply, the pass-through to consumer inflation and elevated yields is jarring. Participants' responses to recent earnings results and news of the build out of AI infrastructure helps to make sense of these outcomes, however.

Simply, there is a dominant belief that the US' real economy can be protected from the worst of the supply disruptions by its domestic energy production and refining capacity. And, both now and in the long run, is at the forefront of productivity and profitability enhancement through technology. The surge in energy exports as well as intangibles and equipment investment supports both notions. The strength of these investment sub-types arguably also warrants expectations of sustainable income gains and an ability to, in time, contain inflationary pressures, providing scope for persistent, robust returns.

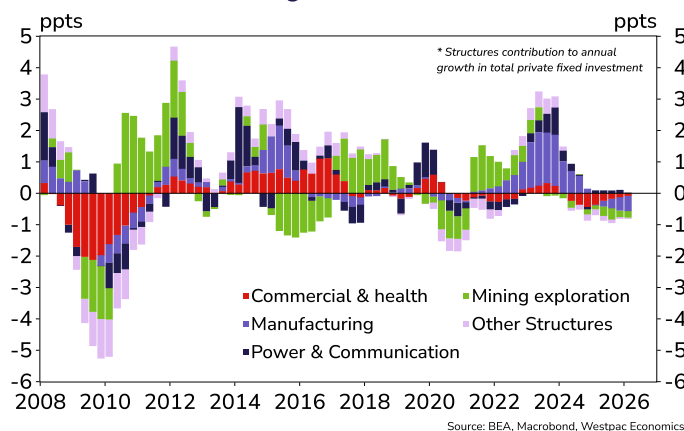
We do not doubt the strength of tech-related investment or the capacity it is creating. But we see a need to caution on the sustainability of its contribution to GDP growth because momentum tends to moderate as an industry matures, and owing to the concern being shown by investors over the financing terms and lifecycle of assets within the sector. We also believe it is important to recognise that, outside of AI infrastructure and related equipment investment, business investment is soft. Indeed, at circa 6%yr, annual growth in total business investment is broadly in line with the historic depreciation rate for the capital stock, implying no net increase in functional capacity. In the public sector, while activity rebounded in Q1 2026 following Q4's shutdown, the level of spending is unchanged over the year.

At the same time, the pulse of consumer demand has continued to soften, from an above-trend annualised pace of 3.2% through 2023 and 2024 to a sub-par 2.1% annualised in 2025, and now 1.6% in Q1 2026. This is despite the unemployment rate remaining consistent with full employment, the drag on real discretionary income fading and as real wealth accrues. Also affected by elevated term interest rates, housing construction continues to contract to now be down more than 18% since early 2021, even with solid population growth.

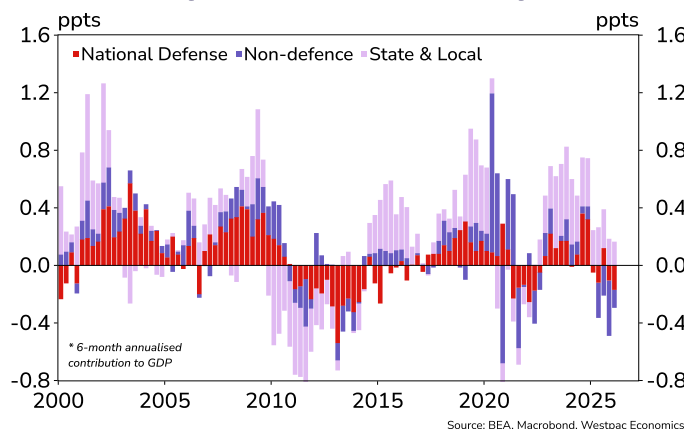
## Tech driving US growth



## Other US firms holding back



## State & local government spend turning



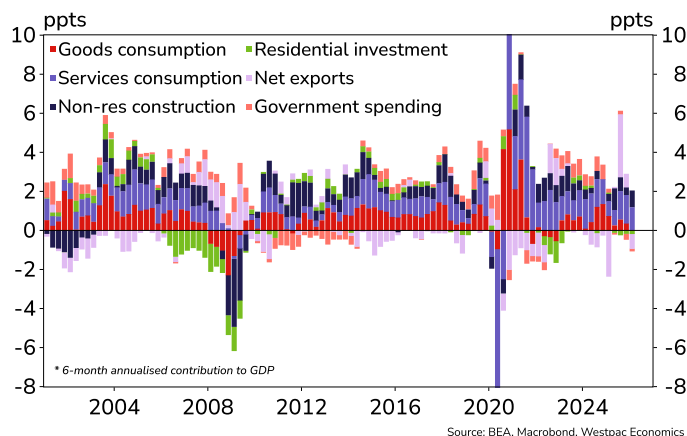
## ... narrow and brittle

It is extremely difficult, if not impossible, for an economy to grow at or above trend when sectors representing 72% of total activity are experiencing a sub-par performance, or contracting outright. The import component of the above activity is an additional headwind for GDP growth which is unlikely to subside, even if President Trump finds a way to permanently impose tariffs and entice new investment.

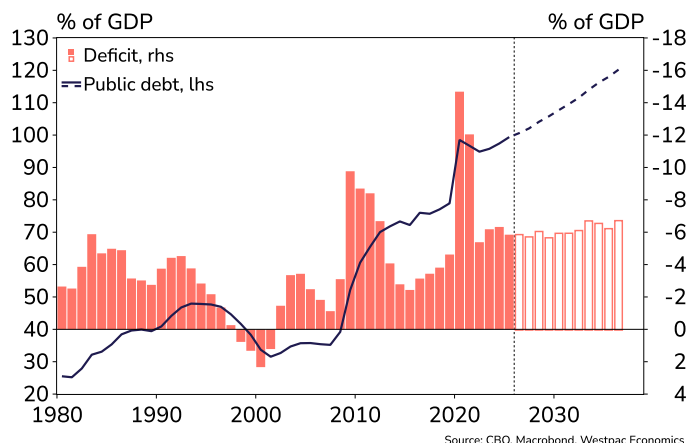
Our take on the above positives and negatives is that the US economy finds itself with the capacity to grow at or near trend through 2026-2028, but momentum is likely to be concentrated amongst businesses and higher-income households, with volatile outcomes around a broadly flat trend anticipated in other sectors. Meanwhile, limits on capacity outside of technology is, all else equal, likely to hold inflation consistently above target. As we have emphasised repeatedly, the adoption of AI and related technology offers the opportunity for greater productivity from labour. But limits on migration are likely to create offsetting wage pressures and frictions in production.

For US monetary policy, known risks are therefore set to remain skewed towards misses on inflation versus a material increase in labour market slack. The market is likely to price in at least a chance of a rate hike over the forecast period, and term interest rates a lasting hawkish tilt. For the long end of the yield curve, the effect of higher inflation expectations will be magnified by the implications for Government servicing costs – a higher share of expenditure going to interest payments, increasing the stock of debt and reducing the Government's capacity to invest for growth. In our view, this uptrend for interest rates is unlikely to boost the US dollar, being paired with modest US economic growth and comparably favourable opportunities in other parts of the world, for businesses and investors alike.

### Consumer demand brittle



### Debt and deficit a constraint



|                                 | 2025   |       |        |       |        |       |        | 2026  |        |       |           |      |  |
|---------------------------------|--------|-------|--------|-------|--------|-------|--------|-------|--------|-------|-----------|------|--|
| Monthly data                    | Jun    | Jul   | Aug    | Sep   | Oct    | Nov   | Dec    | Jan   | Feb    | Mar   | Apr       | May  |  |
| PCE deflator %yr                | 2.5    | 2.6   | 2.6    | 2.7   | 2.8    | 2.7   | 2.8    | 2.9   | 2.9    | 2.8   | 3.5       | –    |  |
| Unemployment rate %             | 4.3    | 4.1   | 4.3    | 4.3   | 4.4    | 4.4   | 4.5    | 4.4   | 4.3    | 4.4   | 4.3       | –    |  |
| Nonfarm payrolls chg '000       | 13     | –20   | 64     | –70   | 76     | –140  | 41     | –17   | 160    | –133  | 178       | –    |  |
| House prices* %yr               | 2.8    | 2.1   | 1.8    | 1.6   | 1.4    | 1.3   | 1.5    | 1.5   | 1.2    | 0.9   | –         | –    |  |
| Durables orders core 3mth %saar | 2.6    | –0.9  | 8.4    | 4.0   | 10.9   | 9.8   | 9.8    | 8.9   | 5.5    | 8.5   | 20.0      | –    |  |
| ISM manufacturing composite     | 48.6   | 49.0  | 48.4   | 48.9  | 48.9   | 48.8  | 48.0   | 47.9  | 52.6   | 52.4  | 52.7      | 52.7 |  |
| ISM non-manufacturing composite | 50.2   | 50.8  | 50.5   | 51.9  | 50.4   | 52.0  | 52.4   | 53.8  | 53.8   | 56.1  | 54.0      | 53.6 |  |
| Personal spending 3mth %saar    | 4.7    | 3.6   | 5.1    | 7.3   | 6.6    | 5.5   | 4.5    | 4.7   | 4.5    | 5.9   | 8.0       | –    |  |
| UoM Consumer Sentiment          | 52.2   | 60.7  | 61.7   | 58.2  | 55.1   | 53.6  | 51.0   | 52.9  | 56.4   | 56.6  | 53.3      | 49.8 |  |
| Trade balance USDbn             | –70.6  | –57.6 | –74.2  | –56.0 | –49.2  | –31.1 | –56.0  | –72.9 | –54.7  | –57.8 | –60.3     | –    |  |
| Quarterly data                  | Mar–25 |       | Jun–25 |       | Sep–25 |       | Dec–25 |       | Mar–26 |       | Jun–26(f) |      |  |
| Real GDP % saar                 | –0.6   |       | 3.8    |       | 4.4    |       | 0.5    |       | 2.0    |       | 1.6       |      |  |
| Current account USDbn           | –438.3 |       | –247.8 |       | –239.1 |       | –190.7 |       | –      |       | –         |      |  |

Sources: Government agencies, Bloomberg, \*S&P Case–Shiller 20-city measure.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



# A coordinated policy response needed to ...

**Illiana Jain**  
Economist

At the heart of it, the Bank of Japan's (BoJ) policy board has one objective: to restore the effectiveness of the policy rate lever while continuing to support demand-pull inflation. If these two are in opposition to one another, the BoJ will choose to halt the hiking cycle to support domestic demand. The cost of not doing so was laid bare in 2014, when a consumption tax hike from 5% to 8% saw private consumption contract by nearly 19% annualised in Q2, breaking the reflationary momentum Abenomics had built.

Today, domestic data warrants another hike. Three consecutive years of 5%+ Shunto wage results, corporate profit margins at 60-year highs, and a broadening of wage increases to SMEs all point to a virtuous cycle taking hold. The Middle East conflict is a complication, however, threatening to turn demand-pull inflation into cost-push, squeezing the demand growth the BoJ is trying to nurture.

Domestically driven inflation starts with healthy wage growth. FY2026's (ending March 2027) Rengo wage outcome came in at 5.08%, just below last year's 5.25%. Major companies like Toyota and Suzuki reportedly met union demands in full. The unions were also successful in encouraging SMEs to increase wages by 4.84%. The SMEs wage commitment in particular reflects the difficulty of finding labour and Japan's limited spare capacity. In their press conference, Rengo affirmed that recent results suggest robust wage rises are becoming entrenched across the economy. Structural factors like an ageing population and the expansion of the services sector have also helped maintain upward pressure on wage growth. Strong corporate profitability has also been important, offering scope for business to deliver.

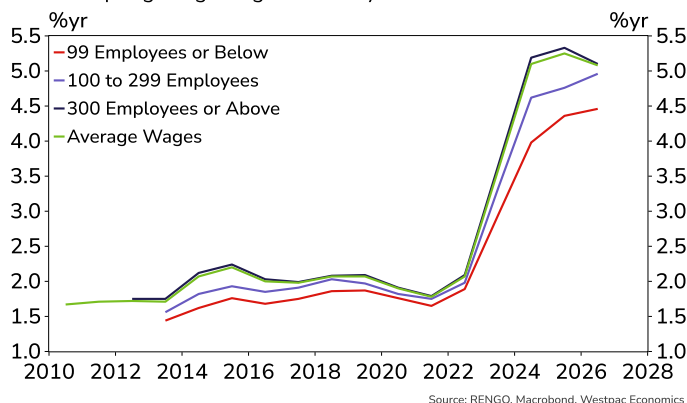
While the BoJ's most recent Outlook highlighted risks to corporate profitability, it is worth noting that this measure remains near historic highs. The operating profits-to-sales ratio is currently 6.01%, a high back to the 1960s. In contrast to the 1960's, the strength has also been broad-based across manufacturers and service providers.

Primary risks to Japan's economy are instead found offshore. In particular, cost-push inflation from energy and a weak yen risks a squeeze in real incomes and consequently demand.

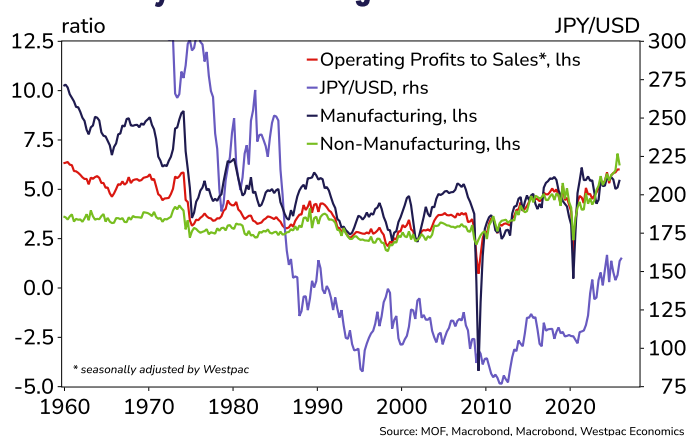
Authorities showed their concern this month, USD/JPY's rise above JPY160 in late April triggering the first intervention since mid-2024. Several instances of intervention through early-May has helped USD/JPY remain below JPY160. Although, it is worth noting that, per IMF rules, the MoF can only intervene in the FX markets twice more over the next six months for the yen to be considered a free-floating currency. This highlights the predicament facing Japanese officials. The yen is

## Gap between SMEs and large firms is closing

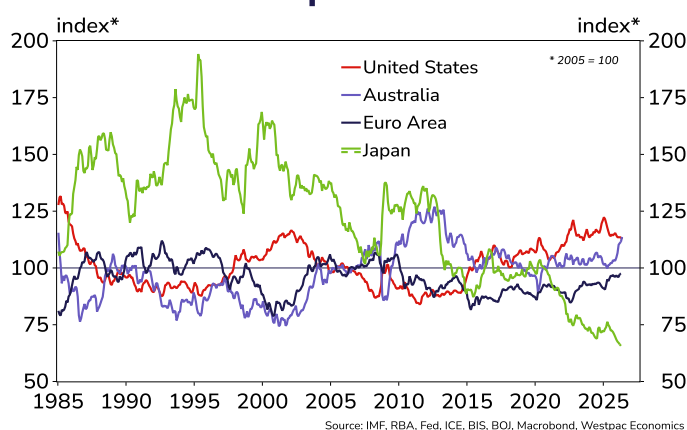
RENGO Spring Wage Negotiations by Business Size



## Profitability remains strong



## Yen continues to underperform



# ... ensure the policy lever is returned to the BoJ

weak due to structural factors like offshore investment by Japanese manufacturers and adverse rate differentials with other developed markets. Intervention can only be effective temporarily and at the margin. Policy makers must therefore continue to deliver on rates and economic growth.

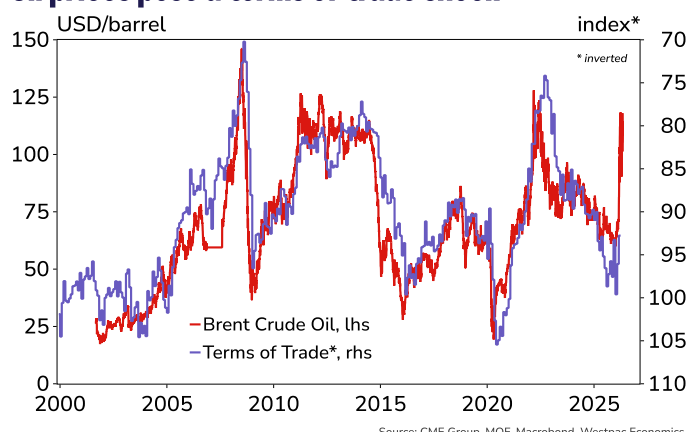
At its April meeting, the policy board decided to keep rates steady in a 6-3 vote, with the three dissenters (Tamura, Nakagawa and Takata) voting to hike. The accompanying statement put the Middle East conflict front and centre. In their central scenario, they downgraded the GDP forecast to below 1.0% for the projection period and lifted the inflation profile. Higher oil prices are now more than offsetting the deceleration in food prices – core inflation for FY26 was revised up from 1.9% to 2.8%. While domestic conditions still indicate the economy can sustain another step up in rates, the BoJ remains cautious about the impact of external risks on domestic demand. Highlighting this, Governor Ueda placed a condition on the Board's hawkish forward guidance, noting rates could only rise if downside risks remain limited.

On the fiscal side, Prime Minister Takaichi's budget for FY26 should deliver near-term support for growth. The budget passed in early April with a 6.2% increase in spending versus FY25. Key items included spending on defence and investment into high value sectors such as semiconductors to aid economic growth over the medium term. Higher social spending and cost-of-living relief measures should also help cushion the impact of higher energy prices and second-round pass-through. More importantly, the shift from targeting the primary balance surplus – which constrains annual spending regardless of the cycle – to a medium-term debt-to-GDP ratio target allows greater flexibility to front-load spending when necessary while maintaining fiscal discipline.

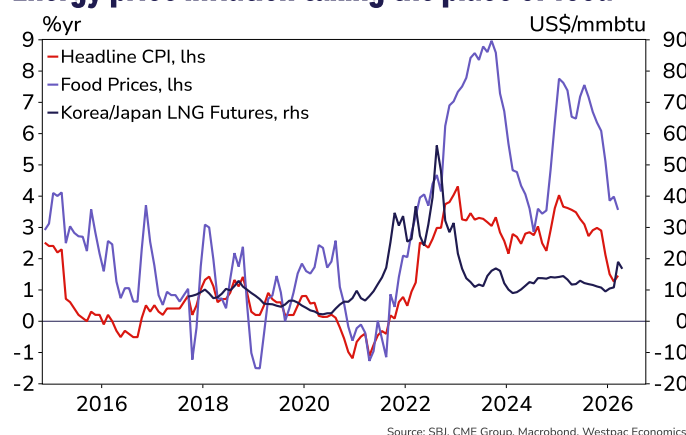
All told, enduring strength in the domestic economy thanks to wage increases, a vibrant corporate sector, and a supportive fiscal backdrop should give the BoJ sufficient confidence to move again in June. The 6-3 vote split and Governor Ueda's conditional guidance suggests the Board is already leaning in that direction.

To confirm the appropriateness of the decision between now and then, greater clarity is necessary on two fronts: the trajectory of the Middle East conflict and, more concretely, the Financial Statements data due in early June, with the latter to show how firms are absorbing higher input costs and whether margins are holding up. If profitability shows resilience and downside risks to growth remain contained, the case for a 25bp hike to 1.0% is straightforward. Beyond June, however, an extended pause is likely while the lagged impact of global developments and the significant change in the stance of policy over the past year is assessed.

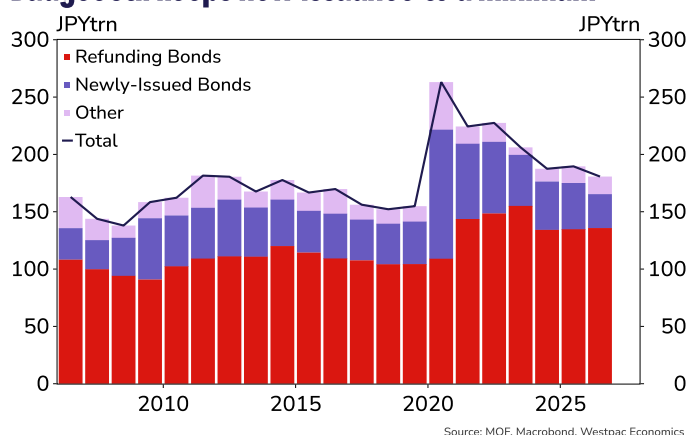
## Oil prices pose a terms of trade shock



## Energy price inflation taking the place of food



## Budget still keeps new issuance to a minimum



# Keep calm ...

**Mantas Vanagas**  
Senior Economist

While the RBA continued tightening monetary policy this month, major central banks in Europe maintained a more balanced stance. But with a definitive end to the Middle East conflict still out of sight, both the European Central Bank and the Bank of England are looking increasingly likely to hike sooner than later.

At the end-of-April meeting, the ECB Governing Council opted to maintain its current policy stance and largely met expectations with their tone. The uncertainty stemming from the Middle East conflict remains the primary concern, the monetary policy statement reiterating that the implications for the euro area economy and, consequently, monetary policy will depend on both the intensity and duration of the war.

Indeed, the ECB believe “upside risks to inflation and downside risks to growth have [both] intensified”. Arguably, the lack of a clear tilt in the distribution of risks warranted policymakers wait-and-see approach, with the decision to hold unanimous.

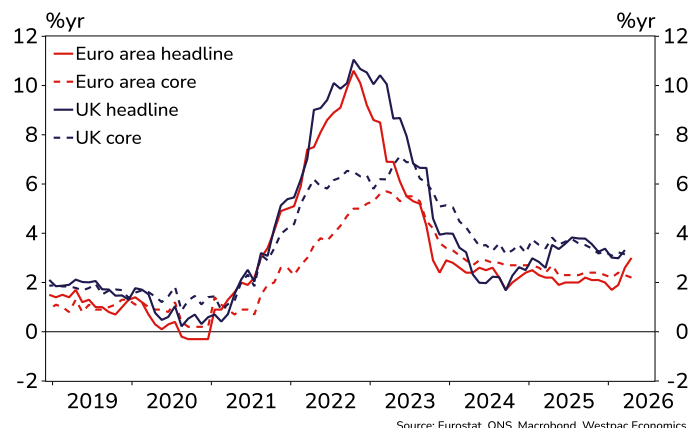
The coming months will provide evidence of second-round effects, allowing for a clearer assessment. The next meeting in June will also incorporate a refreshed set of forecasts and scenarios to provide perspective.

In its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In her speech in Berlin two weeks before the April meeting, President Lagarde implied the conflict’s dynamics and energy prices had deteriorated relative to their baseline view, but were not yet aligned with the adverse scenario.

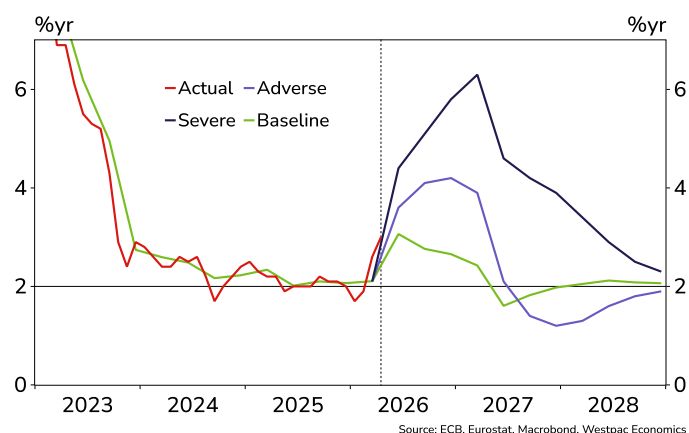
Following the ECB’s April meeting, President Lagarde seemed reluctant to discuss the details of the adverse scenarios, but again stressed that conditions have diverged from March’s baseline. She noted that the upcoming six weeks “will be the right time” to assess the economy “in order to make an informed decision” in June. Her comments appeared carefully chosen to signal an openness to a rate increase at the next meeting, if data and assessed risks warrant it. Notably, a rate hike was discussed by the Governing Council as a policy option for the April decision. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the June meeting.

In the UK meanwhile, with BoE Governor Bailey having recently pushed back against market expectations for aggressive policy tightening, participants anticipated the April meeting would conclude without drama.

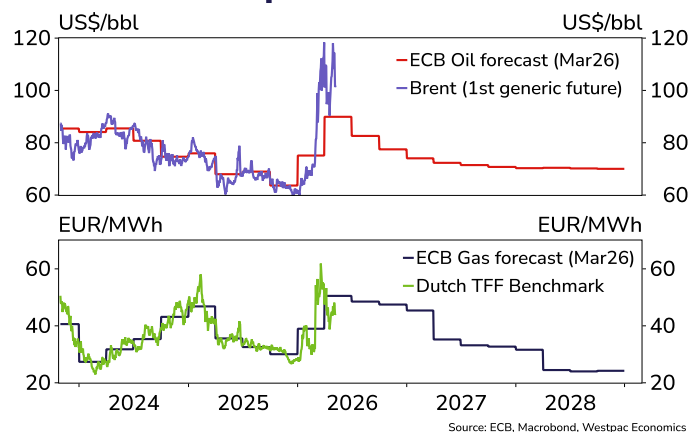
## Euro area and UK inflation



## ECB HICP inflation scenarios



## ECB forecast assumptions



## ... and trust in guidance's effect

That proved to be the case, with the majority of the eight committee members voting to keep the policy rate at 3.75%. Chief Economist Huw Pill was the sole dissenter, voting for a hike to 4.00%, preferring “a prompt but modest hike in Bank Rate” to contain the risk of second-round inflationary effects.

The policy statement maintained a hawkish bias, emphasising the impact of the energy price shock – both its scale and duration – on UK inflation as well as the Committee’s readiness to act to ensure inflation returns sustainably to the 2% target in the medium term. Committee members also showed considerable concern over activity growth, however. If it remains sub-par, underlying inflationary pressures may ease over time. Loose conditions in the labour market were also called out given slack was building before the conflict began.

Risks to inflation were illustrated using three scenarios, differentiated primarily by oil and gas price assumptions and the persistence of second-round effects.

In the first two scenarios, the Brent oil price averages US\$108 in Q2 2026 and then decreases at different speeds. The aggregate result is headline inflation above 3.5%yr this year, but it abates through 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required as financial conditions have already been affected by the removal of circa 50bps of easing priced before tensions flared.

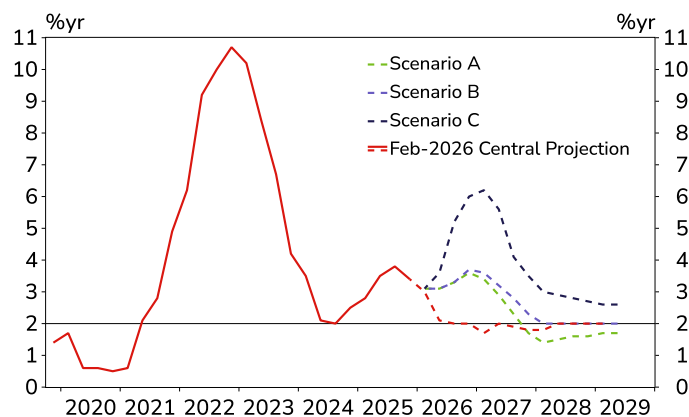
The committee judged that the most severe scenario – where Brent averages US\$127 this quarter and remains above US\$100 well into 2028 leaving inflation as high as 6.2%yr in 2027 – would instead require “a forceful tightening in monetary policy”. The BoE published policy rules suggest that Bank Rate might need to go as high as 5.0% in these circumstances.

Overall, the MPC communication suggest Bank Rate hikes this year are far from guaranteed, with the current “active hold” approach potentially sufficient to bring inflation to target.

Though, with Brent oil peaking at US\$126 on the day the MPC met, and holding above US\$100 since, conditions are clearly volatile and inflation risks acute. The persistence of inflation and slowly eroding stockpiles of energy products globally may be too great a risk for the MPC to ignore.

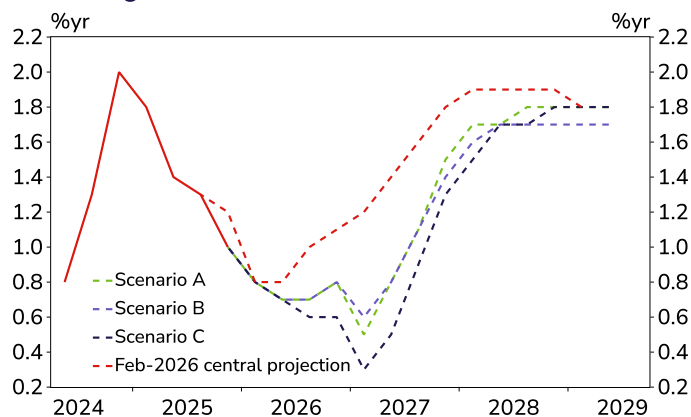
As such, we maintain our base case for a Bank Rate hike at the next policy meeting in June, with further tightening possible in Q3 if price uncertainty intensifies. Note though, downside risks to the labour market and economic activity are unlikely to improve, and so the Bank of England may instead attempt to look through current price dynamics, holding fire on rates. Any rate hikes in 2026 are also likely to be reversed in 2027.

### BoE Inflation scenarios



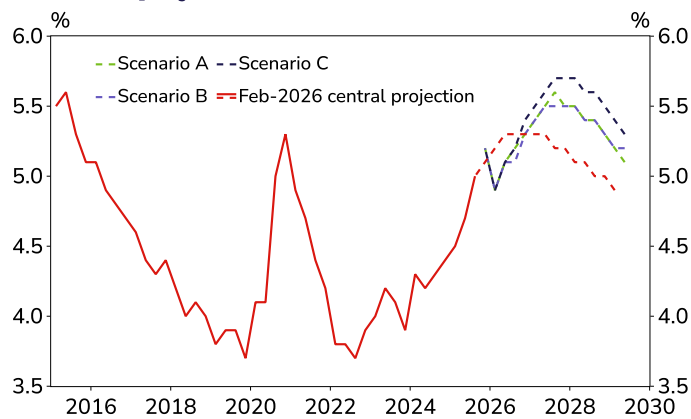
Source: BoE, Macrobond, Westpac Economics

### BoE GDP growth scenarios



Source: BoE, Macrobond, Westpac Economics

### BoE Unemployment rate scenarios



Source: BoE, Macrobond, Westpac Economics

# Australia

## Interest rate forecasts

|                            | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|----------------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Cash                       | 4.35           | 4.35   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.60   | 4.35   |
| 90 Day BBSW                | 4.44           | 4.55   | 4.90   | 4.90   | 4.95   | 4.95   | 4.95   | 4.80   | 4.55   | 4.30   |
| 3 Year Swap                | 4.64           | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 3 Year Bond                | 4.63           | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 10 Year Bond               | 4.96           | 5.00   | 5.05   | 5.05   | 5.05   | 5.05   | 5.00   | 4.95   | 4.90   | 4.90   |
| 10 Year Spread to US (bps) | 57             | 65     | 65     | 60     | 55     | 50     | 40     | 30     | 20     | 15     |

## Currency forecasts

|               | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|---------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <b>AUD vs</b> |                |        |        |        |        |        |        |        |        |        |
| USD           | 0.7203         | 0.72   | 0.72   | 0.73   | 0.73   | 0.74   | 0.74   | 0.74   | 0.73   | 0.73   |
| JPY           | 113.02         | 113    | 112    | 112    | 111    | 111    | 110    | 108    | 105    | 104    |
| EUR           | 0.6141         | 0.61   | 0.61   | 0.61   | 0.61   | 0.61   | 0.61   | 0.61   | 0.60   | 0.60   |
| NZD           | 1.2139         | 1.22   | 1.22   | 1.18   | 1.14   | 1.12   | 1.11   | 1.10   | 1.10   | 1.10   |
| CAD           | 0.9840         | 0.99   | 0.98   | 0.98   | 0.98   | 0.99   | 0.98   | 0.98   | 0.96   | 0.95   |
| GBP           | 0.5315         | 0.53   | 0.53   | 0.53   | 0.53   | 0.53   | 0.53   | 0.52   | 0.52   | 0.52   |
| CHF           | 0.5623         | 0.55   | 0.55   | 0.55   | 0.55   | 0.55   | 0.55   | 0.55   | 0.55   | 0.55   |
| DKK           | 4.5890         | 4.56   | 4.56   | 4.58   | 4.55   | 4.57   | 4.53   | 4.53   | 4.49   | 4.49   |
| SEK           | 6.6854         | 6.64   | 6.64   | 6.68   | 6.62   | 6.66   | 6.60   | 6.60   | 6.54   | 6.54   |
| NOK           | 6.7018         | 6.66   | 6.66   | 6.69   | 6.64   | 6.67   | 6.62   | 6.62   | 6.56   | 6.56   |
| ZAR           | 11.86          | 11.9   | 11.9   | 11.9   | 11.9   | 12.0   | 12.0   | 12.0   | 12.1   | 12.1   |
| SGD           | 0.9144         | 0.91   | 0.91   | 0.92   | 0.92   | 0.93   | 0.93   | 0.93   | 0.92   | 0.92   |
| HKD           | 5.6424         | 5.62   | 5.61   | 5.68   | 5.66   | 5.74   | 5.74   | 5.74   | 5.66   | 5.66   |
| PHP           | 43.87          | 42.5   | 42.1   | 42.3   | 42.0   | 42.2   | 41.4   | 40.7   | 39.4   | 39.4   |
| THB           | 23.27          | 22.8   | 22.6   | 22.8   | 22.6   | 22.8   | 22.6   | 22.3   | 22.0   | 22.0   |
| MYR           | 2.8213         | 2.84   | 2.84   | 2.85   | 2.85   | 2.85   | 2.85   | 2.85   | 2.77   | 2.77   |
| CNY           | 4.9193         | 4.90   | 4.86   | 4.89   | 4.82   | 4.81   | 4.77   | 4.74   | 4.64   | 4.64   |
| IDR           | 12485          | 12240  | 12096  | 12118  | 12045  | 12136  | 12062  | 11988  | 11680  | 11680  |
| TWD           | 22.62          | 22.5   | 22.1   | 22.0   | 21.7   | 21.6   | 21.2   | 21.0   | 20.6   | 20.6   |
| KRW           | 1053           | 1058   | 1051   | 1051   | 1037   | 1036   | 1021   | 1006   | 978    | 978    |
| INR           | 68.41          | 67.0   | 65.5   | 65.7   | 65.0   | 65.9   | 65.1   | 65.1   | 63.5   | 63.5   |

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



# Australia

## Activity forecasts

|                                | 2025       |            | 2026       |            | 2027       |            |            |            | Calendar years |            |            |            |
|--------------------------------|------------|------------|------------|------------|------------|------------|------------|------------|----------------|------------|------------|------------|
| %qtr / %yr end                 | Q3         | Q4         | Q1f        | Q2f        | Q3f        | Q4f        | Q1f        | Q2f        | 2025           | 2026f      | 2027f      | 2028f      |
| Household consumption          | 0.5        | 0.3        | 0.6        | 0.0        | 0.2        | 0.4        | 0.5        | 0.5        | 2.4            | 1.2        | 2.1        | 3.3        |
| Dwelling investment            | 2.0        | 0.6        | 1.4        | 1.3        | 1.0        | 0.9        | 0.8        | 0.8        | 5.5            | 4.7        | 3.2        | 5.5        |
| Business investment *          | 3.8        | 0.5        | 0.9        | 0.3        | 0.4        | 0.3        | 0.3        | 0.4        | 4.4            | 1.8        | 2.0        | 3.5        |
| Private demand *               | 1.3        | 0.4        | 0.7        | 0.2        | 0.3        | 0.4        | 0.5        | 0.5        | 3.2            | 1.7        | 2.2        | 3.5        |
| Public demand *                | 1.3        | 0.8        | 0.8        | 0.7        | 0.5        | 0.5        | 0.6        | 0.6        | 2.1            | 2.5        | 2.4        | 2.6        |
| Domestic demand                | 1.3        | 0.5        | 0.8        | 0.3        | 0.4        | 0.4        | 0.5        | 0.5        | 2.9            | 1.9        | 2.3        | 3.3        |
| Stock contribution             | -0.5       | 0.4        | -0.2       | 0.0        | 0.0        | 0.0        | 0.0        | -0.1       | 0.1            | -0.2       | -0.1       | 0.1        |
| GNE                            | 0.8        | 0.9        | 0.6        | 0.4        | 0.3        | 0.4        | 0.5        | 0.5        | 3.0            | 1.8        | 2.2        | 3.3        |
| Exports                        | 1.4        | 1.4        | 0.4        | 0.4        | 0.4        | 0.4        | 0.6        | 0.7        | 5.2            | 1.6        | 2.5        | 2.4        |
| Imports                        | 2.0        | 1.8        | 1.0        | 1.2        | 1.3        | 1.4        | 1.2        | 1.2        | 6.7            | 4.9        | 5.1        | 4.5        |
| Net exports contribution       | -0.1       | -0.1       | -0.1       | -0.2       | -0.2       | -0.2       | -0.1       | -0.1       | -0.3           | -0.8       | -0.6       | -0.5       |
| <b>Real GDP %qtr / %yr avg</b> | <b>0.5</b> | <b>0.8</b> | <b>0.5</b> | <b>0.2</b> | <b>0.1</b> | <b>0.2</b> | <b>0.3</b> | <b>0.4</b> | <b>2.0</b>     | <b>1.8</b> | <b>1.2</b> | <b>2.4</b> |
| <b>%yr end</b>                 | <b>2.1</b> | <b>2.6</b> | <b>2.6</b> | <b>1.9</b> | <b>1.6</b> | <b>1.0</b> | <b>0.9</b> | <b>1.1</b> | <b>2.6</b>     | <b>1.0</b> | <b>1.6</b> | <b>2.8</b> |
| Nominal GDP %qtr / %yr avg     | 1.9        | 1.8        | 3.0        | 1.5        | 1.6        | 0.5        | 0.6        | 0.7        | 4.7            | 7.8        | 3.4        | 0.0        |
| %yr end                        | 5.4        | 6.0        | 7.7        | 8.5        | 8.2        | 6.8        | 4.3        | 3.5        | 6.0            | 6.8        | 3.1        | 0.0        |
| Real household disp. income    | 0.8        | 1.0        | -0.6       | -0.8       | 0.0        | 0.2        | 0.4        | 1.0        | 3.7            | -1.2       | 2.3        | 3.4        |

## Other macroeconomic variables

|                           | 2025  |       | 2026  |       | 2027  |       |       |       | Calendar years |       |       |       |
|---------------------------|-------|-------|-------|-------|-------|-------|-------|-------|----------------|-------|-------|-------|
| % change                  | Q3    | Q4    | Q1f   | Q2f   | Q3f   | Q4f   | Q1f   | Q2f   | 2025           | 2026f | 2027f | 2028f |
| Employment %qtr **        | 0.2   | 0.2   | 0.7   | 0.3   | 0.2   | 0.2   | 0.4   | 0.5   | -              | -     | -     | -     |
| %yr end **                | 1.4   | 1.1   | 1.5   | 1.4   | 1.4   | 1.3   | 1.1   | 1.2   | 1.1            | 1.3   | 1.7   | 2.2   |
| Unemployment rate % **    | 4.3   | 4.3   | 4.2   | 4.4   | 4.6   | 4.9   | 5.0   | 4.9   | 4.3            | 4.9   | 4.9   | 4.5   |
| Wages (WPI) (sa) %qtr     | 0.8   | 0.8   | 0.8   | 0.8   | 0.8   | 0.8   | 0.7   | 0.8   | -              | -     | -     | -     |
| %yr end                   | 3.3   | 3.4   | 3.3   | 3.2   | 3.2   | 3.2   | 3.2   | 3.2   | 3.4            | 3.2   | 3.0   | 3.4   |
| Headline CPI %qtr         | 1.3   | 0.6   | 1.4   | 1.5   | 1.4   | 0.5   | 0.6   | 0.6   | -              | -     | -     | -     |
| %yr end                   | 3.2   | 3.6   | 4.1   | 4.9   | 5.0   | 4.9   | 4.1   | 3.2   | 3.6            | 4.9   | 2.5   | 2.2   |
| Trimmed Mean CPI %qtr     | 1.0   | 0.9   | 0.8   | 1.1   | 1.1   | 1.0   | 0.8   | 0.7   | -              | -     | -     | -     |
| %yr end                   | 3.0   | 3.4   | 3.5   | 3.9   | 4.0   | 4.0   | 4.0   | 3.6   | 3.4            | 4.0   | 3.0   | 2.4   |
| Current account \$bn, qtr | -18.3 | -21.1 | -18.9 | -20.5 | -23.3 | -27.1 | -29.7 | -31.1 | -              | -     | -     | -     |
| % of GDP                  | -2.6  | -2.9  | -2.5  | -2.7  | -3.0  | -3.5  | -3.9  | -4.0  | -2.6           | -3.5  | -4.2  | -4.0  |
| Terms of trade %yr avg    | -3.3  | -2.3  | 0.0   | 2.0   | 3.1   | 4.0   | 1.8   | -0.4  | -2.3           | 4.0   | -4.0  | -2.5  |
| Population %yr end        | 1.6   | 1.6   | 1.5   | 1.5   | 1.5   | 1.5   | 1.4   | 1.4   | 1.6            | 1.5   | 1.4   | 1.4   |

Calendar year changes are annual through-the-year percentage changes unless otherwise specified.

\* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. \*\* Quarter-averages.

## Macroeconomic variables – recent history

|                               | 2025 |      |      |       |      |      |       |       | 2026 |      |       |      |
|-------------------------------|------|------|------|-------|------|------|-------|-------|------|------|-------|------|
| Monthly data                  | May  | Jun  | Jul  | Aug   | Sep  | Oct  | Nov   | Dec   | Jan  | Feb  | Mar   | Apr  |
| CPI %yr                       | 2.1  | 1.9  | 3.0  | 3.2   | 3.6  | 3.8  | 3.4   | 3.8   | 3.8  | 3.7  | 4.6   | -    |
| Employment '000 chg           | -5.9 | -5.0 | 35.2 | -13.7 | 11.2 | 34.2 | -34.6 | 64.3  | 25.6 | 49.7 | 17.9  | -    |
| Unemployment rate %           | 4.1  | 4.3  | 4.3  | 4.3   | 4.5  | 4.3  | 4.3   | 4.1   | 4.1  | 4.3  | 4.3   | -    |
| Westpac-MI Consumer Sentiment | 92.1 | 92.6 | 93.1 | 98.5  | 95.4 | 92.1 | 103.8 | 94.5  | 92.9 | 90.5 | 91.6  | 80.2 |
| Household spending %mth       | 1.1  | 0.3  | 0.4  | 0.0   | 0.3  | 1.4  | 1.0   | -0.5  | 0.2  | 0.3  | 1.6   | -    |
| Dwelling approvals %mth       | 3.4  | 13.1 | -8.1 | -4.3  | 11.7 | -6.8 | 15.2  | -14.1 | -6.9 | 31.0 | -10.5 | -    |
| Private sector credit %mth    | 0.6  | 0.6  | 0.7  | 0.6   | 0.6  | 0.7  | 0.7   | 0.8   | 0.5  | 0.6  | 0.7   | -    |
| Trade in goods balance AUDbn  | 1.7  | 4.7  | 6.3  | 0.9   | 3.4  | 4.5  | 2.2   | 3.2   | 2.1  | 5.0  | -1.8  | -    |

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

# New Zealand

## Interest rate forecasts

|                        | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|------------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Cash                   | 2.25           | 2.25   | 2.50   | 3.00   | 3.50   | 3.75   | 4.00   | 4.25   | 4.25   | 4.25   |
| 90 Day Bill            | 2.63           | 2.50   | 2.95   | 3.40   | 3.75   | 4.00   | 4.25   | 4.45   | 4.45   | 4.45   |
| 2 Year Swap            | 3.55           | 3.75   | 4.05   | 4.30   | 4.40   | 4.40   | 4.40   | 4.35   | 4.30   | 4.25   |
| 10 Year Bond           | 4.67           | 4.85   | 4.95   | 5.00   | 5.05   | 5.10   | 5.10   | 5.10   | 5.10   | 5.10   |
| 10 Year Spread to US   | 28             | 50     | 55     | 55     | 55     | 55     | 50     | 45     | 40     | 35     |
| 10 Year Spread to Aust | -29            | -15    | -10    | -5     | 0      | 5      | 10     | 15     | 20     | 20     |

Sources: Bloomberg, Westpac Economics.

## Currency forecasts

|               | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|---------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <b>NZD vs</b> |                |        |        |        |        |        |        |        |        |        |
| USD           | 0.5934         | 0.59   | 0.59   | 0.62   | 0.64   | 0.66   | 0.67   | 0.67   | 0.67   | 0.67   |
| JPY           | 93.11          | 93     | 92     | 95     | 97     | 99     | 99     | 98     | 96     | 95     |
| EUR           | 0.5059         | 0.50   | 0.50   | 0.52   | 0.53   | 0.55   | 0.55   | 0.55   | 0.55   | 0.55   |
| AUD           | 0.8238         | 0.82   | 0.82   | 0.85   | 0.87   | 0.89   | 0.90   | 0.91   | 0.91   | 0.91   |
| CAD           | 0.8107         | 0.81   | 0.80   | 0.83   | 0.85   | 0.88   | 0.89   | 0.88   | 0.87   | 0.87   |
| GBP           | 0.4379         | 0.44   | 0.43   | 0.45   | 0.46   | 0.47   | 0.48   | 0.48   | 0.47   | 0.47   |
| CNY           | 4.0413         | 4.01   | 3.98   | 4.15   | 4.21   | 4.29   | 4.31   | 4.29   | 4.23   | 4.23   |

Sources: Bloomberg, Westpac Economics.

## Activity forecasts

|                               | 2025 |      | 2026 |      | 2027 |      |      |      | Calendar years |       |       |       |
|-------------------------------|------|------|------|------|------|------|------|------|----------------|-------|-------|-------|
| % change                      | Q3   | Q4   | Q1f  | Q2f  | Q3f  | Q4f  | Q1f  | Q2f  | 2025           | 2026f | 2027f | 2028f |
| Private consumption           | 0.1  | -0.1 | 0.5  | -0.6 | 0.3  | 1.5  | 1.4  | 1.4  | 1.4            | 0.6   | 4.7   | 4.3   |
| Government consumption        | 1.4  | 2.2  | -1.1 | 0.2  | 0.3  | 0.3  | 0.3  | 0.3  | 2.4            | 1.7   | 1.4   | 2.2   |
| Residential investment        | 1.1  | -0.1 | 1.5  | 1.0  | 1.0  | 1.0  | 2.0  | 3.0  | -6.0           | 2.7   | 8.3   | 10.5  |
| Business investment           | 2.9  | -3.1 | 3.7  | -0.3 | 1.6  | 2.2  | 2.5  | 2.0  | 0.4            | 3.6   | 7.3   | 4.0   |
| Stocks (ppt contribution)     | -0.5 | 0.8  | 0.3  | -0.3 | 0.0  | -0.1 | 0.2  | 0.0  | -0.1           | 0.6   | 0.0   | -0.1  |
| GNE                           | 0.6  | 0.5  | 1.1  | -0.6 | 0.6  | 1.2  | 1.6  | 1.3  | 0.8            | 2.1   | 4.7   | 4.0   |
| Exports                       | 3.0  | 0.1  | 0.5  | -0.3 | -0.4 | 0.2  | 1.0  | 1.1  | 2.7            | 2.4   | 2.1   | 2.7   |
| Imports                       | 2.3  | 1.0  | 2.1  | -1.1 | 0.1  | 1.2  | 1.8  | 2.7  | 3.4            | 2.8   | 6.3   | 5.2   |
| GDP (production)              | 0.9  | 0.2  | 0.8  | -0.4 | 0.5  | 1.9  | 2.5  | 3.7  | 0.2            | 1.5   | 3.5   | 3.3   |
| Employment annual %           | -0.7 | 0.2  | 0.4  | 0.6  | 1.0  | 1.2  | 1.9  | 2.8  | 0.2            | 1.2   | 3.1   | 2.0   |
| Unemployment rate % s.a.      | 5.3  | 5.4  | 5.3  | 5.6  | 5.6  | 5.4  | 5.1  | 4.9  | 5.4            | 5.4   | 4.6   | 4.2   |
| LCI, all sect incl o/t, ann % | 2.1  | 2.0  | 2.0  | 1.9  | 2.2  | 2.3  | 2.3  | 2.2  | 2.0            | 2.3   | 2.2   | 2.3   |
| CPI annual %                  | 3.0  | 3.1  | 3.1  | 4.5  | 4.4  | 4.1  | 3.4  | 1.5  | 3.1            | 4.1   | 1.7   | 2.6   |
| Current account % of GDP      | -3.5 | -3.7 | -3.9 | -4.1 | -4.3 | -4.3 | -4.1 | -4.0 | -3.7           | -4.3  | -4.0  | -4.2  |
| Terms of trade annual %       | 5.2  | 3.5  | 0.8  | -3.3 | 0.0  | 1.2  | 5.3  | 6.3  | 3.5            | 1.2   | 5.0   | 0.4   |

Sources: Statistics NZ, Westpac Economics.

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# Commodity prices

| End of period                        | Latest (May 8) | Jun-26     | Sep-26     | Dec-26     | Mar-27     | Jun-27     | Sep-27     | Dec-27     | Mar-28     | Jun-28     |
|--------------------------------------|----------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
| Australian commodities index#        | 411            | 415        | 426        | 417        | 399        | 388        | 380        | 370        | 362        | 351        |
| <b>Bulk commodities index#</b>       | <b>402</b>     | <b>410</b> | <b>380</b> | <b>360</b> | <b>350</b> | <b>340</b> | <b>340</b> | <b>340</b> | <b>350</b> | <b>350</b> |
| iron ore finesTSI @ 62% US\$/t       | 112            | 104        | 101        | 95         | 87         | 83         | 83         | 84         | 84         | 85         |
| Premium low vol met coal (US\$/t)    | 231            | 230        | 220        | 200        | 201        | 203        | 204        | 205        | 207        | 208        |
| Newcastle spot thermal coal (US\$/t) | 141            | 150        | 135        | 120        | 121        | 121        | 122        | 123        | 124        | 124        |
| crude oil (US\$/bbl) Brent           | 104            | 112        | 95         | 83         | 84         | 74         | 73         | 64         | 63         | 60         |
| LNG in Japan US\$mmbtu               | 17.01          | 18.2       | 24.6       | 20.0       | 16.6       | 16.4       | 14.2       | 12.4       | 12.2       | 11.2       |
| gold (US\$/oz)                       | 4,682          | 4,800      | 4,930      | 5,000      | 5,000      | 4,950      | 4,900      | 4,850      | 4,700      | 4,400      |
| <b>Base metals index#</b>            | <b>267</b>     | <b>265</b> | <b>270</b> | <b>274</b> | <b>274</b> | <b>269</b> | <b>264</b> | <b>247</b> | <b>241</b> | <b>235</b> |
| copper (US\$/t)                      | 13,236         | 13,100     | 13,250     | 13,350     | 13,350     | 13,250     | 13,150     | 12,340     | 12,240     | 11,950     |
| aluminium (US\$/t)                   | 3,560          | 3,600      | 3,800      | 4,000      | 4,000      | 3,850      | 3,650      | 3,500      | 3,350      | 3,300      |
| nickel (US\$/t)                      | 19,179         | 18,750     | 18,500     | 18,250     | 17,950     | 17,850     | 17,550     | 17,000     | 16,000     | 15,750     |
| zinc (US\$/t)                        | 3,408          | 3,370      | 3,380      | 3,390      | 3,390      | 3,380      | 3,360      | 2,960      | 2,920      | 2,790      |
| lead (US\$/t)                        | 1,974          | 1,950      | 1,950      | 1,940      | 1,940      | 1,900      | 1,800      | 1,530      | 1,500      | 1,420      |
| <b>Rural commodities index#</b>      | <b>148</b>     | <b>149</b> | <b>148</b> | <b>149</b> | <b>147</b> | <b>142</b> | <b>137</b> | <b>130</b> | <b>128</b> | <b>123</b> |
| <b>NZ commodities index ##</b>       | <b>407</b>     | <b>409</b> | <b>415</b> | <b>415</b> | <b>413</b> | <b>414</b> | <b>415</b> | <b>416</b> | <b>417</b> | <b>418</b> |
| dairy price index ##                 | 338            | 340        | 342        | 342        | 345        | 349        | 353        | 357        | 359        | 361        |
| whole milk powder USD/t              | 3,687          | 3,500      | 3,450      | 3,400      | 3,500      | 3,600      | 3,670      | 3,750      | 3,790      | 3,830      |
| skim milk powder USD/t               | 3,381          | 3,150      | 3,050      | 2,950      | 3,000      | 3,050      | 3,100      | 3,150      | 3,180      | 3,210      |
| lamb price index ##                  | 640            | 655        | 677        | 650        | 632        | 622        | 621        | 620        | 617        | 612        |
| beef price index ##                  | 400            | 407        | 427        | 413        | 404        | 398        | 398        | 397        | 396        | 395        |
| forestry price index ##              | 165            | 160        | 158        | 159        | 159        | 159        | 160        | 160        | 160        | 161        |

|                                     | levels     |            |            |            | %change      |             |              |              |
|-------------------------------------|------------|------------|------------|------------|--------------|-------------|--------------|--------------|
| Annual averages                     | 2025       | 2026(f)    | 2027(f)    | 2028(f)    | 2025         | 2026(f)     | 2027(f)      | 2028(f)      |
| Australian commodities index#       | 324        | 414        | 384        | 350        | 4.2          | 27.7        | -7.1         | -8.9         |
| <b>Bulk commodities index#</b>      | <b>378</b> | <b>397</b> | <b>350</b> | <b>353</b> | <b>-12.7</b> | <b>5.0</b>  | <b>-11.8</b> | <b>0.9</b>   |
| iron ore fines @ 62% USD/t          | 102        | 103        | 85         | 85         | -6.9         | 0.8         | -17.2        | -0.2         |
| LNG in Japan \$mmbtu                | 11.9       | 19.0       | 15.5       | 11         | -8.8         | 60.2        | -18.3        | -28.2        |
| ave coking coal price (US\$/t)      | 166        | 180        | 174        | 179        | -19.6        | 8.7         | -3.6         | 2.9          |
| ave thermal price (US\$/t)          | 119        | 130        | 119        | 121        | -12.1        | 9.1         | -9.0         | 2.4          |
| iron ore fines contracts (US¢ dltu) | 143        | 142        | 125        | 121        | -12.2        | -0.5        | -12.1        | -2.7         |
| Premium low vol met coal (US\$/t)   | 188        | 224        | 203        | 184        | -21.7        | 19.0        | -9.5         | -9.5         |
| crude oil (US\$/bbl) Brent ICE      | 67         | 93         | 75         | 60         | -13.1        | 38.7        | -19.1        | -19.8        |
| gold (US\$/oz)                      | 3,470      | 4,870      | 4,940      | 4,492      | 44.0         | 40.3        | 1.4          | -9.1         |
| <b>Base metals index#</b>           | <b>208</b> | <b>264</b> | <b>264</b> | <b>235</b> | <b>3.1</b>   | <b>26.5</b> | <b>0.1</b>   | <b>-11.1</b> |
| copper (US\$/t)                     | 10,000     | 13,100     | 13,100     | 12,000     | 8.7          | 31.0        | 0.0          | -8.4         |
| aluminium (US\$/t)                  | 2,600      | 3,600      | 3,800      | 3,300      | 8.3          | 38.5        | 5.6          | -13.2        |
| nickel (US\$/t)                     | 15,300     | 18,200     | 17,700     | 15,900     | -9.5         | 19.0        | -2.7         | -10.2        |
| zinc (US\$/t)                       | 2,900      | 3,400      | 3,300      | 2,800      | 3.6          | 17.2        | -2.9         | -15.2        |
| lead (US\$/t)                       | 2,000      | 1,900      | 1,800      | 1,400      | -4.8         | -5.0        | -5.3         | -22.2        |
| <b>Rural commodities index#</b>     | <b>120</b> | <b>143</b> | <b>139</b> | <b>121</b> | <b>-5.0</b>  | <b>19.4</b> | <b>-3.3</b>  | <b>-12.5</b> |
| <b>NZ commodities index ##</b>      | <b>390</b> | <b>409</b> | <b>414</b> | <b>418</b> | <b>9.2</b>   | <b>4.7</b>  | <b>1.4</b>   | <b>0.9</b>   |
| dairy price index ##                | 348        | 409        | 351        | 361        | 9.7          | 17.3        | -14.0        | 2.9          |
| whole milk powder USD/t             | 3,902      | 3,529      | 3,594      | 3,829      | 13.5         | -9.6        | 1.8          | 6.5          |
| skim milk powder USD/t              | 2,702      | 3,085      | 3,054      | 3,216      | 0.6          | 14.1        | -1.0         | 5.3          |
| lamb price index ##                 | 587        | 656        | 626        | 609        | 27.0         | 11.7        | -4.5         | -2.7         |
| beef price index ##                 | 337        | 408        | 400        | 394        | 19.1         | 21.0        | -2.0         | -1.4         |
| forestry price index ##             | 152        | 157        | 159        | 161        | -4.9         | 3.4         | 1.7          | 1.2          |

# Chain weighted index: weights are Australian export shares. \* Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. \*\* WCFI – Westpac commodities futures index. \*\*\* Weekly averages except for the Bulks Index. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

# United States

## Interest rate forecasts

|              | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|--------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Fed Funds*   | 3.625          | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  |
| 10 Year Bond | 4.39           | 4.35   | 4.40   | 4.45   | 4.50   | 4.55   | 4.60   | 4.65   | 4.70   | 4.75   |

Sources: Bloomberg, Westpac Economics. \* +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

## Currency forecasts

|               | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|---------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <b>USD vs</b> |                |        |        |        |        |        |        |        |        |        |
| DXI index     | 98.20          | 97.8   | 97.6   | 96.7   | 95.9   | 95.0   | 94.2   | 93.9   | 94.0   | 93.8   |
| JPY           | 156.89         | 157    | 156    | 154    | 152    | 150    | 148    | 146    | 144    | 142    |
| EUR           | 1.1730         | 1.18   | 1.18   | 1.19   | 1.20   | 1.21   | 1.22   | 1.22   | 1.22   | 1.22   |
| AUD           | 0.7203         | 0.72   | 0.72   | 0.73   | 0.73   | 0.74   | 0.74   | 0.74   | 0.73   | 0.73   |
| NZD           | 0.5934         | 0.59   | 0.59   | 0.62   | 0.64   | 0.66   | 0.67   | 0.67   | 0.67   | 0.67   |
| CAD           | 1.3661         | 1.37   | 1.36   | 1.35   | 1.34   | 1.34   | 1.33   | 1.32   | 1.31   | 1.30   |
|               |                |        |        |        |        |        |        |        |        |        |
| GBP           | 1.3552         | 1.35   | 1.36   | 1.37   | 1.38   | 1.39   | 1.40   | 1.41   | 1.41   | 1.41   |
| CHF           | 0.7806         | 0.77   | 0.76   | 0.75   | 0.75   | 0.74   | 0.74   | 0.74   | 0.75   | 0.75   |
| ZAR           | 16.46          | 16.5   | 16.5   | 16.4   | 16.4   | 16.2   | 16.2   | 16.2   | 16.6   | 16.6   |
|               |                |        |        |        |        |        |        |        |        |        |
| SGD           | 1.2695         | 1.27   | 1.26   | 1.26   | 1.26   | 1.26   | 1.26   | 1.25   | 1.25   | 1.25   |
| HKD           | 7.8327         | 7.80   | 7.79   | 7.78   | 7.76   | 7.75   | 7.75   | 7.75   | 7.75   | 7.75   |
| PHP           | 60.41          | 59.0   | 58.5   | 58.0   | 57.5   | 57.0   | 56.0   | 55.0   | 54.0   | 54.0   |
| THB           | 32.31          | 31.6   | 31.4   | 31.2   | 31.0   | 30.8   | 30.6   | 30.2   | 30.1   | 30.1   |
| MYR           | 3.9170         | 3.95   | 3.95   | 3.90   | 3.90   | 3.85   | 3.85   | 3.85   | 3.80   | 3.80   |
| CNY           | 6.8023         | 6.80   | 6.75   | 6.70   | 6.60   | 6.50   | 6.45   | 6.40   | 6.35   | 6.35   |
| IDR           | 17333          | 17000  | 16800  | 16600  | 16500  | 16400  | 16300  | 16200  | 16000  | 16000  |
| TWD           | 31.40          | 31.2   | 30.7   | 30.2   | 29.7   | 29.2   | 28.7   | 28.4   | 28.2   | 28.2   |
| KRW           | 1462           | 1470   | 1460   | 1440   | 1420   | 1400   | 1380   | 1360   | 1340   | 1340   |
| INR           | 94.25          | 93.0   | 91.0   | 90.0   | 89.0   | 89.0   | 88.0   | 88.0   | 87.0   | 87.0   |

## Activity forecasts

|                              | 2025 |      |      |      | 2026 |      |      |      | Calendar years |       |       |       |
|------------------------------|------|------|------|------|------|------|------|------|----------------|-------|-------|-------|
| % annualised, s/adj          | Q1   | Q2   | Q3   | Q4   | Q1f  | Q2f  | Q3f  | Q4f  | 2025           | 2026f | 2027f | 2028f |
| Private consumption          | 0.6  | 2.5  | 3.5  | 1.9  | 1.6  | 1.6  | 1.7  | 1.7  | 2.6            | 1.9   | 1.9   | 2.1   |
| Dwelling investment          | -1.0 | -5.1 | -7.1 | -1.7 | -8.0 | 0.0  | 0.0  | 0.8  | -2.2           | -3.5  | 0.9   | 2.0   |
| Business investment          | 9.5  | 7.3  | 3.2  | 2.4  | 10.4 | 4.4  | 5.6  | 5.6  | 4.1            | 5.7   | 5.1   | 4.7   |
| Public demand                | -1.0 | -0.1 | 2.2  | -5.6 | 4.4  | 2.0  | 0.4  | 0.4  | 1.1            | 0.7   | 0.5   | 0.4   |
| Domestic final demand        | 1.5  | 2.5  | 2.9  | 0.6  | 3.0  | 2.0  | 2.0  | 2.1  | 2.4            | 2.1   | 2.1   | 2.2   |
| Inventories contribution ppt | 0.7  | -0.4 | -0.4 | -0.1 | -0.8 | 0.1  | 0.1  | 0.1  | -0.1           | 0.1   | 0.0   | 0.1   |
| Net exports contribution ppt | -1.8 | -0.1 | 0.5  | 0.4  | 1.3  | -0.2 | -0.8 | -0.8 | 0.4            | -0.8  | -0.5  | -0.5  |
| GDP                          | -0.6 | 3.8  | 4.4  | 0.5  | 2.0  | 1.6  | 1.6  | 1.7  | 2.1            | 2.0   | 1.8   | 1.9   |
| %yr annual chg               | 2.0  | 2.1  | 2.3  | 2.0  | 2.7  | 2.1  | 1.4  | 1.7  | -              | -     | -     | -     |

## Other macroeconomic variables

|                           |     |     |     |     |     |     |     |     |     |     |     |     |
|---------------------------|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|
| Non-farm payrolls mth avg | 68  | 56  | 11  | -30 | 44  | 80  | 80  | 90  | 26  | 74  | 103 | 120 |
| Unemployment rate %       | 4.1 | 4.2 | 4.3 | 4.4 | 4.3 | 4.5 | 4.5 | 4.6 | 4.4 | 4.7 | 4.8 | 4.7 |
| CPI headline %yr          | 2.7 | 2.4 | 2.9 | 2.7 | 2.7 | 3.2 | 3.1 | 2.9 | 2.7 | 2.9 | 2.4 | 2.3 |
| PCE deflator, core %yr    | 2.8 | 2.7 | 2.9 | 2.9 | 2.9 | 2.9 | 2.7 | 2.5 | 2.8 | 2.5 | 2.3 | 2.2 |

Sources: Official agencies, Factset, Westpac Economics.

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# Europe & the United Kingdom

## Interest rate forecasts

|                       | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|-----------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <b>Euro Area</b>      |                |        |        |        |        |        |        |        |        |        |
| ECB Deposit Rate      | 2.00           | 2.25   | 2.50   | 2.50   | 2.50   | 2.50   | 2.25   | 2.00   | 2.00   | 2.00   |
| 10 Year Bund          | 3.00           | 3.00   | 3.05   | 3.05   | 3.05   | 3.00   | 2.95   | 2.90   | 2.90   | 2.90   |
| 10 Year Spread to US  | -138           | -135   | -135   | -140   | -145   | -155   | -165   | -175   | -180   | -185   |
| <b>United Kingdom</b> |                |        |        |        |        |        |        |        |        |        |
| BoE Bank Rate         | 3.75           | 4.00   | 4.25   | 4.25   | 4.25   | 4.00   | 3.75   | 3.50   | 3.50   | 3.50   |
| 10 Year Gilt          | 4.95           | 4.90   | 4.95   | 4.95   | 4.95   | 4.90   | 4.85   | 4.80   | 4.75   | 4.75   |
| 10 Year Spread to US  | 56             | 55     | 55     | 50     | 45     | 35     | 25     | 15     | 5      | 0      |

Sources: Bloomberg, Westpac Economics.

## Currency forecasts

|                    | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|--------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <b>euro vs</b>     |                |        |        |        |        |        |        |        |        |        |
| USD                | 1.1730         | 1.18   | 1.18   | 1.19   | 1.20   | 1.21   | 1.22   | 1.22   | 1.22   | 1.22   |
| JPY                | 184.04         | 185    | 184    | 183    | 182    | 182    | 181    | 178    | 175    | 173    |
| GBP                | 0.8655         | 0.87   | 0.87   | 0.87   | 0.87   | 0.87   | 0.87   | 0.87   | 0.86   | 0.86   |
| CHF                | 0.9156         | 0.91   | 0.90   | 0.90   | 0.90   | 0.90   | 0.91   | 0.91   | 0.91   | 0.91   |
| DKK                | 7.4726         | 7.47   | 7.47   | 7.47   | 7.47   | 7.47   | 7.47   | 7.47   | 7.47   | 7.47   |
| SEK                | 10.89          | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   |
| NOK                | 10.91          | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   | 10.9   |
| <b>sterling vs</b> |                |        |        |        |        |        |        |        |        |        |
| USD                | 1.3552         | 1.35   | 1.36   | 1.37   | 1.38   | 1.39   | 1.40   | 1.41   | 1.41   | 1.41   |
| JPY                | 212.64         | 213    | 212    | 211    | 210    | 209    | 207    | 206    | 202    | 200    |
| CHF                | 1.0579         | 1.04   | 1.03   | 1.03   | 1.03   | 1.03   | 1.04   | 1.05   | 1.05   | 1.06   |
| AUD                | 0.5315         | 0.53   | 0.53   | 0.53   | 0.53   | 0.53   | 0.53   | 0.52   | 0.52   | 0.52   |

Sources: Bloomberg, Westpac Economics.

## Activity forecasts

| Annual average % chg                | 2022 | 2023 | 2024 | 2025 | 2026f | 2027f | 2028f |
|-------------------------------------|------|------|------|------|-------|-------|-------|
| Euro area GDP                       | 3.7  | 0.5  | 0.9  | 1.5  | 0.7   | 1.1   | 1.5   |
| <i>private consumption</i>          | 5.3  | 0.6  | 1.3  | 1.5  | 0.9   | 1.2   | 1.4   |
| <i>fixed investment</i>             | 2.2  | 2.7  | -2.6 | 3.1  | 1.1   | 1.3   | 2.1   |
| <i>government consumption</i>       | 1.3  | 1.5  | 2.3  | 1.6  | 2.3   | 2.1   | 1.9   |
| <i>net exports contribution ppt</i> | -0.1 | 0.3  | 0.3  | -0.5 | -0.3  | -0.2  | -0.3  |
| Germany GDP                         | 1.9  | -0.7 | -0.5 | 0.3  | 0.6   | 1.1   | 1.7   |
| France GDP                          | 2.8  | 1.6  | 1.1  | 0.9  | 0.7   | 0.8   | 1.2   |
| Italy GDP                           | 5.0  | 1.0  | 0.6  | 0.7  | 0.6   | 0.7   | 1.0   |
| Spain GDP                           | 6.4  | 2.5  | 3.5  | 2.8  | 2.2   | 1.9   | 2.1   |
| Netherlands GDP                     | 5.0  | -0.6 | 1.1  | 1.8  | 0.8   | 1.1   | 1.6   |
| United Kingdom GDP                  | 5.1  | 0.3  | 1.1  | 1.4  | 0.8   | 1.1   | 1.5   |

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# Asia

## China activity forecasts

| Calendar years              | 2021 | 2022 | 2023 | 2024 | 2025 | 2026f | 2027f | 2028f |
|-----------------------------|------|------|------|------|------|-------|-------|-------|
| Real GDP                    | 8.6  | 3.1  | 5.4  | 5.0  | 5.0  | 4.7   | 4.6   | 4.4   |
| Consumer prices %yr         | 1.5  | 1.8  | -0.3 | 0.1  | 0.1  | 0.9   | 1.3   | 1.7   |
| Producer prices %yr         | 10.3 | -0.7 | -2.7 | -2.3 | -2.6 | 0.3   | 0.8   | 1.5   |
| Industrial production (IVA) | 9.6  | 3.6  | 4.6  | 5.8  | 5.9  | 5.0   | 4.8   | 4.6   |
| Retail sales                | 12.5 | -0.2 | 7.2  | 3.5  | 4.1  | 4.4   | 4.6   | 4.8   |
| Money supply M2 %yr         | 9.0  | 11.8 | 9.7  | 7.3  | 8.0  | 7.8   | 7.6   | 7.5   |
| Fixed asset investment      | 4.9  | 5.1  | 3.0  | 3.2  | -1.0 | 3.6   | 4.0   | 4.5   |
| Exports %yr                 | 20.9 | -9.9 | -2.3 | 10.7 | 5.1  | 3.0   | 2.8   | 2.5   |
| Imports %yr                 | 19.5 | -7.5 | 0.2  | 0.9  | 0.0  | 1.5   | 1.5   | 1.2   |

Source: Macrobond, Bloomberg. Year-to-date growth unless otherwise noted.

## Chinese interest rates & monetary policy

|                           | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|---------------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Required reserve ratio %* | 9.00           | 8.50   | 8.50   | 8.50   | 8.50   | 8.50   | 8.50   | 8.50   | 8.50   | 8.50   |
| Loan Prime Rate, 1-year   | 3.00           | 2.80   | 2.80   | 2.80   | 2.80   | 2.80   | 2.80   | 2.80   | 2.80   | 2.80   |

\* For major banks.

## Japanese interest rates & monetary policy

|                    | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|--------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Policy Rate        | 0.75           | 1.00   | 1.00   | 1.00   | 1.00   | 1.00   | 1.00   | 1.00   | 1.00   | 1.00   |
| 10 Year Bond Yield | 2.49           | 2.20   | 2.15   | 2.10   | 2.05   | 2.00   | 1.95   | 1.90   | 1.85   | 1.80   |

## Currency forecasts

|     | Latest (May 8) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|-----|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| JPY | 156.89         | 157    | 156    | 154    | 152    | 150    | 148    | 146    | 144    | 142    |
| SGD | 1.2695         | 1.27   | 1.26   | 1.26   | 1.26   | 1.26   | 1.26   | 1.25   | 1.25   | 1.25   |
| HKD | 7.8327         | 7.80   | 7.79   | 7.78   | 7.76   | 7.75   | 7.75   | 7.75   | 7.75   | 7.75   |
| PHP | 60.41          | 59.0   | 58.5   | 58.0   | 57.5   | 57.0   | 56.0   | 55.0   | 54.00  | 54.00  |
| THB | 32.31          | 31.6   | 31.4   | 31.2   | 31.0   | 30.8   | 30.6   | 30.2   | 30.1   | 30.1   |
| MYR | 3.9170         | 3.95   | 3.95   | 3.90   | 3.90   | 3.85   | 3.85   | 3.85   | 3.80   | 3.80   |
| CNY | 6.8023         | 6.80   | 6.75   | 6.70   | 6.60   | 6.50   | 6.45   | 6.40   | 6.35   | 6.35   |
| IDR | 17333          | 17000  | 16800  | 16600  | 16500  | 16400  | 16300  | 16200  | 16000  | 16000  |
| TWD | 31.40          | 31.2   | 30.7   | 30.2   | 29.7   | 29.2   | 28.7   | 28.4   | 28.2   | 28.2   |
| KRW | 1462           | 1470   | 1460   | 1440   | 1420   | 1400   | 1380   | 1360   | 1340   | 1340   |
| INR | 94.25          | 93.0   | 91.0   | 90.0   | 89.0   | 89.0   | 88.0   | 88.0   | 87.0   | 87.0   |

Source: Bloomberg, Westpac Economics.

# Worldwide

## Economic growth forecasts (year average) #

| Real GDP %ann         | 2021 | 2022 | 2023 | 2024 | 2025f | 2026f | 2027f | 2028f |
|-----------------------|------|------|------|------|-------|-------|-------|-------|
| World                 | 6.7  | 3.8  | 3.3  | 3.4  | 3.4   | 3.2   | 3.3   | 3.3   |
| United States         | 6.2  | 2.5  | 2.9  | 2.8  | 2.1   | 2.0   | 1.8   | 1.9   |
| Japan                 | 3.6  | 1.3  | 0.7  | -0.2 | 1.2   | 0.6   | 0.8   | 0.9   |
| Euro zone             | 6.4  | 3.7  | 0.5  | 0.9  | 1.5   | 0.7   | 1.1   | 1.5   |
| Group of 3            | 5.9  | 2.8  | 1.8  | 1.7  | 1.8   | 1.4   | 1.4   | 1.6   |
| United Kingdom        | 8.5  | 5.1  | 0.3  | 1.1  | 1.4   | 0.8   | 1.1   | 1.5   |
| Canada                | 6.0  | 4.7  | 2.0  | 2.0  | 1.7   | 1.2   | 1.8   | 2.0   |
| Australia             | 5.4  | 4.2  | 2.1  | 1.0  | 2.0   | 1.8   | 1.2   | 2.4   |
| New Zealand           | 5.5  | 2.6  | 2.2  | -0.3 | 0.2   | 1.5   | 3.5   | 3.3   |
| OECD total            | 6.2  | 3.2  | 1.9  | 1.8  | 1.7   | 1.5   | 1.5   | 1.7   |
| China                 | 8.4  | 3.1  | 5.4  | 5.0  | 5.0   | 4.7   | 4.6   | 4.4   |
| Korea                 | 4.6  | 2.7  | 1.6  | 2.0  | 1.0   | 2.0   | 2.0   | 1.9   |
| Taiwan                | 6.7  | 2.7  | 1.1  | 5.3  | 8.7   | 6.5   | 4.0   | 3.0   |
| Hong Kong             | 6.5  | -3.7 | 3.2  | 2.6  | 3.5   | 2.9   | 2.5   | 2.3   |
| Singapore             | 10.1 | 4.0  | 1.5  | 5.3  | 5.0   | 3.3   | 2.6   | 2.5   |
| Indonesia             | 3.7  | 5.3  | 5.0  | 5.0  | 5.1   | 5.0   | 5.2   | 5.2   |
| Thailand              | 1.6  | 2.7  | 2.2  | 2.9  | 2.4   | 1.6   | 2.3   | 2.6   |
| Malaysia              | 3.3  | 9.0  | 3.5  | 5.1  | 5.2   | 4.4   | 4.4   | 4.3   |
| Philippines           | 5.7  | 7.6  | 5.5  | 5.7  | 4.4   | 4.7   | 5.5   | 5.9   |
| Vietnam               | 2.6  | 8.5  | 5.1  | 7.0  | 8.0   | 7.0   | 7.0   | 6.9   |
| East Asia             | 7.1  | 3.6  | 4.7  | 4.8  | 4.9   | 4.6   | 4.5   | 4.3   |
| East Asia ex China    | 4.4  | 4.6  | 3.4  | 4.5  | 4.7   | 4.3   | 4.2   | 4.1   |
| NIEs*                 | 6.1  | 2.3  | 1.6  | 3.4  | 4.0   | 3.6   | 2.7   | 2.3   |
| India                 | 9.7  | 7.6  | 7.2  | 7.1  | 7.6   | 6.5   | 6.7   | 6.6   |
| Russia                | 5.9  | -1.4 | 4.1  | 4.9  | 1.0   | 1.1   | 1.3   | 1.5   |
| Brazil                | 4.8  | 3.0  | 3.2  | 3.4  | 2.3   | 1.7   | 1.9   | 2.1   |
| South Africa          | 4.9  | 2.1  | 0.8  | 0.5  | 1.1   | 1.0   | 1.3   | 1.5   |
| Mexico                | 6.0  | 3.7  | 3.1  | 1.4  | 0.6   | 1.6   | 2.2   | 2.1   |
| Argentina             | 10.4 | 6.0  | -1.9 | -1.3 | 4.4   | 3.5   | 4.0   | 3.8   |
| Chile                 | 11.3 | 2.2  | 0.5  | 2.6  | 2.3   | 2.4   | 2.6   | 2.3   |
| Middle East           | 2.8  | 2.8  | 2.8  | 2.9  | 2.9   | 2.9   | 2.9   | 2.9   |
| C & E Europe          | 9.1  | 4.3  | 3.0  | 3.2  | 3.0   | 3.1   | 3.5   | 3.7   |
| Africa                | 3.9  | 4.4  | 3.8  | 4.2  | 4.5   | 4.3   | 4.4   | 4.5   |
| Emerging ex-East Asia | 6.8  | 3.7  | 3.7  | 4.7  | 4.4   | 4.1   | 4.3   | 4.3   |
| Other countries       | 6.7  | 5.2  | 4.9  | 2.0  | 2.3   | 2.8   | 3.0   | 3.1   |
| World                 | 6.7  | 3.8  | 3.3  | 3.4  | 3.4   | 3.2   | 3.3   | 3.3   |

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.\* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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# ECONOMIC BULLETIN

Preview of RBNZ May 2026 Monetary Policy Statement (Wednesday 27 May, NZT 2pm).

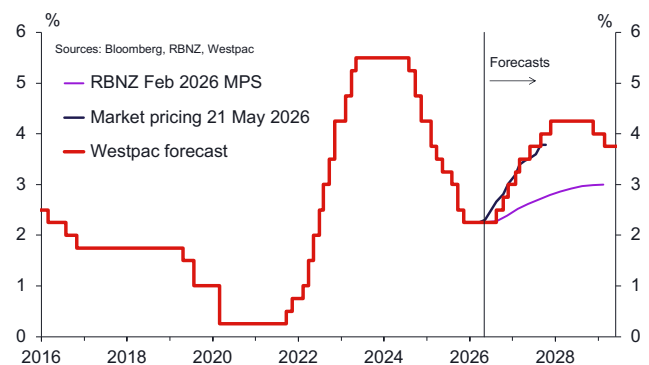


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## Waiting for evidence

- We expect the RBNZ to leave the OCR unchanged at its meeting on 27 May.
- We expect a vote on whether to leave the OCR unchanged or increase it by 25bps to 2.5%.
- We expect an increase in the RBNZ's terminal OCR forecast by around 20bp to around 3.2%, reflecting higher inflation expectations estimates.
- The RBNZ's December 2026 OCR forecast is expected to rise by around 40-50 bp to around 2.8%.
- Despite this, we remain comfortable there will be three 25bp hikes by year-end.
- While we don't think the RBNZ will opt to raise the OCR, Kelly's personal view is a hike at this meeting would be well justified by the outlook for inflation.

Official Cash Rate forecasts



## RBNZ decision and communication.

My view is that the significant shift in the inflation outlook which has occurred since the OCR was cut below 3% in the second half of 2025 justifies a hike at the May meeting. However, the RBNZ's output gap focused framework, the absence of hard data on second-round inflation impacts, and the likely reliance on assumptions that will imply a significant fall in energy prices over the next year means we expect the OCR to remain unchanged next Wednesday. We expect a live debate at the Monetary Policy Committee on the option to raise the OCR to 2.5%, with the decision likely going to a vote.

The appendix to this note summarises the key data and developments since the RBNZ published the February MPS. There should be a marked shift in the RBNZ's forecasts given recent data and the onset of the Iran war. The short-term inflation profile will be revised up significantly to reflect headline inflation over 4% for most, if not all, of the balance of 2026. But at the same time the RBNZ will likely significantly revise down its forecast of 2026 GDP growth from the previous 2.8% to perhaps

something like 1.8-2%. It's likely that predictions of a fall in the unemployment rate will be pushed out such that it ends 2026 in the 5.3-5.5% range – hence no fall in the unemployment rate this year.

Greater economic slack than previously expected will help mitigate the risks to inflation over the medium term. Even so, the RBNZ's forecasts for the OCR are likely to be revised up. First, we suspect that the terminal OCR will rise from the current 3% to something more like 3.2%, reflecting higher inflation expectations coming from the more elevated inflation forecast profile. More immediately, we suspect that the December 2026 quarter projection will lift by around 40-50bp to around 2.8%. This would signal two 25bp rises and a chance of a further increase through the balance of 2026.

Technically, one may be able to divine the implied probability of an increase at the next meeting in July from the RBNZ's published forecast for the September quarter OCR. As a guide, a 25% chance of a 25bp hike in July would be consistent with an average OCR in the September quarter of 2.39%, whereas a 50% probability would deliver 2.44%. We are cautious in interpreting the forecast in this way, as it may be that we see a smoothed model-determined path for the OCR at this near horizon, rather than a path that has been set as an explicit signal to the market. It would be best to read the Summary Record of Meeting and the commentary in the press conference to get the best guide on what the RBNZ anticipates for the July meeting. Our view is that the RBNZ could signal perhaps a 25% chance of a July move, but that most MPC members will be content to withhold judgment until September when more information will be available (notably the June quarter CPI).

On that score, based on our reading of the April Record of Meeting, we suspect that a vote will be required at this meeting. Our sense is that there will still be two members potentially interested in voting for a more proactive approach.

Key communication messages will likely include the following:

- The RBNZ will remain vigilant for signs on persistent inflation and second-round inflation impacts and will act decisively if such signs begin to emerge. This message is inevitable given how high inflation is going to be in the near term.
- Core inflation is currently inside the target range and is expected to not drift too far from the 1-3% target range. Medium-term expectations are likely viewed as broadly anchored, and the RBNZ will emphasise that it is important this remains the case.
- OCR increases are likely in 2026. Hence, they move away from the February view that perhaps just one increase might occur this year.

- The duration of the war is a key uncertainty that will shape the inflation outlook and policy reaction function. The RBNZ will likely emphasise that its policy stance can be expected to evolve as the outlook becomes clearer, and that the projections in the MPS are conditional on assumptions that may be invalidated.

## Scenarios.

The outcome of this meeting is likely to be a relatively close-run thing, with the key point of contention likely being around the pace at which future OCR increases occur. We discussed the arguments that will likely be raging around the table in **our companion note** released earlier today. Given that baseline, we think the following alternative scenarios are possible:

- A dovish scenario is one where the OCR remains unchanged (possibly with no vote taken, as in April) and the MPC does not change its language much from the April Review. The terminal OCR might not rise far at all, as implicitly the RBNZ would signal a belief that inflation expectations remain anchored (in part due to the pre-existing slack in the economy) and the Iran war cost shock is transitory. The end-2026 OCR projection might only rise modestly, as the implication would be that a July hike is not really on the table as the issue would be considered again in September.
- A hawkish scenario is one where the OCR is increased and a sequence of follow-on 25bp increases is signalled. This could be consistent with a 3% OCR in September and perhaps slightly higher by the end of the year. This scenario would suggest the RBNZ is sufficiently concerned to get moving to neutral and that the neutral rate itself might be noticeably higher than 3%.

## Kelly's take.

I think the OCR should be increased at the May meeting.

The inflation outlook has shifted dramatically since the second half of 2025 when the OCR was reduced below 3%. With the benefit of hindsight this should not have occurred. A key element of the argument we made to justify the 50bp cut last October was that it was an insurance move that could be reversed if the outlook changed. The outlook clearly has changed now that headline inflation is set to move above 4% for the balance of 2026. It would be much better to have the OCR near neutral today. Hence beginning to get there now seems a pressing priority.

I understand that the Iran war has delayed the economic recovery. However, that isn't in the mandate and there are clear risks that this cost shock, coming so soon after a long period of above-target inflation, will influence pricing behaviour in the economy.

I am pessimistic that the Iran war will be quickly resolved. Any positive news there should be considered a contingency as opposed to part of the core forecast. Headline inflation forecasts that assume a path for oil prices anything like what the futures curve implies have significant upside risks and should be discounted.

It's unclear exactly how high the OCR will ultimately need to go in 2027. But quickly getting the OCR towards neutral would put the RBNZ in a good position to respond to whatever happens in the future. Inflation and not growth should be the priority.

## Appendix: Key developments since the February Monetary Policy Statement.

**Activity:** The December quarter GDP report was weaker than the RBNZ's expectations, with the economy growing just 0.2% – 0.3ppts less than expected – and the level of GDP 0.4% below expectations after accounting for historical revisions. The RBNZ expected cumulative growth of 1.6% over the first half of 2026, compared with Westpac's current forecast of growth of just 0.5%. The implication is that the RBNZ's estimate of the size of the negative output gap is likely to rise in the near term.

**Labour market:** The unemployment rate edged down to 5.3% in the March quarter, which was in line with the RBNZ's forecast. Employment growth of 0.2% was below the RBNZ's expectations, but this was offset by weaker-than-expected labour force participation. Private sector labour costs rose a subdued 0.4%q/q, which was in line with the RBNZ's forecast. We don't think these data would have shifted the dial much for the RBNZ.

**Sentiment-based activity indicators:** The NZIER's March quarter QSBO business survey reported an unsurprising slump in business confidence, together with smaller declines in firms' expectations of activity, hiring and investment. The ANZ's monthly business survey painted a similar picture in March and April (the May survey will be released next week, just ahead of the RBNZ's meeting). The ANZ measure of consumer confidence has also fallen sharply to a three-year low.

**Housing market:** The fall in consumer confidence appears to have impacted the housing market in April, with seasonally-adjusted sales declining about 4% (about 8% below year-earlier levels) and the average house price declining 0.4% after a small increase during the March quarter. Listing levels remain elevated at more than decade-highs, especially in the main urban areas, supported by reasonable levels of building activity at a time of slow population growth. In February the RBNZ forecast no growth in house prices this year. They are unlikely to revise this forecast higher.

**Inflation:** Headline inflation remained at 3.1% in the year to March, above the RBNZ's February forecast of 2.8% (and slightly above the revised forecast of 3.0% made at

the April OCR Review). Non-tradables inflation was just 0.1ppts above the RBNZ's February forecast, with most of the variation due to a 0.7ppt upside surprise in tradables inflation (in part due to the sharp lift in fuel prices in March). Measures of core inflation generally nudged lower in the March quarter, but with most remaining in the upper part of the RBNZ's 1-3% target band.

**Inflation expectations:** The RBNZ's survey of 'expert' forecasters pointed to a sharp rise in 1-year ahead inflation expectations, a small rise in 2-year ahead expectations (to 2.53%) and small falls in 5- and 10-year ahead expectations. The RBNZ's survey of consumers pointed to a notable lift in near-term inflation expectations, but less so when it comes to medium-term expectations. The RBNZ's Business Survey pointed to a sharp lift in 1-year ahead inflation expectations and a smaller (26bps to 2.87%) increase in 2-year ahead inflation expectations. However, 5-year expectations nudged lower and 10-year ahead expectations fell 27bps. Firms responding to the ANZ's Business Survey indicate that they expect wage growth to remain subdued.

**Terms of trade:** The SNA terms of trade were 0.7% lower than expected in the December quarter. Given developments in the Middle East – in particular, the sharp rise in fuel prices – we estimate that the terms of trade are likely to be more than 1% below the RBNZ's expectations in the current quarter despite the resilience seen in New Zealand's key export commodity prices.

**Financial conditions:** Domestic financial conditions have mostly tightened since the RBNZ's February meeting. For example, the NZ50 equity index has declined 4.0%, the 2-year swap rate has increased 61bps to 3.57% and the 10-year bond rate has increased 37bps to 4.73%. Working in the opposite direction, the trade-weighted exchange rate index (TWI) has declined around 2%.

**Fiscal policy:** Budget 2026 will be delivered the day after the RBNZ's decision is delivered, but the Treasury's representative at the MPC meeting will have conveyed the broad fiscal parameters that will be revealed on Budget day. Based on our expectations for Budget 2026, we don't expect that the path of fiscal policy will have a significant influence on the MPC's deliberations at this meeting.

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# ECONOMIC OVERVIEW

Under the pump.

May 2026



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## A NOTE FROM KELLY

### Under the pump.

The outlook for the economy has shifted dramatically from the optimistic view we held in February. Now we look set for another year of positive but still sub-par growth at 1.5% as the Iran war and the associated rise in oil and refined fuel prices have their impact. Real petrol and diesel prices are now at 50 year highs, and while global oil prices are not at record highs in real terms, they are at levels consistent with past global recessions.

We don't expect a recession right now. Rather the view is that the Iran war will merely cause a pause in the economic recovery. However, these forecasts are highly uncertain as the extent of the interruption to New Zealand's growth will depend on the duration of the Iran war. We assume conditions there will improve in coming months. But that's an assumption, not a strongly held informed view.

The expected economic hiatus will impact the services sector, retail spending and hospitality the hardest, reflecting the implied hit to household incomes. Tourism will also be interrupted as global uncertainty and airline fare prices remain high. The primary sector should continue to perform relatively well as the exchange rate will remain supportive and global food prices should be underpinned by high global fertiliser prices and reduced global food production.

A significant cost squeeze is in train that will pressure firms' margins but also significantly lift inflation. Annual headline CPI inflation will move into the 4-5% range for a time and lift inflation expectations to some extent. Core inflation looks set to rise above the top of the RBNZ's target range and require the OCR to rise towards 3% in 2026, and higher through 2027. The duration of the war and the extent to which firms and households try to boost prices and wages to counteract the income shock will dictate the degree of OCR increases ultimately required.





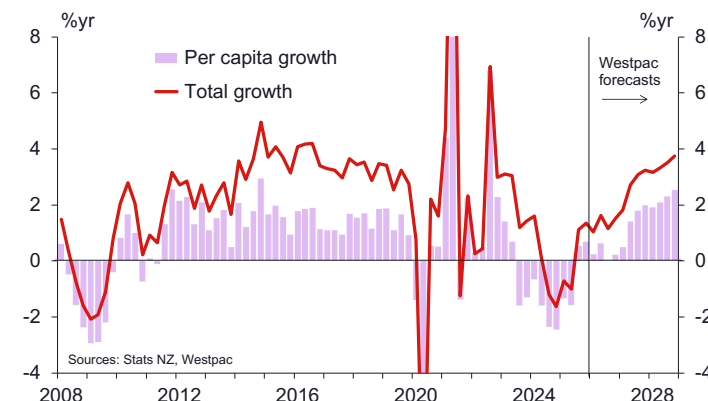
# OVERVIEW

## The fog of war.

- Much of the improving momentum that we saw in the early part of the year has been temporarily derailed by the conflict in the Middle East. We now expect subdued economic growth of 1.5% over 2026, with unemployment to rise to 5.6% from 5.3% currently.
- Large and widespread increases in costs are expected to see inflation rising to well above the RBNZ's target band until mid-2027. The resulting pressure on households' finances will be a significant drag on spending. In addition, high uncertainty will weigh on businesses' plans for hiring and investment.
- Continued strength in commodity prices, a supportive exchange rate and still stimulatory interest rates are supporting incomes, especially in rural regions.
- The RBNZ faces a challenging balancing act. The hike in fuel prices is likely to boost core inflation, requiring OCR hikes beginning in September. We expect the OCR to rise to 3.5% in early-2027, taking it closer to 'neutral' levels. Beyond that time, the OCR will likely need to move into restrictive territory, but at a more gradual pace. We expect a peak of 4.25% by the end of 2027.
- Economic growth and the labour market are expected to improve as inflation drops back and uncertainty reduces when the Iran war ends. However, the timeframe for this improved environment is uncertain, raising the possibility of persistent inflation pressures and weak growth.

"The economy is navigating rocky waters, with subdued economic growth, a soft labour market and high inflation. Interest rates are set to rise – it's a question of 'when,' not 'if' hikes occur."

## Total and per capita GDP growth



## Key economic forecasts\*

|                           | 2024 | 2025 | 2026f | 2027f |
|---------------------------|------|------|-------|-------|
| GDP growth (% year)       | -1.6 | 1.3  | 1.5   | 3.2   |
| Inflation (% year end)    | 2.2  | 3.1  | 4.4   | 1.6   |
| Unemployment rate (%)     | 5.1  | 5.4  | 5.6   | 4.9   |
| House prices (% year end) | -1.0 | -0.1 | -0.9  | 2.0   |
| Official Cash Rate (%)    | 4.25 | 2.25 | 3.00  | 4.25  |

\* Growth rates are December quarters compared to same quarter previous year.

# GLOBAL AND IRAN CONFLICT ASSUMPTIONS

## Energy prices assumed to remain elevated for some time.

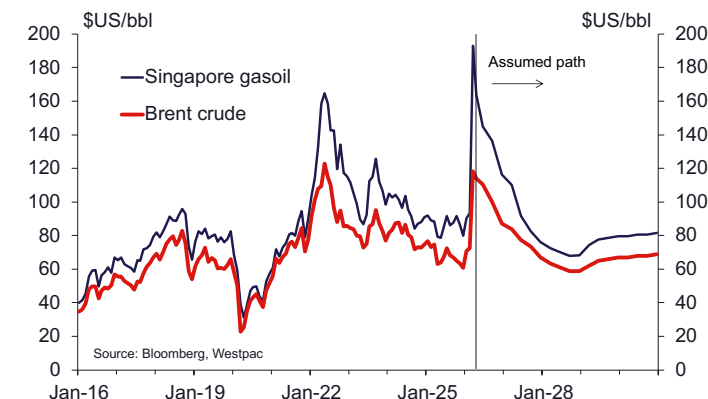
- The future path of the Middle East conflict is very uncertain. We assume transit through the Strait of Hormuz remains limited for a couple of months yet but gradually improves towards pre-conflict levels in late 2026 to mid-2027.
- We optimistically assume that Brent crude declines to \$US83/bbl by the end of 2026 and \$US64/bbl by the end of 2027. Refined fuel prices will fall more slowly due to damage to oil infrastructure and the rebuild of inventories.

## Global growth a bit slower; central banks to lean against inflation.

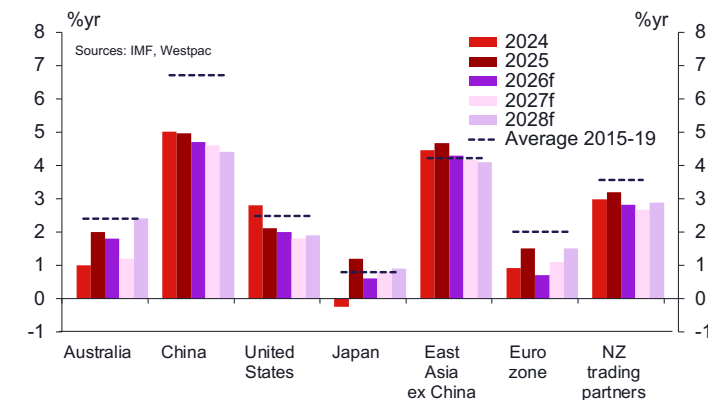
- Our global growth forecasts for this year and next are modestly weaker than in February, reflecting the war. Following growth of 3.2% last year, we expect trading partner growth of 2.8% in 2026, 2.7% in 2027 and 2.9% in 2028.
- US growth is forecast to remain resilient but we expect slower growth in Europe and much of Asia. Australian growth will slow as the RBA tightens policy to restrain inflation that was too high even before the war. Global growth is expected to be supported by the still robust artificial intelligence investment cycle and still supportive financial conditions as equity markets remain strong.
- Generally, central bank policy rates are expected to rise modestly. While the Fed may not raise its policy rate, rates in the UK, the euro area and Australia will rise 50bps in 2026 to lean against rising inflation from higher fuel prices.

“We assume that oil flows through the Strait of Hormuz are limited for a couple of months yet but improve gradually thereafter. Hence energy prices will remain elevated.”

## Oil price assumptions



## Trading partner growth



# IRAN CONFLICT TRANSMISSION

## The Middle East conflict will lead to lower growth in the near term.

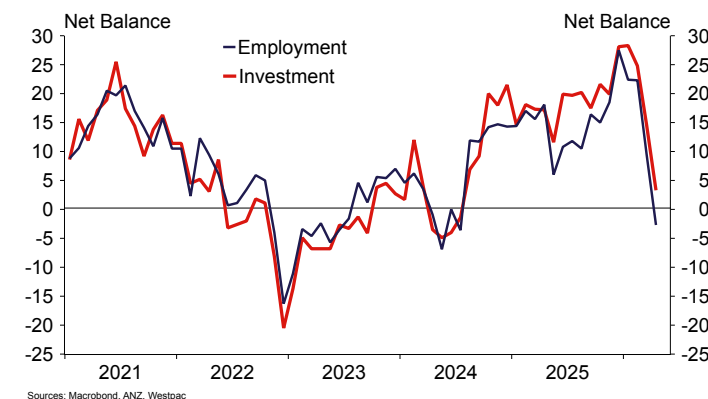
- Near-term growth prospects have been dented by the Middle East conflict. Higher oil prices will lower discretionary incomes and firms' profitability. In addition, increased uncertainties about the outlook will cause households and firms to delay spending, investment and hiring decisions.
- Households and firms offshore face the same pressures. Slower trading partner growth will weigh on demand for some of New Zealand's exports. For example, tourist inflows, especially from long-haul sources, will likely be dampened.

## Inflation higher in the near term, medium-term outlook less clear.

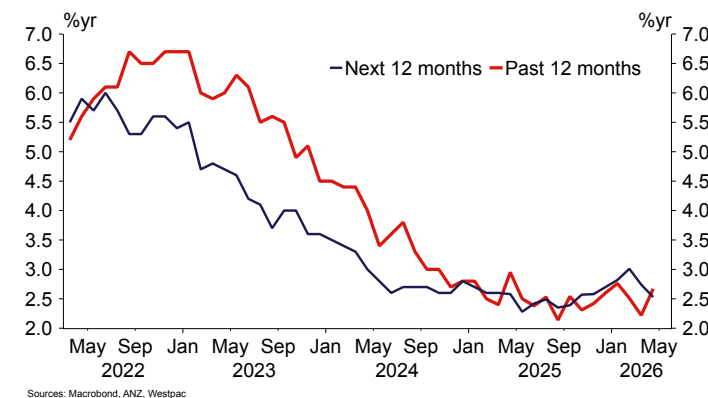
- The Middle East conflict has led to higher prices for refined fuels and other commodities, as well as higher prices for goods for which these commodities are significant inputs. This will drive headline inflation higher in the near term.
- A tendency to extrapolate past outcomes means that measures of inflation expectations will rise with headline inflation. All else equal, this could lead to 'second round' increases in a broader range of prices, including wages.
- But weaker growth in activity will lead to greater economic slack and make it harder for these broader price increases to occur. The implications of the conflict for medium-term inflation will depend on the duration and path of the conflict and on how these opposing economic forces balance.

"The conflict will weigh on GDP growth and boost inflation, at least for a while. The medium-term inflation path is uncertain and critically depends on when the war ends."

## Hiring and investment intentions



## Wages and wage expectations



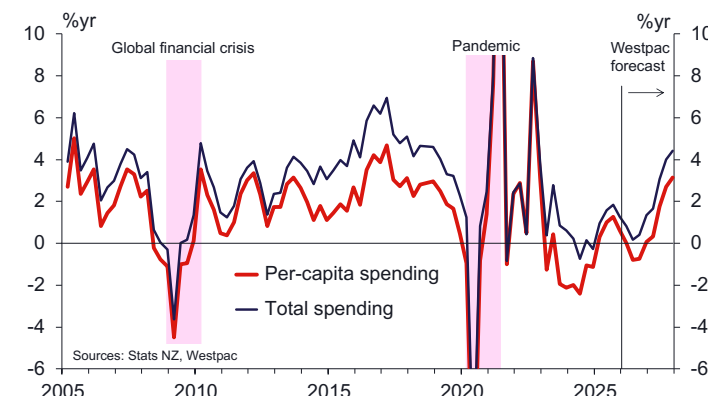
# HOUSEHOLDS

## Mounting pressures on households' finances.

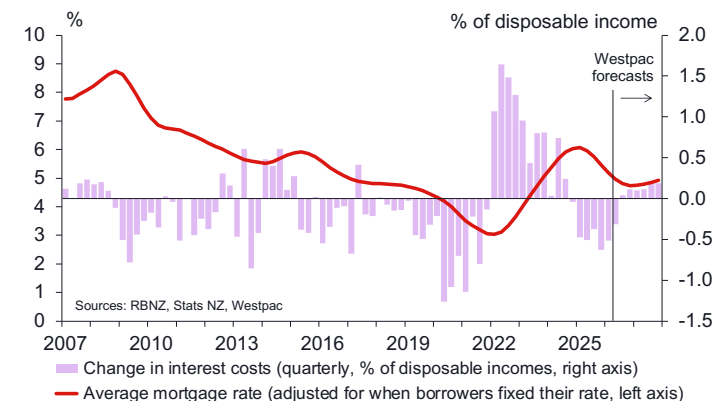
- Households' finances are coming under renewed pressure, and spending growth is set to slow sharply over the coming months. That's being compounded by low consumer confidence.
- Cost of living pressures have intensified, with petrol prices rising by more than 30% since the start of the Middle East conflict. That's compounded the large increases in the cost of other essentials like food and electricity over the past year. The coming months are expected to see increases in many other costs.
- At the same time, the labour market remains soft. Despite dipping modestly to 5.3% in the March quarter, unemployment remains elevated, and it's likely to push higher over the coming months, with wage growth likely to remain limited.
- An additional headwind for households is the changing interest rate environment. Over the past few years, many borrowers have been rolling off the relatively high interest rates that were previously on offer and onto lower ones. While that process will continue for a few more months, mortgage rates have been pushing higher again. As a result, borrowers who are now refixing their mortgages are seeing smaller falls in their borrowing costs. And over the coming year, borrowers will start to gradually roll onto higher rates.
- Spending is expected to reaccelerate through 2027 as cost of living pressures start to ease.

“The fall in borrowing costs seen over the past couple of years is coming to a close. At the same time, cost of living pressures are mounting.”

## Household spending growth



## Household spending on interest costs



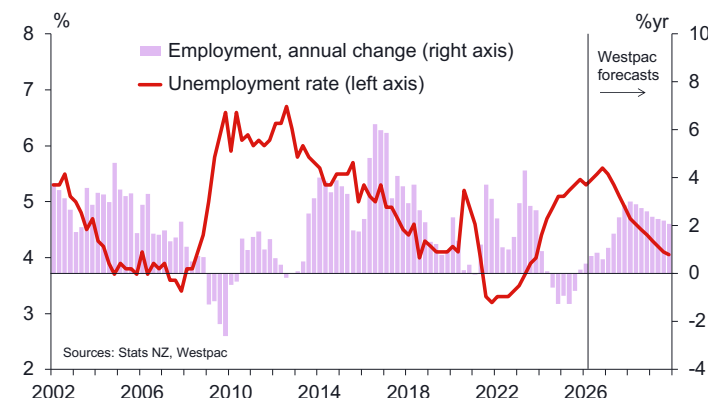
# LABOUR MARKET

## War impacts suggest that peak unemployment is yet to come.

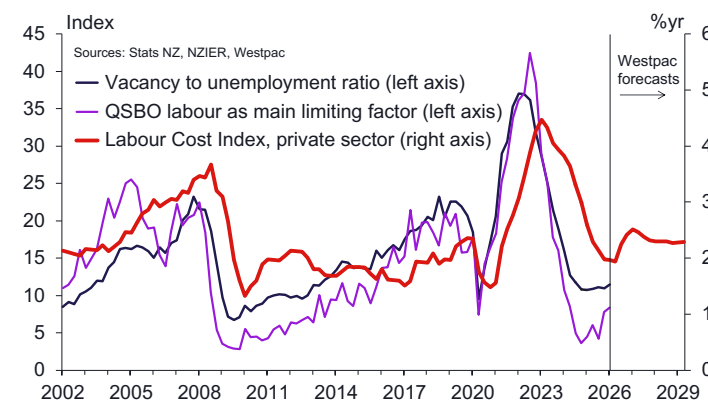
- The labour market was in the early stages of a turnaround prior to the Iran conflict. High-frequency indicators of employment and vacancies have picked up in recent months, and the unemployment rate dipped slightly to 5.3% in the March quarter, the first decline in four years. Beneath these encouraging headlines though, the jobs market is gridlocked, with rates of both firing and hiring remaining unusually low through the current cycle.
- The Iran conflict is likely to put a dampener on firms' near-term hiring plans, as they face rising input costs and an erosion of consumer demand. We expect employment growth to be close to flat over the rest of this year, with the unemployment rate rising again to a peak of 5.6%. We also expect a more gradual improvement in 2027 and beyond compared to our February forecasts.
- Wage growth remains subdued, reflecting the existing degree of slack in the labour market. While there are reportedly some pockets where workers are becoming harder to find, overall conditions are quite different from the post-Covid surge in wage and price inflation. Demands for cost-of-living pay adjustments are likely to be more prominent over the next year, but we expect that the relative lack of bargaining power for workers will keep wage growth relatively muted compared to CPI inflation.

“The Iran conflict is likely to dampen firms’ near-term hiring plans, leading to a further rise in the unemployment rate and limited ability to negotiate cost-of-living pay increases.”

## Employment growth and unemployment rate



## Wage growth and labour market tightness





# HOUSING AND MIGRATION

## The Iran war will upend the housing recovery.

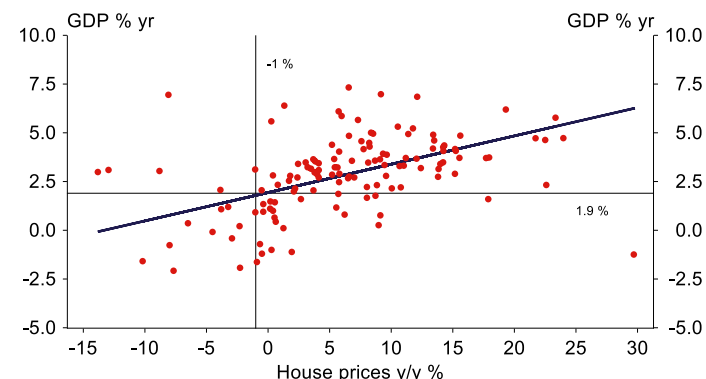
- Early in 2026 a stronger tone emerged in the housing market. House prices rose 0.4% over Q1 as low interest rates, a strengthening labour market and improving household confidence began to lift prices.
- The Iran war has removed much of the support for housing. Sharply weaker consumer confidence, weaker employment prospects and the potential for earlier interest rate increases imply a much weaker housing outlook.
- We envisage flat to slightly lower house prices over 2026 as households internalise the impact of the hit to incomes and balance sheets coming from higher oil prices and weaker discretionary incomes. Another year of sub-par economic growth is consistent with falling house prices in 2026.

## Population-driven demand picking up from its lows.

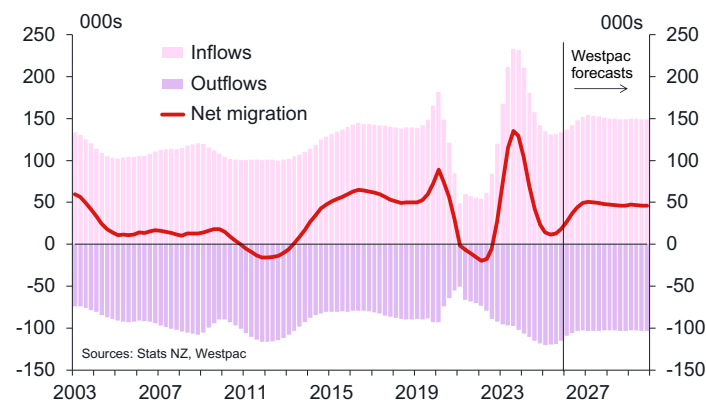
- A lift in population growth, led by higher migration, should provide some offsetting support for housing. Departures of New Zealanders are coming off their highs, and we expect this to continue as tougher conditions in Australia diminish its relative appeal. We also expect a lift in foreign arrivals over this year, although much of this will come under the Parent Boost Visa, which may shift the mix of demand towards larger properties rather than adding to demand as a whole.

“Despite increasing net migration, the Iran war’s impact on household incomes and confidence implies another year of subdued growth and falling house prices nationally.”

## Annual growth in house prices and GDP growth



## Migration, annual balance



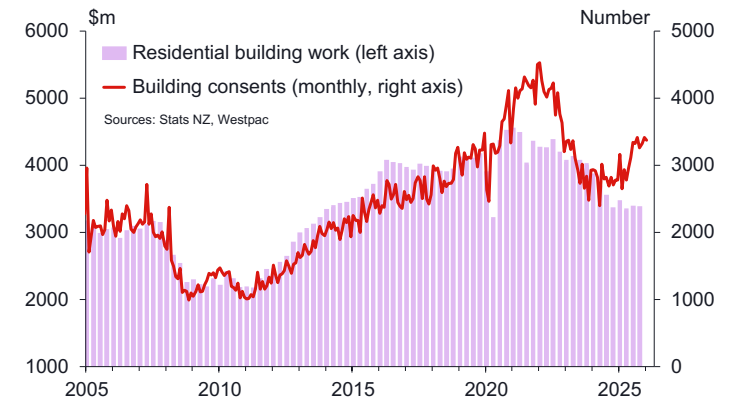
# CONSTRUCTION

## Recent momentum unlikely to be sustained.

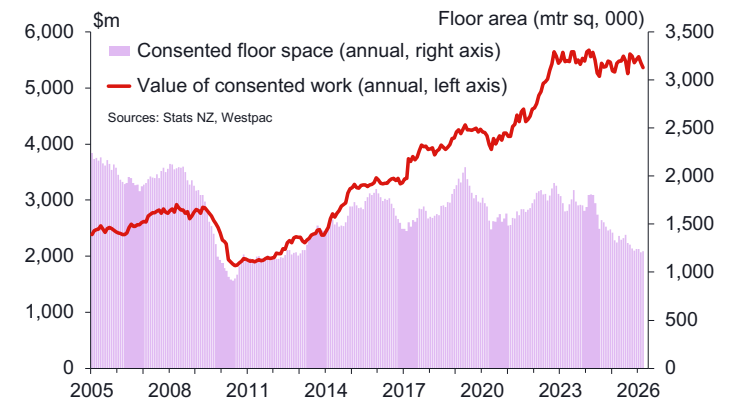
- The amount of residential building work planned has picked up over the past year, with dwelling consent numbers rising to their highest level since 2023. That was encouraged by last year's falls in interest rates, and we expect to see residential building activity turning higher through the middle part of this year.
- However, the pace of homebuilding is expected to slow again as we head into 2027. The conflict in the Middle East has resulted in a sharp rise in fuel costs, with related increases in materials prices. In some cases those increases have been substantial. More generally, there has been a lift in uncertainty and upward pressure on borrowing costs. Putting that all together on top of continued sluggish price growth, developers are likely to be cautious about initiating new projects while war-related uncertainty persists.
- Commercial building activity dropped back over the past year, and the amount of planned work has been tracking sideways. Office and industrial development have continued to hold up at firm levels, but haven't been rising. The number of retail and hospitality projects has remained more modest.
- Looking ahead, recent business surveys have shown a drop in business confidence and a winding back of plans for capital expenditure. Combined with increases in materials prices and financing costs, that's likely to put a dampener on the amount of new projects over the coming year.

“While homebuilding is expected to pick up over the coming months, it's likely to slow again as we head into 2027.”

## Residential building and consents



## Commercial building



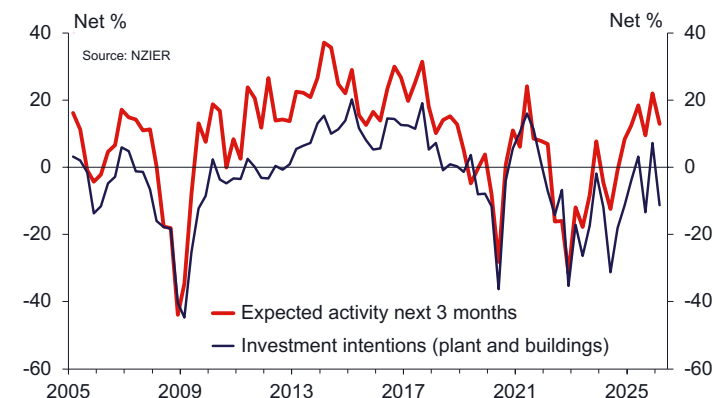
# BUSINESS INVESTMENT

## Investment decisions to be delayed while war uncertainty reigns.

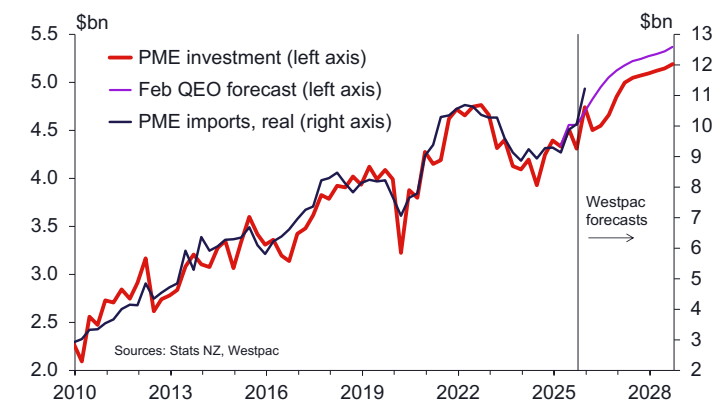
- Business confidence surveys show that the Iran conflict has clearly put a dent in firms' near-term investment plans. While business sentiment is by no means low compared to the last few years, the momentum that was starting to build in recent months now faces a fresh setback.
- The timing and extent of the impact on firms' actual investment decisions is highly uncertain. We'll be keeping an eye on indicators such as imports of capital equipment, although there can be a substantial lag between when an investment decision is made and the equipment actually turns up. Capital imports rose strongly in the first quarter of this year, adding to the evidence that the economy was starting to regain some momentum from the second half of 2025. We expect a more subdued level of imports and investment over the rest of this year.
- These forecasts largely represent a delay rather than a cancellation of investment spending, with some catch-up expected over 2027 as the economy regains momentum. The replacement cycle has likely been a major driver of the recovery in investment to date, and we suspect that more is still needed after a sharp drop-off in the rate of investment in 2023-24. This may be particularly true for IT and software investment, where the replacement cycle is shorter and firms will be looking to take advantage of developments in AI.

“Capital imports rose strongly in the first quarter of this year, adding to the evidence that the economy was starting to regain momentum before the Iran conflict.”

## Business sentiment



## Plant and machinery investment



# FISCAL

## The oil shock has slightly weakened the near-term fiscal outlook.

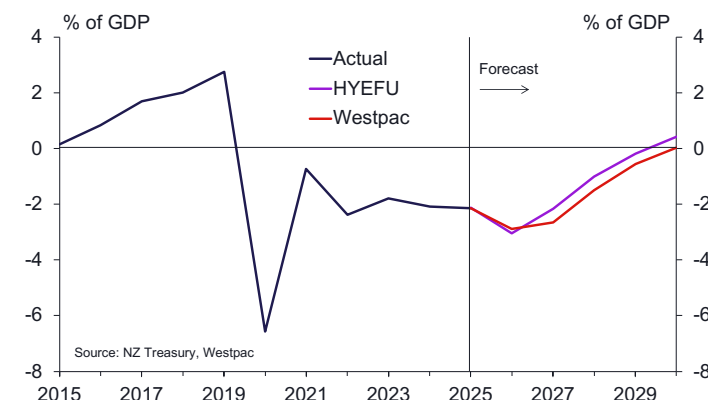
- Higher inflation and interest rates will raise social welfare and debt financing costs. While higher inflation also tends to raise tax revenue, the weaker outlook for activity, employment and profits work in the opposite direction.
- On balance, we think that the near-term outlook for OBEGALx and net core Crown debt is slightly weaker than forecast in HYEFU 2025. But provided that the oil shock is not long-lived, and that export commodity prices remain as favourable as forecast, an OBEGALx surplus in 2029/30 remains a possibility, even assuming higher discretionary spending from Budget 2027 onwards.

## NZ's credit rating at risk if fiscal consolidation is not achieved.

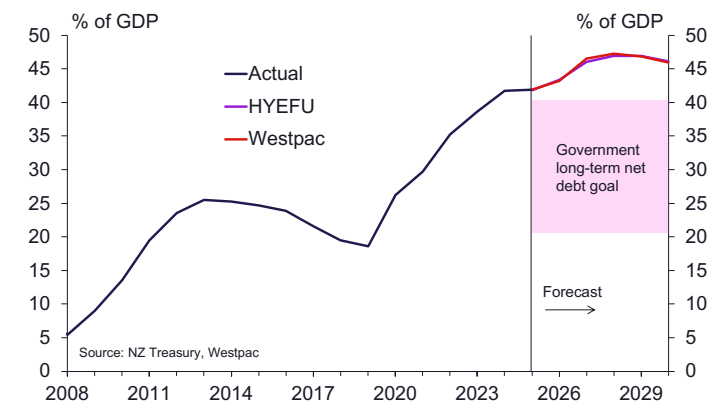
- Recently both Moody's and Fitch have attached a negative outlook to NZ's sovereign credit rating. This indicates a possible downgrade in 12-24 months if the factors leading to the negative outlook are not addressed.
- NZ's current rating is higher than those agencies' models recommend given prevailing fiscal metrics, with the agencies granting NZ a discretionary 'uplift' based on the success of past governments at addressing fiscal imbalances.
- The negative outlook suggests that agencies are losing confidence that fiscal consolidation will be achieved given the lack of progress made in recent years. The Government will need to demonstrate progress to avoid a downgrade.

“The Government is going to need to demonstrate commitment to achieving fiscal balance in order to avoid a credit rating downgrade at some point in the next year or two.”

Operating balance (OBEGALx), % of GDP



Net core Crown debt, % of GDP



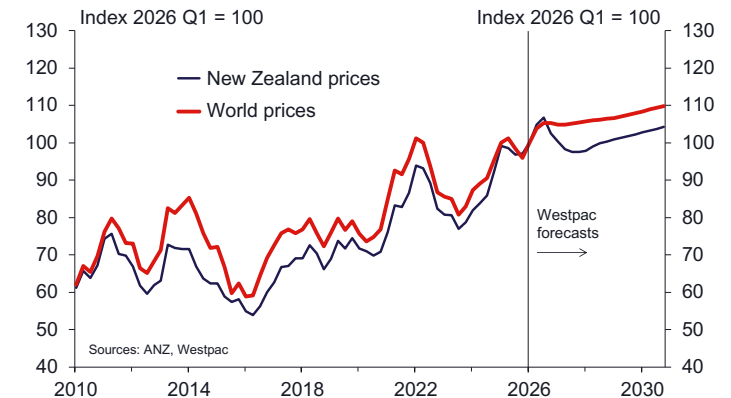
# AGRICULTURE

## Export prices to remain resilient.

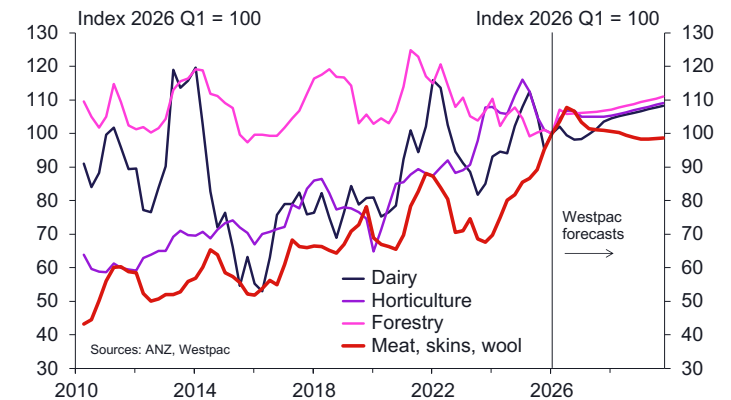
- The Iran war will likely keep prices for New Zealand's commodity exports higher for longer. In the near term the scope for passing through higher diesel, fertiliser and feed costs is likely to be limited, implying some pressure on margins. However, the longer hostilities persist, the greater the likelihood that those costs will be passed through to output prices.
- While the global milk supply remains ample, that's been matched by strong demand for protein. We have lifted our farmgate milk price forecast for the 2026/27 season by 30c to \$9.50/kg, noting that the range of uncertainty will be particularly wide at this stage. We've maintained our forecast of \$9.80/kg for this season, which is slightly above the midpoint of Fonterra's forecast range.
- We expect beef and lamb export prices to remain elevated. In addition to the Iran war, our expectations are driven by how quickly the US beef herd rebuilds, still-strong US consumer demand for protein, possible punitive tariff action by the US, weaker consumption in China, and price resistance in the UK and EU.
- Meanwhile, kiwifruit and apple export prices are set to plateau at high levels as supply catches up with demand in key offshore markets.
- Log export prices are expected to remain rangebound, showing little upward momentum in the face of weak construction activity in China. Rising freight costs as a result of the war are likely to add pressure on margins.

"The Iran war will likely keep food prices higher for longer and help offset increased costs from higher energy and fertiliser prices."

## Commodity prices – World and NZ dollar denominated



## Commodity prices by category





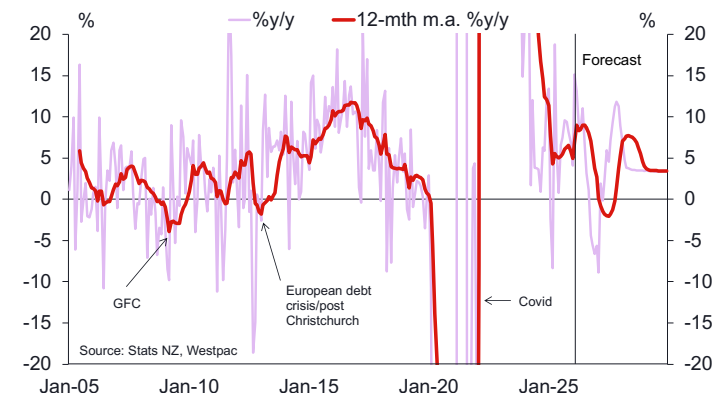
# EXPORTS AND BALANCE OF PAYMENTS

## Higher oil prices will widen the external deficit in the near term.

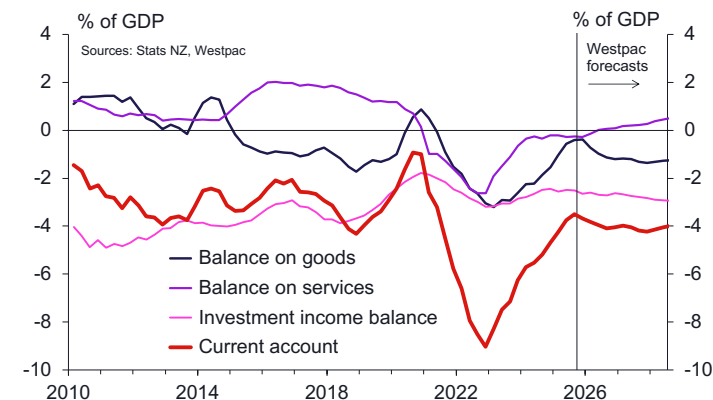
- We expect goods export volumes will maintain the gradual upward trend seen over the past couple of years, reflecting productivity gains in the primary sector, ongoing growth in global demand (despite the Middle East conflict) and success in the high-tech sector. But given the constraints faced by the primary sector, export volumes will likely continue to edge lower as a share of GDP.
- Services export volumes have been growing strongly due to the resumption of the post-pandemic recovery in tourist arrivals and growth in exports of some high-tech business services. We expect that growth in tourist arrivals will slow for a period later this year due to higher airfares and general pressure on household budgets, with the impact likely to be more pronounced on long-haul travel.
- In the near term New Zealand's import bill will be higher than previously forecast. This is mostly due to the sharp increase in the price of refined fuels, which is only partly offset by slightly lower import volumes due to more subdued growth in activity. That bill is expected to moderate in 2027 given our assumption that energy prices gradually return to pre-crisis levels.
- Overall, we now expect a temporary widening of the current account deficit to just over 4% of GDP this year. The deficit should narrow thereafter, with the surplus on the services balance returning to pre-pandemic levels as tourist arrivals finally surpass their previous peak.

“New Zealand's external deficit will rise in the near-term due to a higher bill for imported fuel, but a strong outlook for export prices will help moderate the impact.”

## Short term international visitor arrivals



## Current account balance, % of GDP



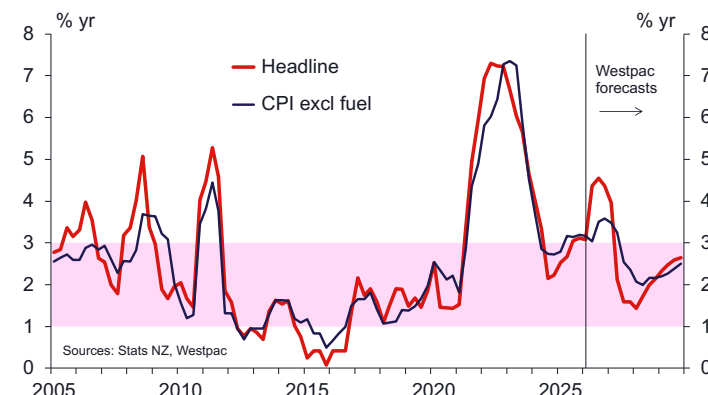
# INFLATION

## The worst is yet to come.

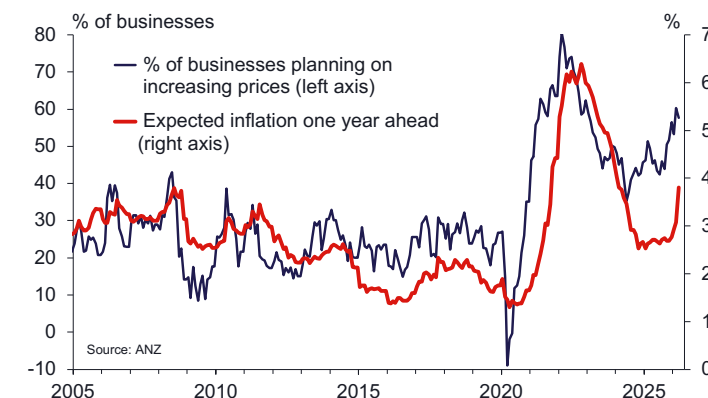
- Inflation is set to rise to 4.5% over the coming months and is likely to remain above 3% until mid-2027. That's mainly due to higher global oil prices, with domestic petrol prices up more than 30%. There have also been a range of related cost increases, like higher transport charges and material costs. While excess capacity is likely to limit the pass through of higher costs to final prices, significant inflation is still likely over the coming months. As a result, core inflation is also likely to remain high and won't fall back to 2% any time soon.
- That firmness in underlying inflation is being reinforced by continued large increases in administered prices, like local council rates and electricity.
- Headline inflation is expected to drop back over 2027 when the impact of recent oil price increases eventually dissipates. However, core inflation is expected to ease back only gradually over 2027 towards the midpoint of the RBNZ's target band, rather than falling to low levels.
- With an extended period of pressure on margins, there is a risk that the current reacceleration in inflation results in a more long-lasting lift in businesses' pricing behaviour. Businesses may begin factoring in the risk of continued large cost increases when they adjust their prices. That could extend the lift in inflation even after oil prices ease. Survey measures of inflation expectations and pricing intentions have already taken a step higher.

“The rise in oil prices has spilled over into a much broader lift in cost pressures that's being felt across much of the economy.”

## Headline and core inflation



## Inflation expectations and pricing intentions



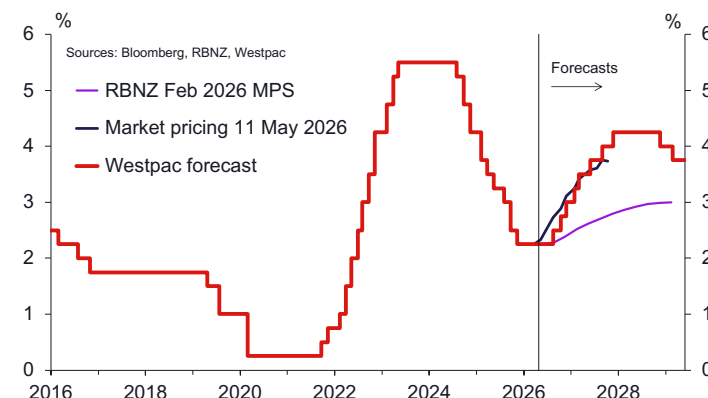
# MONETARY POLICY

## High inflation uncertainty implies a return to neutral.

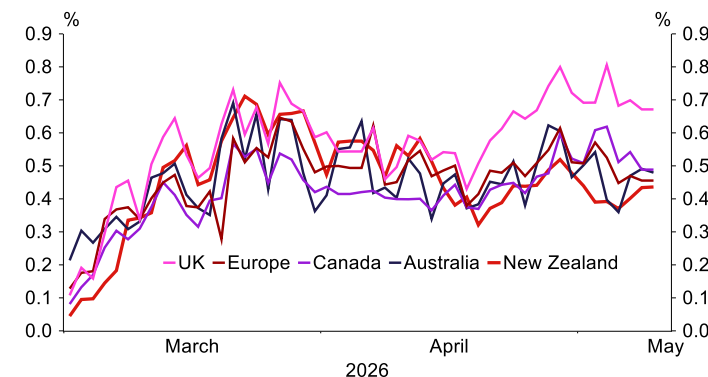
- The outlook for inflation has shifted radically since February as forecasts of a gradual fall in inflation towards 2% have been replaced with a sharply higher forecast profile.
- The Iran war and associated energy cost shock represents a large supply shock that is skewering the RBNZ between concerns of very high and potentially persistent inflation and weaker growth with greater excess capacity.
- Monetary policy needs to reset the balance of risks to the inflation outlook as the current 2.25% OCR was set based on a very different and more benign inflation outlook. It seems clear that the OCR will rise towards 3% and more neutral levels by end 2026. The question is when will tightening need to start?
- High and growing levels of excess capacity give the RBNZ more room to manoeuvre than its peers, hence a gradual return of the OCR towards the RBNZ's perception of neutral in the 3-3.5% range is appropriate.
- It makes the most sense for the start of the normalisation process to begin at a Monetary Policy Statement – i.e. in May or September. We currently see September as the best option but the choice is finely balanced.
- Beginning the process in May might allow for a more gradual normalisation path which could be desirable given uncertainty on the duration of the war. But tightening when confidence is fragile could exacerbate the downturn.

“The OCR is set to rise soon but the range of potential levels 18 months out is wide given the uncertainties. For now, returning the OCR towards neutral makes sense.”

## Official Cash Rate forecasts



## Movement in the 3 month rate 2 years ahead since Iran war



Sources: Macrobond, Bloomberg, Westpac

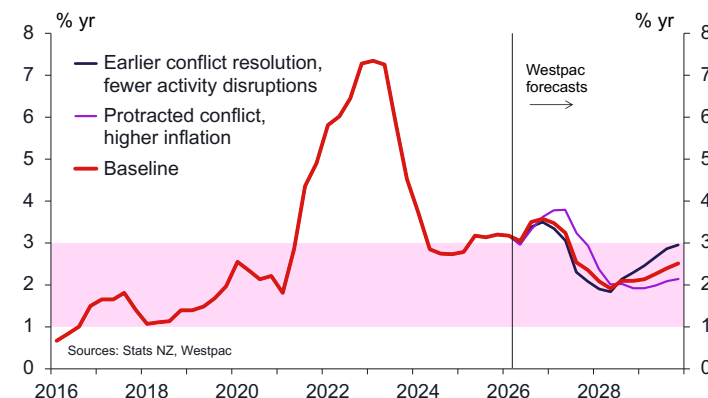
# MONETARY POLICY SCENARIOS

## Supply chain blockages and monetary policy trade-offs.

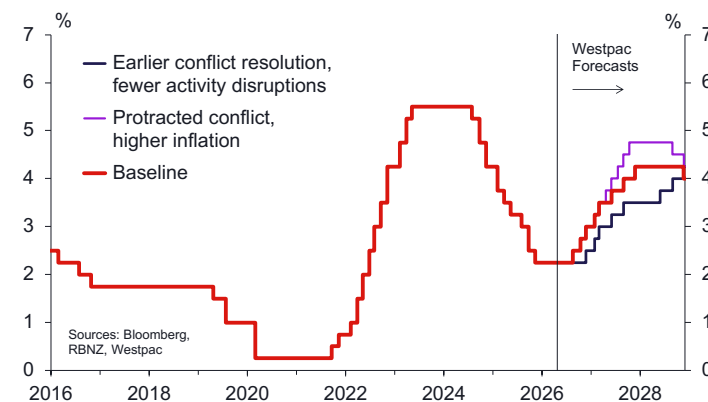
- The conflict in the Middle East has clouded the outlook for economic activity. A key uncertainty is how developments in the region will affect both oil prices and global supply chains.
- If tensions in the Middle East escalate or oil prices remain elevated for longer than we have assumed, we would see an even larger knock to households' finances and spending. There would also be deeper downturns in both investment spending and the labour market. At the same time, the RBNZ would face a large and more protracted lift in inflation. That could require a faster and more aggressive tightening of the OCR, perhaps up to 4.75%, to ensure businesses' price setting behaviour remained consistent with the inflation target over the medium term. Those higher interest rates would also compound the downward pressure on activity and employment.
- In contrast, if the situation in the Middle East is resolved faster than assumed in our baseline scenario, oil prices and the related disruptions to supply chains could correct sooner. In such circumstances, the risk for longer term inflation expectations would be less pronounced, allowing the RBNZ more time to assess how the economy is faring before raising the OCR. Even so, the OCR is currently at a low level. As spare capacity is eroded, gradual interest rate increases would still be required over time to limit the risk of inflation settling at high levels even after oil prices eventually drop back.

“The conflict in the Middle East is clouding the outlook for economic activity and inflation, and that leaves the RBNZ with a challenging balancing act.”

Core inflation (excluding fuel)



Official Cash Rate forecasts



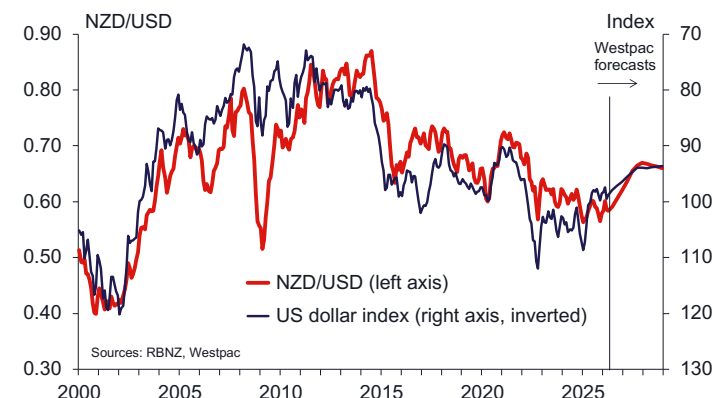
# FOREIGN EXCHANGE

## The NZD is likely to languish for a while yet.

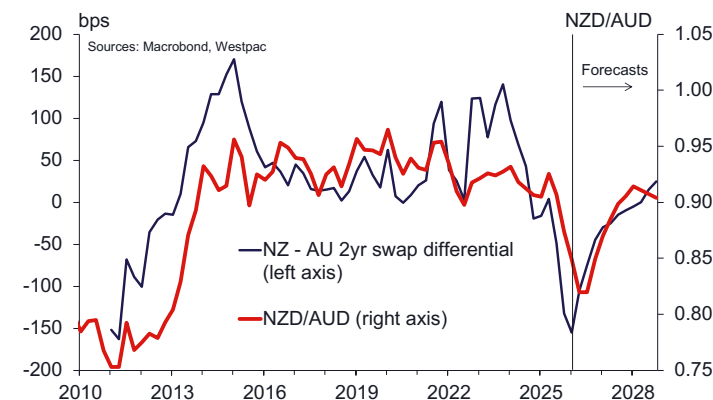
- The NZD has firmed modestly since the start of this year, both against the USD and on a trade-weighted (TWI) basis. This comes at a time when the US dollar has been relatively stable.
- However, the NZD/AUD has declined to a 15-year low, likely influenced by the growing divergence in interest rates between New Zealand and Australia given the differing cyclical positions of these economies.
- The Iran war represents a negative terms of trade shock – in the near term, more than negating the impact of the strong trend in export commodity prices – and will likely keep the NZD in check until uncertainty about the war reduces.
- Soft economic growth and lingering excess capacity compared to similar economies will also weigh on the NZD for some time yet.
- The risk of a further leg down in the NZD/AUD can't be ruled out if the RBNZ lags the global tightening cycle, perhaps because growth underperforms even our reduced expectations.
- The NZD will continue to be the key shock absorber helping cushion the New Zealand economy from the Iran war shock. Over the medium term, a further weakening of the USD – which remains overvalued in our view – should lend support to the NZD.

“The NZD should remain weak while uncertainty around the war and its impact on the economy remains high.”

NZD/USD and US dollar index



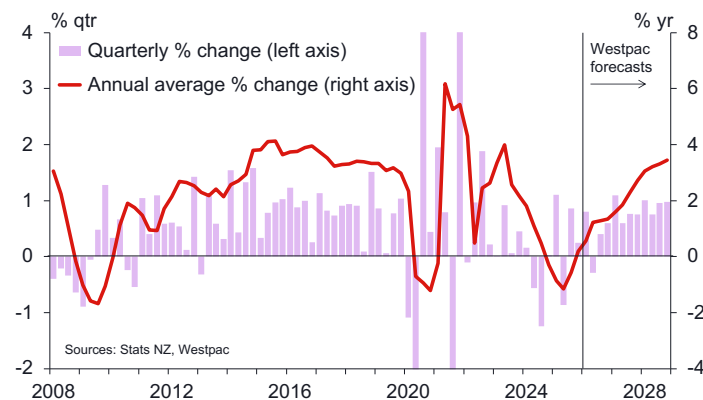
NZD/AUD and 2-yr swap differential



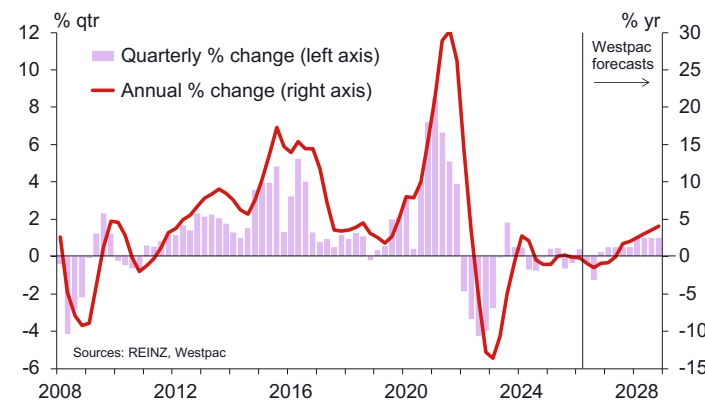


# THE ECONOMY IN EIGHT CHARTS

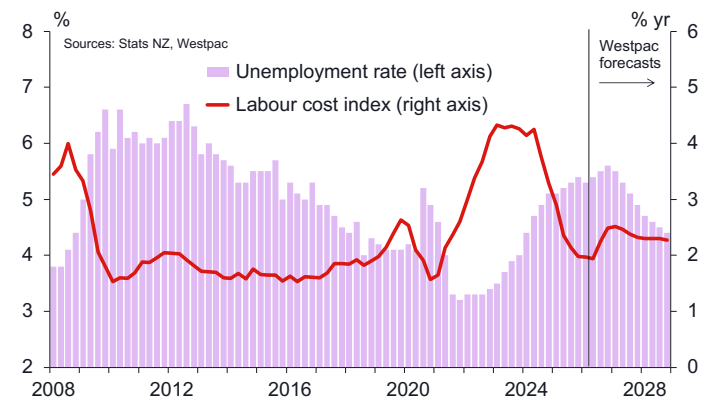
## GDP growth



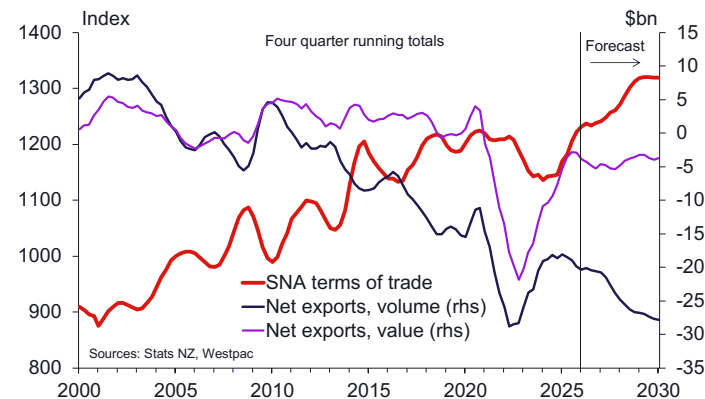
## House prices



## Unemployment and wage growth

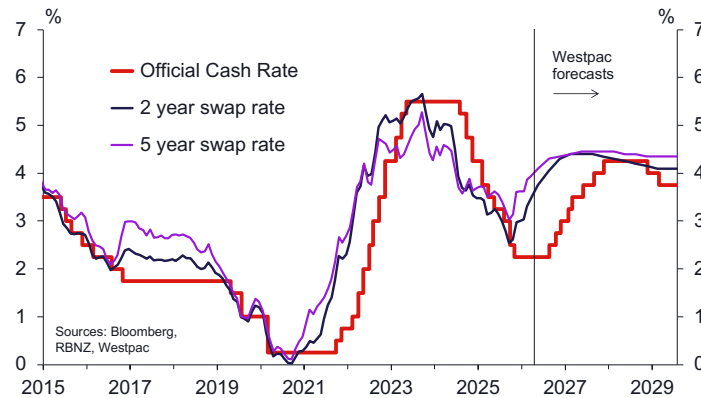


## Terms of trade and net exports

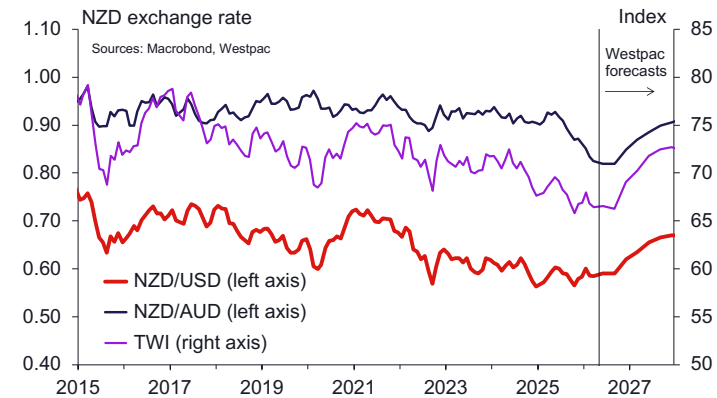


# THE ECONOMY IN EIGHT CHARTS CONT.

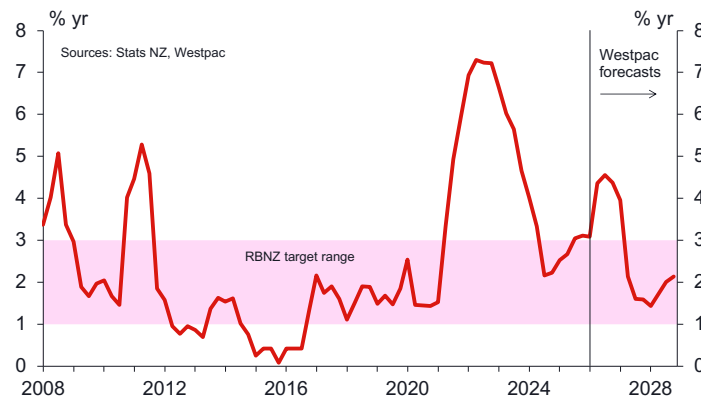
Official Cash Rate, 2-year and 5-year swap rates



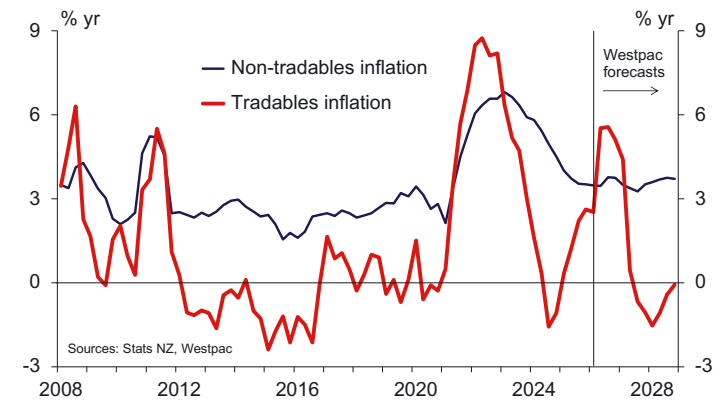
Exchange rates



Consumer price inflation



Inflation components



# ECONOMIC AND FINANCIAL FORECASTS

## New Zealand forecasts

| Economic indicators                | Quarterly % change |        |        |        | Annual % change |      |      |      |
|------------------------------------|--------------------|--------|--------|--------|-----------------|------|------|------|
|                                    | Dec-25             | Mar-26 | Jun-26 | Sep-26 | 2024            | 2025 | 2026 | 2027 |
| GDP                                | 0.2                | 0.8    | -0.3   | 0.4    | -1.6            | 1.3  | 1.5  | 3.2  |
| GDP (annual average)               | -                  | -      | -      | -      | -0.3            | 0.2  | 1.3  | 2.7  |
| Consumer price index               | 0.6                | 0.9    | 1.8    | 1.2    | 2.2             | 3.1  | 4.4  | 1.6  |
| Employment change                  | 0.5                | 0.1    | 0.1    | 0.1    | -1.3            | 0.2  | 0.6  | 2.9  |
| Unemployment rate                  | 5.4                | 5.3    | 5.4    | 5.5    | 5.1             | 5.4  | 5.6  | 4.9  |
| Labour cost index (all sectors)    | 0.4                | 0.5    | 0.6    | 0.7    | 3.3             | 2.0  | 2.5  | 2.3  |
| Current account balance (% of GDP) | -3.7               | -3.8   | -4.0   | -4.1   | -4.7            | -3.7 | -4.1 | -4.2 |
| Terms of trade                     | 0.3                | -1.9   | 0.6    | 2.6    | 8.9             | 3.5  | 1.0  | 3.3  |
| House price index                  | -0.4               | 0.4    | -0.3   | -1.3   | -1.0            | -0.1 | -0.9 | 2.0  |
| Financial forecasts                | End of quarter     |        |        |        | End of year     |      |      |      |
|                                    | Dec-25             | Mar-26 | Jun-26 | Sep-26 | 2024            | 2025 | 2026 | 2027 |
| 90 day bank bill                   | 2.52               | 2.51   | 2.50   | 2.95   | 4.45            | 2.52 | 3.40 | 4.45 |
| 2 year swap                        | 2.71               | 3.12   | 3.75   | 4.05   | 3.64            | 2.71 | 4.30 | 4.35 |
| 5 year swap                        | 3.27               | 3.71   | 4.10   | 4.30   | 3.73            | 3.27 | 4.35 | 4.45 |
| 10 year bond                       | 4.27               | 4.54   | 4.85   | 4.95   | 4.50            | 4.27 | 5.00 | 5.10 |
| TWI                                | 66.4               | 67.2   | 66.5   | 66.2   | 69.5            | 66.4 | 69.1 | 72.7 |
| NZD/USD                            | 0.57               | 0.59   | 0.59   | 0.59   | 0.59            | 0.57 | 0.62 | 0.67 |
| NZD/AUD                            | 0.87               | 0.85   | 0.82   | 0.82   | 0.91            | 0.87 | 0.85 | 0.91 |
| NZD/EUR                            | 0.49               | 0.50   | 0.50   | 0.50   | 0.55            | 0.49 | 0.52 | 0.55 |
| NZD/GBP                            | 0.43               | 0.44   | 0.44   | 0.43   | 0.46            | 0.43 | 0.45 | 0.48 |

# ECONOMIC AND FINANCIAL FORECASTS CONT.

## New Zealand forecasts

| Fiscal indicators                    | June years |      |       |       |      |      |      |
|--------------------------------------|------------|------|-------|-------|------|------|------|
|                                      | 2024       | 2025 | 2026  | 2027  | 2028 | 2029 | 2030 |
| Core Crown tax revenue (\$bn)        | 133        | 134  | 137   | 144   | 155  | 166  | 177  |
| - % of GDP                           | 30.7       | 31.7 | 30.8  | 30.2  | 30.1 | 30.8 | 31.5 |
| Core Crown spending (\$bn)           | 139        | 142  | 148   | 155   | 161  | 169  | 176  |
| - % of GDP                           | 31.7       | 33.0 | 32.6  | 32.8  | 32.1 | 31.0 | 30.1 |
| OBEGALx (i.e., excluding ACC) (\$bn) | -8.8       | -9.3 | -13.2 | -12.7 | -7.6 | -3.1 | 0.1  |
| - % of GDP                           | -2.1       | -2.1 | -2.9  | -2.7  | -1.5 | -0.6 | 0.0  |
| Net core Crown debt (\$bn)           | 175        | 182  | 196   | 222   | 240  | 253  | 262  |
| - % of GDP                           | 41.7       | 41.9 | 43.2  | 46.5  | 47.2 | 46.9 | 46.0 |

## International economic forecasts

| Real GDP (calendar years) | Annual average % change |      |      |       |       |       |
|---------------------------|-------------------------|------|------|-------|-------|-------|
|                           | 2023                    | 2024 | 2025 | 2026f | 2027f | 2028f |
| Australia                 | 2.1                     | 1.0  | 2.0  | 1.8   | 1.2   | 2.4   |
| China                     | 5.4                     | 5.0  | 5.0  | 4.7   | 4.6   | 4.4   |
| United States             | 2.9                     | 2.8  | 2.1  | 2.0   | 1.8   | 1.9   |
| Japan                     | 0.7                     | -0.2 | 1.2  | 0.6   | 0.8   | 0.9   |
| East Asia ex China        | 3.4                     | 4.5  | 4.7  | 4.3   | 4.2   | 4.1   |
| India                     | 7.2                     | 7.1  | 7.6  | 6.5   | 6.7   | 6.6   |
| Euro zone                 | 0.5                     | 0.9  | 1.5  | 0.7   | 1.1   | 1.5   |
| United Kingdom            | 0.3                     | 1.1  | 1.4  | 0.8   | 1.1   | 1.5   |
| NZ trading partners       | 3.0                     | 3.0  | 3.2  | 2.8   | 2.7   | 2.9   |
| World                     | 3.3                     | 3.4  | 3.4  | 3.2   | 3.3   | 3.3   |

# ECONOMIC AND FINANCIAL FORECASTS CONT.

## Interest rates and exchange rates

|        | CPI      | Interest rates |             |             |             | Exchange rates |        |         |         |         |         |         |         |
|--------|----------|----------------|-------------|-------------|-------------|----------------|--------|---------|---------|---------|---------|---------|---------|
|        | Annual % | OCR            | 90-day bill | 2 year swap | 5 year swap | USD Index      | NZ TWI | NZD/USD | NZD/AUD | NZD/GBP | NZD/EUR | NZD/CNY | NZD/JPY |
| Mar-26 | 3.1      | 2.25           | 2.51        | 3.12        | 3.71        | 98.4           | 67.2   | 0.59    | 0.85    | 0.44    | 0.50    | 4.08    | 92.5    |
| Jun-26 | 4.4      | 2.25           | 2.50        | 3.75        | 4.10        | 97.9           | 66.5   | 0.59    | 0.82    | 0.44    | 0.50    | 4.01    | 93.2    |
| Sep-26 | 4.5      | 2.50           | 2.95        | 4.05        | 4.30        | 97.6           | 66.2   | 0.59    | 0.82    | 0.43    | 0.50    | 3.98    | 92.0    |
| Dec-26 | 4.4      | 3.00           | 3.40        | 4.30        | 4.35        | 96.7           | 69.1   | 0.62    | 0.85    | 0.45    | 0.52    | 4.15    | 95.5    |
| Mar-27 | 4.0      | 3.50           | 3.75        | 4.40        | 4.40        | 95.9           | 70.2   | 0.64    | 0.87    | 0.46    | 0.53    | 4.19    | 96.5    |
| Jun-27 | 2.1      | 3.75           | 4.00        | 4.40        | 4.45        | 95.1           | 71.8   | 0.66    | 0.89    | 0.47    | 0.54    | 4.26    | 98.3    |
| Sep-27 | 1.6      | 4.00           | 4.25        | 4.40        | 4.45        | 94.2           | 72.5   | 0.67    | 0.90    | 0.48    | 0.55    | 4.29    | 98.4    |
| Dec-27 | 1.6      | 4.25           | 4.45        | 4.35        | 4.45        | 93.9           | 72.7   | 0.67    | 0.91    | 0.48    | 0.55    | 4.29    | 97.8    |
| Mar-28 | 1.4      | 4.25           | 4.45        | 4.30        | 4.45        | 94.0           | 72.3   | 0.67    | 0.91    | 0.48    | 0.55    | 4.24    | 96.1    |
| Jun-28 | 1.7      | 4.25           | 4.45        | 4.25        | 4.40        | 93.8           | 72.0   | 0.67    | 0.91    | 0.47    | 0.55    | 4.22    | 94.4    |
| Sep-28 | 2.0      | 4.25           | 4.40        | 4.20        | 4.40        | 93.8           | 71.5   | 0.66    | 0.91    | 0.47    | 0.55    | 4.17    | 92.8    |
| Dec-28 | 2.1      | 4.00           | 4.15        | 4.15        | 4.35        | 93.6           | 71.3   | 0.66    | 0.90    | 0.47    | 0.55    | 4.19    | 91.1    |



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Westpac Banking Corporation.



# WESTPAC COMMODITY FORECASTS

This information is current as at 8 May 2026

| Forecasts qtr average             | latest*** | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 |
|-----------------------------------|-----------|--------|--------|--------|--------|--------|--------|--------|
| iron ore fines 62% fe spot US\$/t | 112       | 106    | 102    | 97     | 90     | 84     | 83     | 83     |
| iron ore fines contracts (US\$/t) | 138       | 160    | 160    | 150    | 140    | 130    | 130    | 130    |
| Aust. hard coking coal (USD/t)    | 180       | 184    | 182    | 178    | 178    | 179    | 180    | 181    |
| coking premium low vol USD/t      | 231       | 232    | 223    | 207    | 201    | 202    | 204    | 205    |
| coking coal 64 mid vol USD/t      | 180       | 184    | 182    | 178    | 178    | 179    | 180    | 181    |
| coking coal low vol PCI USD/t     | 155       | 158    | 150    | 144    | 145    | 147    | 149    | 151    |
| coking coal semi soft USD/t       | 142       | 142    | 130    | 124    | 125    | 127    | 129    | 130    |
| steam coal fob Newcastle (USD/t)  | 141       | 145    | 140    | 125    | 120    | 121    | 122    | 123    |
| coal thermal contracts (USD/t)    | 160       | 127    | 116    | 116    | 116    | 121    | 132    | 132    |
| crude oil WTI NYMEX (USD/bbl)     | 95        | 101    | 93     | 82     | 79     | 74     | 71     | 65     |
| crude oil Brent (USD/bbl)         | 104       | 110    | 100    | 87     | 84     | 77     | 73     | 67     |
| LNG Japan Corp (Aust) US\$mmbtu   | 17.01     | 18.3   | 22.5   | 21.5   | 17.7   | 16.5   | 15.0   | 13.0   |
| gold (USD/oz)                     | 4,682     | 4,750  | 4,880  | 4,980  | 5,000  | 4,970  | 4,920  | 4,870  |
| aluminium (USD/t)                 | 3,560     | 3,610  | 3,730  | 3,930  | 4,000  | 3,900  | 3,720  | 3,550  |
| copper (USD/t)                    | 13,236    | 13,050 | 13,200 | 13,320 | 13,350 | 13,280 | 13,180 | 12,610 |
| nickel (USD/t)                    | 19,179    | 18,400 | 18,600 | 18,300 | 18,100 | 17,900 | 17,700 | 17,200 |
| zinc (USD/t)                      | 3,408     | 3,390  | 3,380  | 3,390  | 3,390  | 3,380  | 3,360  | 3,090  |
| lead (USD/t)                      | 1,974     | 1,950  | 1,950  | 1,940  | 1,940  | 1,910  | 1,830  | 1,620  |
| AUD/USD                           | 0.72      | 0.71   | 0.72   | 0.73   | 0.73   | 0.74   | 0.74   | 0.74   |

| Forecasts qtr average             | Mar-28 | Jun-28 | Sep-28 | Dec-28 | Mar-29 | Jun-29 | Sep-29 | Dec-29 | Mar-30 |
|-----------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| iron ore fines 62% fe spot US\$/t | 84     | 85     | 85     | 86     | 86     | 87     | 87     | 88     | 89     |
| iron ore fines contracts (US\$/t) | 130    | 130    | 130    | 130    | 130    | 130    | 130    | 140    | 140    |
| Aust. hard coking coal (USD/t)    | 183    | 184    | 185    | 186    | 188    | 189    | 190    | 191    | 193    |
| coking premium low vol USD/t      | 206    | 208    | 209    | 211    | 212    | 213    | 215    | 216    | 218    |
| coking coal 64 mid vol USD/t      | 183    | 184    | 185    | 186    | 188    | 189    | 190    | 191    | 193    |
| coking coal low vol PCI USD/t     | 154    | 156    | 158    | 160    | 162    | 164    | 167    | 169    | 171    |
| coking coal semi soft USD/t       | 131    | 132    | 133    | 134    | 135    | 136    | 138    | 140    | 142    |
| steam coal fob Newcastle (USD/t)  | 123    | 124    | 125    | 126    | 126    | 127    | 128    | 129    | 129    |
| coal thermal contracts (USD/t)    | 132    | 129    | 124    | 124    | 124    | 124    | 126    | 126    | 126    |
| crude oil WTI NYMEX (USD/bbl)     | 61     | 59     | 57     | 57     | 59     | 63     | 64     | 65     | 65     |
| crude oil Brent ICE (USD/bbl)     | 63     | 61     | 59     | 59     | 61     | 65     | 66     | 67     | 67     |
| LNG Japan Corp (Aust) US\$mmbtu   | 12.2   | 11.5   | 10.5   | 10.4   | 9.8    | 9.5    | 10.0   | 10.3   | 10.4   |
| gold (USD/oz)                     | 4,750  | 4,500  | 4,360  | 4,360  | 4,460  | 4,600  | 4,660  | 4,680  | 4,710  |
| aluminium (USD/t)                 | 3,400  | 3,320  | 3,270  | 3,220  | 3,170  | 3,260  | 3,320  | 3,340  | 3,360  |
| copper (USD/t)                    | 12,280 | 12,050 | 11,820 | 12,040 | 12,700 | 13,660 | 14,140 | 14,350 | 14,560 |
| nickel (USD/t)                    | 16,300 | 15,800 | 15,600 | 15,700 | 16,300 | 17,200 | 17,600 | 17,800 | 17,900 |
| zinc (USD/t)                      | 2,930  | 2,830  | 2,730  | 2,720  | 2,790  | 2,900  | 2,950  | 2,960  | 2,970  |
| lead (USD/t)                      | 1,510  | 1,450  | 1,380  | 1,370  | 1,410  | 1,470  | 1,500  | 1,500  | 1,510  |
| AUD/USD                           | 0.73   | 0.73   | 0.73   | 0.73   | 0.73   | 0.73   | 0.73   | 0.73   | 0.73   |

# Chain weighted index: weights are Australian export shares. \* Average Australian export prices fob – Source ABS 5432.0 Merchandise Trade Exports. \*\* WCFI – Westpac commodities futures index. \*\*\* Weekly averages except for the Bulks Index. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg, ABS.

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# ECONOMIC BULLETIN

RBNZ monetary policy scenarios, May 2026.



21 May 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | [kelly.eckhold@westpac.co.nz](mailto:kelly.eckhold@westpac.co.nz)

## The case to hike and the case to wait

- We lay out some plausible arguments the RBNZ might consider to motivate an OCR hike in May or a decision to remain on hold.
- Remaining on hold will be compelling if the MPC wants to see tangible evidence of second round effects on inflation and more evidence on how the real economy is being impacted by the Iran war.
- Raising the OCR in May will be compelling if the MPC prefers to move the OCR back to the neutral zone in a reasonably prompt manner.
- Our *Monetary Policy Statement* preview will provide our judgement on what we expect the MPC to decide.

In this note we consider the arguments that might be made by the RBNZ's MPC members as they deliberate the appropriate course of action at next week's monetary policy review. We set out the case for leaving the OCR unchanged versus the alternative of a 25bp hike (the two most likely outcomes). Later today we will release our formal preview of the meeting, setting out our view on which arguments are most likely to carry the day and what to look out for in the materials and commentary that will accompany the RBNZ's policy decision.

### The case for leaving the OCR unchanged.

The strongest case for holding the OCR unchanged is that it remains too soon to conclude that an immediate rate hike is required to achieve the inflation target over the medium term. Indeed, one might be concerned that an increase now might need to be reversed later in 2026 or in 2027. The MPC might conclude this if:

- They are unsure if the OCR is currently stimulatory given the rise in risk aversion associated with the shock and/or that a hike in the OCR at a time of fragile confidence might have an outsized impact on the economy (for example, as the RBNZ's hawkish commentary did in the first half of 2024).
- They believe that the coming weakening in the economy will be so large as to overwhelm any upward pressure on inflation expectations or firm pricing behaviour emanating from the Iran war cost shock, leading to no increase – or indeed lower – inflation over the medium term.
- A further large markdown in global growth forecasts is in the offing, perhaps due to a more protracted Iran war triggering concerns of global recession as per more pessimistic official sector scenarios. In turn, this



might trigger a further tightening in financial conditions if recent strength in global equity and credit markets is reversed.

If this scenario is a material concern, the MPC would likely judge that interest rate expectations and financial conditions are too restrictive for the economic and medium-term inflation outlook, at least given currently available information. In that case, leaving the OCR unchanged would signal that current market pricing is too aggressive and that a greater accumulation of evidence is required before the RBNZ decides to lift the OCR. This would push back on current market pricing.

That's a very dovish scenario and not especially likely right now. More likely, the case for holding the OCR now might simply reflect uncertainty on how quickly policy needs to respond given the significant uncertainties. Waiting allows time to gather further evidence.

The commentary in the Record of Meeting from the April *Monetary Policy Review* suggests that there were a range of scenarios considered by the MPC, with different assumptions about the path of the conflict and its economic impact leading to different conclusions about the timing of policy action. For example, the Record noted:

“If the increase in near-term inflation is largely temporary, the Committee envisages gradually moving the OCR to more neutral levels as activity recovers and near-term inflationary pressures dissipate. However, any signs of significant second-round inflationary effects or increases in medium-term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations. The Committee is vigilant to these risks.”

and:

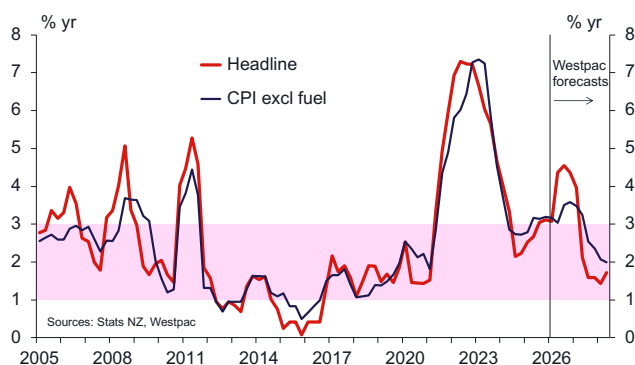
“Some members placed more emphasis on the arguments in favour of an early monetary policy response, noting that further data and analysis would provide greater clarity about medium-term inflation pressures. Other members emphasised downside risks to growth and argued for more opportunity to judge the extent to which weaker growth balances the second-round effects of higher fuel prices.”

Importantly, this discussion shows the debate among the MPC is not about whether the OCR will eventually need to rise *at all* but really just about *when* OCR normalisation should begin (as it was at the beginning of the year, before the Middle East conflict). In this context, the stronger argument for delay rests on when the MPC feels it has enough information to justify a first move towards a more neutral OCR setting. In this case, the MPC would focus on when it has sufficient information on:

- The likely peak level of headline CPI inflation in coming quarters and how this might impact inflation expectations.
- The extent of the likely hit to economic activity and hence the level of excess capacity in the economy, and so the likely evolution of core inflation given the competing influences of a weaker economy but higher inflation expectations.
- The extent to which the pre-existing weakness of the economy will help moderate any second-round effects associated with direct price increases caused by the Iran war (e.g. fuel and fertiliser costs).
- The likely duration of the Iran war and the future path of oil prices.

On the first point, at the April *Review* the RBNZ indicated that headline inflation would rise above 4% in the June quarter, largely reflecting higher energy prices from the Iran war. It is still unclear whether the June quarter will mark the peak, given there is no visibility on when the Strait of Hormuz will reopen. Westpac, for example, sees an inflation peak in the September quarter, although with low confidence given the uncertainty over the path for energy prices. The MPC may therefore see 4% as a lower bound for peak headline inflation and remain open to a higher outcome. The June quarter CPI release in late July, after the July policy review, will provide a firmer guide (as will the path of prices through the quarter as seen in the monthly *Selected Price Indexes*).

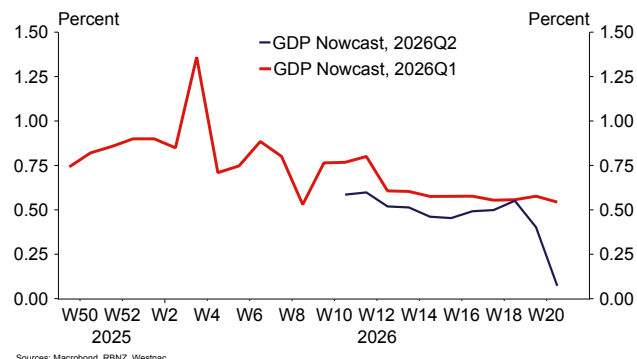
#### Headline and core inflation



On the second point, the RBNZ has virtually no new information on how core inflation pressures are currently evolving. Governor Breman indicated in her press release that core inflation did not rise in the March quarter and remained within the target range, but there is little information since then. Meaningful new evidence is unlikely to be available before the June quarter CPI, especially as few services pricing gauges affected by the Iran war are captured in the monthly selected price index releases. The absence of clear evidence of stronger core inflation is a strong argument for waiting. There is similarly little evidence yet on second-round inflation pressures as it is still too early for clear signs to emerge.

Some evidence may appear in the May selected price indices in late May, but the June quarter CPI is more likely to be the key source of information. That supports holding the OCR in May and July while waiting for firmer evidence.

#### RBNZ GDP Nowcast



Looking at how core inflation might evolve further ahead, more information is available on how the war is likely to impact excess capacity in the economy. December quarter GDP growth modestly undershot the RBNZ's forecasts (by 0.4%). However, the RBNZ's "Nowcast" of cumulative GDP growth over the first half of this year points to growth of 0.6%, which is a substantial 1.0% lower than forecast in the February MPS. The RBNZ's updated forecasts will therefore almost certainly project greater excess capacity in the economy over at least the next year, providing an offset to the higher inflation starting point. This would support a wait-and-see approach.

Uncertainty around the duration of the Iran war may also favour delaying OCR normalisation. An early end to the conflict would likely mean a shorter spike in headline inflation and less risk to inflation expectations and pricing behaviour. If the MPC thinks hostilities could end soon, this might suggest that the RBNZ reverts back to something like its February *Monetary Policy Statement* stance, i.e. while a rate hike is possible before year end, it is not a given. In that scenario, the MPC may view the recent tightening in financial conditions as premature and potentially reversible, while still helping to contain any emerging core inflation pressure.

### The case for a 25bp increase in the OCR.

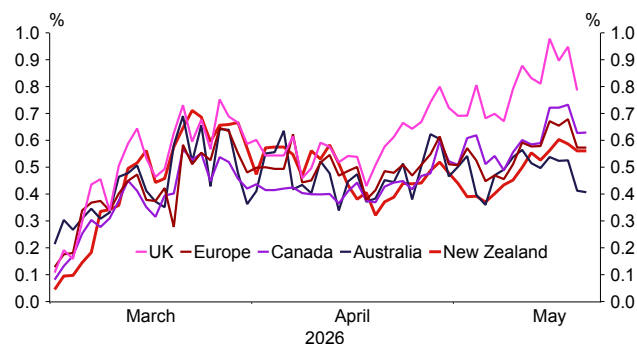
A rate increase would be on the table if the MPC accepts that OCR hikes in 2026 are now unavoidable, as current market pricing, analyst expectations and market sentiment almost uniformly suggest. If the MPC believes OCR increases are coming in the next six months, the bar for starting now may be fairly low.

The April MPR Summary Record of Meeting revealed that there was a group of MPC members in favour of taking a proactive approach to returning the OCR towards more neutral levels. In both the November 2025 and February 2026 MPS forecasts, end-2026 inflation was expected to

be close to the middle of the target range (2.2% and 2.3% respectively), whereas the RBNZ may now expect inflation to be above 4% at the end of 2026 (Westpac's current forecast is 4.4%). This is a materially different outlook and points to greater inflation risk.

While core inflation measures remain inside the 1-3% target range, they sit mostly in the top half of the range (for example, the 10% trimmed mean is 2.3% and the RBNZ's sectoral factor model estimate of core inflation is 2.6%). This gave the MPC little room to manoeuvre even before the Iran war cost shock. A large output gap provides some basis to expect inflation to move lower given time. But the MPC will be mindful that inflation has been persistently high since 2022 and outside the 1-3% target range for much of that time. The MPC may feel it has only finite space to take further risks with a protracted period of above-target inflation.

#### Change in market pricing for the 3-month rate in two years' time, selected countries



The MPC will take some account of other central banks' reaction functions to the Iran war shock. Market pricing suggests policy rates will rise over the next 18 months in most jurisdictions, while central bank commentary ranges from actual tightening (Norway, Australia) to near-term tightening (the ECB), tightening biases (Canada, Japan), and more neutral stances (the UK and the US). New Zealand stands out because the policy rate is around 75bp below neutral on the RBNZ's assessment, whereas in most other jurisdictions the policy rate is closer to neutral.

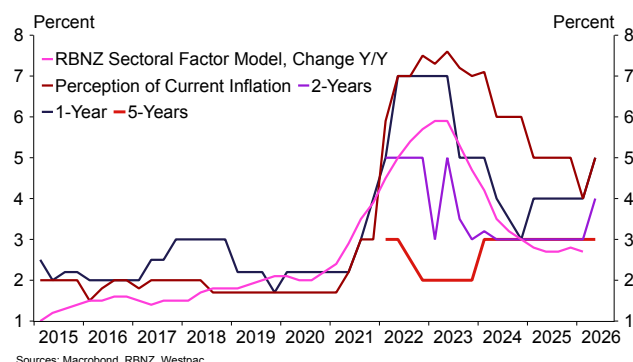
Data on inflation expectations and firm pricing behaviour suggest a risk of persistent inflation. Business surveys confirm a large and broad cost shock to businesses that is putting a lot of pressure on margins. Firms report that weak demand limits space to raise prices, but nonetheless pricing intentions indicators are historically high. Consumer inflation expectations are high and have been quick to reflect the Iran war shock. This shows consumers understand that price increases are likely and may even see increases as inevitable and justified. It's likely consumers will be more accepting of price increases in the current environment.



Professional forecasters and business experts also expect increased inflation as far as 2 years ahead. This is interesting as this group likely understand that oil prices will most likely fall back in the next 6-12 months. However, despite this, they see inflation remaining close to 2.5% versus for example Westpac's own forecast of inflation below 2% two years ahead (driven by a large, assumed fall in energy prices). Together this is indicative of an expectation of persistent inflation among the business community which may have implications for pricing behaviour.

Most critically, the broadest surveys of households and businesses conducted by the RBNZ suggest there are significant risks of elevated inflation over the 5-10 year horizon. These surveys suggested relatively high levels of 5-10 year expectations coming into the Iran war shock. While it may be premature to conclude the RBNZ has lost credibility, it's fair to say that respondents' experience of high inflation since 2021 may be cementing a concern that the RBNZ is not as "laser focused" on inflation as it could be.

**Median household inflation expectations – RBNZ survey**



Real interest rates appear very low given the increase in inflation and inflation expectations that's occurred. While uncertainty is so high, we are unlikely to see those rates translate into expanding investment and consumption. But the situation could change quite quickly if uncertainty resolves (for example, if global demand remains resilient or if an unexpectedly fast resolution of hostilities occurs). Current low real rates are providing some cushion to the economy now and could quickly spur activity later even as the legacy of high inflation remains. Is it clear that such low real interest rates are appropriate?

Another issue is the exchange rate which remains weak. It is around 2% lower than assumed by the RBNZ in February and around 3% lower over the last year. This has likely added to tradable inflation in the last year and is providing a well-needed fillip to the export sector. Should the terms of trade shock associated with the Iran war intensify then the exchange rate would likely further adjust, creating further inflation headwinds. The MPC will be cautious to not keep NZ interest rates too low so as to invite excessive FX depreciation.

These arguments suggest that the RBNZ has work to do to ensure persistent inflation behaviours don't become entrenched via the Iran war shock. It could be premature to conclude that restrictive conditions are required now given the large output gap and high levels of uncertainty. But positioning policy closer to a neutral level could help balance upside inflation risks and better position the MPC if restrictive conditions become necessary.

Beginning the normalisation process in May allows for a gradual and cautious tightening path that would be no faster than current market pricing. It allows for OCR increases every second meeting at *Monetary Policy Statements* when the most information is available along with fresh medium-term forecasts. It also gives the MPC the option to not raise the OCR at the pre-election October meeting while ensuring the OCR reaches the bottom of the RBNZ's effective neutral range of 3% by end 2026. This approach manages inflation risks while providing options to scale the pace of tightening up or down as more information becomes available.

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**May 2026**

# **THE RED BOOK**

Quarterly update on the Australian consumer

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# Under the pump again

The landscape has shifted dramatically since our January report with consumers now facing a significant cost-of-living shock centred on sharply higher energy costs and a further round of interest rate rises.

The US-Israel conflict with Iran that began on February 28 has effectively blocked 15% of oil and gas supply. An associated oil price spike has driven a sharp jump in local fuel costs, a 33% rise in the March month worth 1ppt of total spending. A temporary halving in fuel excise tax has provided some relief since then but prices are expected to remain elevated through to year end (see [here](#) for our latest assessment).

This fuel price shock is coinciding with renewed rate rises from the RBA. The three 25bp increases in February, March and May mainly reflected concerns about a pre-crisis lift in inflation, the 'trimmed mean' CPI tracking above the Bank's 2-3%yr target band since late 2025. As the energy shock filters through, we expect this measure to see a further lift to 4%yr, holding at this pace through to the end of 2026.

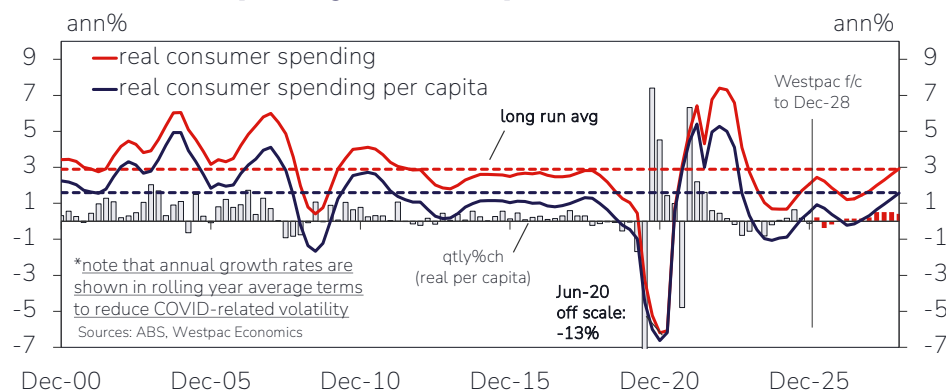
The high starting point for inflation means there is a material risk that the energy price surge feeds into a shift in expectations, affecting wage and price setting decisions and leading to persistently high inflation.

These concerns were an additional factor in the RBA's decision to raise the cash rate by another 25bps at its May meeting. More moves are likely to be required to contain inflation risks: Westpac expects two more 25bp hikes in coming months.

This is clearly a difficult and alarming situation for consumers. Sentiment has already been hit hard, April recording one of the biggest monthly falls on record. Our **Westpac Card Tracker** – the most timely read on spending trends in Australia – suggests spending moderated in the March quarter (see [here](#)). Our **Westpac Consumer Panel** shows that the initial response in March was associated with a slowdown in savings flows. Importantly, the card data suggests April has seen a move to outright weakness, non-fuel spending tracking flat or down slightly despite the temporary halving in fuel excise tax.

The bottom line is that prices, interest rates and tax increases are again outstripping incomes and that there is a limit to how much savings can be used to keep up. The 'cost of living crisis' sequel may not be a re-run of the 2022-24 horror show – when prices shot up 13% over two years and interest rates rose 4ppts – but it is clearly shaping as another very challenging time for consumers.

## 1. Consumer spending: renewed squeeze



**“The ‘cost of living crisis’ sequel may not be a re-run of the 2022-24 horror show ... but it is clearly shaping as another very challenging time for consumers.”**

# Quick run-down

The **Westpac-Melbourne Institute Consumer Sentiment Index** fell heavily in April, declining 12.5% to 80.1, having drifted slightly lower through February and March.

The April fall was the biggest monthly decline since COVID and takes the Index near historical lows, albeit above the extremes seen at the onset of the pandemic and during the recessions of the early 1990s and 1980s.

All Index components deteriorated sharply in the April month but the biggest falls were across components tracking 'current conditions'. This clearly reflects the sharp spike in average pump prices for fuel, the rise in dollar terms the biggest on record and the percentage change comparable to the spike during the 1979 oil crisis. Assessments also reflect the RBA's interest rate rises in February and March.

Risk aversion was holding at elevated levels ahead of the April shock. The **Westpac Risk Aversion Index** was 48 in March, in line with the 49.1 in December – up marginally from the 47.2 average over the previous year and half but below the 51-59 range seen during 2022-23. Aversion has likely risen further since March.

The sentiment mix suggests spending momentum has weakened materially. **CSI±**, a modified indicator that correlates well with per capita spending, points to a shift back to outright contraction in coming quarters.

Consumer interest rate expectations continue to weigh on overall expectations. The **Westpac-Melbourne Institute Mortgage Rate Expectations Index** rose 3.9% to 177.2 in April, returning to recent cycle highs. Amongst those with a view, just over 80% of consumers expect mortgage rates to increase over the year ahead (noting that this was prior to the RBA's 25bp cash rate increase in early May).

The **'time to buy a major item'** index dropped 15% in April to 83.3. This component has been particularly sensitive to 'cost of living' pressures in recent years. The decline takes the sub-index towards, but still slightly above, the very weak 75-80 range seen in 2022-24.

Homebuyer sentiment bucked the wider softening trend in the April month but remains at very pessimistic levels. The **'time to buy a dwelling'** index rose 3.5% in the April month but was still down 4.3% vs January, coming off a new cycle low in March. At 85.8 the Index is still more than 33pts below the long-run average of 120.

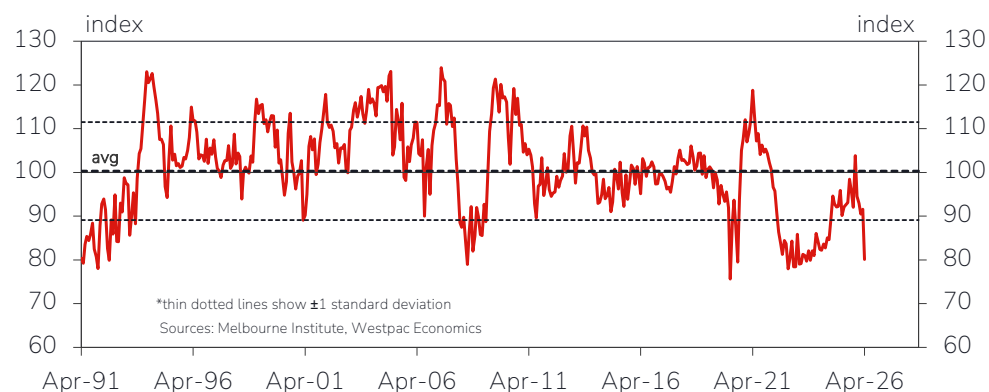
Consumers are becoming much less bullish on the outlook for house prices. The **Westpac-Melbourne Institute Consumer House Price Expectations Index** posted a sharp 10.2% fall to 153.5. That said, price expectations are still relatively positive, the Index well above the long-run average of 130. Over two-thirds of those with a view expect prices to increase over the next year.

The April sentiment shock had a notably deeper impact on consumers' labour market expectations than the weakness seen during the 2022-24 'cost of living' crisis. The **Westpac-Melbourne Institute Unemployment Expectations Index** jumped 9.7% to 147.8 to be up 14% over the 3mths to April (recalling that higher reads are a deterioration that means more consumers expect unemployment to rise over the year ahead). Expectations are now materially above the long run average of 129.

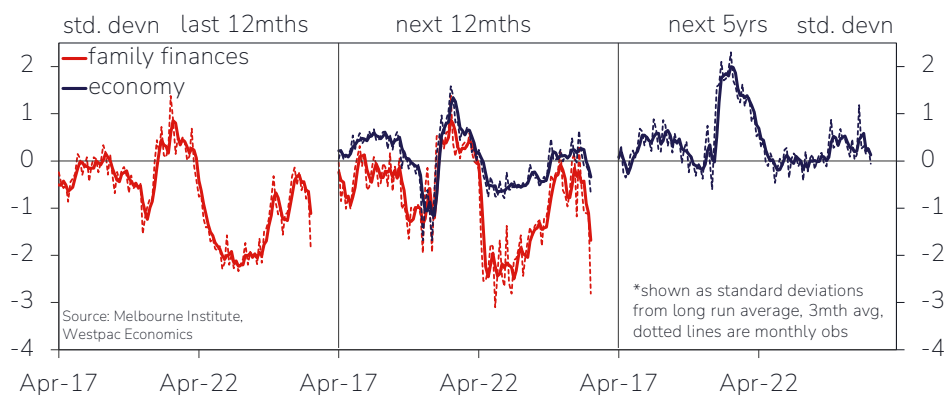
# Shocked

- The inflation and interest rate concerns that had been weighing on sentiment around the turn of the year have given way to more acute and immediate shock from a sharp rise in global energy costs.
- The US-Israel conflict with Iran that began on February 28 has seen major disruptions to global energy supply. Sentiment has pulled back as the resulting spike in fuel prices has combined with a further re-tightening in interest rates and growing risks that a wider inflation threat will see additional rate hikes in the months ahead.
- The **Westpac Melbourne Institute Index of Consumer Sentiment** dropped 12.5% in the April month to be down 13.7% vs January. April marked the biggest monthly decline since COVID.
- At 80.1, the Index is back near historical lows, albeit slightly above the low recorded during the 2022-24 'cost of living' crisis (78) and the GFC (79) and some way above the extreme lows seen at the onset of the pandemic (75.6) and during the recessions of the early 1990s (64.6) and early 1980s (75.5).
- Average pump prices hit \$2.40/litre in the first week of April, up 37¢ from the time of the March survey and 77¢ compared to early February. This is easily the biggest two-month rise in the history of the survey, which goes back to 1973, with the increase in percentage terms comparable to the 50% annual rise recorded during the 1979 oil crisis (see below for a more detailed discussion of how the current episode compares to previous fuel price shocks).
- Note that the April survey was taken after the Federal government's temporary halving in fuel excise tax came into effect on April 1, the 26¢/litre reduction contributing to a 12¢/litre decline in average pump prices in the first week of the month.
- The interest rate backdrop has also been moving, the RBA raising the cash rate by 25bps on February 3, and another 25bps on March 17.
- The April survey was in the field three weeks after the second move but was conducted before the RBA's third 25bp hike on May 5. The May survey will be in the field during the week of the Federal budget, with results to be released on May 19.

## 2. Consumer sentiment crashes



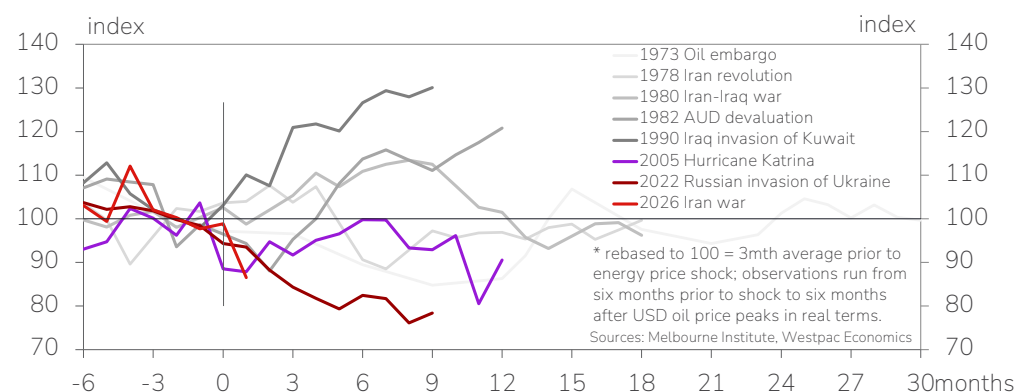
## 3. Consumer sentiment: finances, economic conditions





- Component-wise, the biggest falls in the April month were across sub-indexes tracking current conditions, the 'finances vs a year ago' sub-index plunging 16.7% to 66.8 and the 'time to buy a major item' sub-index down 15% to 83.3. Both levels are extremely low but still a touch above the averages recorded between September 2022 and June 2024 (65 and 81 respectively).
- Near-term expectations also fell sharply, the 'finances, next 12mths' sub-index down 13.9% to 84 and the 'economy, next 12mths' sub-index down 12.4% to 75.3. While the falls were not quite as severe as for current conditions, these components have deteriorated by more vs 2025. The 'economy, next 5 years' sub-index recorded a more moderate 5.1% decline to 91.4.
- The April shock was broadly based with 90 of the 100-odd sub-groups we track recording declines. Falls were particularly pronounced amongst those living in regional areas (-16% to 73) and working in the recreational services, manufacturing and construction sectors – all of which have higher exposure to rising energy costs and/or cyclical swings in activity.
- Chart 4 and Table 5 provide some longer term historical perspectives on energy price shocks. Over the history of the survey there have now been eight episodes of sharply rising fuel costs, five emanating from developments in the Middle East. Durations have tended to be shorter in recent decades, particularly compared to the extended disruptions during the 1970s and early 1980s. In real, inflation-adjusted terms the magnitude of the current oil price shock is materially larger than those seen since 1980 but smaller than the 1970s shocks.
- Wider economic circumstances also vary. The early 1990s shock for example hit just as the economy was moving off recession lows, while the 2022 shock came on top of a global supply chain disruption that was generating a wider rise in prices. The interest rate context also differs, as does the response, particularly in the 1970s and 1980s when today's independent inflation-targeting central bank regime was not yet in place. Economies have also become less fuel dependent over time.
- Sentiment-wise, the current shock is, so far, comparable to 2022 and 2005, putting it at the lower end of the range.

## 4. Consumer sentiment: historical oil shocks



## 5. Historical oil shocks: selected measures

|                                                                               | Oil embargo | Iran revolution | Iran-Iraq war | AUD devaluation | Iraq invasion of Kuwait | Hurricane Katrina | Russian invasion of Ukraine | Iran war |
|-------------------------------------------------------------------------------|-------------|-----------------|---------------|-----------------|-------------------------|-------------------|-----------------------------|----------|
| onset                                                                         | 1973        | 1978            | 1980          | 1982            | 1990                    | 2005              | 2022                        | 2026     |
| duration (months)                                                             | 24          | 12              | 12            | 6               | 3                       | 9                 | 3                           | > 2      |
| <b>maximum variation, %*</b>                                                  |             |                 |               |                 |                         |                   |                             |          |
| oil (real US\$/bbl)                                                           | 161         | 121             | 13            | 2               | 41                      | 39                | 34                          | 60       |
| auto fuel (real AUD)                                                          | 8           | 46              | 17            | 9               | 21                      | 24                | 14                          | 25       |
| consumer sentiment                                                            | -15         | -11             | -1            | -12             | 3                       | -19               | -24                         | -13      |
| <b>consumption, real per capita, change in annual growth following shock*</b> |             |                 |               |                 |                         |                   |                             |          |
| total                                                                         | -3.3        | -2.4            | -0.1          | -5.1            | -2.5                    | -1.2              | -0.3                        | n.a.     |
| – operation vehicles                                                          | n.a.        | -0.6            | -6.8          | -4.9            | -4.9                    | -7.5              | -0.7                        | n.a.     |
| – other consumption                                                           | n.a.        | -2.7            | 0.1           | -5.6            | -2.6                    | -0.7              | 1.3                         | n.a.     |
| Australian recession ^                                                        | Y           | N               | N             | Y               | Y                       | N                 | N                           | n.a.     |

\* peak/low in period compared to average six months prior to shock.

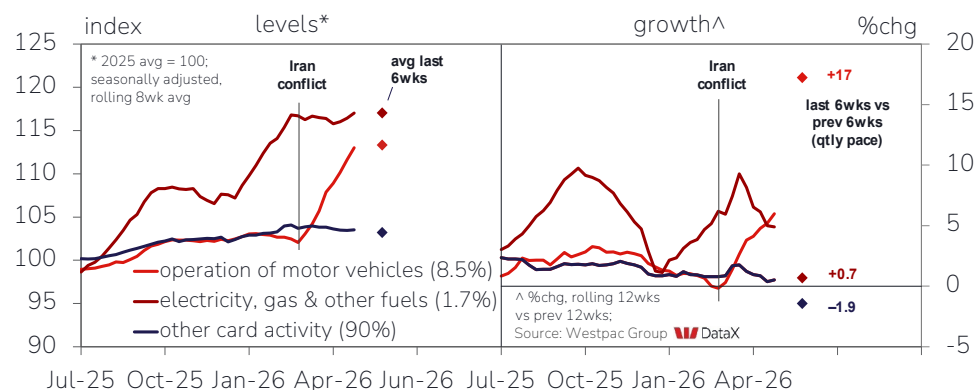
Source: ABS, Bloomberg, Melbourne Institute, Westpac Economics

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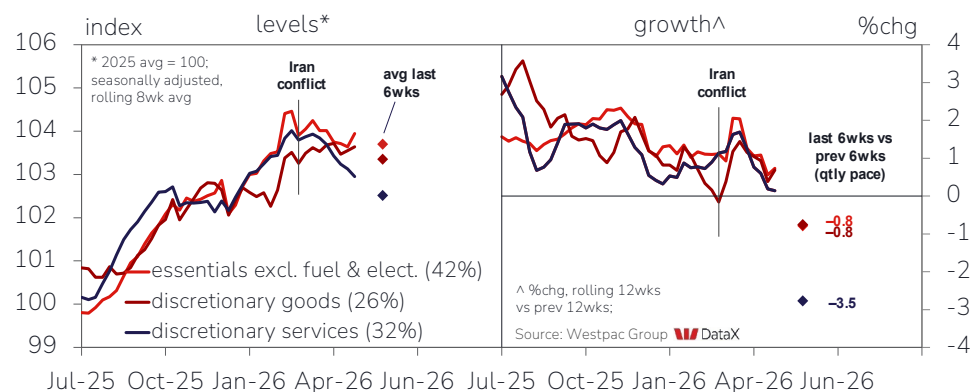
# Early signals from Westpac data

- Consumers are at the forefront of the energy shock. The sentiment picture is already clear but the 'real world' effects on activity are only just starting to appear. The **Westpac-DataX Card Tracker** and **Westpac-DataX Consumer Panel** provide the timeliest reads on how spending, income and saving patterns look to be evolving.
- Our **Westpac-DataX Card Tracker** draws on the seven million credit and debit card transactions that pass through the Westpac system every day. This rich information source now has data covering most of April. Latest updates show a complex mix of factors at work but with clearer signs of a slowing in discretionary spend starting to emerge (see [here](#) for our latest full report).
- Quarterly growth momentum remains subdued, holding at a 1% pace as at late April, down a touch on the 1.2% gain in Q1 and materially slower than the 2% average over the previous three quarters. However, that steady headline conceals a big lift in fuel and a notable slowing in non-fuel activity, the latter tracking a much slower 0.5%qtr pace, implying an outright contraction in real per capita terms.
- Chart 6 unpacks this detail a bit more. It shows levels and growth rates across three segments: 'operation of motor vehicles' (dominated by fuel); electricity, gas & other; and the remaining 90% of card activity (all figures are seasonally adjusted). It highlights another factor in play, the end of electricity rebates which has seen a large rise in this component in the first three months of 2026 (up 9.3%qtr and 17%yr).
- Excluding this and the fuel, growth across 'non energy' segments has shown a clearer moderation. This even looks to have tipped into outright declines over the last six weeks, although this may be partly due to residual seasonal effects from the Easter period (this moving holiday is more difficult for seasonal adjustment packages to pinpoint).
- Chart 7 unpacks this broad 'non-energy' category into: essentials, discretionary goods and discretionary services. It shows there has been an outright stalling in discretionary services, growth now just 0.1%qtr. The segment has also seen a more dramatic weakening over the last six weeks (albeit with the same Easter caveats still applying).

## 6. Westpac-DataX Card Tracker: fuel, electricity and other

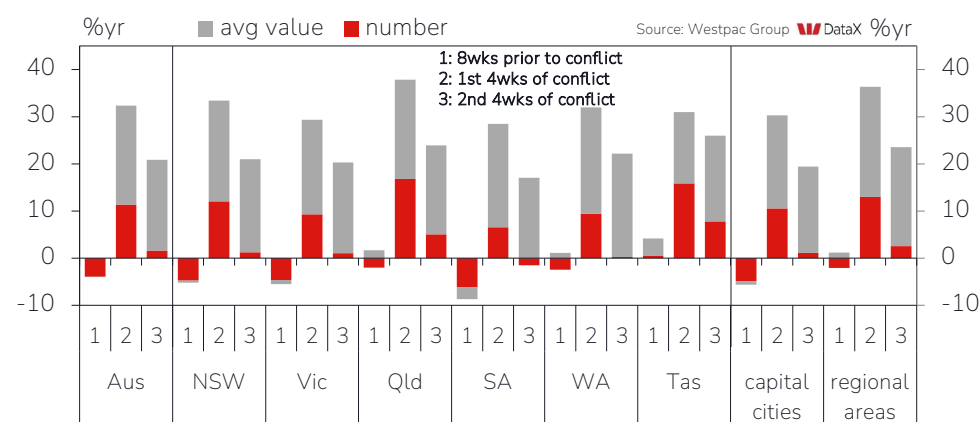


## 7. Westpac-DataX Card Tracker: non energy categories

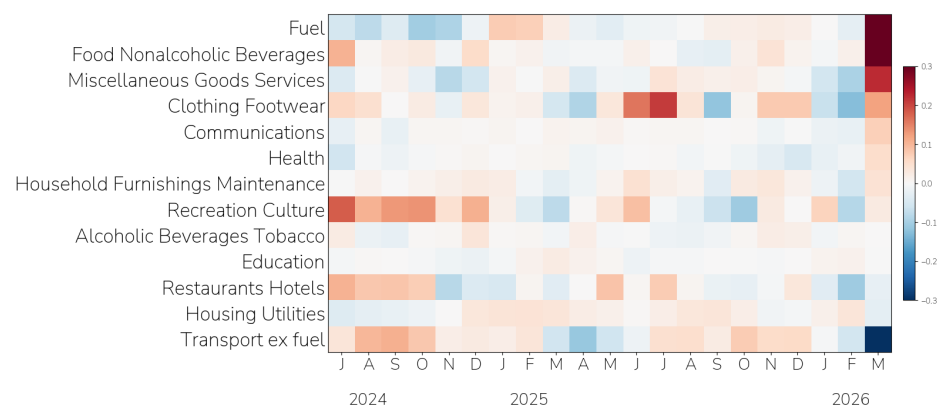


- The source card data provides more granular detail down to a narrower 'fuel' sub-category level with both the number and value of transactions available by sub-region. Chart 8 shows how the pattern of activity compares to a year ago for the 8wks prior to the shock, the first 4wks of the crisis and the second 4wks of the crisis.
- Nationally, coming into the shock, fuel transactions were down 4%yr on lower volumes. Over the first four weeks they were up 32%yr, 11ppts of which came from an increase in the number of transaction with the remaining 21ppts due to higher average transaction values, a proxy for fuel prices. Transaction volumes settled down in the second four weeks, up only 1.6%yr but with the contribution from average transaction values still very high at +19ppts.
- This volume effect is almost certainly a 'pull-forward' in buying as consumers became concerned about further sharp price rises and a lack of supply, with many stations running dry at the time. It looks to have been particularly pronounced in Qld, Tas and in regional areas.
- The **Westpac-DataX Consumer Panel** provides some additional colour around the spending, income and savings flows. The Panel draws on account information across over 1 million customers with monthly updates now available to March (see [here](#)).
- The key take-outs are similar to the card data with big shifts in the March month and softening evident in discretionary services. The 'heat map' in Chart 9 shows the contribution to spending growth by different categories, the final column showing the March month and columns showing rolling 3mth averages (all figures are seasonally adjusted). For March, fuel is up sharply, with a fall in air travel and public transport costs seeing a big decline in transport ex fuel. Basic food is also up strongly but looks to be switching from restaurants & hotels.
- The Panel detail shows spending across 'non-energy' categories has been softer amongst consumers that have higher energy costs relative to total spend. It also shows savings were not actively drawn down in Q1 but that the pace of accumulation slowed materially.

## 8. Westpac-DataX Card Tracker: fuel transactions



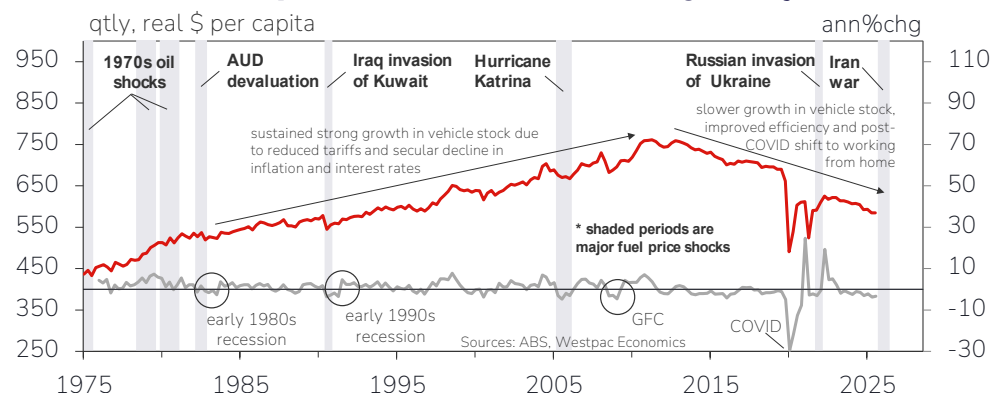
## 9. Westpac-DataX Consumer Panel: spending 'heat map'



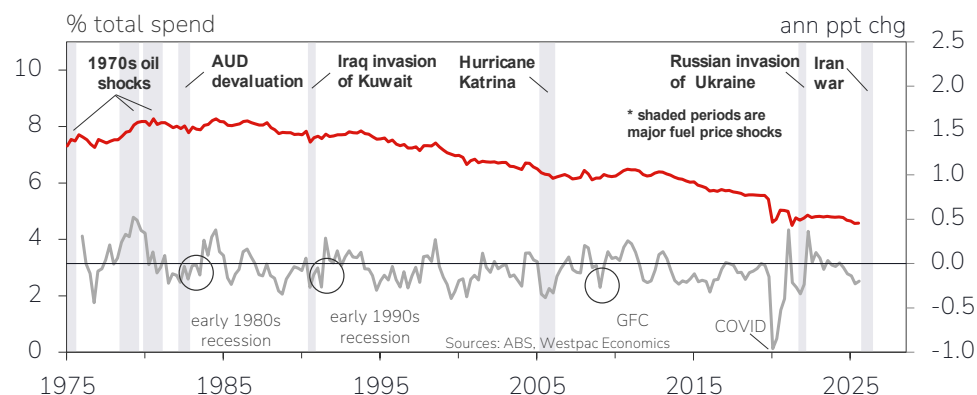
# Historical fuel price surges

- While we wait for the energy shock impacts to play out, what can we tell from history? In this section we give a quick overview of longer run trends in consumer spending on fuel and the impact of previous price shocks.
- As noted on p6, there have now been eight significant fuel price shocks since the early 1970s. The largest of these have been from global energy shocks, namely: the oil embargo in 1973; the Iranian revolution in 1979; the Iran–Iraq war in the early 1980s; Iraq’s invasion of Kuwait in 1990; Hurricane Katrina in 2005; Russia’s invasion of Ukraine in 2022; and the current crisis in Iran.
- The different scales and economic contexts make these episodes difficult to compare. Comparisons over longer time horizons also need to allow for changes in energy intensity and the shrinking share of fuel in total consumer spend.
- Chart 10 shows ABS estimates of per capita spending on ‘operation of motor vehicles’ in real, inflation-adjusted terms going back to the mid-1970s. Currently, fuel accounts for just over a third of this category which also covers servicing, insurance and tolls (see Chart 12).
- Measured in today’s dollars, average spend has risen from \$450 a quarter at the start of the period to a peak of around \$760 in the early 2010s to just over \$580 currently.
- As discussed in our last [Red Book](#), the long structural up-trend during the first forty years reflects strong growth in the vehicle stock as the progressive removal of tariffs and a secular decline in inflation and interest rates drove a big improvement in affordability.
- The down-trend over the decade since then reflects slower trend growth in the vehicle stock and a one-off change in the prevalence of ‘work from home’ arrangements post-COVID. The take-up of electric vehicles (EVs) has had a more marginal impact but is likely to become more prominent in the years ahead (noting that ‘operation of motor vehicles’ will include the electricity purchases required to power EVs).
- Chart 11 reveals that spend on vehicle operation has declined materially as a share of total. After peaking at 8% in 1980, it has declined gradually, for the most part, and currently sits 4.6%, suggesting fuel more specifically is 1.5-2% of total consumer spend.

## 10. Australia: operation of motor vehicles, long history



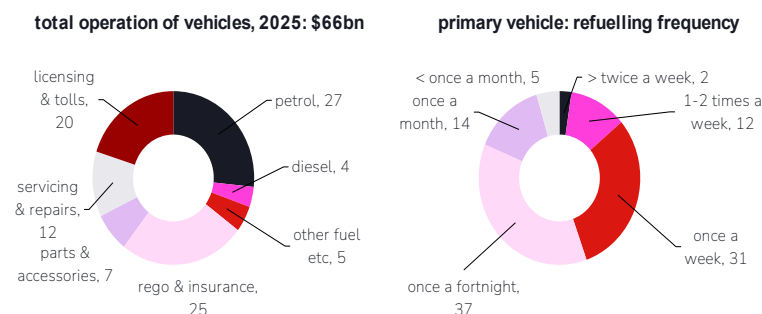
## 11. Australia: operation of motor vehicles, detailed spending patterns



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- The 1970s oil price shocks were the largest in real price terms and had somewhat clearer impacts. Consumer sentiment declined materially with consumption growth slowing by 2.5–3ppts, the wider economy ultimately entering recessions in the mid-1970s and early 1980s although in both periods there were several other factors at play.
- Energy shocks since then have been milder (particularly when viewed in real, inflation adjusted terms). There are again extenuating circumstances that limit their relevance to 2026: the invasion of Kuwait came just as the economy was moving into a deep recession for mostly unrelated reasons; the fuel price spike associated with Hurricane Katrina was very short-lived; and the 2022 spike was in the context of a much larger and more pervasive shock to global supply chains coming out of COVID and an associated rapid tightening in monetary policy.
- Consumption growth slowed sharply through all of these episodes but it is unclear how much of this was a direct consequence of energy price effects.
- Notably, the spending detail shows growth in fuel spend slowed by much more than non-fuel spend in real terms in 1990 and 2015 but by considerably less in 2022 (suggesting wider cost pressures and interest rate changes were the more substantive driver of the most recent slowdown).
- Consumer exposures to fuel price shocks differ significantly across different parts of Australia (see [here](#)). NSW and Vic have a higher exposure to the hit to consumer demand while Qld and WA have significant offsets from the boost to commodity exports.
- There are also differences in consumer fuel consumption intensity with 'operation of motor vehicles' making up a higher share of consumer spend in WA and Tas but a lower portion in NSW. Shares of total spend have also shown a more moderate trend decline over time in SA and WA. Within states there is also likely to be a big difference in fuel consumption intensity between city-dwellers than those living regionally who have fewer non-driving travel options and often face longer average journeys.

## 12. Australia: operation of motor vehicles, detailed spending patterns



Sources: ABS, Budget Direct, Westpac Economics

## 13. Operation of motor vehicles: state

|                         | Aus   | NSW   | Vic   | Qld   | SA    | WA    | Tas   |
|-------------------------|-------|-------|-------|-------|-------|-------|-------|
| \$ (annual)*            | 2,356 | 2,217 | 2,401 | 2,229 | 2,373 | 2,739 | 2,439 |
| % total spend           | 4.6   | 4.2   | 4.8   | 4.5   | 4.9   | 5.3   | 5.2   |
| 20yr avg                | 5.7   | 5.3   | 5.8   | 5.6   | 5.6   | 5.9   | 6.4   |
| ann %chg                | -3.1  | -2.2  | -2.9  | -3.8  | -3.6  | -4.7  | -1.7  |
| 20yr avg                | -0.7  | -0.7  | -1.2  | -0.9  | -0.2  | 0.0   | -1.0  |
| number of vehicles^     | 584   | 549   | 608   | 584   | 641   | 603   | 626   |
| \$ per vehicle (annual) | 4,033 | 4,041 | 3,947 | 3,818 | 3,700 | 4,542 | 3,895 |
| emission intensity#     | 190.8 | 189.4 | 189.0 | 190.6 | 194.1 | 197.3 | 197.0 |

\* per capita; ^ per 1000 people, number is as at March 2025; # avg grams of CO<sub>2</sub> per km.

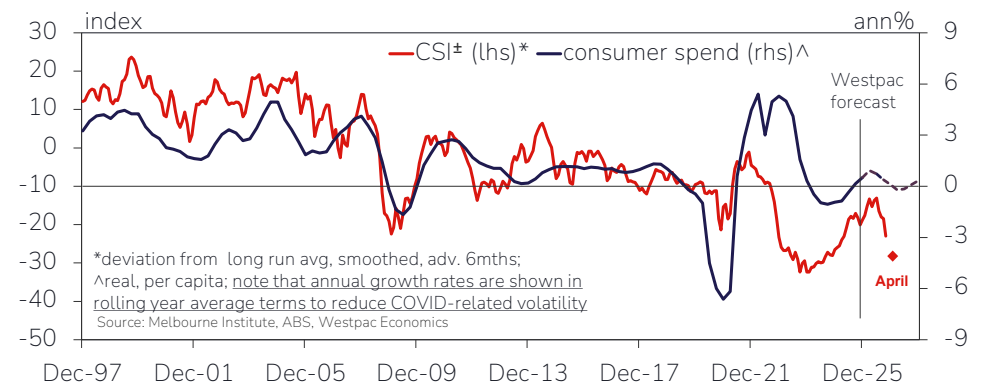
Source: ABS, BITRE, FCAI, EV Council, NTC, Westpac Economics



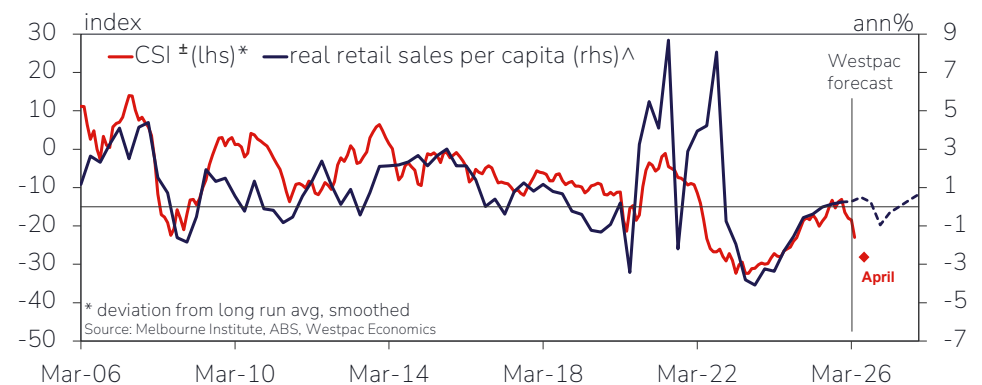
# Spending: sharp reversal

- Our **CSI<sup>+</sup>** composite combines sub-indexes tracking views on 'family finances' and 'time to buy a major item' with the **Westpac Consumer Risk Aversion Index** and usually provides a good guide to trends in spending over the next 3–6mths.
- The composite has been of more limited use in recent years due to both the volatile spending around COVID lock-downs and the nature of the post-COVID cost-of-living shock to sentiment. As such, the **CSI<sup>+</sup>** indicator should be viewed as a directional guide to where per capita spending growth momentum is heading.
- The **CSI<sup>+</sup>** indicator has been more stable than wider sentiment in recent months, mainly due to the risk aversion component holding steady. Nevertheless, at 71.5, it is still down sharply from its January read of 82.9, a fall of 13.7% that takes the indicator well below its long run average of 100. Chart 14 shows that this points to a renewed contraction in real per capita consumer spending, even allowing for the positive wedge that has opened up with **CSI<sup>+</sup>** and observed spending growth over the last year.
- As discussed, the 'hard' data on actual spending is only just starting to capture the effects of the energy shock. Most official figures instead speak more to the consumer's relatively robust momentum coming into 2026.
- The Q4 national accounts were something of a mixed bag, a 0.3%qtr rise in consumption undershooting expectations with growth slowing slightly to 2.4%yr.
- That said, the detail suggested the quarter saw a steadying rather than a slowing in momentum, particularly once a bigger-than-expected effect from increased state electricity rebates is excluded (an effect that will more than reverse as rebates resume rolling off in coming quarters). Vehicle purchases also surprised significantly to the downside, recording a 4.6%qtr drop, reportedly due to a pull-forward in registrations in Q3 to beat cost rises.
- Around incomes, the picture was relatively solid. Nominal disposable income rose 1.8%qtr, annual growth moderating slightly to 6.9%yr but still well above the pre-COVID 10yr avg of 4.3%yr.

## 14. CSI<sup>+</sup> vs total consumer spending



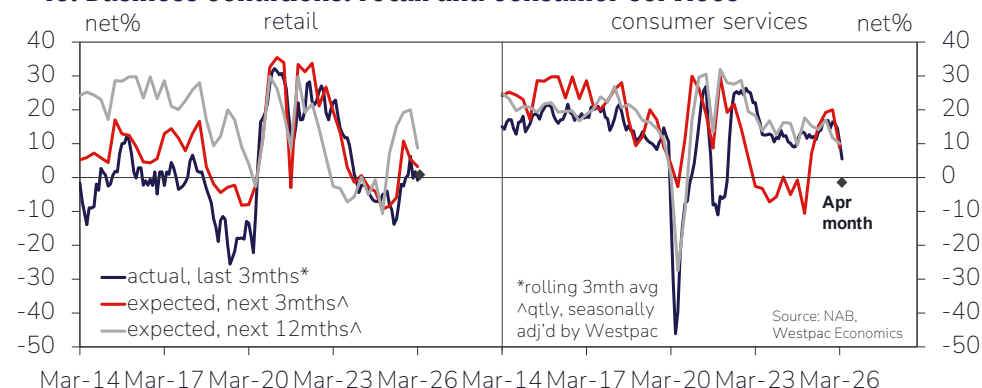
## 15. CSI<sup>+</sup> vs retail sales



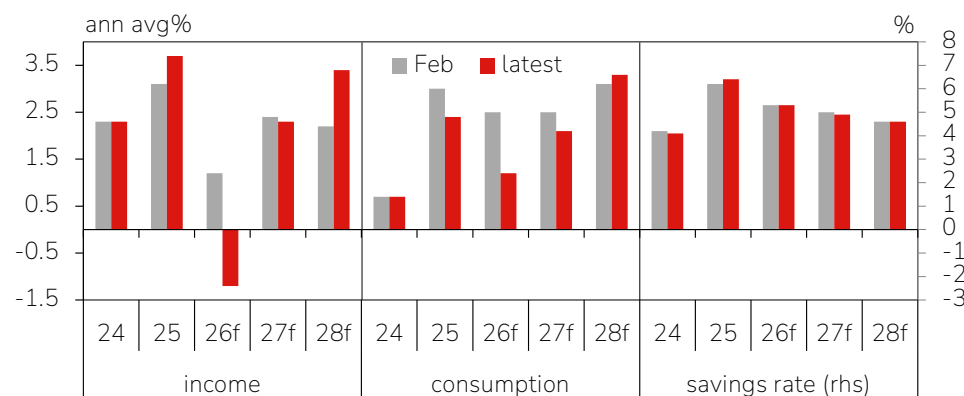
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- The savings ratio lifted to 6.9%, from 6.1% in Q3 and 5.8% in Q2. This is the highest ratio since mid-2022. Overall, the mix suggests households were in relatively good shape financially with scope for lower savings to cushion against future shocks.
- Of course, two shocks are now in play: rate rises and a spike in fuel costs. As discussed, our Westpac measures are pointing to a moderation in nominal spending growth. The 1.4%qtr rise in the [March CPI](#) implies that both measures of spend are likely flat or down slightly in real, inflation-adjusted terms.
- That was not quite the signal from the March ABS household spending indicator. While it confirmed the nominal signal from our Westpac data, the real spending came in surprisingly strong with a 0.7%qtr gain, down only slightly from Q4's 1%qtr rise. The ABS has indicated that some of this is due to differences in scope and the timing of price changes for airfares captured in the CPI vs the spending indicator measures. It should also be noted that Q4's spending indicator gain was much stronger than the spending rise reported in the Q4 national accounts.
- Private sector business surveys broadly are capturing some moderation but are also likely to be more of a nominal rather than real measure. Consumer sector responses to the NAB business survey remained soft in the first few months of 2026.
- The ABS will publish full spending estimates with the Q1 national accounts update on June 3. We continue to expect a 0.6%qtr gain largely due to the change in electricity rebates, which will see a sharp increase in out-of-pocket costs for consumers. Spend ex fuel and electricity is likely to be soft.
- Chart 17 summarises the main changes to our forecasts since our February report. Real household disposable incomes are now expected to contract 1.2% this calendar year, rather than increase 1.2% – the difference reflecting higher prices and higher interest rates. This in turn sees spending growth slow abruptly to 1.2%yr compared to a relatively robust 2.5% gain expected back in February. The path for savings rates is largely unchanged, but the modest decline cushioning an income shock rather than sustaining solid spending growth.

## 16. Business conditions: retail and consumer services



## 17. Income, consumption and savings forecasts

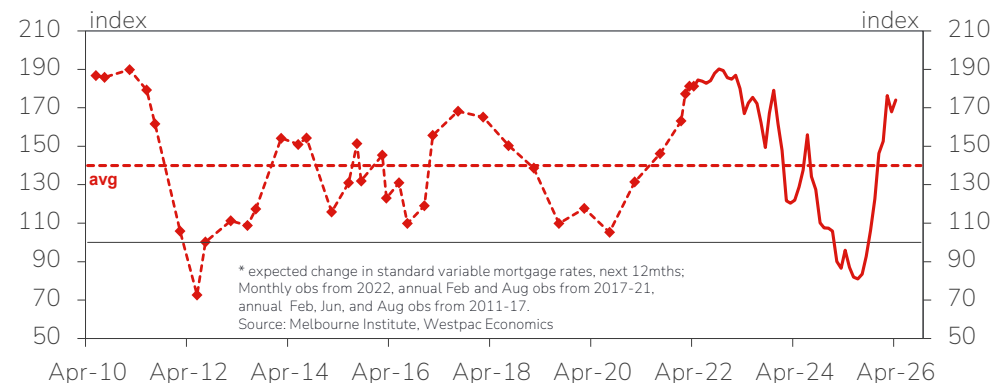


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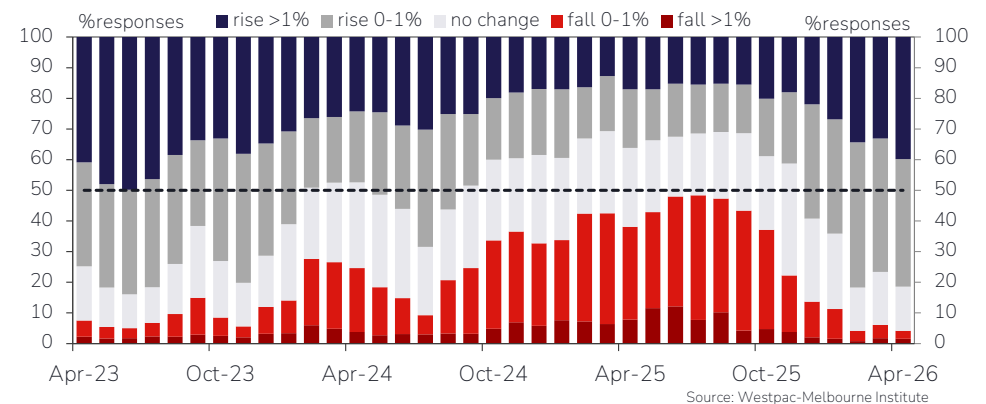
# Interest rates: fears realised

- While the April sentiment drop was mainly about the fuel price shock, the broader weakening since late last year has also been keying off heightened rate rise fears – fears that have been realised since February. The **Westpac–Melbourne Institute Mortgage Rate Expectations Index**, which tracks consumer expectations for variable mortgage rates over the next 12mths, surged another 16% over the 3mths to April. At 177.2, the Index is at new cycle highs, albeit below the extremely hawkish reads in late 2022/early 2023.
- The survey detail shows just over 81% of consumers expect mortgage rates to rise over the next 12 months. That compares to 64% at the start of the year. About 40% of those with a view expect rates to rise by over 1ppt. An interpolated median, based on the distribution of responses, sits at +76bps.
- The RBA raised rates by 25bps at its both its February and March meetings with a third back-to-back 25bp increase also put through at its May meeting (four weeks after the April sentiment survey). Taken at face value, the April responses suggest consumers expect another two 25bp hikes.
- That said, the history of this survey question shows a definite ‘tightening bias’ to interest rate expectations. Chart 18 shows sub-100 readings – consistent with more consumers expecting rates to fall rather than rise – are rare over the 16 years that the question has been run. Mapping index reads to actual mortgage rate changes suggests the latest reading is more in line with one further 25bp rate hike.
- Our May survey, currently in the field, will provide an important update on interest rate expectations following both the RBA’s May decision and the Federal budget, which is due to be released shortly after we go to press.
- The RBA’s post decision commentary suggested they were hoping to have some room to pause the tightening cycle, given the rapid series of hikes. Indeed, on balance, we now expect the RBA to leave rates on hold at its June meeting. However, we still expect rising inflation and the threat of a lift in inflation expectations feeding into medium-term wage and price setting behaviour to draw two further 25bp hikes in August and September (see [here](#) for our latest views).

## 18. Mortgage interest rate expectations



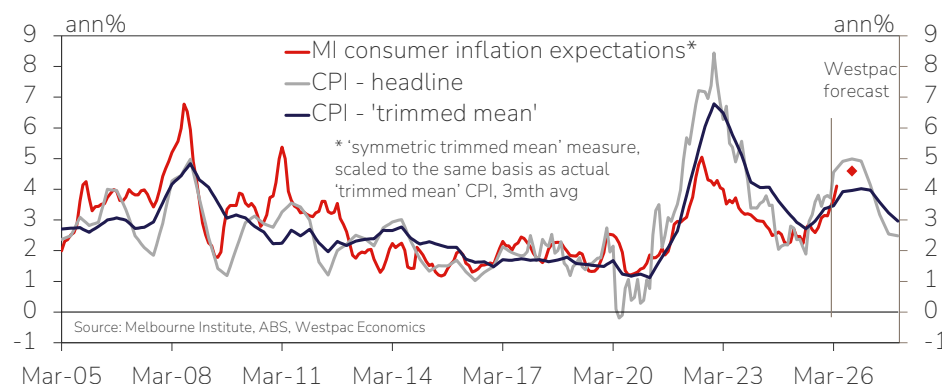
## 19. Consumer expectations for mortgage rates



# Inflation: here we go again

- The latest fuel price surge is already feeding into both inflation and consumer inflation expectations.
- The March CPI showed a 1.4% lift in headline inflation, taking it to 4.1%yr (see [here](#)). The 'trimmed mean' measure, which excludes the largest price variations each period (such as fuel in the latest quarter) posted a milder 0.8%qtr lift to be up 3.5%yr.
- Consumer inflation expectations are heavily influenced by fuel price moves as these are one of the most visible prices in the CPI basket, from the perspective of both day to day lived experience and media coverage.
- The Melbourne Institute's 'symmetric mean' measure of consumers' year-ahead inflation expectations jumped to 5.9% in April, up from 4.6% in January and broadly comparable to the levels seen in 2022-23 albeit below the peak monthly read of 6.7% during that period (shown in Chart 20).
- Scaling according to historical inflation outcomes suggests expectations are consistent with actual inflation outcomes in the 4.5-5% range.
- Consumer expectations for wages provide a interesting contrast. Wage expectations have held about steady, tracking in the same range seen since mid-2024 (Chart 21). While that is a touch above the long run average, the readings on both actual and expected wages are still broadly consistent with a slight moderation in wages growth.
- The Q4 update showed wage price growth running at 3.4% over 2025 according to the ABS wage price index (see [here](#)).
- The Q1 update is due on May 13, shortly after we go to press. Also of note, the annual award and minimum wage decision is likely to be announced by early June.
- The Melbourne Institute's 'symmetric mean' measure of consumers' year-ahead wage growth expectations held at 1.3% in April, essentially unchanged from January (albeit slightly firmer in seasonally adjusted terms). The survey measure of actual changes has drifted slowly back to 1.2% from 1.5% at the start of the year, having drifted slightly higher into year-end. Both remain above pre-COVID averages.

## 20. CPI Inflation: actual vs expected



## 21. Wages growth: actual vs expected

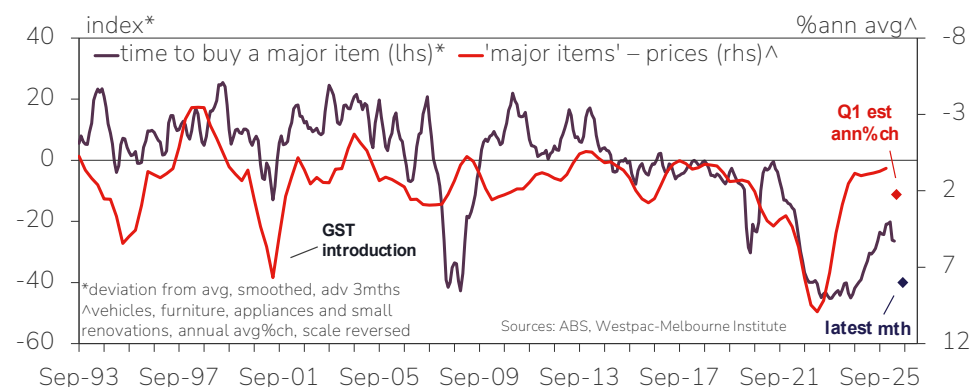


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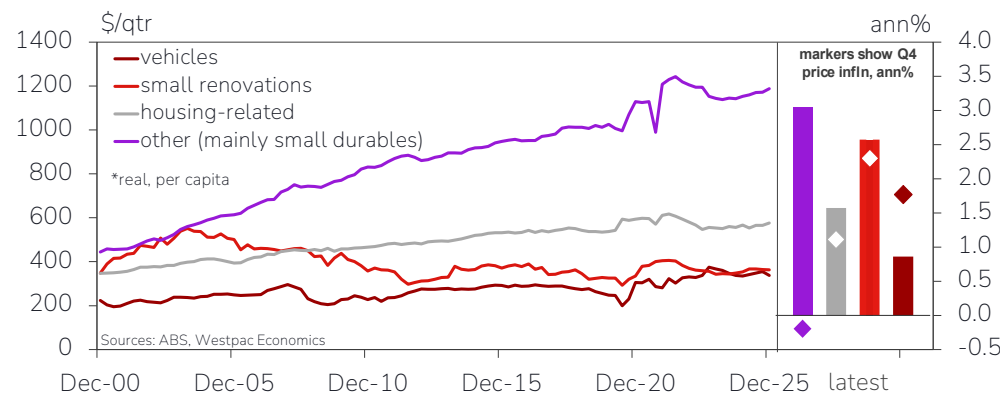
## Durables: aborted upturn

- The recovery in buyer sentiment that was gaining momentum through much of 2025 has been knocked back on its heels by the re-emergence of inflation and interest rate rises, with an added dash of concern around jobs as well.
- The 'time to buy a major item' sub-index dropped 15.9% over the three months to April. At 83.3, the sub-index is back near, albeit slightly above, the very weak 75–80 range seen in 2022–24. With a long run average of 123.5, the latest sub-index read is still in the bottom 5% of observations since the survey began in the mid-1970s.
- Chart 22 suggests price moves are again a direct consideration for purchase sentiment. While the focus was on fuel, the March CPI report showed a notable lift in some durables prices, household textiles, audio-visual equipment, vehicles and renovation-related cost inflation all relatively firm over the last year. On a combined basis, annual inflation across the 'major item' segments we track looks to have lifted from the 0-0.5%yr range to a little above 2%yr. That is a long way from the 10% blow-out in 2022-23 but may be adding to consumer concerns about the price outlook.
- Note that, as with consumer spending and sentiment more generally, there has been a disconnect between sentiment towards major purchases and actual spend on 'big ticket' items. Over the year to Q4 for example, combined per capita spend across the segments we track has risen 1.5%yr despite buyer sentiment reads that have been consistent with contractions in the past.
- Chart 23 shows annual growth in real per capita spending has been firmer for small durables (which have seen price declines over 2025) and for small renovations. Housing-related and motor vehicle purchases have seen slower but still positive growth. Price-wise, renovations and vehicles have seen slightly firmer gains over 2025.
- Partial data suggests Q1 has seen softer volume growth. Vehicle sales look to have fallen by about 2%qtr, despite a significant lift in EV sales that gained a lot more traction in the April month. The ABS household spending indicator detail also showed a decline for furnishings and household equipment (–0.7%qtr), which was coming off a relatively strong 3.3%qtr rise in Q4.

### 22. 'Time to buy a major item' vs prices



### 23. Consumer spending: 'big ticket' items

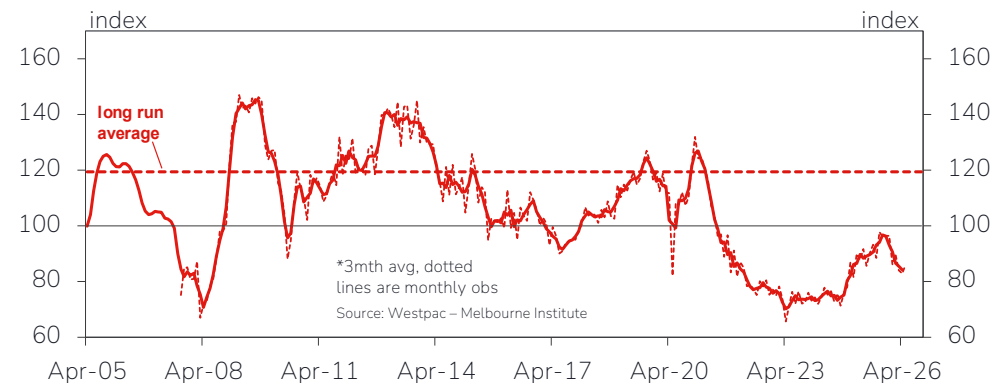




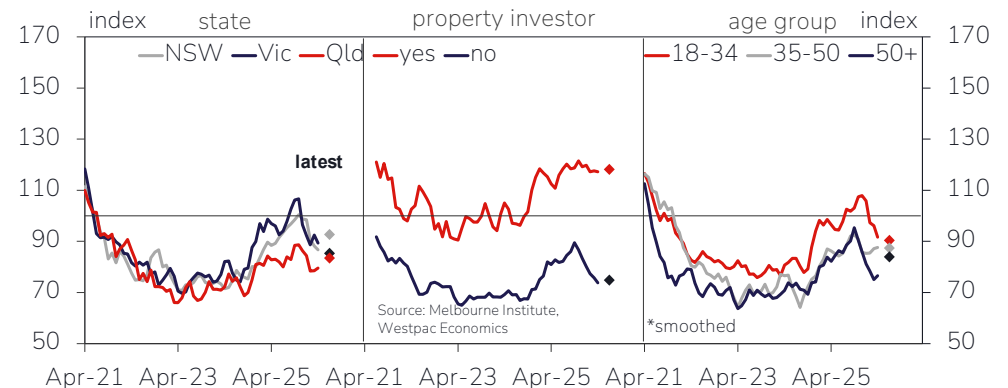
# Dwellings: watch this space

- The changed interest rate situation has seen homebuyer sentiment cool materially since late last year, moving back into firmly pessimistic territory but without any additional negative fall-out from the recent fuel price shock.
- The **'time to buy a dwelling'** index declined a further 4.3% over the three months to April, but with a larger 7.5% decline in the first two months partially reversing with a 3.5% gain in April. At 85.8, the index is a massive 33pts below its long run average of 120.
- Buyer sentiment is notably firmer in NSW and SA (both state indexes at 93), around the national read in Vic (85) and Qld (83) and extremely low in WA (66).
- The new year has seen a significant pull-back in buyer sentiment amongst younger age groups who were outright positive on 'time to buy' late last year. That almost certainly related to the significant expansion of the Federal first homebuyer guarantee scheme which allows eligible buyers to purchase with a low deposit without having to pay for loan mortgage insurance. Income caps on eligibility were removed with price caps also raised significantly.
- Interestingly, the sub-group detail continues to show outright positive assessments amongst consumers with an investment property (118) and those working in manager/professional roles (112). Buyer sentiment is also less downbeat amongst freehold home-owners (95), males (97) and Sydney-siders (97). Conversely, it is very low in amongst tenants (76), tradies (70) and females (75) and low income earners (72).
- That may all change significantly in the May update with the Federal government poised to overhaul Australia's capital gains and negative gearing tax regime. While the changes are expected to be 'grandfathered' and phased in over a one year grace-period, they will likely make housing less attractive as an investment option and, indirectly, less challenging for owner occupiers seeking to purchase.
- The May update will also capture reactions to the latest RBA rate hike, ordinarily a material negative for buyer sentiment. Fortunately, the survey will have pre and post budget responses so we will have some gauge of how it has impacted compared to other factors.

## 24. 'Time to buy a dwelling'



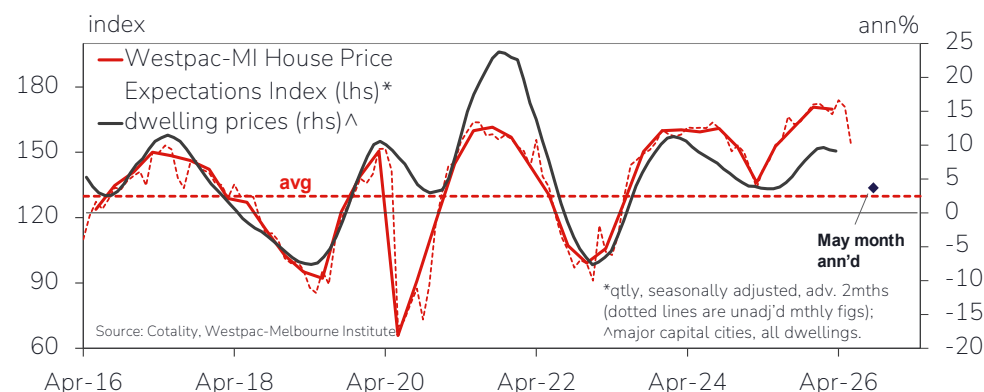
## 25. 'Time to buy a dwelling': selected sub-groups



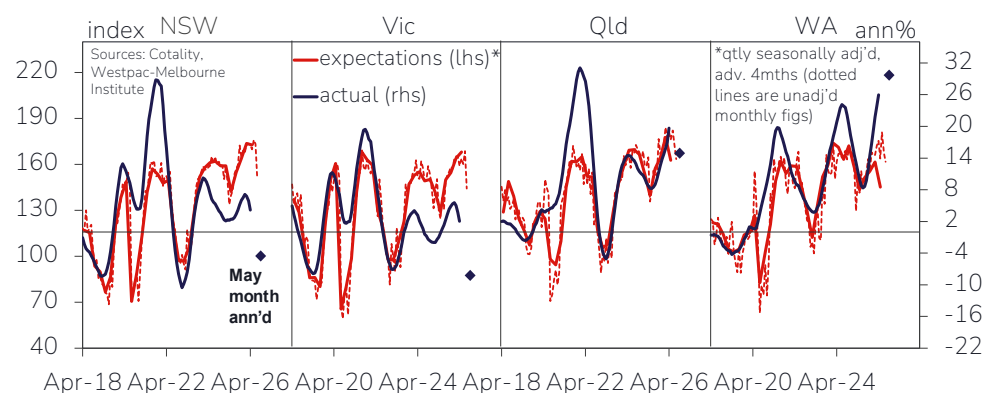
# House prices: expectations still hot

- Buyer sentiment has tended to move inversely with price expectations in recent years – falls associated with high price expectations and vice versa. As such, a cooling in consumer house price expectations has likely cushioned the shock to buyer sentiment in the first few months of 2026.
- The **Westpac Melbourne Institute House Price Expectations Index** declined 8.4% over the three months to April, making a more decisive move off what was a 15yr high. At 153.4, the index is well below that 174 peak but still above its long run average of 130.
- The detailed responses still show a clear majority of consumers expecting prices to rise: over two-thirds of those with a view expect an increase over the next year. That is high but less emphatic than the 81% back in February. Just 12% expect prices to fall (compared to 6% in January).
- Notably, the cooling centred on NSW (-11% to 151) and Vic (-12% to 144), where capital city markets, Sydney and Melbourne, have shown a clearer slowing and modest price slippage in recent months (Chart 27).
- Consumer price expectations posted much milder declines and remained significantly higher in Qld, SA and WA with state indexes still in the 162–164 range.
- The Cotality home value index has continued to moderate, monthly price growth slowing to 0.2% nationally in April, annual growth dipping slightly to 9.1%yr. As noted, the slowdown has been more pronounced in Sydney and Melbourne which have recorded outright declines while other major capital cities have continue to see gains (see [here](#) for more).
- Aside from geographic differences, the consumer sentiment survey detail also shows price expectations have fallen more heavily amongst consumers with a mortgage (-15%) and those aged over 50 (-15%).
- As with homebuyer sentiment, price expectations will be watched closely when the post budget reaction is released in May. Of course, price rises and falls have very different implications for different sub-groups so how this plays out across the sub-group detail will be of equal interest.

## 26. Westpac-MI House Price Expectations Index



## 27. Dwelling prices: actual vs expected by state

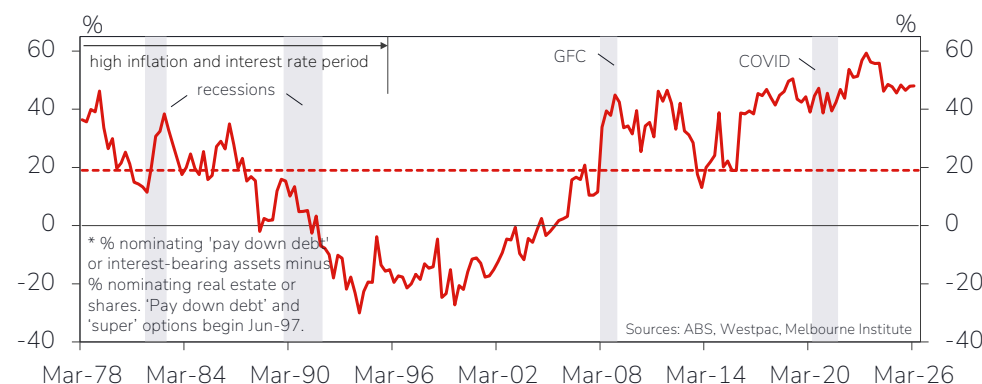


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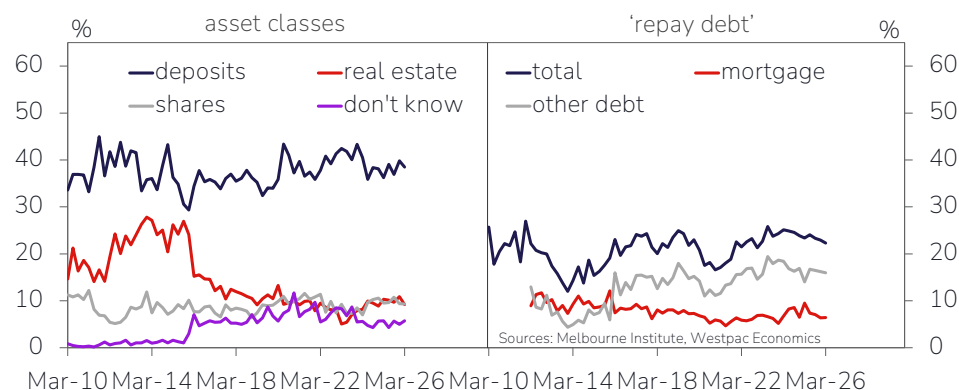
# Risk aversion: impact still to come

- Consumer risk aversion was largely unchanged between December and March, holding at a relatively high level. The **Westpac Consumer Risk Aversion Index** rose 0.1pts from 47.9 in December to 48 in March.
- Recall that the index is based on responses to questions on the 'wisest place for savings'. These ask consumers to nominate from a range of options, the risk index being the difference between the share nominating 'safe' options such as 'deposits' and 'repay debt' and the share nominating 'risky' options such as 'shares' and 'real estate'.
- 'Safe options' continue to be heavily favoured, with 22% nominating 'pay down debt' and 28% nominating 'bank deposits' in March.
- Amongst the 'riskier' options, consumers were less inclined towards 'real estate' (9.2% down from 10.7% in December), still relatively uninterested in 'shares' (9.2%) but may be starting to seek out other options. Some 6.4% nominated 'other' – the highest read since December 2015. This catch-all category captures a wide range of items including the likes of Bitcoin and gold.
- Of course, this pre-dates some significant events. The March survey pre-dates the RBA's rate hikes in both March and May. It also largely pre-dates the global energy shock which really started to land sentiment-wise in April. It also pre-dates what are set to be some material tax changes in the Federal budget.
- As such, the June update to this question will be of intense interest as it captures what are likely to be some significant shifts. Interest rate changes are likely to spur some consumers – the mortgage belt especially – towards more heavily favouring repaying debt. The improved deposit returns may see other move in favour of these 'safe' assets. The heightened risk environment and changed tax arrangements are also likely to further dampen sentiment towards both 'shares' and 'real estate'.
- The size of the impact from these developments remains to be seen but we may well see risk aversion re-test the extreme highs seen in mid-2023. History suggests rate hikes alone could be enough to drive a 5-6pt rise in our measure of consumer risk aversion.

## 28. Westpac Consumer Risk Aversion Index vs saving rate



## 29. Consumer: 'wisest place for savings'

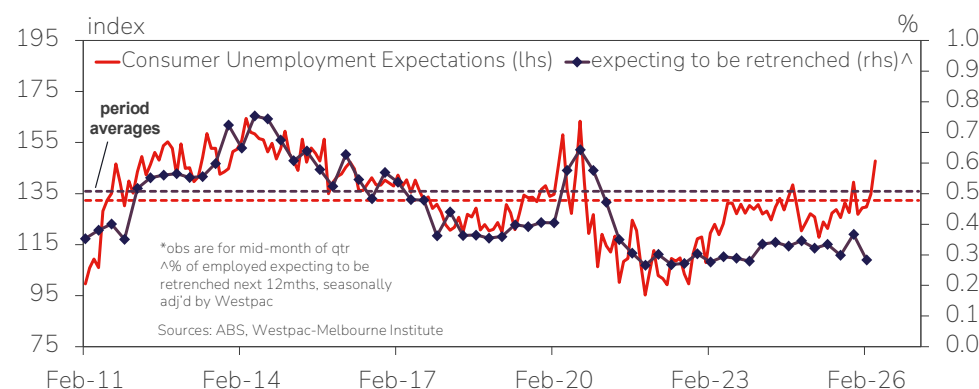


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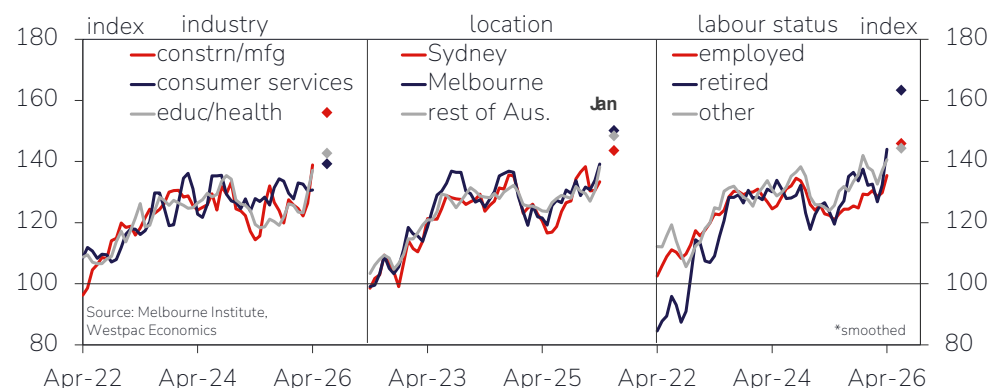
# Job security: sectoral concerns

- Notably, the current energy and interest rate shock is having a deeper impact on consumers' labour market expectations than the 2022–24 'cost of living' crisis. The **Westpac-Melbourne Institute Index of Unemployment Expectations** jumped 14% over the three months to April, the sharpest rise since late 2022 but, more tellingly, taking the index to a 5½ year high (recall that lower reads mean more consumers expect unemployment to fall over the year ahead). At 147.9, the April read is well above the long run average of 129.
- Framed against historical variations in unemployment, the April read is consistent with a 0.7-0.8ppt rise in the unemployment rate which, if accurate, would take the unemployment rate to around 5% by mid-2027.
- Any such move has clearly not occurred just yet. ABS figures are only available up to March. These show a relatively calm start to 2026, employment lifting 18k in the March month, annual growth lifting to 1.5%yr, having troughed at 1%yr in January. The unemployment rate held at 4.3%, a dip to 4.1% in December-January now looking more like an anomaly (see [here](#) for more).
- As noted in the past, consumer unemployment expectations should be viewed more as a gauge of the risk of labour shedding rather than the prospective pace of new hiring.
- Latest ABS data on this also shows little cause for alarm. Labour force survey estimates to February show there were 116k retrenchments, down slightly from 123k in November, the seasonally adjusted retrenchment rate still basically bumping around historic lows (Chart 30). The share of employed persons expecting to be retrenched over the next 12mths is much the same, dipping to 0.3% in the latest survey, well below the 0.5% average historically.
- The sub-group detail shows a significant sectoral theme to the April jump in job-loss concerns. The biggest rise in job loss fears has been amongst those employed in sectors that are most exposed to the energy and interest rate shocks, especially construction (+22% to 152), manufacturing (+22% to 165.4), hospitality (+33% to 144), and arts & recreation (+18% to 135.1). By state, the fear factor is more acute in Tas, Vic and NSW than in SA, Qld and WA.

## 30. Unemployment expectations



## 31. Unemployment expectations: selected sub-groups

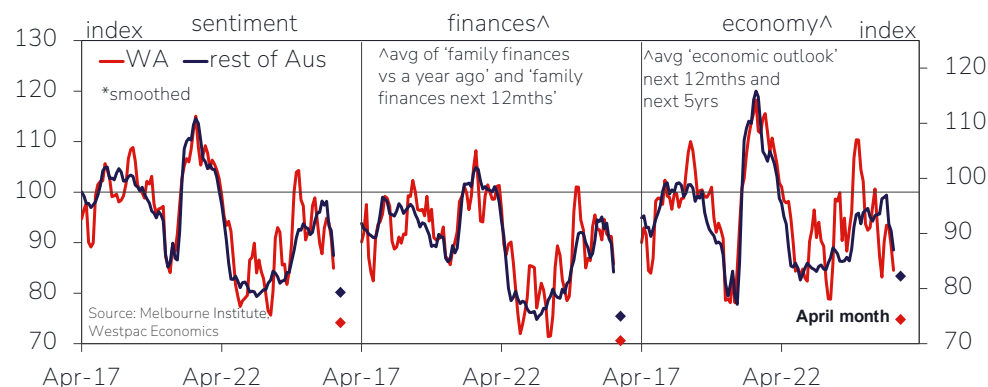


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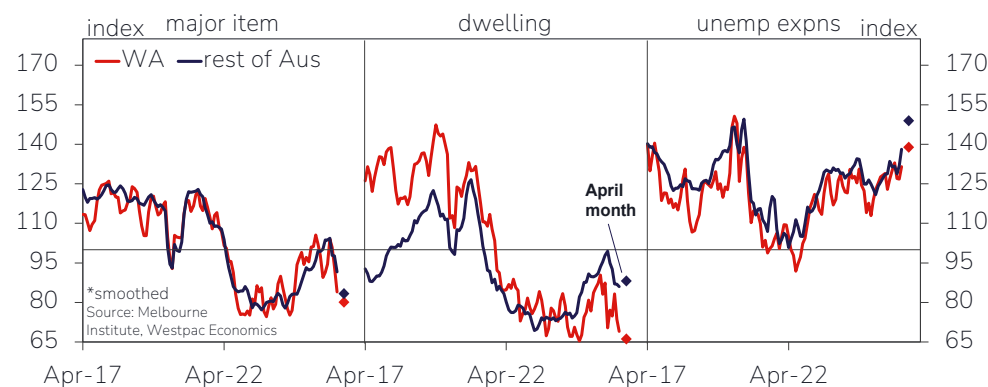
# Western Australia

- Consumer sentiment has continued to track a more erratic path in WA, pulling back more sharply in the last three months than the move seen nationally. The last time we profiled the state, a year ago, the 'liberation day' tariffs and associated concerns about a trade shock to global growth were the main source of sentiment volatility. WA is by far Australia's most export dependent state with exports accounting for over 60% of GSP (gross state product being the state analogue of GDP nationally). At the time, the threat to Australia's trade with China, by far the dominant source of demand for WA's lucrative commodity exports, was the central concern.
- Those fears proved to be misplaced and there may be an element of over-reaction to the latest shock to global energy markets as well. As we highlight in the recent update to our state forecasts, while there will be a shock to real incomes, WA and Australia's other mining-dominated states will benefit from elevated commodity prices and are set to outperform the big southeastern states this year and next (see [here](#) for details).
- Be that as it may, WA consumers are more pessimistic than peers across nearly every element of the survey. As Chart 32 highlights, the negative sentiment gap is 6pts overall, with a slightly lower 4.8pt gap on assessments of family finances and a slightly wider 8.6pt gap on the economic outlook. The difference narrows up on assessments of 'time to buy a major item', suggesting purchasing power issues are not particularly different in the west.
- The biggest negative wedge is around housing, where WA's runaway price growth is weighing much more heavily. 'Time to buy a dwelling' assessments are at despairing levels around 66 in WA compared to 88 everywhere else. Unfortunately consumers' house price expectations remain more elevated in WA, suggesting there's no let up expected any time soon (p17).
- Where WA consumers are more positive though is around job security. Even with a shock in April, unemployment expectations are a good 10pts lower, i.e. better, in WA than across the rest of Australia.

## 32. Consumer sentiment, finances, economy: WA vs rest of Aus



## 33. Consumer 'time to buy', unemp expns: WA vs rest of Aus



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# Economic and financial forecasts

## Interest rate forecasts

| Australia                  | Latest (8 May) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|----------------------------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Cash                       | 4.35           | 4.35   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.85   | 4.60   | 4.35   |
| 90 Day BBSW                | 4.44           | 4.55   | 4.90   | 4.90   | 4.95   | 4.95   | 4.95   | 4.80   | 4.55   | 4.30   |
| 3 Year Bond                | 4.64           | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 3 Year Swap                | 4.63           | 4.75   | 4.75   | 4.70   | 4.65   | 4.60   | 4.50   | 4.40   | 4.30   | 4.20   |
| 10 Year Bond               | 4.96           | 5.00   | 5.05   | 5.05   | 5.05   | 5.05   | 5.00   | 4.95   | 4.90   | 4.90   |
| 10 Year Spread to US (bps) | 57             | 65     | 65     | 60     | 55     | 50     | 40     | 30     | 20     | 15     |
| US                         |                |        |        |        |        |        |        |        |        |        |
| Fed Funds                  | 3.625          | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  | 3.625  |
| US 10 Year Bond            | 4.39           | 4.35   | 4.40   | 4.45   | 4.50   | 4.55   | 4.60   | 4.65   | 4.70   | 4.75   |

## Exchange rate forecasts

|         | Latest (8 May) | Jun-26 | Sep-26 | Dec-26 | Mar-27 | Jun-27 | Sep-27 | Dec-27 | Mar-28 | Jun-28 |
|---------|----------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| AUD/USD | 0.7203         | 0.72   | 0.72   | 0.73   | 0.73   | 0.74   | 0.74   | 0.74   | 0.73   | 0.73   |
| NZD/USD | 0.5934         | 0.59   | 0.59   | 0.62   | 0.64   | 0.66   | 0.67   | 0.67   | 0.67   | 0.67   |
| USD/JPY | 156.89         | 157    | 156    | 154    | 152    | 150    | 148    | 146    | 144    | 142    |
| EUR/USD | 1.1730         | 1.18   | 1.18   | 1.19   | 1.20   | 1.21   | 1.22   | 1.22   | 1.22   | 1.22   |
| GBP/USD | 1.3552         | 1.35   | 1.36   | 1.37   | 1.38   | 1.39   | 1.40   | 1.41   | 1.41   | 1.41   |
| USD/CNY | 6.8023         | 6.80   | 6.75   | 6.70   | 6.60   | 6.50   | 6.45   | 6.40   | 6.35   | 6.35   |
| AUD/NZD | 1.2139         | 1.22   | 1.22   | 1.18   | 1.14   | 1.12   | 1.11   | 1.10   | 1.10   | 1.10   |

Sources: Bloomberg, Westpac Economics.

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# Economic and financial forecasts

## Australian economic growth forecasts

|                       | 2025 |     | 2026 |     | 2027 |     |     |     |
|-----------------------|------|-----|------|-----|------|-----|-----|-----|
|                       | Q3   | Q4  | Q1f  | Q2f | Q3f  | Q4f | Q1f | Q2f |
| GDP %qtr              | 0.5  | 0.8 | 0.5  | 0.2 | 0.1  | 0.2 | 0.3 | 0.4 |
| %yr end               | 2.1  | 2.6 | 2.6  | 1.9 | 1.6  | 1.0 | 0.9 | 1.1 |
| Unemployment rate % * | 4.3  | 4.3 | 4.2  | 4.4 | 4.6  | 4.9 | 5.0 | 4.9 |
| Wages (WPI) (sa) %qtr | 0.8  | 0.8 | 0.8  | 0.8 | 0.8  | 0.8 | 0.7 | 0.8 |
| %yr end               | 3.3  | 3.4 | 3.3  | 3.2 | 3.2  | 3.2 | 3.2 | 3.2 |
| Headline CPI %qtr     | 1.3  | 0.6 | 1.4  | 1.5 | 1.4  | 0.5 | 0.6 | 0.6 |
| %yr end               | 3.2  | 3.6 | 4.1  | 4.9 | 5.0  | 4.9 | 4.1 | 3.2 |
| Trimmed Mean CPI %qtr | 1.0  | 0.9 | 0.8  | 1.1 | 1.1  | 1.0 | 0.8 | 0.7 |
| %yr end               | 3.0  | 3.4 | 3.5  | 3.9 | 4.0  | 4.0 | 4.0 | 3.6 |

|                       | Calendar years |       |       |       |
|-----------------------|----------------|-------|-------|-------|
|                       | 2025           | 2026f | 2027f | 2028f |
| GDP %qtr              | –              | –     | –     | –     |
| %yr end               | 2.6            | 1.0   | 1.6   | 2.8   |
| Unemployment rate % * | 4.3            | 4.9   | 4.9   | 4.5   |
| Wages (WPI) (sa) %qtr | –              | –     | –     | –     |
| %yr end               | 3.4            | 3.2   | 3.0   | 3.4   |
| Headline CPI %qtr     | –              | –     | –     | –     |
| %yr end               | 3.6            | 4.9   | 2.5   | 2.2   |
| Trimmed Mean CPI %qtr | –              | –     | –     | –     |
| %yr end               | 3.4            | 4.0   | 3.0   | 2.4   |

\* Quarter-average.

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# Consumer demand

|                                   | 2025 |      |     |     | 2026 |     |     |      |
|-----------------------------------|------|------|-----|-----|------|-----|-----|------|
| % change                          | Q1   | Q2   | Q3  | Q4f | Q1f  | Q2f | Q3f | Q4f  |
| Total private consumption*        | 0.6  | 1.0  | 0.5 | 0.3 | 0.6  | 0.0 | 0.2 | 0.4  |
| annual chg                        | 0.9  | 2.3  | 2.6 | 2.4 | 2.5  | 1.4 | 1.1 | 1.2  |
| Real labour income, ann chg       | 3.0  | 3.7  | 3.9 | 3.3 | 2.5  | 0.7 | 0.4 | 0.4  |
| Real disposable income, ann chg** | 4.7  | 4.8  | 3.8 | 3.7 | 1.6  | 0.1 | 1.2 | -1.2 |
| Household savings ratio           | 6.8  | 5.8  | 6.1 | 6.9 | 6.1  | 4.7 | 6.3 | 4.0  |
| Real retail sales, ann chg        | 1.2  | 1.5  | 1.7 | 1.8 | 1.8  | 2.0 | 1.7 | 0.5  |
| Motor vehicle sales ('000s)***    | 879  | 855  | 877 | 861 | 870  | 879 | 887 | 896  |
| annual chg                        | -6.5 | -4.2 | 2.4 | 1.1 | -1.0 | 2.7 | 1.1 | 4.0  |

|                                     | Calendar years |      |       |       |
|-------------------------------------|----------------|------|-------|-------|
|                                     | 2024           | 2025 | 2026f | 2027f |
| Total private consumption, ann chg* | 0.7            | 2.1  | 1.5   | 1.7   |
| Real labour income, ann chg         | 2.1            | 3.5  | 1.0   | 2.3   |
| Real disposable income, ann chg**   | 2.3            | 4.3  | 0.4   | 1.3   |
| Household savings ratio, %          | 4.1            | 6.4  | 5.3   | 4.9   |
| Real retail sales, ann chg          | 0.2            | 1.7  | 1.6   | 1.6   |
| Motor vehicle sales ('000s)         | 885            | 868  | 883   | 918   |
| annual chg                          | -2.4           | -1.9 | 1.7   | 4.0   |

Notes to pages 23 and 24:

\* National accounts definition.

\*\* Labour and non-labour income after tax and interest payments.

\*\*\* Passenger vehicles and SUVs, annualised (includes EVs).

^ Average over entire history of survey.

^^ Seasonally adjusted. # Net % expected rise next 12 months minus % expecting fall (wage expectations is net of % expecting wages to rise and % expecting flat/decline).

Note that questions on mortgage rate and house price expectations have only been surveyed since May 2009.

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# Consumer sentiment

| % change                                   | 2025  |       |       |       |       |       | 2026  |       |       |       |       |
|--------------------------------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
|                                            | avg^  | Jul   | Aug   | Sep   | Oct   | Nov   | Dec   | Jan   | Feb   | Mar   | Apr   |
| Westpac-MI Consumer Sentiment Index        | 100.3 | 93.1  | 98.5  | 95.4  | 92.1  | 103.8 | 94.5  | 92.9  | 90.5  | 91.6  | 80.1  |
| family finances vs a year ago              | 87.9  | 79.2  | 84.2  | 86.3  | 82.1  | 85.2  | 80.9  | 82.7  | 78.8  | 80.2  | 66.8  |
| family finances next 12 months             | 106.5 | 101.4 | 106.8 | 107.7 | 97.1  | 109.1 | 102.4 | 97.8  | 97.7  | 97.6  | 84.0  |
| economic conditions next 12 months         | 90.7  | 94.1  | 101.2 | 92.2  | 89.9  | 104.8 | 94.6  | 88.4  | 88.5  | 85.9  | 75.3  |
| economic conditions next 5 years           | 92.2  | 93.4  | 98.4  | 92.7  | 94.0  | 108.4 | 95.7  | 96.5  | 94.1  | 96.3  | 91.4  |
| time to buy major household item           | 123.3 | 97.6  | 101.7 | 98.2  | 97.2  | 111.6 | 98.9  | 99.1  | 93.5  | 98.0  | 83.3  |
| time to buy a dwelling                     | 119.4 | 88.5  | 97.8  | 96.1  | 96.5  | 96.4  | 86.2  | 89.6  | 84.0  | 82.9  | 85.8  |
| Westpac-MI Consumer Risk Aversion Index^^  | 18.9  | –     | –     | 46.5  | –     | –     | 47.9  | –     | –     | 48.0  | –     |
| CSI±                                       | 99.7  | 82.6  | 86.4  | 86.4  | 82.4  | 89.6  | 83.6  | 82.9  | 80.5  | 81.9  | 71.5  |
| Westpac-MI House Price Expectations Index# | 129.8 | 162.8 | 164.2 | 168.4 | 171.9 | 172.4 | 169.9 | 167.5 | 173.9 | 171.0 | 153.5 |
| consumer mortgage rate expectations#       | 40.5  | –16.9 | –16.4 | –12.0 | 1.7   | 19.1  | 45.5  | 52.8  | 77.5  | 70.5  | 77.2  |
| Westpac-MI Unemployment Expectations       | 129.2 | 128.7 | 125.6 | 131.4 | 127.6 | 139.5 | 126.8 | 129.4 | 129.8 | 134.7 | 147.8 |
| MI inflation expectations (trimmed mean)   | 4.4   | 4.7   | 3.9   | 4.7   | 4.8   | 4.5   | 4.7   | 4.6   | 5.0   | 5.2   | 5.9   |
| MI wage expectations (trimmed mean)        | 1.3   | 1.2   | 1.3   | 1.2   | 1.4   | 1.5   | 1.3   | 1.3   | 1.3   | 1.3   | 1.3   |

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